ABOVE
AND BEYOND



بنك أبوظبي التجاري
ADCB

ABU DHABI COMMERCIAL BANK PJSC
2022 ANNUAL REPORT

Scope of reporting

The data presented in this report covers Abu Dhabi Commercial Bank PJSC (referred to 'ADCB Group'), all its subsidiaries and branches within and outside of the UAE, unless stated otherwise.

The entities covered include the following:

- Abu Dhabi Commercial Bank, UAE (ADCB UAE)
- Abu Dhabi Commercial Bank – Egypt SAE (ADCB Egypt)
- Al Hilal Bank PJSC, UAE (AHB UAE)
- Al Hilal Bank, Kazakhstan (AHB Kazakhstan)
- ADCB Securities LLC (ADCB Securities)
- ADCB Asset Management Limited (ADCB Asset Management)
- ITMAM Services LLC and ITMAM Services FZ LLC (ITMAM)
- Abu Dhabi Commercial Properties LLC (ADCP)
- Abu Dhabi Commercial Engineering Services LLC (ADCE)

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HIS HIGHNESS SHEIKH MOHAMED BIN ZAYED AL NAHYAN

PRESIDENT OF THE UNITED ARAB EMIRATES AND RULER OF ABU DHABI
SUPREME COMMANDER OF THE UAE ARMED FORCES

Going above and beyond

FOR OUR STAKEHOLDERS

As a leading financial institution in the UAE, we recognise that our impact extends far beyond our own business. The financing choices we make and the relationships we create help to shape our wider economy and society. The success of the Bank is intertwined with the interests of our investors, regulators, customers, employees and communities. In 2022, we went above and beyond to deliver growth and advance our progressive agenda.

AED
498 bn
Total assets

AED
6.434 bn
Net profit

1.5 mn+
Customers

Going above and beyond

TO CREATE VALUE FOR OUR INVESTORS

Effective implementation of our strategy for digital-led expansion is producing strong investor returns, while building the financial resilience to succeed in the coming years. We prioritise best practice governance and a robust risk management framework to ensure that our growth is always grounded in the strongest foundations.

13.3%
Return on average tangible equity (ROATE)

60%
Dividend payout ratio

322%
10-year total shareholder return (TSR)

Going above and beyond

TO CREATE EXPERIENCES FOR OUR CUSTOMERS

69
Net Promoter Score

260,000+
Customers onboarded digitally

46
Digital releases

ADCB onboarding and Mobile Banking apps among the highest rated in the UAE

Service excellence is central to our standing in the market. We understand that maintaining a leading position requires continuous evolution. This is why the Bank is investing significantly in innovation, data protection and people, to create a high quality, personal and digitally powered banking experience.

Going above and beyond

TO CREATE OPPORTUNITIES FOR OUR COMMUNITY

We play an active role in our communities, contributing to the UAE's developmental agenda through sponsorships, partnerships and investment. ADCB is committed to financial inclusion and is employing digital solutions to extend banking relationships to a growing number of micro-businesses and SMEs. Through targeted activities, we promote education and youth empowerment, creating opportunities for our communities.

65,000+

SME and micro-business clients

AED 5 bn

ADCB Group SME financing

185,000+

Accounts opened digitally for low-income customers

Going above and beyond

TO CREATE PURPOSE FOR OUR PEOPLE

Our employees reflect the rich diversity of our communities. They are motivated by a desire to excel and maximise their contribution, respecting the trust our customers and other stakeholders place in the Bank. ADCB provides an opportunity to learn, grow and thrive in an agile, high-performance environment, which rewards actions that reflect our values of integrity, care, ambition, respect and discipline.

38%
Emirati representation in ADCB Group

300,000+
Learning hours in 2022

8,400+
Employees

Going above and beyond

FOR OUR FUTURE

We are inspired by the UAE's vision for a sustainable, inclusive, net zero economy. With an open and collaborative culture, ADCB is working with diverse partners to ensure that it plays a central role in delivering this ambition. We will continue to deploy our financial strength and expertise to serve the interests of all our stakeholders – not just in the coming years, but for the benefit of future generations.

AED
65 bn
New credit extended to diverse economic sectors in 2022

AED
35 bn
Commitment to green finance by 2030

546
Emirati graduate trainees have joined the Bank since 2021

ADCB

OVERVIEW

Creating value

Our value creation is underpinned by a strong foundation of robust corporate governance, strategic risk management and an enduring commitment to customers and communities we serve.

Our strengths

Leadership

ADCB benefits from an experienced Board of Directors supported by a highly skilled Executive Management team, who actively promote a healthy organisational culture and ensure robust operational efficiencies.

Governance

The Bank has a strong and effective governance framework, based on the highest standards of international best practice. It provides the foundation for long-term success and demonstrates the integrity and transparency our stakeholders expect.

Innovation

ADCB continuously enhances its digital and technological capabilities using advanced data analytics to make banking more accessible and secure, while providing an exceptional customer experience.

Resilience

We are a domestic, systemically important bank with more than AED 498 billion in total assets, robust liquidity, and strong credit ratings.

Our strengths (continued)

ESG

Sustainability is a key focus of the Bank's strategic agenda. We are committed to maximising ADCB's contribution to the UAE's ambition for an inclusive, net zero economy through a range of ESG initiatives.

Brand

ADCB maintains substantial brand value and attracts a growing base of more than 1.5 million customers. According to the '2023 Global Brand Finance Report' for the top 500 banks, ADCB has an estimated brand value of USD 2.6 billion, up 12% from the previous year[1].

Expertise

We provide a full range of innovative banking products and services to our customers, supported by an in-depth knowledge of the markets we operate in and detailed economic insights which helps them grow and prosper.

Diverse ownership

ADCB is 60.20% owned by Mubadala Investment Company (through its wholly owned subsidiary, One Hundred and Fourteenth Investment Company – Sole Proprietorship LLC). The Bank has a growing share of foreign institutional shareholders from over 75 countries.

Talent

The Bank employs a diverse workforce of more than 8,400 people[2] from over 80 nations, including 1,910 UAE nationals, united by shared values and an inclusive, high-performance culture.

About ADCB

Our vision

To be the number one bank of choice in the UAE.

Our mission

To build partnerships with customers that last a lifetime by acknowledging every customer as an individual, offering innovative products and unparalleled service, and understanding that customers have a choice.

Our strategic goals

To deliver sustained, profitable growth to create long-term benefits to stakeholders.

Our values

- Integrity
- Respect
- Care
- Discipline
- Ambition

Our business segments

- Retail Banking Group
- Private Banking & Wealth Management Group
- Wholesale Banking Group
- Treasury & Investments Group
- Property Management

Our key subsidiaries

ALHILAL

بنك أبوظبي التجاري ADCB EGYPT

أبوظبي التجاري ADCB SECURITIES للأوراق المالية

ADCE أبوظبي التجاري للخدمات الهندسية Abu Dhabi Commercial Engineering Services

ADCP شركة أبوظبي التجاري للعقارات Abu Dhabi Commercial Properties

ITMAM شركة إتمام للخدمات Itmam Services Company

Delivering stakeholder value

Employees

Fulfilling careers, competitive benefits and rewards with professional development.

Customers

Protecting and growing the wealth of more than a million customers, from individuals, SMEs and large corporates to government entities.

Community

Playing a role in the socio-economic development of the country. Guided by the vision of the UAE leadership, the Bank is fully committed to initiatives that create a diversified and sustainable economy.

Regulators/Government

Engaging with relevant authorities to support a responsible regulatory framework.

Investors

Delivering robust returns and long-term sustainable value to shareholders.

Partners

Working with numerous suppliers, providing them with new business opportunities and timely payments.

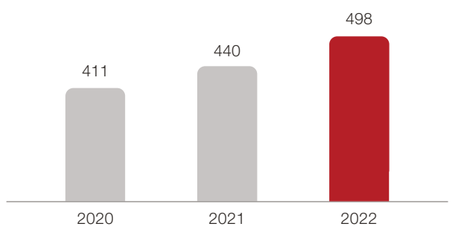
(1) The report by leading brand valuation consultancy, Brand Finance, evaluates companies against a number of metrics such as brand impact and brand strength.
(2) ADCB Group, including temporary employees on full-time basis

ADCB as an investment

Institutional strength

Scale and stability

Total assets
(AED bn)



Geographic footprint

50
ADCB UAE branches

49
ADCB Egypt branches

13
Al Hilal Bank
UAE branches

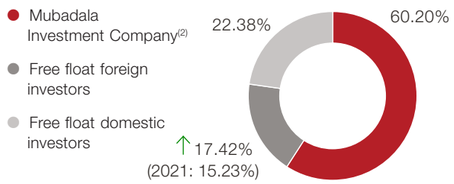
3
Al Hilal Bank
Kazakhstan branches

AED 63 bn
Market capitalisation
(As at 31 December 2022)

1.5 mn+
Customers

8,400+
Employees(1)

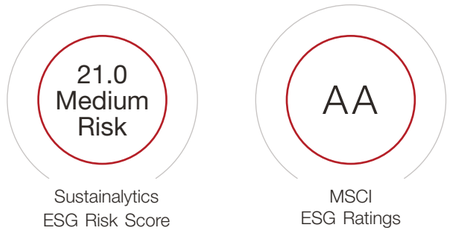
Diverse ownership: 60.20% owned by Mubadala, while foreign ownership continues to grow



High investment-grade credit ratings



Highest regional ESG rankings(3)



(1) ADCB Group, including temporary employees on full-time basis
(2) Through its wholly owned subsidiary One Hundred and Fourteenth Investment Company – Sole Proprietorship LLC
(3) Highest-ranked diversified bank in the GCC by Sustainalytics as at 19.01.23. Source: Sustainalytics Ratings Portal
Highest-ranked diversified bank in MENA by MSCI as at 19.01.23. Source: MSCI Ratings Portal

A leading market position in UAE

3rd largest bank
in the UAE by assets

15.0%
Market share in net loans(4)

13.8%
Market share in customer deposits(4)

Improving Net Promoter Score (NPS)



260,000+
Customers onboarded digitally in 2022

Organisational strength

- Robust governance and reputable Board
- Stable and experienced Executive Management driving effective execution of strategy
- Comprehensive professional training and career development programmes

300,000+
Learning hours in 2022

- Ranked top quartile globally and top decile in Middle East in Organisational Health Index (OHI) survey
- Ranked top GCC bank in Forbes 'World's Best Employers 2022' survey
- Committed to diversity, inclusion, and equity

80+
Nationalities

42%
Female

38%
UAE nationals

Best-practice approach to ESG

- Revamped ESG strategy, pledge signed to align with UAE's Net Zero by 2050 Strategic Initiative
- Robust ESG governance framework; initiatives overseen by Board
- Inaugural green bond issued to finance sustainable initiatives

AED 35 bn
Green finance commitment by 2030

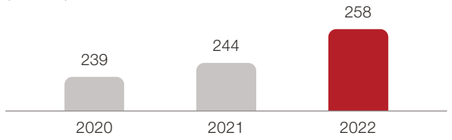
(4) Based on UAE Central Bank data as of November 2022

ADCB as an investment

Financial strength

Robust balance sheet

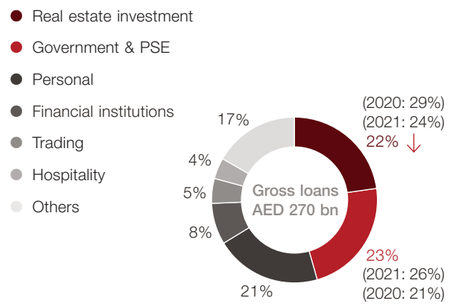
Net loans
(AED bn)



AED 65 bn
New credit extended in 2022

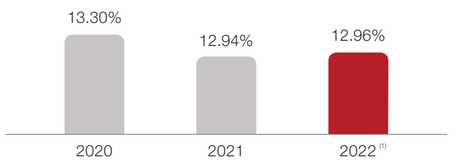
50%
CASA deposits as % total customer deposits

Well balanced loan portfolio, with reduced exposure to real estate investment

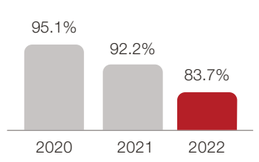


Healthy capital and liquidity position

CET1 ratio



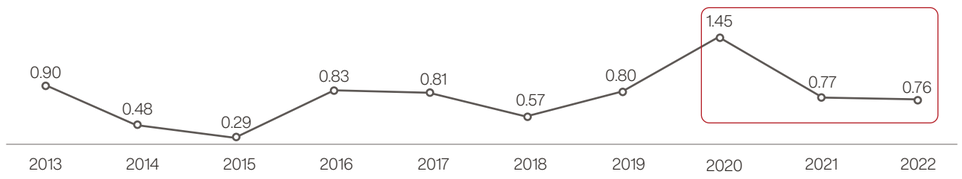
Loan to deposit ratio



Liquidity coverage ratio

138.9%

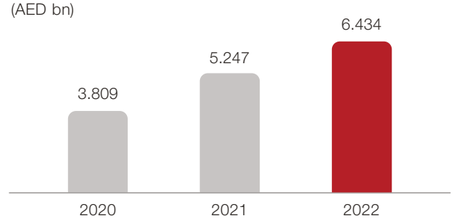
Improved cost of risk (%)



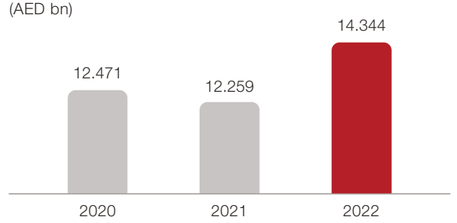
(1) Post deduction of proposed dividend
(2) For ROATE calculations, net profit attributable to equity shareholders is considered, i.e., net profit after deducting interest expense on Tier 1 capital notes
(3) Dividend payout subject to approvals by regulators and shareholders

Strong financial performance

Net profit
(AED bn)

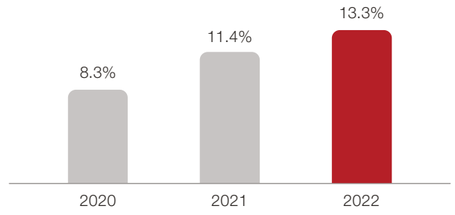


Operating income
(AED bn)



Consistent returns

Return on average tangible equity(2)



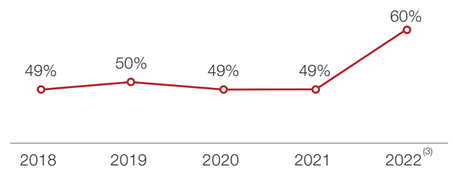
Total shareholder return (TSR)

10%	60%	322%
1-year TSR	5-year TSR	10-year TSR

Basic earnings per share

AED 0.51	AED 0.73	AED 0.90
2020	2021	2022

Dividend payout ratio



ADCB 3-year share price performance



Awards and recognition

ADCB

The Asian Banker Middle East & Africa 2022 - Excellence in Retail Financial Services Awards

Best Mobile Banking Service in the UAE

ABF Wholesale Banking Awards 2022

UAE Domestic Trade Finance Bank of the Year

The Digital Banker Middle East and Africa Retail Banking Innovation Awards 2022

Best eKYC for Self-Service KYC Update Initiative via Internet Banking, Mobile Banking and KYC portal

Highly Acclaimed in the Best Digital Transformation Program category (for IPO Portal)

Global Finance 2022

Best Trade Finance Provider in the UAE

MEA Finance

Best Online Banking Service

GTR Leaders in Trade 2022

Best Trade Bank in MENA

Cambridge International Financial Advisory, UK

Best Islamic Retail Banking Window in the UAE 2022

Forbes

ADCB ranked top GCC bank in Forbes 2022 survey ‘World’s Best Employers’

The Martech Power List 2022

Loyalty Leaders (TouchPoints programme)

PFI Awards

Global Deal of the Year

Middle East WealthTech Awards 2022

Leading Wealth Tech Adopter of Middle East 2022

Euromoney Cash Management Survey 2022

Best Service: Overall, Business Functions, Financial Facilities, Personnel, Services, and Tech Provisions in the Middle East

MENA Banking Excellence Awards 2022

Excellence in Employee Engagement

ARC Awards 2022

Gold Award, Best ‘International Annual Report’

Zurich Sustainability Award 2022

Adoption of Digital Platform

ADCB Egypt

The Digital Banker

Best Graduate Employment Program 2022

Excellence in Digital Innovation 2022

Best Financial Inclusion Initiatives 2022

World Union of Arab Bankers

The Fastest Bank in Terms of Growth and Development

International Business Magazine

Best Digital Banking Services Provider Egypt 2022

Best Mobile Banking Egypt 2022

Best Online Banking Egypt 2022

Best Financial Inclusion Initiative Egypt 2022

Global Finance 2022

Best User Experience 2022

World Business Outlook

Best New Bank Egypt 2022

Fastest Growing Retail Bank Egypt 2022

Fastest Growing Corporate Bank Egypt 2022

Fastest Growing Bank Egypt 2022

International Finance

Best Finance Inclusion Package Towards People with Disabilities, Egypt 2022

Most Innovative New Digital Bank, Egypt 2022

STRATEGIC REVIEW

Chairman's message

> “ ADCB benefits from a strong balance sheet, investment-grade credit ratings and a diverse institutional ownership base. ”



Khaldoon Khalifa Al Mubarak
Chairman

Growth aligned to a progressive economy

As one of the UAE's largest financial institutions, ADCB performs a vital role in supporting the United Arab Emirates' economic growth and momentum.

Through broad-based growth, consistent operating performance, and record net profit in 2022, ADCB demonstrated resilience and an ongoing ability to navigate complex macroeconomic challenges.

Our sustained growth is guided by an experienced, diverse and independent Board, driven by a performance-focused culture and a clear strategy, which is executed by a well-established management team. Robust corporate governance and risk frameworks that align with the highest international standards now underpin every aspect of the organisation.

ADCB benefits from a strong balance sheet, investment-grade credit ratings and a diverse institutional ownership base. This enables the Bank to capitalise on emerging opportunities in an economy that is increasingly diversified and growing as a major destination for business, lifestyle, and investment. Through this progressive role, ADCB creates sustainable value for all key stakeholders.

In 2022, ADCB continued its trajectory of robust growth, producing a record net profit as the UAE economy remained resilient despite a challenging global backdrop, marked by rising geopolitical risks, inflationary pressures and higher interest rates. The strong performance was marked by expansion in the Retail and Wholesale Banking businesses, with the Bank achieving broad-based loan growth. ADCB also continued to invest significantly in digital transformation to improve operations and customer experience.

Importantly, ADCB has taken significant steps to more effectively measure our impact on and contribution to the UAE's economic, environmental, and social fabric. ESG policies are now embedded into the Bank's corporate strategy, with full Board oversight and executive accountability. In 2022, we issued our inaugural green bond that will help finance projects that further the UAE's low-carbon agenda.

The UAE and the global banking community have a tremendous opportunity in deploying capital to accelerate net zero goals and drive sustainable economic growth. ADCB is committed to fulfilling its potential in addressing climate challenges and enabling the UAE Net Zero by 2050 Strategic Initiative.

ADCB is already playing a central role in socio-economic development, participating in large infrastructure and renewable energy projects, promoting capital markets development, and supporting the expanding SME sector. At the same time, the Bank's unwavering commitment to developing the skills and careers of UAE nationals is producing a new generation of leaders in the financial services industry.

ADCB continues to produce strong returns for investors, with 2022 net profit of AED 6.434 billion translating into return on average tangible equity of 13.3%. For the 2022 financial year, the Board has proposed a dividend of AED 0.55 per share, translating to a total payout of AED 3.827 billion and 60% of net profit. This dividend is subject to approval at the Bank's Annual General Meeting in March.

In 2022, we welcomed three new members who were elected to the Board: Sheikh Sultan Bin Suroor Al Dhaheri, Amr Al Menhali, and Fatima Al Nuaimi. I look forward to working with ADCB's Board of Directors in the coming year, and I would also like to express my appreciation for the contributions made by Ahmed Saeed Al Calily, Mohamed Ali Aldhaheri and Abdulla Khalil Almutawa, who left the Board last year.

Finally, on behalf of the Board, Executive Management, and all employees at ADCB, I extend our most sincere appreciation and gratitude to His Highness Sheikh Mohamed Bin Zayed Al Nahyan, the UAE President and Ruler of Abu Dhabi, and His Highness Sheikh Mansour Bin Zayed Al Nahyan, Deputy Prime Minister, Minister of Presidential Court, and Chairman of the UAE Central Bank.

0.55

Recommended dividend per share (AED)

Economic overview

In 2022, the UAE economy delivered a strong, broad-based performance underpinned by robust hydrocarbon prices, and continued investment in strategic infrastructure and economic diversification programmes.



The UAE economy remained robust in 2022 in the face of significant global headwinds that have raised the prospect of recession in major economies.

The conflict in Ukraine increased international geopolitical tensions, compounded economic uncertainty and weakened global trade flows. Higher commodity prices added to inflationary pressures and prompted aggressive monetary tightening by central banks. In this context, global equity and debt markets experienced persistent volatility.

In contrast, the UAE economy delivered a strong, broad-based performance underpinned by robust hydrocarbon prices and continued investment in strategic infrastructure and economic diversification programmes. A progressive policy backdrop aimed at promoting the country as a business and lifestyle destination contributed to the post-pandemic recovery. Higher oil production and an ongoing rebound across a number of non-oil sectors lifted projected real headline GDP growth to over 6% -- double the pace of growth in 2021 and the strongest expansion in six years.

Non-oil activity was robust in 2022, helped by the success of Expo and a surge in travel and tourism that accelerated recovery of the hospitality sector following the global pandemic. The UAE was well-positioned to welcome travellers back to the country as the world began to remove Covid restrictions. The FIFA World Cup in Qatar at the end of the year also drove traffic into the wider region as many fans opted to make Abu Dhabi and Dubai their base for the duration of the tournament. Almost half of the 90 daily shuttles to Qatar originated from the UAE.

Liquidity in the banking system has remained strong, with deposit growth outpacing credit growth in 2022. This has been supported by the UAE's strengthening fiscal position driven by a recovery in both oil and non-oil revenue.
A variety of proactive policy reforms have served to strengthen the economic environment and enhance the attractiveness of living and working in the UAE.
The reforms are leading to the growth of new industries and a knowledge-based economy, while enhancing competitiveness and cementing the UAE's position as a key international business centre.

Broad-based reforms to labour laws, visa requirements, foreign ownership and investment criteria have all contributed to making the UAE an increasingly attractive destination for foreign direct investment and the creation of new businesses.

The residential real estate market also benefitted from government reforms and a stronger economy that have driven population growth. Dubai experienced robust growth in residential sale and rental values in 2022, with Abu Dhabi seeing more modest rises buoyed by rising confidence and population growth.

Growth in project awards gathered momentum in 2022, with a policy focus on completing key development initiatives. There are also indications that significant infrastructure projects are in the pipeline, such as the metro expansion. However, the pace of project awards reflects a more mature investment cycle.

A major avenue of investment in the coming years is in the area of renewable and clean energy as the UAE pursues its ambition to reach net zero by 2050. New projects will include solar and hydrogen as part of the energy transition. ADNOC, which is investing substantially in low-carbon technologies, remains a key driver of many infrastructure projects through its medium-term investment programme.

In 2023, a weakening global economy and the tighter monetary backdrop are likely to impact certain external-facing non-oil sectors, such as trade and tourism. We expect oil prices to moderate but continue to provide a solid foundation for investment in the UAE economy. Public sector and GRE spending, including in the renewable energy sector, are likely to help insulate the wider economy.

Over 6%

Projected real headline GDP growth in 2022

Group CEO's message

“ While this was a record year, the true nature of the Bank's growth trajectory lies in the many elements of progress – from digital innovation and enhancement of data protection to nurturing talent and applying best practice in ESG. ”



Ala'a Eraiqat
Group Chief Executive Officer

Going above and beyond to create value

Two years ago, ADCB adopted a strategy to propel a new phase of digital-enabled growth, based on a conviction that going above and beyond in customer experience will deliver success.

Through effective planning and implementation, our teams have seized the opportunity to make their mark and are delivering strong results, despite global economic uncertainty. In 2022, the Bank delivered a full-year net profit of AED 6.434 billion, an increase of 23%.

While this was a record year, the true nature of the Bank's growth trajectory lies in the many elements of progress – from digital innovation and enhancement of data protection to nurturing talent and applying best practice in ESG.

In an increasingly complex world, it is vital that we continue to build a strong financial institution that serves the interests of our customers, employees, communities and investors. The key to long-term resilience is our well balanced growth driven by customer service excellence and a robust risk management framework.

In 2022, the Bank achieved loan growth of 6%, with AED 65 billion of new credit extended to diverse economic sectors. We delivered double-digit growth in net interest income and fee income, while our strong franchise continued to attract significant customer deposits, exceeding the AED 300 billion milestone. Our major subsidiaries made good progress, with Al Hilal Bank attracting over 350,000 registered users to its new super app, and ADCB Egypt reporting a significant rise in net profit.

ADCB is building for the future by investing in talent. I am proud that our people have shown immense resolve to overcome the challenges of the global pandemic and remain fully focused on high performance and service excellence. We are particularly pleased that the Bank is achieving tangible business benefits by prioritising Emiratisation in reflection of our customer and community demographics.

Our strong financial and operational performance is mirrored in key investment metrics. The Bank delivered a total shareholder return (TSR) of 10% over 12 months and 60% over the last five years. Meanwhile, dedication to investor engagement and transparency has supported an increase in foreign institutional ownership to 17.4% at the end of 2022 from 15.2% a year earlier.

A landscape of opportunity

Leveraging the ADCB brand, our teams are deploying expertise, creativity and networks to shape a business aligned to an increasingly dynamic economy. We remain inspired by the vision set by the UAE's leadership and the proactive policy initiatives to create a business-friendly environment that is inclusive and sustainable.

The Bank is supporting the SME sector, with data analytics informing prudent credit decisions to allow us to serve a wider range of companies. ADCB is expanding relationships with large corporates, combining advisory and financing to drive growth in line with the country's economic diversification strategy.

We are approaching customer relationships and all other aspects of the business through the lens of sustainability. The Bank has fully embedded ESG into its strategy and has taken significant steps to promote a forward-looking agenda. This included issuance of an inaugural USD 500 million green bond to drive investment into renewables and low-carbon initiatives, following adoption of a framework adhering to international best practice.

The UAE, which is hosting the COP28 global climate summit in 2023, foresees an investment of AED 600 billion in clean and renewable energy over the coming decades to deliver its Net Zero by 2050 Strategic Initiative. ADCB will play a key role in mobilising capital and supporting our clients' transition to a low-carbon economy.

60%

5-Year total shareholder return

The culture and talent to innovate

Digital innovation is a crucial enabler in the Bank's strategy to consistently provide a market-leading customer experience. ADCB is investing significantly in automating processes and to facilitate digital access to products and services, with substantial gains in convenience, speed and efficiency.

More than one million customers are already registered to mobile banking, and in 2022 our onboarding app opened a record 260,000+ accounts digitally. Meanwhile, the ADCB brand continues to strengthen through customer recommendations, with our Net Promoter Score (NPS) improving to 69.

This high level of engagement provides a strong foundation for the Bank to introduce new technology that responds to evolving customer preferences and the changing regulatory landscape.



A high-performance, purpose-driven culture is central to digital transformation. The Bank promotes a diverse and collaborative workplace to allow ideas to flourish, and we provide industry-leading training and development to ensure our people remain well-equipped to drive innovation.

An Organisational Health Index (OHI) survey in 2022 placed the Bank in the top quartile of companies globally and top decile in the Middle East for its strong culture. ADCB also received global recognition as the highest-ranked GCC bank, and one of the region's top five companies, in the Forbes 'World's Best Employers 2022' survey.

A reputation as an employer of choice is central to our ability to attract top talent. The Bank recruited over 250 UAE nationals in 2022, taking the total to 1,910 -- 38% of the Group's employee base. By providing a platform for UAE nationals to pursue rewarding careers, we are also assuring the long-term success of ADCB and helping to build a highly competitive financial services industry.

This was a year when the Bank went above and beyond to deliver strong results on many fronts, and we are excited about the opportunities that lie ahead. Meticulous planning and effective execution will allow us to create further sustainable value for all of our stakeholders in the coming years.

I would like to express my respect and gratitude to H.E. Khaldoon Al Mubarak, Chairman, and members of the ADCB Board for their continued guidance and support.

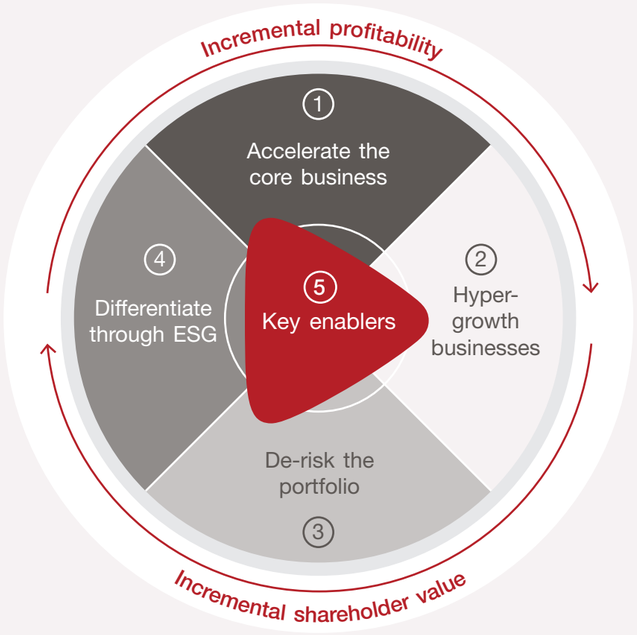
My special thanks go to ADCB's customers, who will always be at the centre of our business and motivate us to continuously progress.

I am deeply appreciative of the loyalty and contribution of all the people at ADCB Group and my colleagues in the Executive Management team. Their hard work in building a leading bank ensures that we play a progressive role in our communities and economy.

Ala'a Eraiqat
Group Chief Executive Officer

Group strategy

To successfully navigate the evolving economic environment and the latest banking sector dynamics, the Bank is focusing on five major objectives:



1. **Continue accelerating the core business** by focusing on growth in market share, increasing 'share of wallet', and providing best-in-class customer experience, while delivering significant efficiency gains

2. **Building businesses with hyper-growth potential** in areas such as payments, digital banking, wealth and asset management

3. **De-risking the portfolio** to reduce potential volatility in profitability stemming from areas such as underperforming assets

4. **Differentiate through ESG** by maintaining an ESG lens in all value-creation activities

5. **Focusing on key business enablers** such as our digital capabilities, key talent, best-in-class governance, and risk management practices

Retail Banking Group

The Retail Banking Group is focusing on growth in market share, particularly through personal loans, mortgages, and credit cards by delivering a client-centric proposition at scale.

Private Banking & Wealth Management Group

Private Banking is focused on growing its market share through its bespoke relationship management model, enabled by expanding digital and product capabilities, while delivering a leading customer experience.

Wholesale Banking Group

The Wholesale Banking Group is delivering a wide range of fee-generating services, reaching new clients in a broader range of segments across the region.

Treasury & Investments Group

Treasury is further broadening the investment portfolio, encompassing a healthy accrual income and periodic capital gains. It is also increasing secondary market trading along with DCM origination, and enlarging its product offering to improve cost of funds.

Subsidiaries

ADCB Egypt continues to accelerate growth, focused on the affluent and corporate segments.

Al Hilal Bank is enhancing its digital Islamic banking platform by introducing an increasing range of engaging, family-centric, and intuitive retail banking products and services.

Digital as an enabler

A comprehensive digital approach underpins our strategy and supports our ambition to provide an engaging, market-leading banking experience. We are driving revenue growth through cross-selling and increased customer acquisition, while offering customers a complete and seamless digital journey – from product sales and automated self-service to a broad ecosystem of digital partnerships and innovative products. For more, please refer to the 'Digital transformation' section of the report.

Our digital strategy focuses on investment and initiatives based on the following four areas:

- **Technology:** Building a modern cost-effective technology landscape
- **Digital & analytics:** End-to-end digitisation to deliver a best-in-class customer experience
- **Organisational capabilities:** Building cutting-edge expertise to strengthen technical capabilities
- **Compliance & cybersecurity:** Embedding a strong risk management culture and implementing robust cybersecurity

ADCB Group has a clear and detailed road map for each business segment and its subsidiaries which is closely monitored by a dedicated steering committee to ensure smooth and successful strategy execution.

Group CFO's message

“ ADCB delivered record financial results in 2022, driven by solid loan growth, higher fee income and a stable cost of risk – in the context of a UAE economy that remained resilient in the face of a challenging global environment. ”



Deepak Khullar
Group Chief Financial Officer

Delivering broad-based growth

The Bank continues to make significant progress against its strategic objectives, achieving growth in its core businesses and maintaining balance sheet strength, while advancing digital transformation and its ESG agenda.

ADCB's full-year net profit of AED 6.434 billion, an increase of 23%, served to further enhance financial resilience and deliver shareholder value, with return on average tangible equity rising to 13.3% in 2022, from 11.4% in the previous year.

Top-line growth was well diversified, with net interest income increasing 15% to AED 10.194 billion, while non-interest income was up 22% to AED 4.151 billion. Operating profit before impairment charges increased by 18% to AED 9.456 billion.

The Bank recorded loan growth of 6%, which was broad-based across Retail and Wholesale Banking and weighted towards the second half of the year. We extended AED 65 billion of new credit in 2022 and have a strong lending pipeline in place.

Non-interest income represented 29% of total income in 2022, with net fees and commission income increasing 11% to AED 2.110 billion, as gross card-related fees grew 25% and gross loan processing fees rose 7%. We also saw a 35% uplift in net trading income to AED 913 million, driven by higher FX, derivatives, and trading gains.

Other operating income was up 37% in the year, supported by gains from the sale of a AED 5.5 billion fully provided and written-off non-performing loan portfolio in the fourth quarter. This was one of the largest deals of its kind in the UAE.

Top-line growth, together with continued cost discipline, supported a 60 basis points improvement in the cost-to-income ratio to 34.1% in 2022. The Bank has maintained a prudent approach to managing costs, while continuing to invest in key areas to support future growth.

Cost of risk remained steady at 76 basis points, versus 77 in the previous year, and in line with our medium-term guidance of 80 basis points. The Bank continues to take a conservative approach to provisioning in light of the rising rate environment and global economic conditions.

Balance sheet strength and capital preservation

ADCB continues to benefit from a resilient balance sheet, supported by the significant loan and deposit growth in 2022. Customer deposits increased significantly during the year, rising 17% to AED 309 billion. Current and savings account (CASA) deposits remained stable at AED 153 billion, representing a healthy 50% of the total, despite the progressive rise in benchmark rates in 2022. The liquidity position strengthened consequently, with the liquidity coverage ratio standing at 138.9% at year end, while the liquidity ratio was 33.0%.

In recognition of the strong financial performance, ADCB's Board of Directors recommended a dividend of AED 0.55 per share[1], which equates to a payout ratio of 60% of net profit -- significantly above the historical level of 50% paid over the previous five years. To drive future growth and invest in our core businesses, the proposed dividend consists of a cash distribution of AED 0.18 and a scrip dividend of AED 0.37 per share, for a total amount of AED 3.827 billion.

Shares will be issued at a price of AED 7.10 per share, representing a 22% discount on the six-month average share price of the Bank for the period from 1 July 2022 to 31 December 2022. This is subject to approvals by the Central Bank of the UAE, Securities and Commodities Authority (SCA) and by shareholders at the Annual General Meeting.

+23%

YoY increase in 2022 net profit

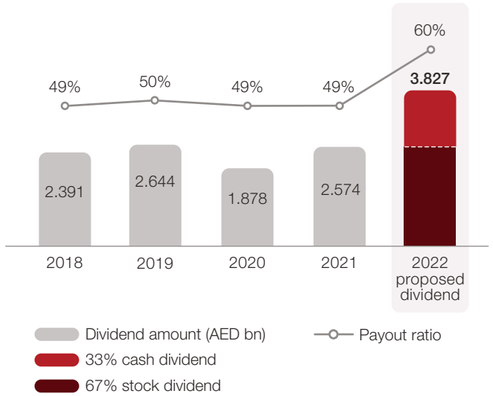
(1) Subject to approvals by regulators and shareholders

The Bank's decision to distribute the 2022 dividend in the form of cash and shares was driven by a desire to preserve capital, while continuing to reward investors for their sustained support.

Our capital planning process is guided by the long-standing importance that the Board and Executive Management place on the maintenance of strong capital ratios, particularly given ADCB's status as a domestic systemically important bank. We apply best practice in our process, incorporating a forward-looking approach and taking into consideration a broad range of factors, including the Bank's growth trajectory, lending pipeline, dividend payments, potential changes in the regulatory landscape and the evolving risk environment.

Dividend history and shareholders' returns

(AED bn)



Strong progress on ESG

One of the Bank's key achievements was the integration of a refreshed ESG approach into its strategy in early 2022. Subsequently, we adopted an Environmental and Social Risk Management (ESRM) framework, reflecting ADCB's commitment to responsible lending and robust due diligence as part of our credit approval and risk management process.

With the UAE investing significantly in renewables in line with its Net Zero by 2050 Strategic Initiative, we believe that ADCB has an important role to play in supporting customers in their decarbonisation journey. ADCB has committed to providing AED 35 billion in green financing by 2030.

In September, we took a major step by issuing our first green bond, accessing strong investor demand to raise USD 500 million to support the financing of low-carbon businesses and projects. The bond was subsequently selected to feature in the Bloomberg MSCI Green Bond Index.

ADCB is pressing ahead in offering sustainability-related products and services to clients, with the Treasury & Investments Group concluding its first green repo transaction in 2022 and the Wholesale Banking Group supporting a client on purchase of carbon credits.

Engaging with investors and broad stakeholder groups is central to our approach to ESG. The Bank issued its inaugural sustainability report in 2022 and has launched a new website (adcb.com/esg) to provide regular updates on our progress and initiatives.

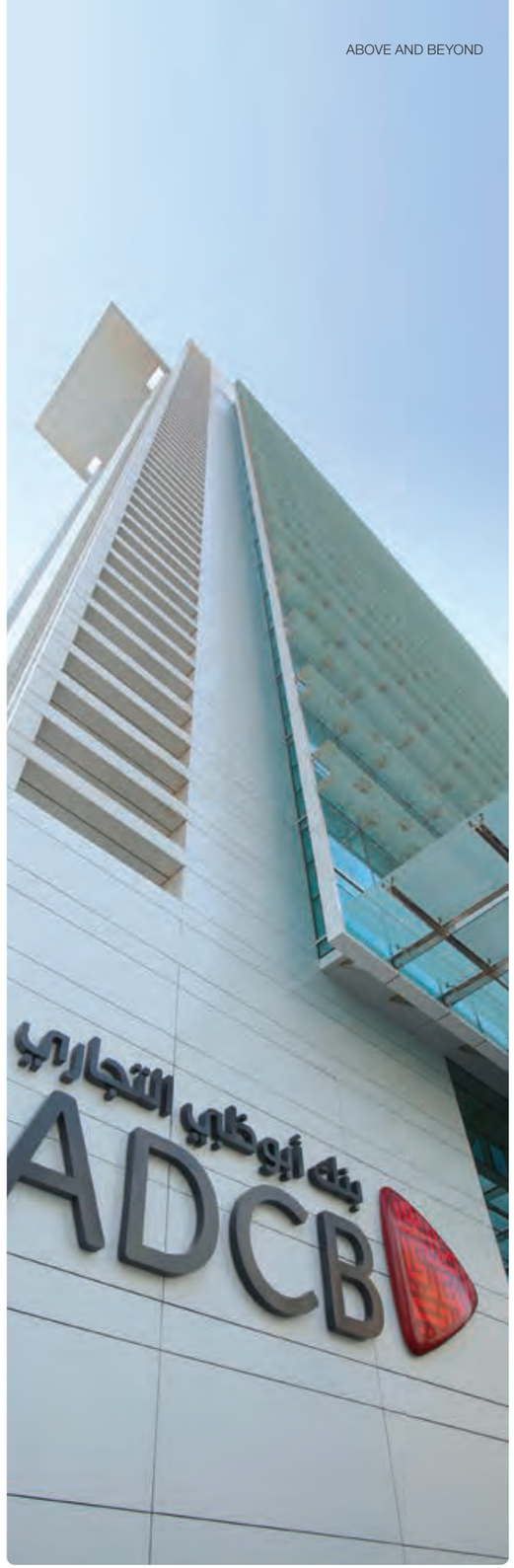
In recognition of the significant progress made on sustainability over the past 18 months, ADCB ended 2022 with the highest ESG rankings among regional banks from Sustainalytics and MSCI[1].

Having participated in the COP27 climate conference in Egypt as part of the UAE delegation, we look forward to playing a prominent role as the UAE hosts COP28 in 2023.

A positive outlook

With a strong business model and a robust balance sheet, ADCB is fully aligned with the UAE's strategic priorities to ensure diversified economic growth and sustainable business practices. We continue to invest in our core businesses in line with the Bank's clear strategy for digital-enabled growth, building the financial and operational resilience required to succeed in a competitive banking landscape.

Deepak Khullar
Group Chief Financial Officer



(1) ADCB is the highest-ranked diversified bank in the GCC by Sustainalytics as at 19.01.23. Source: Sustainalytics Ratings Portal
ADCB is the highest-ranked diversified bank in MENA by MSCI as at 19.01.23. Source: MSCI Ratings Portal

Financial review

FY'22 key highlights

6.434 bn
Net profit (AED)

13.3%
Return on average tangible equity (ROATE)

12.96%
Common equity tier 1 (CET1) ratio[1]

138.9%
Liquidity coverage ratio

Record earnings driven by credit growth, higher net interest margin, and diversified income streams

Key highlights – FY'22 vs. FY'21

- Net profit of AED 6.434 bn increased 23%
- Net interest income of AED 10.194 bn increased 15%
- Non-interest income of AED 4.151 bn increased 22%
- Operating income of AED 14.344 bn increased 17%
- Cost to income ratio of 34.1% improved by 60 bps
- Operating profit before impairment charge of AED 9.456 bn increased 18%

Key highlights – Q4'22 vs. Q4'21

- Net profit of AED 1.784 bn increased 23%
- Net interest income of AED 2.918 bn increased 30%
- Non-interest income of AED 1.486 bn increased 45%
- Operating income of AED 4.403 bn increased 34%
- Cost to income ratio of 29.6% improved 480 bps
- Operating profit before impairment charge of AED 3.101 bn increased 44%

Strong balance sheet supported by robust growth in loans and customer deposits

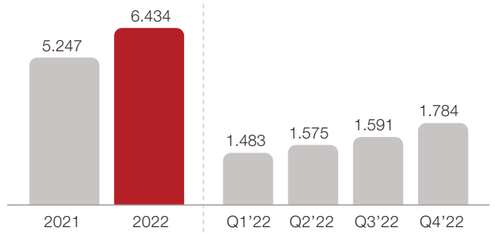
(All numbers are as at 31 December 2022, unless otherwise stated)

- Total assets of AED 498 bn increased 13% from Dec'21
- Net loans were AED 258 bn, up 6% (AED 14 bn) from Dec'21. New credit extended totalled AED 65 bn over the course of the year
- Total customer deposits of AED 309 bn increased 17% (AED 44 bn) from Dec'21. CASA (Current and savings account) deposits were AED 153 bn at December-end, and comprised 50% of total customer deposits
- Capital adequacy and CET1 ratios were 15.77% and 12.96%, respectively
- Liquidity coverage ratio (LCR) of 138.9%
- Cost of risk was 76 bps for FY'22. NPL ratio improved to 5.25% (6.07% including POCI)[2] from 5.46% (including POCI 6.48%) as at September-end
- Provision coverage ratio improved to 93% (144% including collateral held) from 87% (140% including collateral held) as at September-end

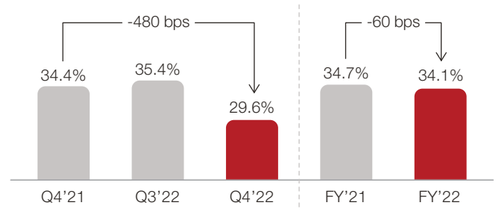
Continued focus on strong total shareholder returns with recommended dividend[3] payout of 60%

- The Board has recommended a dividend of AED 0.55 per share (2021: AED 0.37 per share), equivalent to 60% of net profit (2021: 49%), translating to a payout of AED 3.827 bn (2021: AED 2.574 bn)
- The proposed dividend will consist of cash and a stock dividend in the ratio of 33% (cash dividend of AED 0.18 per share) and 67% (stock dividend in lieu of cash of AED 0.37 per share), respectively. The issuance of stock dividend will strengthen the capital position of the Bank to support reinvestment into further growth of core businesses
- The shares will be issued at a price of AED 7.10 per share arrived by applying a c.22% discount on the six-month average share price of the Bank for the period from 1 July 2022 to 31 December 2022. This is subject to approvals by the Central Bank of the UAE, Securities and Commodities Authority (SCA) and by shareholders at the Annual General Meeting

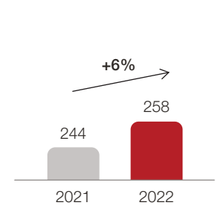
Net profit
(AED bn)



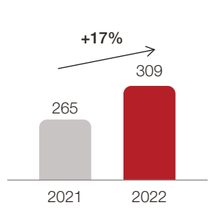
Cost to income ratio



Net loans
(AED bn)



Customer deposits
(AED bn)



(1) Post deduction of proposed dividend

(2) POCI: Purchase or originated credit-impaired financial assets

(3) Subject to approval by regulators and shareholders at the Annual General Meeting

Q4/FY 2022 Financial highlights

Income statement highlights (AED mn)	FY'22	FY'21	ΔYoY%	Q4'22	Q3'22	Q4'21	ΔQoQ%	ΔYoY%
Total net interest and Islamic financing income	**10,194**	8,864	15	**2,918**	2,558	2,250	14	30
Non-interest income	**4,151**	3,396	22	**1,486**	952	1,027	56	45
Operating income	**14,344**	12,259	17	**4,403**	3,510	3,277	25	34
Operating expenses	**(4,888)**	(4,257)	15	**(1,302)**	(1,241)	(1,128)	5	15
Operating profit before impairment allowances	**9,456**	8,002	18	**3,101**	2,269	2,149	37	44
Impairment allowances	**(2,779)**	(2,646)	5	**(1,193)**	(636)	(669)	88	78
Net profit for the period[1]	**6,434**	5,247	23	**1,784**	1,591	1,448	12	23

Balance sheet highlights (AED mn)	Dec'22	Dec'21	ΔYoY%	Dec'22	Sep'22	Dec'21	ΔQoQ%	ΔYoY%
Total assets	**497,842**	440,278	13	**497,842**	486,365	440,278	2	13
Net loans and advances	**258,493**	244,282	6	**258,493**	251,202	244,282	3	6
Deposits from customers	**308,931**	265,052	17	**308,931**	302,262	265,052	2	17

Key metrics (%)	FY'22	FY'21	ΔYoY bps	Q4'22	Q3'22	Q4'21	ΔQoQ bps	ΔYoY bps
CAR (Capital adequacy ratio – Basel III)	**15.77**	15.97	(20)	**15.77**	15.44	15.97	33	(20)
CET1 (Common equity tier 1) ratio	**12.96**	12.94	2	**12.96**	12.60	12.94	36	2
Liquidity coverage ratio (LCR)	**138.9**	124.1	1,480	**138.9**	124.5	124.1	1,440	1,480
Loan to deposit ratio	**83.7**	92.2	(850)	**83.7**	83.1	92.2	60	(850)
CASA/total customer deposits	**50**	58	(800)	**50**	53	58	(300)	(800)
Non-performing loan (NPL) ratio	**5.25**	5.41	(16)	**5.25**	5.46	5.41	(21)	(16)
Provision coverage ratio[2]	**93.0**	93.4	(40)	**93.0**	87.0	93.4	600	(40)
NPL ratio including POCI[3]	**6.07**	6.87	(80)	**6.07**	6.48	6.87	(41)	(80)
Cost of risk[4]	**0.76**	0.77	(1)	**1.21**	0.73	0.70	48	51
Cost to income ratio	**34.1**	34.7	(60)	**29.6**	35.4	34.4	(580)	(480)
Net interest margin (NIM)	**2.51**	2.43	8	**2.72**	2.46	2.37	26	35
Risk adjusted NIM	**1.81**	1.69	12	**1.61**	1.79	1.70	(18)	(9)
Return on average tangible equity (ROATE)	**13.3**	11.4	190	**15.1**	13.1	12.6	200	250

Note: Figures may not add up due to rounding differences
(1) After share in profit/loss of associates, overseas income tax charge, and profit/loss from discontinued operations
(2) Provisions on loans and advances, including fair value adjustments
(3) POCI: Purchase or originated credit-impaired financial assets
(4) COR: Net impairment charge on loans and investments divided by net average loans & advancements and investments

Key highlights

Strong growth across diversified income streams as the UAE economy displays resilience against a challenging global backdrop

> Net interest income of AED 10.194 billion for FY'22 increased 15% driven by loan growth and a higher benchmark rate environment. Net interest margin (NIM) was 8 bps higher at 2.51% for FY'22. Q4'22 net interest income increased 30% year-on-year to AED 2.918 billion, while quarterly NIM stood at 2.72%, up 35 bps year-on-year and 26 bps quarter-on-quarter, supported by a reduction in interest in suspense. Full-year risk adjusted NIM increased to 1.81% from 1.69% the previous year.

> The Bank continues to benefit from significant growth in diversified income streams, with non-interest income increasing 22% to AED 4.151 billion in FY'22, while Q4'22 non-interest income was up 45% year-on-year and 56% quarter-on-quarter to AED 1.486 billion. Non-interest income accounted for 29% of total operating income in FY'22, up from 28% in the previous year.

> Net fees and commission income increased 11% to AED 2.110 billion in FY'22, and was 19% higher year-on-year at AED 620 million in Q4'22. Card-related fees (gross) were up 25% in FY'22 and loan processing fees (gross) increased 7% over the prior year.
Net trading income increased 35% to AED 913 million in FY'22 on account of higher FX, derivatives and trading gains. Other operating income increased by AED 424 million sequentially in Q4'22, primarily on account of gains related to the sale of NPLs.

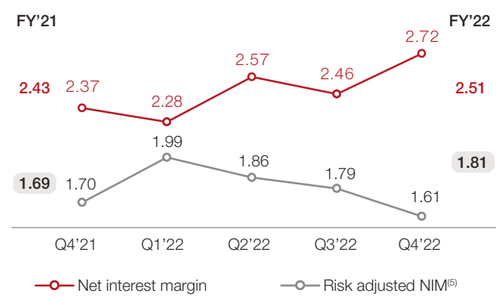
> Cost to income ratio was 29.6% in Q4'22, an improvement of 480 bps from a year earlier, partially supported by one-off gains recorded in the quarter. The Bank maintained prudent cost management, while continuing to invest in people, technology and regulatory compliance to drive growth. Operating expenses stood at AED 1.302 billion in Q4'22, representing an increase of 15% over Q4'21, and up 5% sequentially mainly on account of higher marketing costs to drive revenues and commission to agents on increased sales volumes. FY'22 cost to income ratio was 34.1%, an improvement of 60 bps over previous year, with operating expenses up 15% at AED 4.888 billion.

> Impairment charges were AED 2.779 billion in FY'22, 5% higher than the previous year. In Q4'22, impairment charges were AED 1.193 billion, up from AED 636 million in Q3'22, due to a number of corporate accounts and reflecting the Bank's prudent approach to provisioning in the context of global economic uncertainty and rising interest rates.

> The Bank reported record quarterly and full-year earnings, with net profit up 23% year-on-year to AED 6.434 billion in FY'22 and AED 1.784 billion in Q4'22. Return on average tangible equity was 13.3% for FY'22 and 15.1% for Q4'22.

NIM and risk adjusted NIM

(%)



(5) Risk adjusted NIM: Net interest income less impairment charge on loans and advances to customers, banks, and investments securities divided by average interest earning assets

Loan growth of 6% driven by Retail and Wholesale Banking, while ADCB franchise continues to attract strong inflow of customer deposits

> The Group's balance sheet remains robust, with total assets increasing 13% year-on-year to AED 498 billion at December-end.

> Net loans and advances to customers increased 6% to AED 258 billion, with increased lending to diverse economic sectors including energy, financial institutions, personal, trading and manufacturing.

> Investment securities increased 16% to AED 112 billion as at 31 December 2022, mainly on account of an increase in government bonds. In the interbank markets, ADCB was a net lender of AED 21.2 billion at the end of 2022.

> Total customer deposits were up 17% to AED 309 billion, with time deposits increasing 39% to AED 156 billion. CASA deposits were AED 153 billion, representing 50% of total customer deposits.

> Total shareholders' equity stood at AED 61 billion as at 31 December 2022, compared to AED 59 billion a year earlier.

> The Bank remains well-capitalised with capital adequacy (Basel III) and CET1 ratios of 15.77% and 12.96%, respectively as at 31 December 2022, versus 15.97% and 12.94% at the end of 2021.

> ADCB maintains a strong liquidity position, with a liquidity ratio of 138.9%, a liquidity ratio of 33% and a loan to deposit ratio of 83.7% as at 31 December 2022.

Full-year cost of risk remained steady and in line with medium-term guidance

> Cost of risk for FY'22 remained steady at 76 bps, versus 77 bps in FY'21, in line with medium-term guidance of 80 bps.

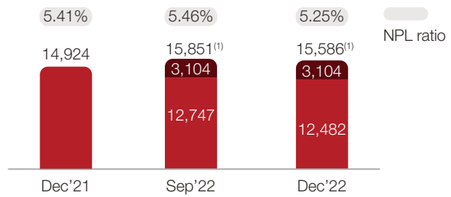
> The NPL ratio decreased to 5.25% from 5.46% at September-end, and including POCI (purchase or originated credit-impaired) assets; the NPL ratio declined to 6.07% from 6.48% the previous quarter.

> In 2022, ADCB concluded the sale of a AED 5.5 billion portfolio of non-performing loans in two tranches in one of the largest transactions of this nature in the UAE to date.

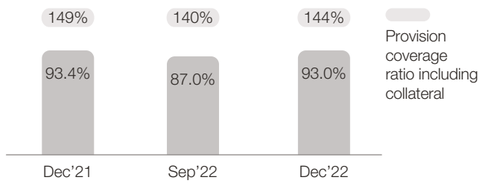
> The provision coverage ratio was 93% compared to 87% in Q3'22, while including collateral held, it was 144% compared to 140% at September-end.

Non-performing loans and NPL ratio

(AED mn)



Provision coverage ratio(2)



Note: Figures may not add up due to rounding differences
(1) Includes NMC Holdco loan of AED 3.1 bn, which has been classified as loans and advances at FVTPL For further information please refer to Note 11 of the full year Financial Statements
(2) Provisions on loans and advances, including fair value adjustments

Digital driving strong customer acquisition and engagement: 260,000+ accounts opened through onboarding app in FY'22

> ADCB experienced a high volume of new account openings via its onboarding app, with over 73,000 accounts opened digitally in Q4'22 bringing the total to more than 260,000 for FY'22, representing 78% of all new-to-bank retail customers.

> Subscriptions to the ADCB Mobile Banking app increased 31% year-on-year to more than 1,125,000 customers at December-end.

> Self-service transactions continued to increase, with retail digital transactions rising 33% to more than 137 million in FY'22, while digital fund transfers through mobile banking were up 64%. Wholesale Banking transactions on the ProCash and ProTrade platforms accounted for 96% of all cash management transactions and 64% of trade finance transactions, respectively.

> The Bank introduced 46 digital enhancements for customers during the year. Improvements introduced for retail customers during the year included facilitating registration on the Bank's IPO subscription platform as well as enhancements to notifications and campaigns on the Mobile Banking app. The Bank also introduced a digital signature function for customers in the 'Excellency' segment to improve convenience.

> In 2022, the Bank introduced wide-ranging improvements to the digital user experience for corporate banking customers. The ProCash platform enhanced transaction tracking, facilitated app usage for people of determination, and launched upgrades to strengthen consumer protection, mitigate security risks and improve the tax payment journey.

Key steps taken to adopt and implement ESG strategy reflected in highest regional rankings(3) from Sustainalytics and MSCI

> In 2022, ADCB adopted a formal ESG strategy and, in parallel, approved a Sustainability Governance Framework with full Board oversight. The Bank issued a Group Sustainability Policy and launched its Environmental and Social Risk Management (ESRM) Policy, setting out the ESG risk parameters.

> In recognition of the significant progress the Bank has made on ESG over the last 18 months, leading ESG ratings agency Sustainalytics upgraded ADCB's ESG risk score to 21.0 in September 2022 from 30.1 in March 2021. As a result, ADCB is now the highest-ranked diversified bank in the GCC, and is placed among the top 10 banks within the Sustainalytics ratings universe globally for its approach to managing risks related to data privacy and security.

> The Bank has adopted a Green Bond Finance Framework aligned with the UN Sustainable Development Goals (SDGs) and based on the International Capital Markets Association (ICMA) Green Bond Principles. This provided the foundation for ADCB's inaugural USD 500 million green bond issuance in Q3'22 to support the financing of low-carbon initiatives. The bond, which was 3.8 times oversubscribed after attracting a range of local, regional, and international investors, has been selected to feature in the Bloomberg MSCI Green Bond Index.

> A key area of focus is the development of new products and services to support clients in their transition to a low-carbon economy. This initiative deploys ADCB's expertise in sustainable financing solutions which include green bonds, renewable energy project finance, and sustainability-linked loans.

> In Q4'22, a bespoke ESG induction programme was rolled out for all new employees, while the Bank's revamped ESG website was launched in January 2023 – adcb.com/esg

(3) ADCB is the highest-ranked diversified bank in the GCC by Sustainalytics as at 19.01.23. Source: Sustainalytics Ratings Portal
ADCB is the highest-ranked diversified bank in MENA by MSCI as at 19.01.23. Source: MSCI Ratings Portal

BUSINESS REVIEW

Retail Banking Group

The Retail Banking Group (RBG) supports our retail and micro-business customers in managing their finances, through expert advice and provision of specialist products and services in conventional and Shari'ah-compliant banking. The business is committed to driving digital innovation to deliver excellence in customer service.

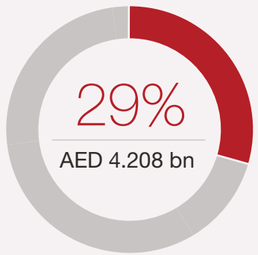
Key highlights

Digital transformation driving customer acquisition and engagement

Strong fee growth driven by cards business

Customer service excellence reflected in NPS improvement

Contribution to operating income



Sustained investment in digital transformation, enhanced customer engagement and a significant increase in new customers underpinned the performance of the Retail Banking Group in 2022. The Group achieved net profit growth of 7% to AED 924 million and delivered operational efficiencies through digitisation and rigorous management of costs, while maintaining disciplined risk management.

> Customer service excellence remains at the core of ADCB's strategy and is ingrained in the Bank's values. The Net Promoter Score (NPS) for the Retail Banking Group remained strong at 63 in 2022, reflecting the continued investment in digital and the customer-first philosophy of the business.

This focus continued to drive growth in the retail business, with customer numbers increasing by 16%[1] during the year and fee income rising 9%. Reflecting the strength of the ADCB franchise, retail CASA deposits represented 83% of total retail deposits, which were up 4% to AED 70 billion at the end of the year.

In the context of a resilient UAE economy, retail loans (net) increased 5% to AED 48 billion at year end. The Bank achieved a strong uplift in mortgages amid a buoyant UAE property market and policy reforms to promote the country as a premier business and lifestyle destination. Mortgage loans increased by 14% from the previous year to AED 13 billion, with a well-balanced customer base.

Our leading Islamic Banking franchise offers a wide range of Shari'ah-compliant products and services to Retail, Wholesale and Treasury clients. Islamic Banking customers grew 24%[1] in 2022, with 72% welcomed to the Bank through the 'Hayyak' onboarding app, reflecting our continued focus on digital channels and innovation.

(1) Figure refers to ADCB UAE only



Technology enhancing customer engagement

We continued to employ technology and digital innovation to make banking simpler and more secure for customers. In 2022, the Bank further streamlined processes, enhanced security, reduced turnaround times, and provided more flexible payment options.

Our digital platforms continued to attract additional users and new customers, with mobile banking customers increasing by 31% during the year to surpass the 1.125 million subscribers. By year end, 86% of customers were registered on digital channels and 96% of all retail transactions in 2022 were conducted digitally.

More than three-quarters of all new-to-bank customers were onboarded digitally, as customer acquisition through the 'Hayyak' app reached over 260,000 accounts. ADCB Mobile Banking and 'Hayyak' are among the highest rated UAE banking apps on the App Store and Google Play.

> Leading on security and fraud protection, the Bank has streamlined its rigorous identity checks for customer authentication, which supports efficient onboarding and promotes fraud protection.

We are piloting the use of ADCB FacePass, our new facial recognition feature, introducing state-of-the art security and convenience to our digital banking platforms. The ADCB FacePass technology, facilitated by the Ministry of Interior, verifies and instantly authenticates a customer's identity with a single scan – providing complete assurance for digital banking transactions.

ADCB FacePass requires only a single enrolment for its mobile and internet banking channels, with opt-in and opt-out functions available at any time. By adopting the service, customers will no longer receive one-time passwords (OTP) for certain digital banking transactions, further reducing the risk of fraud via phishing and other social engineering scams.

Meanwhile, FlexiPay, a digital service that enables customers to convert outstanding credit card balances into instalments, has demonstrated strong momentum with over 70% growth in volume.

The 'Instant Transfers' facility, which allows instant peer-to-peer fund transfers, has also expanded rapidly since its launch in October 2021 due to an accelerated transaction process. Digital remittances grew 52% in 2022, with mobile banking leading the way, and witnessing a 64% growth. The service has become more user-friendly through the introduction of enhanced features on the mobile app, including push notifications and real-time tracking of remittance progress.

Pace Pay, ADCB's game-changing initiative to help SMEs and micro-businesses adjust to a cashless economy, continued to go from strength to strength. The number of businesses supported by the service increased 103% during the year to approximately 1,190, accompanied by 89% growth in spending. The app has proven popular among merchants, who use their smartphones and tablets to scan credit and debit cards, replacing traditional and more costly point-of-sale (POS) terminals.

The IPO online portal, which was introduced in 2021, continued to provide customers with a straightforward process to subscribe to major public share offerings in the UAE, including DEWA, Borouge, Salik and Tecom. The portal accounted for approximately 90% of IPO applications processed by the Bank.

ADCB's digital services are complemented by uBank service centres to provide an integrated customer journey. The largely automated uBank centres allow customers to process various service requests seamlessly in addition to immediately obtaining a debit card and chequebook for accounts newly opened through the 'Hayyak' onboarding app.

48 bn

Net loans (AED)

70 bn

Customer deposits (AED)

Note: Digital figures refer to ADCB UAE only

Cards thrive on robust consumer sentiment

The cards business experienced strong growth in 2022 as consumer sentiment in the UAE continued to rebound from the impact of the global pandemic.

The number of new cards issued increased by 44% from the previous year. Total credit card spending grew by 14%, while debit card spending was up 39%. Spending across our digital wallets -- including Apple Pay, Samsung Pay, and Google Pay -- almost doubled to AED 7 billion in 2022.

ADCB's share of the UAE cards market continued to grow to 14% of total debit card spending and to 12% of total credit card spending. We also strengthened our strategic partnerships. For example, the Bank collaborated with Visa and the Accor hospitality group to launch a suite of co-branded credit cards that provide access to hospitality and lifestyle experiences in the UAE and worldwide.

TouchPoints, the Bank's popular loyalty programme, expanded in terms of usage and partnerships. We saw a 14% rise in the number of TouchPoints transactions, with 92% used within a year and 99% redeemed digitally. Over 600 merchant partners accept TouchPoints as a payment method digitally and more than 70 partners issue bonus TouchPoints on customer card spends. This has resulted in 317 million TouchPoints being merchandised, representing a 23% increase year-on-year.

TouchPoints has rapidly become a medium of exchange that can be used to pay for a wide range of goods and services on partner platforms, including PayTabs, the payment gateway favoured by many e-commerce sites in the UAE. The Retail Banking Group has also introduced peer-to-peer TouchPoints transfers, allowing ADCB and Al Hilal Bank customers to gift family and friends, with over 20,000 transfers conducted during 2022.

Merchant services empowering local companies

Empowering local businesses is a priority for the Bank, and through our highly acclaimed merchant services, the Retail Banking Group supports a strong portfolio of quality retailers across the country. As a result, the number of new clients attracted by our service offering increased by 62% in 2022, delivering a 38% increase in spending. We also saw a 82% spike in e-commerce spending on our online payment gateway across the year.

+62%

Increase in number of merchants

In memory of Arup Mukhopadhyay
1967–2022



Arup Mukhopadhyay
Group Head of Consumer Banking

It is with great fondness and admiration that we remember our colleague Arup Mukhopadhyay, who passed away in May 2022. He is deeply missed by the ADCB family and all those who knew him, but his legacy and memory will continue to live on in all our hearts.

Arup joined ADCB in 2005 to lead the Consumer Banking Group, where his considerable experience and limitless determination helped to drive a new era of growth and innovation. Arup also made valued contributions to ADCB's Management Executive Committee during his 17 years at the Bank, and served as a Director of Al Hilal Bank after joining the Board in 2019.

He was a visionary who built a truly customer-centric ethos and a high-performing culture. Under his leadership, ADCB was one of the first in the region to introduce a bank-wide loyalty programme, the UAE's first contactless card, a multi-channel strategy with a mobile-first approach, and an Islamic Banking value proposition leveraging existing distribution infrastructure.

He was instrumental in the rebranding of ADCB as a partner in fulfilling customer ambitions to build a better life. He firmly believed that technology could make banking simpler, faster and more accessible and worked tirelessly to make this a reality.

Arup had a passion for promoting service excellence and a principled approach to banking, recognising the importance of public trust to the Bank's reputation. In 2016, Arup was named the 'Retail Banker of the Year' in the Middle East by The Asian Banker.

As Head of the Consumer Banking Group, he was responsible for one of the largest teams in the Bank and was widely respected as a 'people's person'. He was inspiring, approachable, humble and had a skill for recognising and elevating talent. He had a gift for making everyone feel valued and respected, and always took the time to listen to colleagues and customers. He inspired the team to think big and take risks, creating an environment where innovation could thrive.

He will be remembered for his integrity, generosity, kindness, wisdom and the support he gave to so many. We pray for the almighty God to have mercy on his soul and grant him eternal rest.

Private Banking & Wealth Management Group

Private Banking provides high-net-worth clients with an end-to-end banking service to help manage their full banking and investment needs effectively. Our bankers provide specialised solutions, including complex and bespoke structuring, as well as addressing wealth preservation requirements through succession planning.

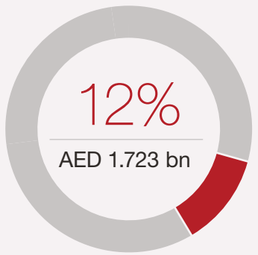
Key highlights

Significant growth in Private Banking deposits

Broadening global investment opportunities

Personal service from a highly experienced relationship management team

Contribution to operating income



During 2022, we reshaped the Private Banking business and launched a refreshed strategy to capitalise on growing market opportunities. We strengthened our team of relationship managers, attracted more high-net-worth individual (HNWI) clients and enhanced digital capabilities.

Moving from under the umbrella of the Consumer Banking Group, Private Banking has drawn on resources from across the Bank to become a distinct business segment within the wider ADCB Group. The business offers a seamless connection to investment opportunities through ADCB Asset Management and ADCB Securities. Private Banking has also added experienced resources to its highly specialised lending team to better address complex borrowing requirements.

The business has become one of the leading private banks in the UAE in terms of onshore assets under management, which expanded significantly during the year, while attracting substantial client deposit inflows. Importantly, Private Banking experienced strong growth in its client base – a testament to its diverse product offering and unparalleled personal service.

> An increasing number of HNWIs are choosing the UAE as their base, with more than 4,000[1] 'millionaire migrants' drawn to the country in 2022 – attracted by progressive and innovative economic and social policies, world-class infrastructure, and a business-friendly environment.

This influx is set to add to the opportunities available for ADCB's Private Banking business in a dynamic, fast-changing landscape.

(1) Source: https://www.visualcapitalist.com/migration-of-millionaires-worldwide-2022/





Our objective is to become the leading private bank in the UAE and a market leader in the wider region, which continues to experience significant wealth creation as economies grow and diversify further.

Our strategy for growth is underpinned by a comprehensive proposition, supported by dedicated and highly skilled relationship managers. The business offers a suite of sophisticated products and services that cover day-to-day banking requirements, as well as wealth planning, structured products, succession planning, and brokerage services.

23%

Increase in Private Banking client base

We continue to broaden our offering to our clients by introducing new funds managed by ADCB Asset Management and building our Private Banking platform. In the coming year, Private Banking will focus on the areas of thematic capital allocation and alternative investment, including private credit and real estate.

Our personalised service is complemented by significant investment in technology to provide innovative digital banking solutions. Our new 'Digital Wealth' platform allows clients to make quick, informed decisions about their portfolios based on real-time data.

Personal dedication to bespoke service

What sets us apart from our competitors is our dedication to service excellence, unrivalled knowledge and comprehensive, hands on, dedicated relationship management. The result of this success is reflected through the significant and positive client feedback received during the year.

To ensure we consistently deliver high quality service, we worked with Human Resources and select partners to develop an in-house Private Banking Academy. The Academy provides a comprehensive curriculum of training and development opportunities alongside access to international best practice to enhance the skills and capabilities of our people.

53 bn

Net loans (AED)

43 bn

Customer deposits (AED)

Wholesale Banking Group

The Wholesale Banking Group (WBG) provides a portfolio of corporate banking services, including investment and transaction banking, powered by efficient digital platforms. We serve a broad range of clients, including government entities, financial institutions, large to mid-sized corporates, and commercial customers (SMEs), while also maintaining strategic relationships with leading banks globally.

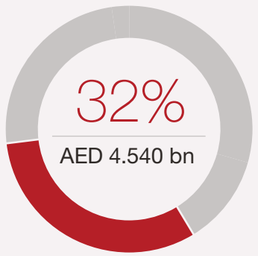
Key highlights

Loan growth accompanied by continued rebalancing of portfolio

Enhanced advisory capabilities to broaden the business offering

Growing partnerships with leading regional companies and GREs

Contribution to operating income



The Wholesale Banking Group delivered a strong performance in 2022, driving growth in lending and fees, while further developing its investment banking capabilities. WBG reported a net profit of AED 1.794 billion, an increase of 96% from a year earlier. We strengthened and de-risked our balance sheet through greater portfolio diversification and continued to maintain significant current and savings account (CASA) deposits.

The success of the business is built on the increasing depth of our client relationships. As a partner of choice, ADCB offers a comprehensive range of corporate banking solutions, from transaction banking to advisory on complex structured finance deals and capital raising.

> The Wholesale Banking Group recorded an increase of 9% in net loans during the year to AED 158 billion, with new credit extended to diverse economic sectors including financial institutions, trade, manufacturing and energy.

Through a gradual, strategic repositioning of our balance sheet, exposure to real estate reduced to 22% of the Bank's total loan portfolio at the end of 2022, from 29% at the end of 2020. Loans to the public sector and government-related enterprises (GREs) were 23% of the total, up from 21% two years earlier. This contributed significantly to the Bank's increased risk-adjusted net interest margin (NIM) in 2022.

158 bn

Net loans (AED)



Expanding corporate relationships -- supported by the Bank's digital cash management and trade finance platforms -- helped to drive a 25% increase in WBG deposits to AED 141 billion. Despite rising benchmark rates, corporate CASA deposits represented 54% of total Wholesale Banking deposits.

A focus on enhanced capabilities to drive fee growth, new technology, and a comprehensive support structure for large corporates has created a solid foundation for sustainable expansion and service excellence. In 2022, the Wholesale Banking Group achieved a Net Promoter Score (NPS) of 68, an improvement from 64 the previous year.

Digital underpinning core transaction banking

We continue to expand our core transaction banking business, where end-to-end service allows clients to reduce costs and minimise risk. Cash management and trade finance transaction volumes increased in 2022, driven by our highly successful ProCash and ProTrade digital platforms.

ProCash and ProTrade accounted for 96% and 64% of all cash management and trade finance transactions, respectively, and client registrations on the platforms grew by 15% and 16%, respectively.

We made enhancements to ProCash to improve the user experience. These included the addition of debit, credit and virtual card facilities that allow clients to make payments, settle outstanding balances, and review monthly statements, while benefitting from our well-established reward scheme. The improvements help clients to track their money in real time and provide a seamless proposition that continues to make banking more efficient.

At the same time, we have embarked on a project to ensure that the ProCash platform is consistent and fully interoperable across our geographical footprint.

Expanding advisory capabilities

An internal reorganisation of WBG has empowered a team that is cohesive, efficient and energised. We have enhanced capabilities and increased activity across the investment banking spectrum, from syndication and structuring to underwriting, advisory and secondary loan origination.

In 2022, ADCB participated in a range of debt capital market (DCM) and equity capital market (ECM) transactions as the GCC region remained a buoyant market for corporate and sovereign issuance. The Bank has also increased activity in syndicated loans and project finance.

In the area of DCM, ADCB arranged over USD 1.2 billion of bond and sukuk issuance in the GCC in 2022, ranking[1] second among regional banks and seventh when including global banks.

Growing with our clients

ADCB is a financing and advisory partner to a diverse range of government-related entities (GRE), sovereign wealth funds and large corporate clients operating in the UAE. As many of our clients continue to expand and invest beyond the UAE, we remain at their side to provide support at every step.

141 bn

Customer deposits (AED)

13

International DCM transactions led by ADCB in 2022

(1) Bloomberg MENA G3 Bonds and Sukuk 2022 League Table



Leveraging our relationships with GREs has enabled the Bank to take advantage of opportunities beyond the UAE

Spotlight

We have continued to build mutually beneficial relationships across the region, especially in Saudi Arabia's rapidly transforming economy, where the Bank already collaborates with leading companies. Furthermore, the corridor between ADCB in the UAE and in Egypt, where the Bank has a meaningful presence, is supporting the growing cross-border trade and investment relationship. In 2022, we played a financing and advisory role in a number of major government-led infrastructure projects and initiatives in Egypt.

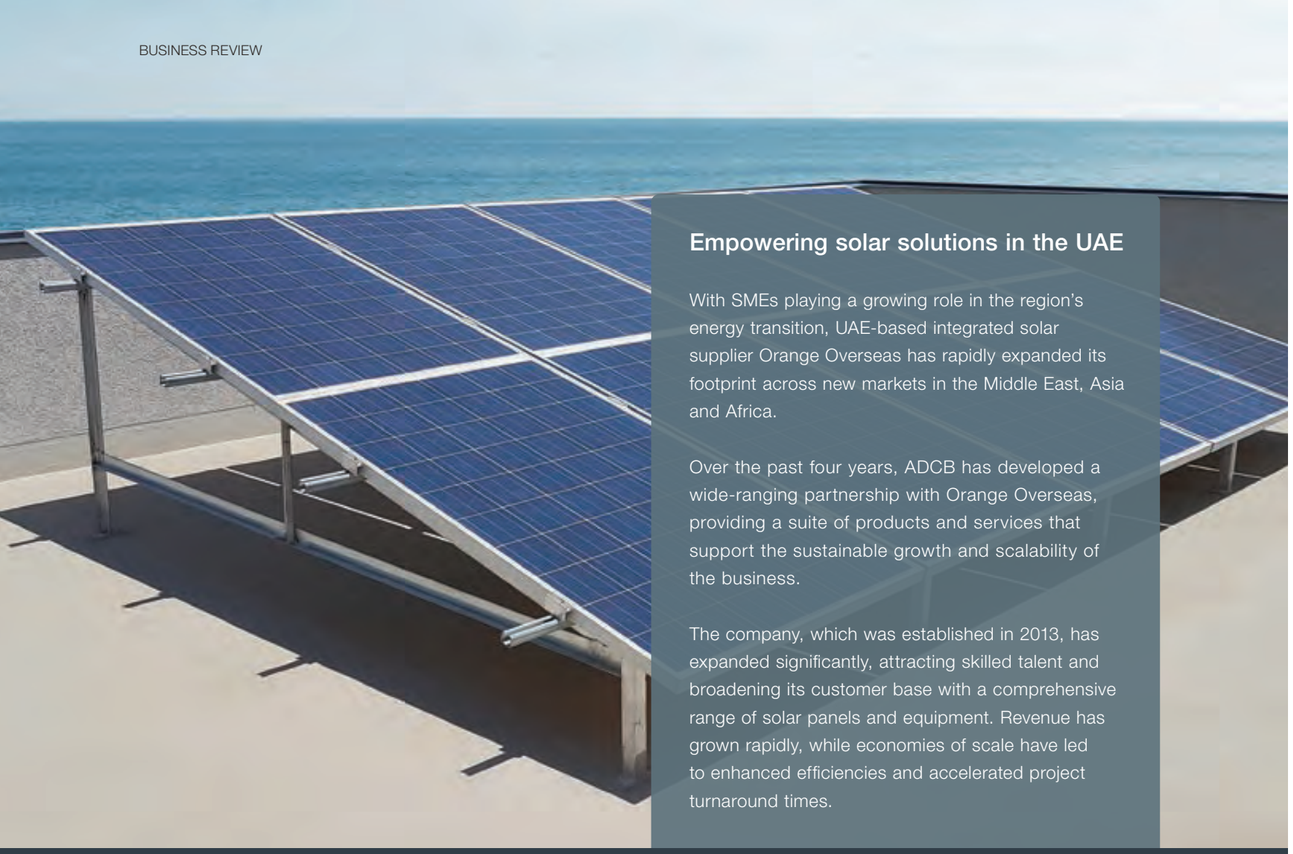
We have a strategic operation in Kazakhstan through Al Hilal Bank, where the country's first Islamic banking operation serves as a hub for WBG to support a number of GREs and corporates. We continue to build strong relationships in the market, enriching our understanding of the business aspirations of our clients.

ADCB also has long-standing strategic partnerships with major international banks, including the top five banks in Europe, North America and Asia. These relationships provide a robust network, allowing us to offer tailored solutions on an international scale.

ADCB played a significant role in financing Mubadala Energy's acquisition of a participating interest in the Tamar gas field in Israel, which involved a thorough understanding of multiple aspects of the business, including the legal and regulatory frameworks for the sector.

By participating with 12 other international banks, ADCB became the first bank in the region to finance a deal in Israel following the signature of the 'Abraham Accords' between Israel and UAE in August 2020.

With over 10 trillion cubic feet (TcF) of high-quality natural gas reserves, Tamar is a world-class gas field, which has historically supplied the majority of Israel's domestic gas demand. The field is expected to continue to play a key role in meeting the growing natural gas requirements in both Israel and the wider region.



Empowering solar solutions in the UAE

With SMEs playing a growing role in the region's energy transition, UAE-based integrated solar supplier Orange Overseas has rapidly expanded its footprint across new markets in the Middle East, Asia and Africa.

Over the past four years, ADCB has developed a wide-ranging partnership with Orange Overseas, providing a suite of products and services that support the sustainable growth and scalability of the business.

The company, which was established in 2013, has expanded significantly, attracting skilled talent and broadening its customer base with a comprehensive range of solar panels and equipment. Revenue has grown rapidly, while economies of scale have led to enhanced efficiencies and accelerated project turnaround times.

SME Spotlight

> "ADCB has played a key role in Orange Overseas' growth. This would not have been possible without the support of the Bank and our relationship manager."

Lokesh Kumar Verma
Orange Overseas
Managing Director & Owner

Supporting small businesses for a diversified economy

Small and medium-sized enterprises (SMEs) are a powerful force in driving growth and diversification of the UAE economy. ADCB is committed to empowering these critical businesses by providing access to a range of products and services, promoting greater financial inclusion.

The Bank benefits from in-depth knowledge of the sector, a reputation for service excellence and effective risk management. This allows ADCB to provide a comprehensive series of products, solutions and advice to diverse businesses to develop and scale up.

In 2022, we opened more than 600 new accounts a month for SME customers, driving a 25% increase during the year in the number of companies we support. We now have over 65,000 active SME and micro-business clients in our portfolio that are also significant contributors to the Bank's customer deposits.

The Bank provided AED 5 billion in loans to SMEs in 2022, while offering a range of transaction services, trade finance and foreign exchange facilities through digital platforms. We continued to build on our support for SMEs with the launch of a joint credit guarantee programme in partnership with Emirates Development Bank (EDB). The joint initiative helps to fill critical lending gaps and provides solutions, with EDB guaranteeing up to 50% of the funding extended to businesses by ADCB.

NMC restructuring and successful exit from administration

The Bank achieved a successful resolution to the issue related to the NMC Group, playing a key role in driving the company's restructuring. In March 2022, as NMC exited from administration in the UAE, ADCB received 37.5% of transferable exit instruments in a USD 2.25 billion facility issued by a new holding company that owns and operates core healthcare operations in the UAE and Oman.

Holders of NMC exit instruments will ultimately be repaid following monetisation of the business at a later stage, with participants benefitting from any further value creation at the NMC business.

ADCB appointed three of the seven members of the new company's board, which is embedding a robust governance framework and implementing a strategy for growth of the business.

The restructuring plan was driven by proactive measures taken by ADCB to rescue the company in 2020. As a significant creditor to NMC, the Bank instigated rapid legal action to appoint administrators to the company and provided financing to ensure operational continuity and an orderly restructuring process.

Repositioning the corporate and investment banking business

Through careful strategic planning over the past two years, we are now well-positioned to take the next step in our journey. In 2023, we will continue our transition from being a traditional corporate lender to a fully-fledged, fee-driven provider of corporate and investment banking solutions.

We have a deep understanding of the evolving needs of our clients and their requirements for more strategic and sustainable financing, investing and hedging, particularly in the context of their transition to a low-carbon future. Our advanced suite of products and services will continue to empower our clients to capture new and greater opportunities.

The strength of our business is underpinned by continued investment in developing the skills and capabilities of our people, building on our technological excellence, and carefully calibrating our risk appetite. We will continue to embed ESG principles and values across our operations and decision-making to create a more diverse portfolio.

65,000+

SME and micro-business clients

Inaugural green bond supports financing of low-carbon initiatives for a net zero economy

The issuance of an inaugural green bond in 2022 represents a milestone in ADCB's sustainability journey, combining international best practice with the Bank's strong market position to mobilise global capital to support financing of low-carbon businesses and projects.

> The green bond underlines ADCB's commitment to support the UAE's transition to an inclusive, net zero economy.

The USD 500 million, five-year Reg S issuance was almost four times oversubscribed after attracting a range of local, regional, and international investors that placed total orders of over USD 1.9 billion. The bond was priced at a spread of 115 basis points above treasuries with a 4.5% coupon rate, reflecting confidence in the Bank and its approach to managing ESG risks and opportunities.

Proceeds support ADCB's pledge to provide AED 35 billion in green financing by 2030 – in line with criteria set out in a Green Bond Framework adopted by the Bank in 2022. Eligible initiatives include projects or companies associated with renewable energy, green buildings, sustainable water and wastewater treatment, clean transportation, energy efficiency, pollution prevention and control.

ADCB's Green Bond Framework, which aligns with the UN Sustainable Development Goals (SDGs) and based on the International Capital Markets Association (ICMA) Green Bond Principles, is governed by a cross-functional Green Bond Working Group reporting to an executive-level Group Sustainability Committee, chaired by the Group CFO.

In accordance with industry best practice, ADCB obtained a 'Second Party Opinion' to externally verify the sustainability quality of the Framework and alignment with ICMA's Green Bond Principles. The favourable pricing for ADCB's issuance was supported by the Bank's strong credit ratings of A/A-1/Stable from S&P Global and A+/F1/Stable from Fitch, and an 'AA' ESG rating from MSCI. The Bank is also categorised as 'Medium risk' by Sustainalytics, with its ESG score upgraded to 21.0 in September 2022 from 30.1 in March 2021, making ADCB the highest-ranked diversified bank in the Gulf Cooperation Council (GCC).

As a result of ADCB's robust ESG approach, the Bank's inaugural bond was selected to feature in the Bloomberg MSCI Green Bond Index.

USD 500 mn
Five-year Reg S green bond issued

3.8x
Oversubscribed

Links to relevant documents: ADCB Green Bond Framework, ISS Second Party Opinion, Dress and Sommer green building methodology, ADCB Q2/H1 Investor Presentation

Treasury & Investments Group

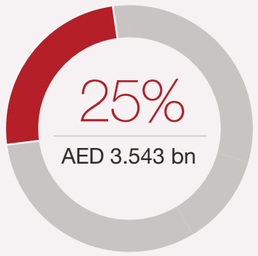
Treasury offers a diverse range of conventional and Islamic banking solutions, and is responsible for the Group's funding, investments, and centralised risk management activities. It manages the Bank's borrowings, issuance of debt securities, and use of derivatives to mitigage financial risk, while investing in a range of instruments, including short-term placements, and corporate and sovereign debt securities.

Key highlights

Robust growth in trading income and significant increase in investment portfolio

Preemptive action to mitigate the impact of rising interest rates

Contribution to operating income



The Treasury & Investments Group had a strong year in 2022, delivering a 21% increase in net profit, while continuing to strengthen and diversify its investment portfolio. Treasury's contribution to the Bank remains substantial, accounting for 25% of operating income.

With a rich understanding of local, regional, and global markets, the Bank was well prepared to navigate the geopolitical and financial challenges in 2022. We anticipated and acted preemptively to mitigate the impact of rising interest rates and specific issues that could potentially affect our operations, such as exchange rate fluctuations in Egypt.

> Through active asset and liability management, we ensured that the Bank was able to leverage its strong financial position to achieve an optimal cost of funds against the backdrop of a rising interest rate environment.

In 2022, we continued to expand the level of secured funding with robust growth in our repo book to AED 25 billion, up 16% on the previous year. Treasury also executed its first green repo transaction, further cementing our commitment to supporting the UAE's transition to an inclusive, net zero economy.

We also issued over USD 1.7 billion of debt, largely under the Global Medium Term Note (GMTN) Programme. The issuances were diversified across US dollars, Australian dollars, and Chinese renminbi, and included two zero coupon callable bonds.

The successful issuance of the Bank's inaugural USD 500 million Reg S Green Bond was a significant achievement driven by ADCB's strong standing in the market. The issuance attracted over USD 1.9 billion of orders and was priced at 115 basis points over benchmark treasuries following a tightening from initial guidance.

The Bank is well-positioned and prepared for refinancing a relative increase in wholesale funding maturities that are due in 2023.

Major debt issuances by ADCB in 2022

- USD 500 million, five-year green bond with fixed coupon of 4.50%
- USD 500 million, five-year Global Medium Term Note with fixed coupon of 3.50%
- USD 420 million, 40-year Global Medium Term Note callable zero coupon notes, with IRR between 3.72% and 4%
- USD 650 million, two-year bilateral loan with coupon secured overnight financing rate plus margin ranging from 0.32% to 0.65%
- USD 4 billion, euro commercial paper in various currencies with interest rates ranging from negative 0.52% to positive 4.06%
- USD 10.6 billion, repo fixed and floating rate

Investment securities increased to AED 112 billion as at the end of 2022, from AED 97 billion a year earlier, with 99% invested in bonds, most of which continued to be in the relatively low-risk government and public sector.

We upscaled our trading capabilities, increasing our bench strength to deliver additional value to our clients through more sophisticated market insight and enhanced service excellence. This has helped Treasury achieve a strong Net Promoter Score (NPS) of 91 in 2022, a reflection of the strength of our client-centric culture.



Property Management

Through our subsidiaries, Abu Dhabi Commercial Properties (ADCP) and Abu Dhabi Commercial Engineering (ADCE), we provide a full range of property services in the UAE.

ADCP key highlights

Introduced energy saving and safety measures across the portfolio

Digital transformation gaining momentum through MyADCP tenant mobile app

ADCE key highlights

Providing technical services to support ADCB's green financing initiatives

Enhanced efficiencies through digital end-to-end project management solution

Contribution to operating income



Abu Dhabi Commercial Properties (ADCP)

ADCP is one of the largest property management service providers in the UAE, managing an extensive portfolio of approximately 2,000 buildings, representing 53,000 residential and commercial units.

In line with the ADCB Group's approach to ESG, ADCP enhanced energy efficiency and property safety in 2022, while also making strong progress on initiatives to further elevate service across customer journeys.

ADCP adjusted the 'Delta T' for district cooling provided to its properties, reducing the difference between incoming and outgoing air temperature. This has optimised energy usage and generated substantial recurring savings.

The business also initiated 'Earth Day' activities to inform tenants about energy saving measures, and we intend to expand awareness programmes further. To mitigate safety risks, we completed a large majority of our planned relocation of liquefied petroleum gas (LPG) filling lines, as well as increasing installation of CCTV and access control systems.

Digital transformation gained momentum, and service channels for tenants are now accessible 24/7. With the MyADCP tenant mobile app successfully processing over 90,000 service requests in 2022, the platform continues to achieve high app store ratings. The mobile app is user-friendly and has simplified processes, providing easy access to leasing and facilities requests.

90,000+

Service requests processed through MyADCP tenant mobile app

To further enhance service convenience, we introduced the ADCP Virtual Branch, which offers services digitally that were previously provided in a physical branch environment, such as lease renewals. The initiative has proven popular among tenants, and we will continue to add more services in the coming year. The business also rolled out a programme of problem-solving clinics in apartment buildings across the portfolio to engage with tenants, providing an additional channel to address any facilities management issues.

ADCP took steps to enhance relationships with diverse business partners during the year. This included holding a 'Facilities Management Day' to engage with contractors, and introducing new master services agreements to streamline and simplify the process of commissioning work from suppliers. The business also registered over 50 authorised leasing brokerage firms to support online marketing of available residential and commercial properties.

Abu Dhabi Commercial Engineering Services (ADCE)

ADCE is one of Abu Dhabi's leading commercial buildings' development managers, providing a range of building projects' related services, from design and valuation to project management. The business counts a number of government entities among its clients, including the Abu Dhabi Department of Finance, and also provides technical services to ADCB's retail and commercial mortgage businesses.

In 2022, ADCE continued to implement a range of significant building schemes across Abu Dhabi on behalf of the Department of Finance, while enhancing its capabilities in planning and customer service.

Among our priority initiatives during the year was the introduction of new project management software to optimise operations across the board, allowing for timely decision-making and seamless interaction with third parties. The system integrates end-to-end workflows, including project approvals and initiation, appointment of consultants, design submission, feasibility studies and payment processing. The tool has accelerated processes, resulting in significant efficiency gains, and allows ADCE to enhance quality by tracking KPIs in real time.

ADCE is also working closely with ADCB's Sustainability and Wholesale Banking teams on identifying and assessing sustainable property and construction projects. The business is leveraging its technical expertise to play a key role in the Bank's green financing initiatives, particularly in light of the issuance of ADCB's inaugural Green Bond in September 2022. ADCE continues to support ADCB in an advisory role for a number of financing mandates for construction projects and building retrofits.

The partnership with the Abu Dhabi Department of Finance remains core, and ADCE continued to deliver a portfolio of new buildings in the high-end segment, particularly in the Al Raha Beach area of Abu Dhabi.

Meanwhile, ADCE's relationships with other government agencies continue to grow. The company is working closely with the Abu Dhabi Department of Urban Planning and Municipalities, providing technical services to facilitate the Department's decision-making on releasing payments from escrow accounts. The business continues to explore further avenues of cooperation as part of its strategy to diversify revenues.

194

Escrow projects

Al Hilal Bank



Abdul Shakeel Aidaroos
Chief Executive Officer – Al Hilal Bank

Al Hilal Bank provides digital-first Shari'ah-compliant banking services across the UAE. In 2022, the Bank launched a disruptive 'super app' that provides a blend of financial and lifestyle products and services, with the platform gaining strong traction through the year.

Key highlights

Launch of a disruptive Islamic banking super app

Highly scalable offering that provides greater demographic reach

Flexible and agile platform empowered by customer co-creation

"This was a pivotal year for Al Hilal Bank, when we launched a landmark digital proposition that sets the Bank on a new growth trajectory."



The new super app launched in 2022 offers the market family-friendly features including a gamified approach to help children learn positive financial habits

Disruptive digital

In a transformational year, Al Hilal Bank disrupted the banking landscape with the launch of a new super app in February 2022. The launch was accompanied by the unveiling of a fresh, new identity and a bold digital strategy designed to shape the future of banking.

In its first year, the super app attracted more than 350,000 registered users and 132,000 new banking customers, who carried out over 12,000 transactions on average daily.

The app is a portal to a wide range of banking and non-financial services. It includes access to a carefully curated virtual marketplace powered by a growing ecosystem of strategic commercial partnerships.

We are proud to offer a digital banking platform that caters to families in a meaningful and enriching way. The super app is helping parents empower their children to develop financial responsibility through a gamified approach. This feature allows parents to assign daily chores to their children and enable them to earn pocket money, unlock rewards, and access e-commerce and digital services by completing their chores.

By building our digital platform on modular systems, and adopting new ways of agile working, Al Hilal Bank is consistently delivering value to customers through new digital releases. Our digital-first approach reflects the evolving expectations of our customers and aligns with the UAE's Digital Strategy 2025.

The app has enhanced engagement and extended the Bank's reach beyond its core Abu Dhabi market. In 2022, residents of Dubai and the Northern Emirates accounted for 28% and 32% of new banking customers, respectively.

76%

Customers registered on digital platforms

350,000+

Registered users on Al Hilal super app

The flexible digital platform is continuously evolving through a process of customer co-creation and a fast-growing network of business partnerships. It has received strong positive feedback and as a highly scalable platform, the service holds significant potential for rapid growth and possible expansion into new markets.

Developing talent

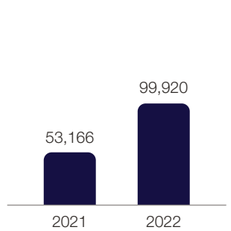
Al Hilal Bank provides a vibrant and diverse working environment bringing together people from 27 countries. By merging a digital mindset with Shari'ah-compliant banking, we offer rewarding career paths.

Our ongoing investment in learning and development, specialist training, and innovation helps to attract and retain talent across all areas of the Bank, and we continue to enjoy very high engagement scores.

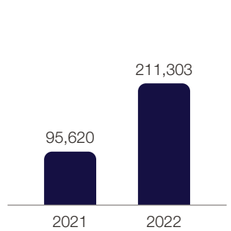
We offer a diverse range of customised programmes to support the technical, behavioural and leadership development needs of our employees. This includes digital readiness assessments to ensure that our people remain at the forefront of a fast-changing landscape.

As we continue to drive greater diversity throughout the organisation, our Emiratisation rate of 51% remains industry-leading and has consistently exceeded the targets set by the Central Bank of the UAE. Our approach to developing people will remain a key driver of success in the Bank's ambitious growth strategy.

Digitally active customers



Digital subscribers[1]



(1) Banking customers only

ADCB Egypt



Ihab ElSewerky
Managing Director & Chief Executive Officer
ADCB Egypt

ADCB Egypt serves a wide spectrum of customer segments offering a range of financial products, services and innovative digital solutions for retail and high-net-worth customers, SMEs and large corporates. Customer excellence and convenience are ingrained in our strategy. The Bank provides advanced online services and a large network of branches and ATMs across the country.

Key highlights

Increase in net profit driven by strong growth in customer base

Significant increase in loans and deposits

New ESG framework adopted in line with Group sustainability strategy

ADCB Egypt achieved significant growth in 2022, with institutional strength and a reputable brand attracting greater market share despite the backdrop of increased economic uncertainty. The Bank delivered a robust financial performance by increasing the customer base, expanding its network, and continuing to diversify its loan portfolio.

Based on IFRS, net profit increased by 108% to EGP 799 million in 2022, representing a return on equity of 12.7%. The Bank achieved 40% loan growth during the year, with deposits rising by 84%.

In our Retail Banking business, a commitment to quality service and the introduction of a range of innovative products helped to achieve a 12% increase in the customer base. The Bank partnered with Visa to expand its premium offering, which contributed to 127% growth in the cards business during the year.

“Our strong reputation in the market is propelling broad-based growth at ADCB Egypt, underpinned by a clear digital transformation agenda.”

ADCB Egypt is also making strong inroads in the affluent segment, with relationship managers focused on personalised service and active portfolio management.

The Wholesale Banking business continued to diversify its coverage and expand its client base across a variety of sectors, including infrastructure, construction, manufacturing, energy and technology.

In 2022, the Bank facilitated a transaction to fund the construction of Egypt’s first high-speed railway stations. We also took part in a securitisation bond programme by National Urban Communities Authority, with the Bank taking an EGP 1.5 billion share of the EGP 20 billion issuance.

Meanwhile, we remained active in our support of the country’s growing SME segment, providing advice and financing to help companies develop and scale up. In 2022, our SME portfolio grew by 42%.

In line with the Bank’s rapid growth, we opened three new branches in 2022 and expanded the number of ATMs, while implementing technology upgrades. This helped to drive a 67% increase in contactless payments across the ATM network.



Digital momentum

We continued to drive digital transformation across the Bank, initiating an upgrade to our core banking system, while enhancing the digital services provided to customers.

The Bank introduced significant upgrades and new features to its mobile banking platform, including biometric authentication, digital wallet capabilities, as well as improving user experience and functionality. We are also developing a new digital branch concept to provide a differentiated proposition in the market.

This momentum has significantly increased customer engagement, with active digital users increasing by 80%, while electronic transactions grew by 22% in 2022.

To sharpen service excellence, the Bank began to survey customer satisfaction to obtain reliable Net Promoter Scores (NPS). This process enables real-time access to the voices of our customers, facilitating service improvements tailored to their evolving requirements.

799 mn

Net profit based on IFRS (EGP)



Enhancing ESG

ADCB Egypt continued to develop an ESG framework that aligns with the Group's sustainability strategy and is designed to contribute to the transition to an inclusive, net zero economy. Against the backdrop of COP27 hosted in Sharm El-Sheikh, ADCB Egypt published its first ESG Report setting out our strategic roadmap and sustainability ambitions.

The Bank has been active in raising awareness about sustainability topics across our platforms and our social media channels. This included several sponsorship opportunities, such as 'YouThinkGreen', an accelerator programme to empower Egypt's youth to apply sustainable solutions to the country's environmental challenges.

The Bank's strong performance and contribution to the community were recognised during 2022 by over 15 awards from regional and international organisations in diverse categories, including financial inclusion, innovation and digital user experience.

30 bn

Net loans (EGP)

75 bn

Customer deposits (EGP)

Improving access for people of determination

ADCB Egypt is playing a leading role in supporting financial inclusion for people of determination. In 2022, we launched 'Erada', the first comprehensive package designed to make banking more convenient for people of determination. The offering includes a discounted medical card that provides various healthcare services free of charge, as well as the option of a subsidised personal loan. To promote greater accessibility, documents are now available in braille, while customer service staff have been trained to communicate in sign language. We are also providing a priority service for people in need of extra assistance and have installed wheelchair ramps in 12 branches.

ADCB Egypt – spotlight

Other subsidiaries

ADCB Group's subsidiaries complement our core banking business through their strong brands and value-added business activities, ranging from property management and project management to securities trading and operational support. Our subsidiaries continue to create value for the Bank as well as our customers, partners and wider economy.



ADCP
شركة أبوظبي التجاري للعقارات
Abu Dhabi Commercial Properties

Mohamed Binbrek
General Manager

Established in 2007, Abu Dhabi Commercial Properties (ADCP) operates the largest mixed-use leasehold assets portfolio in the region. It provides tailored property management services, representing government, private and corporate real estate owners across the UAE.

43,000+
Leases issued

5,720
Landlord requests administered

19,700+
Tenancy agreements renewed remotely

1,868
Units added to ADCP managed portfolio



ADCE
أبوظبي التجاري للخدمات الهندسية
Abu Dhabi Commercial Engineering Services

Hazem Jaber
General Manager

Created in 2007 as the engineering arm of ADCB, Abu Dhabi Commercial Engineering Services (ADCE) is a one-stop shop for all engineering related project management services, from design conception to completion. Its modern, innovative designs, situated throughout the city, are built to last – and its business is founded on strong client relationships.

2,811
Technical memos issued

1,705
Landlords

856
Vendors registered

1,734
Collaborations with consultants, contractors, sub-contractors



أبوظبي التجاري
ADCB
SECURITIES للأوراق المالية

Hasan Salem Al Hosani
General Manager

ADCB Securities is a brokerage house that offers its customers access to trade on the UAE stock exchanges. A wholly-owned subsidiary of ADCB, it is regulated by the SCA (Securities & Commodities Authority) to provide trading services on ADX (Abu Dhabi Securities Exchange), DFM (Dubai Financial Market), and NASDAQ Dubai.

AED 29.8 bn
Total assets under custody

AED 459 mn
Total lending through margin accounts

AED 5.7 bn
Total trade value through online trading channels

22,000
Total client base



ITMAM
شركة إتمام للخدمات
Itmam Services Company

Ashok Luharuwalla
General Manager

ITMAM, meaning 'we get things done' in Arabic, was established to provide operational support to ADCB Group, including customer onboarding, cash management, trade operations, credit underwriting and contact centre services, among others. ITMAM's service-focused Net Promoter Score (NPS) framework enables the Bank to pursue a more customer-oriented business model.

97%
Overall service level targets achieved

265,000+
Consumer banking accounts opened through 'Hayyak'

33%
Increase in total volumes

91%
Improved partnership index results

STRATEGIC PRIORITIES



Investing in our people

Our people are fundamental to ADCB's performance and success. The Bank is committed to investing in the growth and development of our people, with a focus on Emiratisation, to ensure they are well-positioned to capitalise on trends shaping the future of banking.

42%

Percentage of female employees at ADCB Group

54%

Emirati women in senior management positions

90+

Training Net Promoter Score (NPS)

Our people

To ensure sustained and effective implementation of our strategy, ADCB is investing substantially in training and capabilities to ensure our people are well-equipped to provide service excellence in a time of rapid technological change.

Key highlights

Continued prioritisation of Emiratisation

Strong organisational culture and increased engagement

Learning and development programme expanded to support strategic growth

300,000+

Learning hours in 2022

Investing in talent and capabilities

In 2022, the Bank enhanced its learning and development programmes, prioritised progression of UAE nationals, upgraded recruitment and onboarding processes, and conducted a remuneration review to ensure competitiveness. Our approach is driven by a desire to nurture a workplace culture that continues to attract highly skilled, motivated and purpose-driven people. It is underpinned by core values that drive collaboration, responsibility, accountability and high performance.

> ADCB provides a diverse and inclusive workplace, with over 80 nationalities represented in the employee base. Of over 8,400 employees at the Group, 42% are female.

Enhancing learning and organisational development

ADCB regards career development as a critical factor in maintaining a leading market position and invests significantly to deliver professional training, with over 300,000 learning hours provided for employees in 2022.

Having adapted to the global pandemic by successfully transitioning to virtual training, the Bank now provides a blended offering of in-person and online training modules covering a wide range of technical and behavioural topics, in partnership with leading international providers.

The HR team employs a talent-centric approach that takes into account requirements and motivational factors to enable employees to succeed in their careers. The quality and effectiveness of these training modules are measured on multiple levels and they are highly popular among employees, receiving a Net Promoter Score (NPS) of more than 90[1].

The Bank seeks to nurture a culture of excellence, supported by a detailed performance management system that includes strategic KPIs. In 2022, the process was automated and enhanced for a smoother employee experience, improving monitoring and objective-setting, and increasing the effectiveness of appraisals.

Every employee has an individual development plan, with specific performance indicators, that incorporates continuous feedback. The plans align to defined roles, responsibilities and objectives, as well as to the Bank's strategy and departmental and employee requirements. Using advanced data metrics to shape our people strategy, we ensure that capabilities are deployed appropriately, while driving more strategic decision-making.

The Bank also redesigned and launched a new performance-driven variable pay plan that directly links the variable pay of senior management with performance of the Group and the individual.

ADCB continued to build its succession planning to identify critical roles in the organisation and develop a detailed approach. This includes creating a bespoke development programme to provide potential successors with the skills and knowledge to progress. Potential successors are regularly assessed to ensure they are developing in line with the requirements of the business. As part of the programme, the Bank identified an increased number of UAE nationals ready to step into new roles, further supporting the Bank's Emiratisation objectives.

ADCB highest-ranked GCC bank in Forbes 'World's Best Employers 2022' survey

Our long-standing commitment to creating a thriving workplace has been globally recognised by Forbes, which placed ADCB as the highest-ranked GCC bank and one of the region's top five companies in its 'World's Best Employers 2022' survey.

The Forbes survey of 150,000 employees worldwide, conducted in partnership with research firm Statista, ranked ADCB as one of the top companies, excelling in a range of critical areas including impact, talent development, gender equality and social responsibility. Only nine companies from the Middle East were selected for inclusion in the global list of 800, covering 57 countries. ADCB was the only bank in the UAE to be featured.

Spotlight

(1) Figure refers to ADCB UAE only

An engaging and rewarding workplace

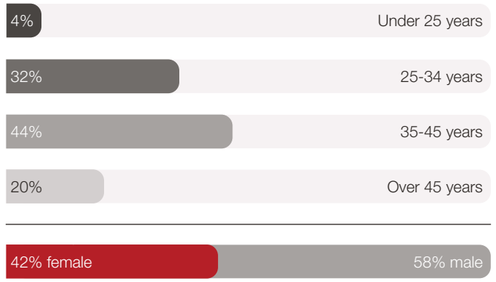
The Bank conducted two key organisation-wide employee surveys in 2022. The Organisation Health Index (OHI) and the Line Manager Index (LMI) surveys achieved response rates of 88% and 87%, respectively, demonstrating a high level of engagement across the Group. The OHI survey placed the Bank in the top quartile of global companies on the measure of culture and performance.

Adaptability is a key part of ADCB's corporate culture. As the UAE progressively eased Covid-related restrictions, we maintained flexibility in our working hours and remote working. The Bank also transitioned seamlessly to a Saturday – Sunday weekend in January 2022 in line with government guidance, and simultaneously adopted a four-and-a-half day working week, with the option to work remotely on Fridays.

As part of the Bank's drive to create a workplace to inspire and attract talent, ADCB transformed its onboarding process. Following a review to identify potential improvements, we adopted a new process to increase support for new joiners, ensuring a smooth and positive experience in their first months with the organisation.

To ensure continued competitiveness, ADCB benchmarks and assesses its remuneration structure against the market on a regular basis. In 2022, we developed a new retention plan and reviewed and updated reward policies, ensuring compliance with new regulations and labour law. The Bank also benchmarked and analysed senior management fixed pay, implementing appropriate reviews.

ADCB Group employee profile by age and gender



Nurturing UAE talent

Emiratisation initiatives are central to the UAE's development and to building a sustainable future for the nation. As a responsible financial institution with close ties to our local community, ADCB is focused on investing in promising Emirati talent. UAE nationals account for 71% of employees under the age of 30.

We are committed to providing employment and career development opportunities that will allow UAE nationals to contribute fully to continued growth of the banking industry.

ADCB Group welcomed over 250 UAE nationals to the Group in 2022. Today, ADCB and Al Hilal Bank employ 1,910 UAE nationals, comprising 38% of the total employee base[1]. Notably the Emiratisation rate at Al Hilal Bank is 51%, which is among the highest in the UAE banking sector.

Emiratis hold 31% of senior leadership positions at ADCB Group, with women having a particularly strong presence, representing 54% of all UAE national employees performing management roles.

The learning and career development programme is a major factor in the Bank's ability to attract top Emirati talent. ADCB provides organisation-wide training to effectively onboard UAE national graduates, as well as structured learning and development opportunities throughout their careers to build managerial and leadership capabilities.

Our aim is to further increase Emirati representation in key roles at ADCB, ensuring that our people have the range of skills needed to provide service excellence and succeed in a fast-changing, highly competitive industry.

38%

Emirati representation in ADCB Group[1]

(1) As per UAE CB definition, the Emiratisation ratio excludes non-financial entities, such as ITMAM, ADCP, ADCE and outsourced employees

Breaking the mould

ADCB has broken the mould by recruiting a team of over 160 UAE nationals into Retail Banking sales roles – an area not typically considered by banks as a starting point for Emirati career development. Our sales function is now a more accurate reflection of the demographics of our customer base and the results have been extremely positive.

Following eight months of training and preparation, the new team is leveraging extensive networks and has found this career path a rewarding experience. Participants in the programme have benefitted from one-to-one and group support sessions. Each team member has set, specific and measurable goals aligned with business targets and KPIs and is implementing a well-defined sales action plan, incorporating a lead generation and customer engagement plan.

The Bank has witnessed a substantial uplift in product sales and customer satisfaction, and this success has encouraged us to consider similar initiatives across the Group.

Spotlight

Spotlight on our people

Going above and beyond

ADCB's strength is built on the values of integrity, care, ambition, respect, and discipline. Below, we feature examples of how our people carry the Bank's culture to make a lasting impact on the organisation.



Safia Abdullah Jelaid

Chief Service Officer

In 2022, Safia added additional responsibilities to her role as Chief Service Officer in the CEO's office and as a mentor to UAE nationals, taking charge of the Customer Care team and overseeing ADCB's social media presence. She has been pivotal in the Bank's achievements in enhancing service, drawing on previous customer-facing experience as a branch manager and relationships across the organisation. "A large part of my work is in analysing the customer journey from end-to-end, while identifying any gaps to ensure a high-quality customer experience. I love to take on challenges and to interact with people, so service is the perfect area for me to give as much as I can."



Sundar Parthasarathy

Head of Retail Products and Sales

The Retail Banking Group, particularly assets and liabilities acquisitions, surpassed all previous records for the Bank in 2022. According to Sundar, this was testimony to the ability to create collective ownership and to foster meaningful connections across diverse stakeholders groups, embracing new challenges and celebrating success together. "It was important to lead from the front, communicate a powerful story that unifies all to create a spark, and bring excitement to go the extra mile. Recognising the support team in all capacities was equally vital as team members who are at the forefront. The fact is, these are the people who pack our parachutes to ensure a smooth landing in our business every day."



Abdulaziz Almoosa

Head of Recruitment and Manpower Planning

Abdulaziz has had a busy period in recruitment as the Bank has accelerated digital transformation and expanded its core businesses. He casts the net far and wide to ensure the right talent to drive a technology-enabled organisation. "People are the main source of competitive advantage, and we are able to attract talent from all over the world. Diversity is not just about ethnicity and gender, but also about mindset. I look for people who share our values and want to explore new ideas. We don't want to replicate what others do, but be the ones that the market is following."



Manal Al Sayegh

Head of Business Enablement and Operations Risk

A 20-year veteran of ADCB, Manal's career has spanned Human Resources and Retail Banking. This rich blend of experience enabled Manal to conceptualise and implement a ground-breaking Emiratisation initiative. "ADCB has an unrelenting desire to take Emiratisation to new horizons and this motivated what turned out to be the proudest moment of my career. We created a project that would become a blueprint for other banks – enrolment of UAE nationals into sales roles. The programme has produced seasoned ambassadors who are now role models, inspiring and attracting the next generation of Emirati talent."

Spotlight on our people

Going above and beyond



Mashael Ali Alamoodi

Head of Centralised HR Operations, Employee Relations & Services

Mashael is playing a fundamental role in integrating new recruits at various levels, especially UAE nationals, into ADCB's businesses. With over nine years in ADCB Human Resources, she says that employees are the Bank's 'most treasured foundation' and the main pillar for success. "Among my biggest achievements in the last year has been to support our new employees to allow them to reach their full potential. This has involved ensuring that the onboarding programme really delivers for our people, as well as solving complex challenges through effective communication."



Richard Hirst

Head of Sustainability

In a year when ADCB moved at pace to adopt and implement a refreshed ESG strategy, the issuance of an inaugural green bond encapsulated the Bank's best practice approach to sustainability. Richard explained how the issuance, one of several ESG projects delivered during the year, was multifaceted. "It was a huge amount of work that involved mobilising many parts of the business, from Treasury, Risk, and Legal to Wholesale Banking Group, and ADCE. There was a great ripple effect through the organisation, which is only possible when you have senior-level buy-in on sustainability from the Board and Executive Management."



Jabirul Choudhury

Head of Loan Syndicate and Distribution

Jabirul joined ADCB in 2008 and in recent years has led a team that has transformed ADCB into a prominent player in underwriting and syndicating loans for corporate and financial institutions across regional and international markets, and in turn, supporting the growth of these institutions. This success has been driven by strong relationships with stakeholders, as well as a long-term commitment by the Bank to building a robust offering. "The business has been growing year-on-year, and this success is down to the consistent support of the senior management, and their belief in the product. In the market, it's all about reputation, track record and delivery. Trust and reliability have been critical to our growth."



Denise Caouki

Head of Investor Relations

The Investor Relations function at ADCB has taken on an increasingly broad remit in recent years. Denise led the communications workstream for the merger with Union National Bank and acquisition of Al Hilal Bank, worked closely with the ESG Team and Board Secretariat on enhanced sustainability and corporate governance reports and disclosures, while ensuring that the Bank maintains a strong dialogue with the investor community. "I'm driven by ADCB's approach to continuously strive for best practice in disclosure and reporting. We also want to ensure a strong level of strategic engagement with our investors and wider stakeholder groups, supporting the Bank's progressive role in the economy."

Investing in digital transformation

Digital is a key enabler in ADCB's strategy, driving service excellence, growth in customer numbers and efficiency. The Bank's strong financial position provides the platform for substantial investment into the technology that is generating expansion across all our businesses.

94 mn

Number of logins on the ADCB Mobile Banking app, +34% year-on-year

+31%

Increase in ADCB mobile banking registrations

+52%

Increase in digital remittances (ADCB UAE only)

Digital journey

ADCB continued its programme of investment in digital capabilities in 2022, focusing on enhancing the customer experience in both Retail and Wholesale Banking. Digital transformation has proven to be a key growth driver, making a strong impact on customer acquisition and engagement.

Key highlights

Customer acquisition increasingly driven by digital services

Development of AI and predictive data analytics playing a greater role in personalisation for customers

Growing momentum in customer co-creation process

46

Retail and Wholesale Banking digital releases in 2022

Digital as an enabler of growth

The Bank seeks to clearly differentiate itself through a well-considered and pragmatic approach to digital innovation. Our focus is on delivering reliable and convenient technology to provide tangible benefits and ease of banking for customers.

> We are developing and consolidating the Bank's digital banking ecosystem, while introducing more artificial intelligence (AI) enabled features and data analytics.

Each initiative is designed to drive growth across the Group, through increased customer engagement and by providing more hyper-personalised products and services to individual requirements.

At the same time, ADCB continues to develop strategic partnerships, advancing its activities in the application programming interface (API) to provide customers with more choice and embedding banking services in partner apps. For example, our merchant partners now integrate with our TouchPoints API to drive digital redemption and provide customers with more convenient payment methods.

Increased engagement and digital onboarding

ADCB's digital platforms gained further momentum in 2022, driving growth in the customer base and engagement. The Bank's onboarding app, 'Hayyak', helped customers open over 260,000 new accounts in 2022, representing 78% of all new-to-bank retail customers.

Meanwhile, subscriptions to the ADCB Mobile Banking app increased 31% during the year to more than one million customers, with 86% of retail customers now registered to the Bank's digital channels. WhatsApp Banking, which was launched in late 2021, gained strong momentum during the year, complementing the growing role of our social media platforms in providing real-time information.

Activity on digital services continued to increase, with retail electronic transactions rising 33% to 137 million in 2022, while digital fund transfers through mobile banking were up 64% from the previous year.

In Wholesale Banking, transactions on the ProCash and ProTrade platforms accounted for 96% of all cash management transactions and 64% of trade finance transactions, respectively.

Building on the success of ADCB's Mobile Banking app and the 'Hayyak' onboarding app, the Bank is working towards an integrated digital onboarding and lending platform for the Retail Banking Group. The aim is to allow customers to join the Bank and access a range of products and services instantaneously, with reduced processing times, elevating customer convenience and substantially increasing productivity within our organisation.

Meanwhile, Al Hilal Bank launched a fully digital, cloud-based Shari'ah-compliant banking platform. More than 350,000 users registered on the super app in its first year, including 132,000 new banking customers. For more information please see the 'Al Hilal Bank' section of the report.

Automation for greater efficiency and data security

The Bank is optimising the technology employed across the organisation to enhance capabilities and productivity. Digitisation and data are key elements in our proactive approach to regulatory compliance and we are reinforcing data protection and cybersecurity as part of our strong risk management culture. Data is now increasingly sourced and validated against established third-party APIs to help prevent fraud and identity theft.

The Bank launched an e-KYC (know your customer) facility to allow customers to conveniently update key documents, such as Emirates ID and passport, remotely and securely on mobile and internet banking platforms. Using optical character recognition (OCR) technology, the information entered by the customer is validated against back-end systems, with documents updated seamlessly. Over 85% of e-KYC updates are processed instantly.

78%

Digitally onboarded retail customers

Note: Digital figures refer to ADCB UAE only, unless stated otherwise



The digital studio at the Bank's head office in Abu Dhabi includes a dedicated customer lounge where products and services are co-created

Spotlight

ADCB has partnered with Dubai's Department of Economy & Tourism and Norbloc to automate the annual updating of trade license details for Wholesale Banking customers. The digital process extracts trade license details for existing clients via the blockchain platform, allowing the Wholesale Banking support services and operations teams to verify details without the need to contact clients for copies of renewed licenses.

The Bank's IPO online portal, which provides customers with a convenient and secure way to subscribe to initial public offerings, has transformed ADCB into one of the most significant receiving banks for UAE listings over the last two years. In 2022, the Bank improved the registration process for the platform to facilitate access to the service.

A continuous innovation loop

ADCB has accelerated its digital journey, following a clear roadmap to upgrade technology and introduce new digital banking features.

Our teams worked on more than 80 digital technology projects during 2022, while significantly reducing the time from conception to launch. The Bank maintained its focus on introducing digital enhancements for customers, with 46 digital releases across its Retail and Wholesale Banking businesses in the year.

Improvements introduced for Retail Banking customers included enhancements to notifications and campaigns on the Mobile Banking app, as well as the launch of e-signatures for customers in the Excellency segment.

Meanwhile, the Wholesale Banking Group introduced wide-ranging improvements to the digital user experience for corporate banking customers. The ProCash platform enhanced transaction tracking, facilitated app usage for people of determination, and launched upgrades to strengthen consumer protection, mitigate security risks and improve the tax payment journey.

The Bank combines agility with design thinking practices to create products and services tailored to customer needs.

Through a co-creation process, customers play an active part in the development and delivery of innovative services with greater functionality. The ADCB digital studio encourages full interaction with digital platforms, and collaboration between customers and digital teams in the development and testing of new products.

80+

Digital technology projects

86%

Retail customers registered for internet and mobile banking

Note: Digital figures refer to ADCB UAE only, unless stated otherwise

Digital strategy

A comprehensive digital approach underpins our corporate strategy

Technology

Building a modern cost-effective technology landscape

Commitments:

- Modernising IT/data infrastructure
- Staged cloud migration to underpin digital innovation and volume growth
- Application consolidation to deliver efficiencies and simplify technology estate
- Delivery automation and faster deployment of customer use cases to support business growth in the market

Key benefits:

- Disciplined technology cost base using cloud capabilities
- Simplified technology landscape to support speed-to-market

Digital & analytics

End-to-end digitisation to deliver best-in-class customer experience

Commitments:

- Digitise customer journeys for exceptional customer experience and back-end processes optimisation
- Offering bespoke digital products such as digital wealth value proposition, simplified digital platform, liquidity management and supply chain financing solutions
- Faster production of AI models to support complex and modern analytics capabilities

Key benefits:

- Seamless application processing through differentiated digital products

Organisational capabilities

Building cutting-edge expertise to strengthen technical capabilities

Commitments:

- Driving software development excellence to maximise productivity and time-to-market of digital propositions
- Sourcing Cloud, Agile, DevOps experience to upskill talent across the Bank

Key benefits:

- Software development cost reduction
- Faster time-to-market for new products

Compliance & cyber-security

Embedding a strong risk management culture and cyber-security

Commitments:

- Maintaining industry-leading cyber-security
- Conducting independent ‘Red Team’ exercises annually to stress test cyber and physical security controls

Key benefits:

- Highly digitised risk and control environment ensuring strong regulatory compliance

Key digital achievements in 2022

A new IT strategy

To accelerate end-to-end digitisation, the Bank launched a revamped strategy following a comprehensive review of its IT architecture. The strategy focuses on agile delivery, adoption of cloud-based technologies, development of strong business partnerships and investment in capabilities

Industry-proven operating model

To execute the strategy, the Bank implemented an industry-proven ‘platform operating model’ that is conducive to rapid change and agility. Five delivery platforms serve to co-create and prioritise work with the businesses, taking full accountability for delivery. Two operations functions provide support on strategy, architecture planning, governance, risk and compliance

Improved operational resilience

The Bank commissioned and built a new disaster recovery data centre, which supports core banking and digital channel workloads to enhance business continuity and data recoverability

Advanced analytics and artificial intelligence

The Bank integrated its first cloud-based artificial intelligence ‘cognitive’ service to translate documents between English and Arabic, and developed three predictive machine learning models to support sales activity and credit decisions

Cybersecurity enhancements

ADCB implemented biometric based multi-factor authentication across customer channel systems and internal banking applications to improve cybersecurity

Delivered 80+ projects and 10,000+ changes to production systems

Projects in 2022 included system upgrades across applications and new platforms, as well as a large regulatory and compliance programme to enhance consumer protection, KYC and anti-money laundering

'Customer Experience Executive Forum'
chaired by the Group CEO

93%

Customer complaints resolved within three days

Investing in service excellence

The Bank prioritises exceptional customer service and is committed to delivering innovative products and services. ADCB continuously engages with customers to understand their needs, and delivers a personalised and secure experience through data-driven insights and co-creation.

Service excellence

The Bank's corporate strategy places customer service excellence at its core and as a valuable proposition to drive growth in market share. This commitment to providing the best customer experience permeates across the entire employee base through service-related KPIs and continuous reinforcement of a values-based culture.

Key highlights

Service excellence driven by customer engagement and insight

Rising NPS scores reflect success of the Bank's approach

Co-creation process tailors products and services to customer needs

69

Bankwide Net Promoter Score (NPS)[1]

Customer service excellence to grow market share

ADCB is a strong, well-recognised brand trusted by over one million customers for their diverse banking requirements. The Bank has built a reputation for service excellence through every touchpoint – from its digital platforms to the contact centre, branch staff and relationship managers – providing personal connection rapidly, whenever it is needed.

The Bank measures its success through fast feedback loops and uses the Net Promoter Score (NPS) to assess customer experience. NPS measures the willingness of customers to recommend our brand, products and services to others. In 2022, the overall NPS for ADCB[1] increased by three points to 69. We experienced improvements across the majority of our businesses and functions, with the Wholesale Banking NPS rising four points to 68 and the Treasury NPS increasing one point to 91.

Net Promoter Score[1]	2020	2021	2022
Retail Banking Group	52	63	**63**
Private Banking Group	76	75	**84**
Wholesale Banking Group	64	64	**68**
Treasury & Investments Group	77	90	**91**
Bankwide	52	66	**69**

Understanding and anticipating the changing needs of our customers are vital components of the Bank's approach to service, and a co-creation process is inbuilt to the development of digital platforms, products and services. Every year, hundreds of customers participate in face-to-face qualitative research sessions. This provides insight into the needs and expectations of customers and a critical understanding of opportunities to improve the banking experience.

(1) Figure refers to ADCB UAE only

Customers also participate in user testing and needs assessment studies for digital assets at all stages of development, while the Bank benefits from real-time customer feedback across its channels, including social media. Diverse data is collated centrally to drive changes and improvements across the Bank, and all customer feedback is tracked and reported on a weekly basis.

A robust system to continuously drive improvement

Importantly, concrete action is driven by a regular 'Customer Experience Executive Forum' chaired by the Group CEO, whose KPIs and scorecard feature customer service metrics – as is the case with every employee of the Bank. This is complemented by sub-committees, including a 'Voice of the Customer Forum' and 'Service Quality Forum' that consider social media feedback, customer complaints, and service metrics, which are analysed to create delivery plans. These sub-committees are chaired by the Group Heads.

This process empowers cross-function teams to work effectively to improve systems and processes. Customer insight also enables the Bank to prioritise investments in digital innovation to bring new services to the market.

Tracking and responding to customer feedback is a fundamental part of the Bank's approach to enhancing service standards. In 2022, ADCB resolved 93% of issues raised by customers within three days.

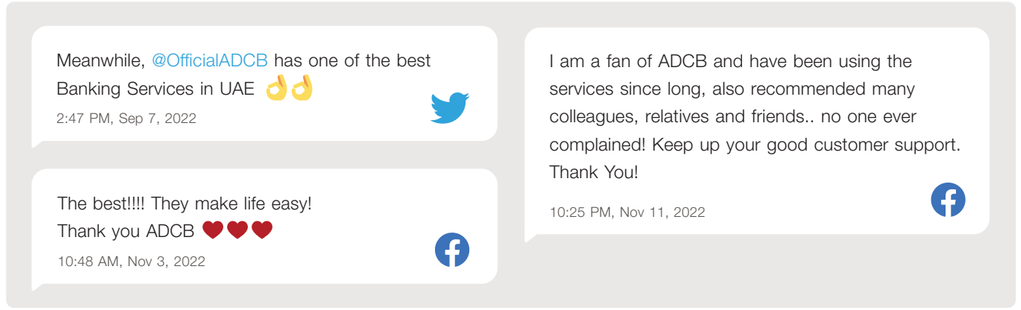
In line with our commitment to ethical banking, ADCB continuously reviews all documentation to provide transparency and clarity on all products and services. Our approach is to ensure that customers can easily access information and understand the appropriate terms and conditions to make well-informed decisions.

Steps to enhance service

The Bank introduced a range of service enhancements in 2022 through our process to integrate customer insight. For example, 'ADCB Digisign' was launched to provide added security and customer convenience. The cloud-based electronic signature solution enables businesses and Excellency customers to sign documents and agreements conveniently, allowing access to a range of products and services without the need to visit a branch.

We have also enhanced the processing of payments and remittances by introducing tracking on digital channels and instant confirmation of receipt. The Bank has also automated processes to reduce response times for customer requests, such as credit card limit changes and card replacements, loan equated monthly installment (EMI) deferments, and email responses for standard queries.

For further convenience, we have continued to extend the presence of ADCB branches and ATMs on Google Maps and other platforms, while improving location accuracy. The Bank employs a real-time dashboard to ensure rapid service improvements and an effective service recovery process based on customer feedback through the Google Maps platform.



SUSTAINABILITY

ESG as a key differentiator

As a major UAE financial institution, ADCB has a responsibility and an opportunity to actively support the country's ambitions for an inclusive, net zero economy. Through our sustainability strategy, we seek to strengthen ADCB's business resilience and operational practices, while harnessing opportunities to support our customers advance in their decarbonisation journey.

This approach enables us to play a key role in achieving the country's strategic commitments to the UN Sustainable Development Goals (SDGs) and supporting the UAE Net Zero by 2050 Strategic Initiative.

To deliver on this mandate, the Bank has fully integrated management of environmental, social and governance (ESG) risks and opportunities into our corporate strategy. This comprehensive approach is a key differentiator, with ESG contributing significantly to the Bank's institutional resilience for the benefit of all our stakeholders and providing focus for ADCB's progressive role in the economy.

The Bank published a stand-alone annual Group Sustainability Report in June 2022 to provide a regular and detailed account of our ESG journey to all key stakeholders.

In 2022, the Board approved a new sustainability strategy and governance framework with full Board oversight and coverage across the Bank.

The Bank also issued a Group Sustainability Policy and launched its Environmental and Social Risk Management (ESRM) Policy in lending, to integrate the assessment and mitigation of ESG risks emanating from credit counterparties, within our Enterprise Risk Management framework.

The policy is being supplemented with topic-specific and sectoral policies, operating procedures, and guidelines to support effective implementation across the organisation, including subsidiaries.

ADCB is well positioned to accompany clients on their transition to a low-carbon economy in the coming years. In 2022 the Bank adopted a Green Bond Framework aligned with the UN Sustainable Development Goals and based on the International Capital Markets Association (ICMA) Green Bond Principles.

This provided the foundation for ADCB's inaugural USD 500 million green bond issuance in 2022 to support the financing of low-carbon initiatives. As a result of ADCB's robust ESG approach and quality of green assets, the bond was subsequently selected to feature in the Bloomberg MSCI Green Bond Index.

In recognition of the significant progress made on sustainability, ADCB also received an upgrade to its ESG risk score from Sustainalytics, one of the world's leading ESG rating agencies. The Bank's score improved to 21.0 in September 2022 from 30.1 in March 2021, making it the highest-ranked diversified bank in the GCC and a top quartile bank globally.

The Bank's strong approach to data privacy and security also placed ADCB among the top 10 in the banking industry within the Sustainalytics ESG ratings universe globally. Prioritising business ethics, access to finance, product governance and human capital development also served to strengthen the Bank's score.

21.0
Medium Risk

Sustainalytics ESG Risk Score[1]

SUSTAINALYTICS

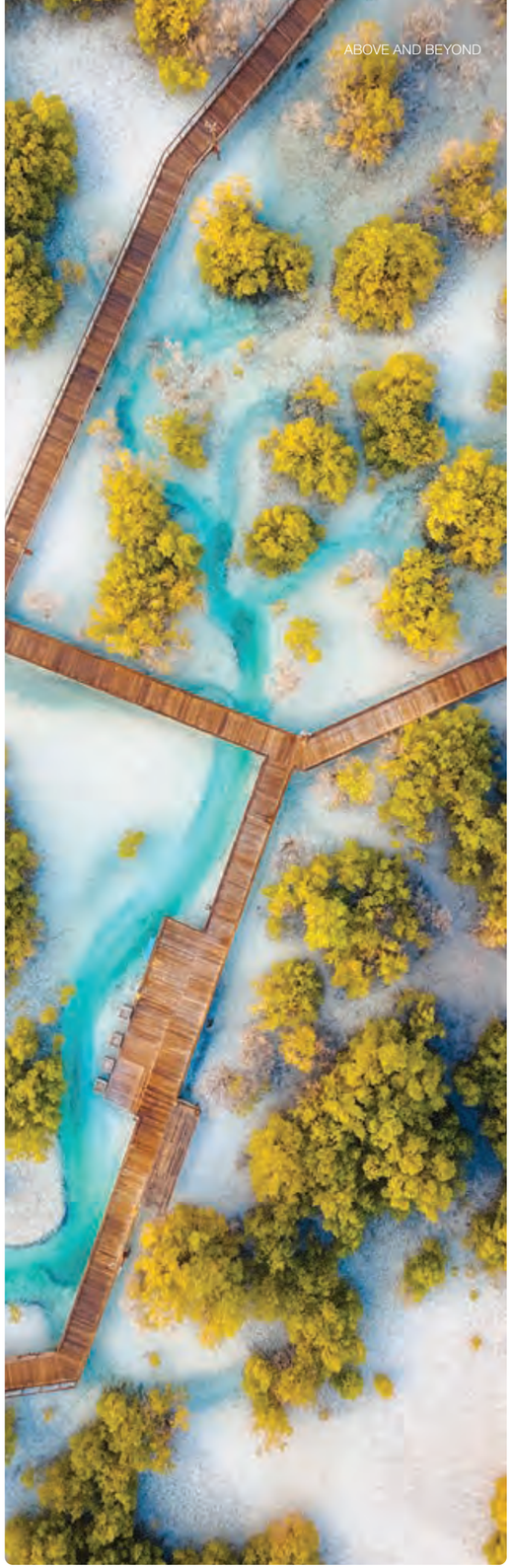
Highest-ranked diversified bank in the GCC[2]

AA

MSCI ESG Rating[1]

MSCI

Highest-ranked diversified bank in MENA[3]



(1) As at 19 January 2023
(2) GCC: Gulf Cooperation Council
(3) MENA: Middle East and North Africa

ADCB's sustainability strategy

Purpose

Support the transition to an inclusive, net zero economy

Strategic priorities

Climate

Ambition

Support the transition to a net zero economy and manage climate change risks

Workstreams

1.1 Sustainable finance
1.2 Environmental and social risk management (ESRM)
1.3 Net zero operations
1.4 Green procurement and supply chain

Commitments

> **Commit AED 35 bn to green financing by 2030** to support customers in their decarbonisation journey
> **Launch ADCB Green/Sustainable Bond Framework** and issue bonds
> Commit to **net zero in own operations**, and to **reducing financed emissions** in line with UAE government net zero ambition

Customers and communities

Provide inclusive and innovative financial services to drive sustainable economic growth

2.1 Customer satisfaction
2.2 Financial inclusion
2.3 Digital and innovative propositions
2.4 Community investment

> **Enhance experience** and **create value for money** for customers, whilst improving access to financial products
> **Digital initiatives** to drive mobile banking penetration among new and existing customers

Employees

Create a thriving workplace that attracts and retains the most talented and committed people

3.1 Employee engagement and well-being
3.2 Emiratisation
3.3 Learning and development
3.4 Equality, diversity and inclusion

> Continue to improve **diversity and inclusion metrics**, and maintain best-in-class employee satisfaction
> **Enhance employee learning** through **high quality content** and **dedicated training**

Governance

Operate a responsible business with the highest ethical standards to preserve integrity and trust

4.1 Corporate governance, compliance and code of conduct
4.2 Risk management and cybersecurity
4.3 Financial crime and anti-corruption
4.4 Tax transparency

> **Drive best-in-class governance** in the region, and continue to enhance ethical banking practices
> Maintain **industry leading data privacy** and information security

SUSTAINABLE DEVELOPMENT GOALS

Enablers

ESG governance and policies

Targets, KPIs and rewards

Training and upskilling

Stakeholder management and communications

External partnerships and commitments

Reporting and disclosures

Effective management of ESG across the Bank

A comprehensive sustainability strategy

The Bank's sustainability strategy is based on topics identified in a comprehensive materiality assessment through internal and external stakeholder engagement conducted at the end of 2021.

The strategy, guided by the UN SDGs, enables the Bank to contribute to projects where it can have most impact and where it brings most value in supporting the UAE's Net Zero by 2050 Strategic Initiative in line with the Paris Agreement.

The strategy consists of four priorities:

> Climate

> Customers and communities

> Employees

> Governance

Each pillar contains four workstreams that clearly pinpoint the initiatives that the organisation is pursuing.

The sustainability strategy forms a core pillar of our Group corporate strategy, demonstrating the level of ambition set by the Board and the Management Executive Committee (MEC) to operationalise ESG initiatives across the Bank.

A key area of focus is the development of new products and services to support our clients in their transition to a low-carbon economy.

Our sustainability strategy is based on our GRI-compliant materiality assessment and guided by the UN SDGs



Robust ESG governance underpinned by Board oversight

ADCB has instituted full board oversight for the implementation of the ESG strategy in recognition of its importance to the Bank's strategy and operations.

The Board Executive Committee (BEC) receives periodic updates on progress across all ESG workstreams and reports to the Board. All sustainability initiatives are monitored by the Group Sustainability Committee, which is chaired by the Group Chief Financial Officer. The Committee provides updates to the Management Executive Committee and to the Corporate Strategy Steering Committee.

Executive-level Group Sustainability Committee introduced, 5 meetings held in 2022

ADCB Group Sustainability Policy published, ESRM Policy approved by the Board

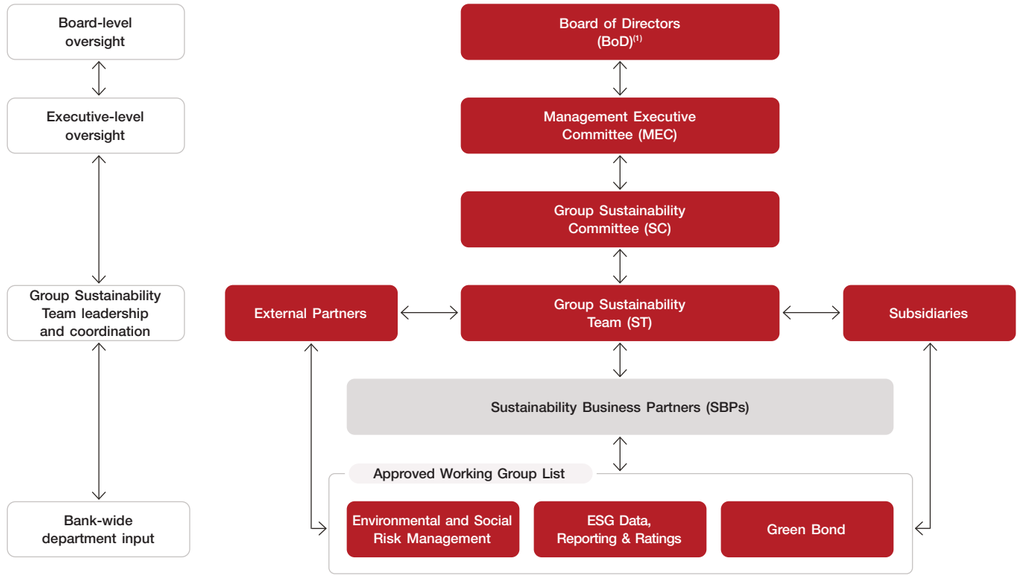
Executive Management remuneration, incentives and KPIs

Sustainability has also been embedded in the heart of ADCB's performance management framework with the Group CEO and Group CFO's remuneration linked to ESG KPIs. The ESG-related KPIs include:

- Sustainability strategy milestones
- Compliance and risk metrics
- Emiratisation target
- Digital index
- Customer Net Promoter Score (NPS)
- Organisational Health Index (OHI)

ESG strategic enablers

ADCB Group Sustainability Governance Framework



Three working groups drive delivery of our sustainability strategy

> The **Environmental and Social Risk Management (ESRM) Working Group** provides oversight on the environment and social risk management framework and its implementation across the business. The Group monitors regulation, best practice and industry expectations to propose any modifications required to the ESRM framework

> The **ESG Data, Reporting, and Ratings Working Group** is responsible for assessing the disclosure requirements to stakeholders such as regulators, the government, rating agencies and investors. It also manages end-to-end data capture, consolidation, and third-party assurance, as well as identifying and proposing performance improvements

> The **Green Bond Working Group** is tasked with reviewing and updating the ADCB Green Bond Framework, obtaining a Second Party Opinion (SPO), approving the eligible Green Loan Portfolio, monitoring and producing the allocation of green bond net proceeds and ensuring ongoing compliance. The Group also conducts impact reporting with third-party assurance, as well as green bond documentation

(1) Via the Board Executive Committee

Training and upskilling

The Bank regards training and development as an essential element in the successful execution of our ESG strategy. We are in the process of rolling out three levels of in-house training for employees:

> **Foundational:** Introductory training at all levels, including ESG content within the Bank's induction programme for all new joiners, and mandatory ESG e-learning for all existing employees

> **Advanced:** Role-specific training across all departments and Executive Management/Board-level ESG deep dives on specific topics such as climate change

> **Leadership & Culture:** The Bank is working on continuous engagement with our employees on sustainability topics, embedding ESG in ADCB's DNA

External partnerships and commitments

ADCB collaborates with a number of strategic partners to advance our strategy. We regularly monitor and evaluate the market to expand our network of external partnerships on ESG topics to match our strategic priorities.

Current partnerships include:

> Signatory to the **UAE Climate Responsible Companies Pledge** – highlighting ADCB's commitment to the UAE's Net Zero by 2050 strategic initiative

> Collaboration with the **UAE Ministry of Climate Change and Environment (MOCCAE)** and participated in COP27 as part of the UAE delegation to the conference

> Participant of the **UAE Sustainable Finance Declaration Working Group** convened by Abu Dhabi Global Markets (ADGM). This includes updates and engagement from the three Working Groups set up by the UAE Government at COP26: disclosures, taxonomy, governance

> Invited by UAE Banking Federation (UBF) to be a member of a new **ESG Islamic Finance Working Group** and to also review its ESG strategy. Participated in sustainability-related surveys and conferences hosted by the UBF

> Member of the **Abu Dhabi Sustainability Group (ADSG)**, a forum convened by the 'Environment Agency – Abu Dhabi' (EAD) to promote sustainability learning and knowledge-sharing opportunities for government, private companies and not-for-profit organisations in Abu Dhabi

> Participant of the **Executive Banking Think Tank**, an ESG-focused procurement forum, promoting and sharing ideas between major financial institutions

Reporting and disclosures

ADCB is committed to transparent disclosure of ESG performance in line with global standards and regulatory requirements, including those set by UAE Securities and Commodities Authority (SCA) and Abu Dhabi Securities Exchange (ADX).

Our ESG disclosures are also in line with international standards of non-financial reporting including Global Reporting Initiative (GRI) Standards and Sustainability Accounting Standards Board (SASB).

Stakeholder management and communications in 2022

10+
Corporate clients engaged

15
Engagement with government agencies/regulators

50+
Investors[1]

8
Rating agencies

Open dialogue with external parties continues to provide the Bank with a clear understanding of stakeholder expectations on a range of material issues and their impact.

(1) Including engagement during Green Bond Roadshows

ESG achievements in 2022

Q1 2022

- Sustainability Governance Framework approved by the Board
- Sustainability Team onboarded
- Group Sustainability Committee (SC) established (chaired by Group CFO)

Q2 2022

- Group Sustainability Policy approved and made public
- ESG risk appetite adopted
- Inaugural ESG Report published with third-party assurance from Deloitte on GHG disclosures
- Sustainability Training Plan approved with designated ESG Training Lead

Q3 2022

- Green Bond Framework approved, and Second Party Opinion (SPO) published
- Inaugural USD 500 million green bond issued, met 50+ investors during the roadshow in London and Singapore
- Environmental and Social Risk Management (ESRM) Policy approved by Board
- Green Bond selected for inclusion in the Bloomberg MSCI Green Bond Index

Q4 2022

- Sustainalytics awarded ADCB an ESG Rating of 'Medium Risk' with a score of 21.0, making it the highest-ranked diversified bank in GCC and a top-quartile bank globally
- Ranked top GCC bank in the Forbes 'World's Best Employers 2022' survey
- Participated in COP27 as part of the UAE delegation
- Established the ESG Data, Reporting and Ratings Working Group to manage ESG data across the Group
- Rolled out ESG introductory training as part of ADCB corporate induction for all new staff

RISK MANAGEMENT

Risk review

Risk is a fundamental part of our business and underpins decision-making at every level across the Group. The Bank takes a proactive approach and is driven by its values, which play an integral role in enforcing the discipline required to protect the organisation and its stakeholders.

We are a systemically important bank in the UAE, and a consistent and sustainable performance depends on our ability to successfully mitigate and manage risk at every level. A strong culture of risk awareness is embedded across the organisation, and every employee is expected to play an active part in managing and mitigating the risks we face.

Each year we evaluate our risk appetite through a systematic review before presenting it to the Board Risk Committee (BRC). This guides our approach at individual, department, function, and portfolio level and is consistent with the overall Group appetite.

Our risk framework, processes and procedures are designed to be aligned and consistent across the Group and to empower our ambitious plans for growth.

4 new metrics

Added to ‘Principal risks’ in 2022

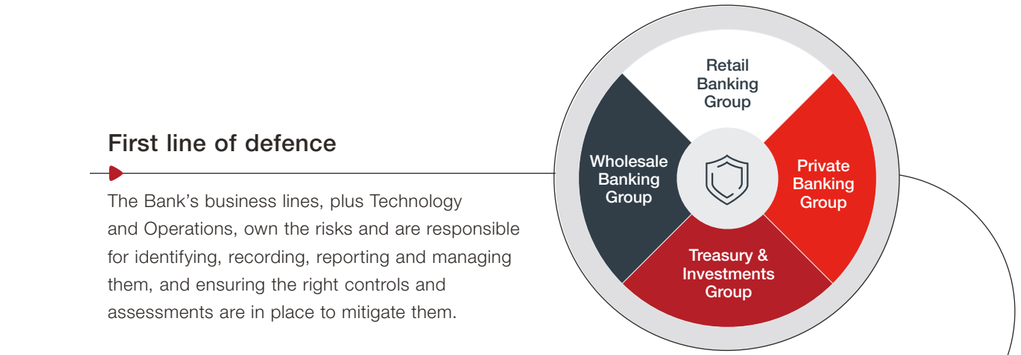
7 new credit policies

Implemented in 2022 to support credit growth



A robust risk management framework

ADCB uses an activity-based three lines of defence model. This determines accountabilities and responsibilities for risk management across the Group. It forms the basis of our approach to risk management by clarifying responsibilities, encouraging collaboration, and enabling efficient coordination of risk and control activities.



Risk governance roles & responsibilities

Board of Directors	Establish and ensure strong control environment
Management Executive Committee	Oversight and implementation
Risk Management Function	Governance and compliance
Business Line Management	Ownership
Internal Audit	Assurance

Activities in 2022

Enhancing capabilities

Anticipating and adapting to extensive regulatory changes introduced by the Central Bank of the UAE (CBUAE) were the focus of our activities across Risk Management in 2022.

Following a comprehensive baseline review in 2021, the Bank has taken the opportunity to ensure it not only meets, but also in many cases exceeds, the requirements of the CBUAE. In 2022, we updated our frameworks, policy documentation, and our approach to controls and the operating environment. We continued to review our risk appetite and made substantial progress in enhancing our approach to data management.

As part of our continuous review of our risk appetite, we incorporated four additional pillars and new metrics to our existing principal risks in 2022. These were data privacy & protection, model risk, sustainability, and Islamic banking, for which we have created a standalone, adjunct risk appetite.

In the area of credit risk, the Bank implemented seven new risk policies; covering enterprise risk management, reputational risk and model risk assessment.

In accordance with the Basel Accords, the Bank continued to emphasise capital structure, capital planning, and capital allocation as part of our strategic decision-making. (For more information, please refer to the Basel III – Pillar III Report on adcb.com/ir)

A new integrated system

A new Group-wide software platform called 'Connected Risk' was installed and introduced. The platform visualises, and prioritises risks from all areas of the business, and serves as a vehicle to connect with legacy solutions where required. The result is an enterprise-wide view of risk, where information is available on a customised dashboard.

The advanced system spans the entire footprint of ADCB Group, including our subsidiaries, and provides a complete suite of solutions to cover the spectrum of risk management. As part of the roll-out of the new 'Connected Risk' operational risk system, the Bank plans to introduce additional models in 2023 to enable operational risk to be better managed, measured, and reported.

Placing ESG at the heart of risk

The Bank issued its Environmental and Social Risk Management (ESRM) policy in 2022 and developed additional scorecards and policies. The ESRM policy outlines the framework for how ADCB Group identifies, mitigates, and manages potential environmental and social risks, including climate risks associated with client activities that could lead to credit or reputational risks to the Bank.

The ESRM steering committee – attended by Risk, Wholesale Banking, Credit, Sustainability and Finance Departments – agreed on an operating model, roles, and responsibilities for each team, and put in place a phased approach to implement the ESRM policy across the business.

We continued to develop our risk management protocols in relation to the Bank's approach to ESG. As part of preparations for the launch of the Bank's inaugural green bond, we also assessed the green assets within the portfolio and incorporated them within our systems. This has enabled us to accurately track a variety of sensitive sectors and improve the quality of our data and reporting.

Advances in cybersecurity

Ensuring the Bank is secure and that our customers and reputation are protected from cyber-attacks is a critical element of our approach to risk. ADCB maintains robust preventive and detective controls to mitigate cyber-attacks, which continue to grow in sophistication and frequency.

Our cybersecurity resilience is tested using specialised third-party security providers, who conduct regular penetration and 'red team' tests. In 2022, the tests were expanded to include our subsidiaries and we also conducted a maturity assessment of our systems and processes as part of a SWOT analysis. A team of dedicated professionals continued to calibrate our cybersecurity activities and optimised and aligned security across the Group with a particular focus on Al Hilal Bank and ADCB Egypt.

Another priority for the Bank in 2022 was addressing the increasing threat of ransomware attacks. For additional security, the Bank has retained a company that specialises in ransomware protection to provide technical, logistical, and incident management support across the Group in the event of any breach. We have also carried out a tabletop exercise and scenario testing to improve our response.

We continuously validate and certify our security practices with global security standards, including ISO 27001, PCI DSS, SWIFT CSCF, and UAE Information Assurance Standards.

Commitment to data privacy and security

The Bank is committed to safeguarding the rights of its customers and to ensuring information on products and services is clear, comprehensive and easy to understand. This approach extends to the protection of sensitive information and the Bank welcomes the trajectory of increasingly rigorous thematic reviews and monitoring by regulators, including the Central Bank of the UAE (CBUAE), designed to enhance consumer protection and stability in the banking industry.

The Bank's 'Data Strategy and Roadmap' for 2022 focused on delivering the 'Data Protection Programme' (DPP) along with key regulatory requirements. Our approach has enhanced the maturity and effectiveness of data governance across the Group.

We updated and enhanced seven data privacy and governance policies, strengthened our data protection operating model, applied new data governance frameworks, and embedded data risks into the overall risk management portfolio of the Bank.

To underline the importance of data protection and the handling of personal information, we delivered e-learning mandatory training to employees which achieved a completion rate of over 95%. In addition, 32 focused sessions on data privacy and potential breaches were delivered. Within the communication campaign, two data privacy awareness emails were sent to all staff.

At the same time, we continued to increase the number of data protection impact assessments and worked with suppliers on improving vendor risk management. As a result, we updated almost 40 contracts with data sharing agreements.

Improvements on data privacy and cybersecurity played a significant part in the upgrade of the Bank's ESG risk score from Sustainalytics, one of the world's leading ESG rating agencies. We will continue to build on the achievements delivered in 2022 that have firmly embedded our data principles across the Bank and its subsidiaries.

7

Data privacy policies enhanced

Effective fraud prevention

Incidents of fraud in the global banking sector continue to rise and we regularly review and update our control environment to provide customers with early alerts and indications of potentially fraudulent activities.

In 2022, the Bank piloted the use of ADCB FacePass, a new facial recognition feature on its digital banking platforms. The system uses the most up-to-date biometric technology -- a combination of facial and iris recognition -- employed by Government agencies, including immigration control. Over time, this feature will replace the reliance on one-time passwords (OTP) for digital banking transactions, further reducing the risk of fraudulent activities via phishing and other social engineering scams.

The Bank's approach has proven highly successful in preventing attempts to defraud customers, the majority of which have been focused on individual transactions related to credit and debit cards.

We continue to raise awareness among our customers through targeted messaging on screens across our ATM network and in our branches. This is supported by awareness campaigns via email and SMS communication, as well as OTP messaging.

Rigorous penetration testing

The Bank has improved the speed and efficiency of penetration testing for every new digital service launched by the Group, by creating an in-house capability complemented by external vendor support. As the number and complexity of new digital releases increase, it is important that the Bank delivers these innovative services without compromising security. To streamline processes, we have enhanced our source code review capabilities to allow the Bank to analyse every app feature while in development.

Refining market risk capabilities

To enhance our market risk capabilities, the Bank established new model risk management and governance responsibilities, revised the organisational structure, and added more resources. These changes support the implementation of models and systems to support the Basel III and IV regulatory frameworks and CBUAE requirements. We also conducted an external validation exercise for all our models.

Risk KPIs & performance

KPIs	2022	2021
Capital common equity tier 1 (CET1)	12.96%(1)	12.94%(2)
Liquidity coverage ratio (LCR)	138.9%	124.1%
Loan to value ratio for real estate portfolio	81%	81%
Non-performing loan (NPL) ratio	5.25%	5.41%
Provision coverage ratio(3)	93.0%	93.4%
Provision coverage ratio with collateral	144%	149%
Cost of risk (COR)	0.76%	0.77%

(1) Post proposed dividend
(2) Post dividend payment
(3) Provisions on loans and advances, including fair value adjustments

External risk scenarios

We identify and actively monitor a range of external risks that have the potential to lead to significant, unexpected adverse outcomes for the Bank or its ability to meet strategic objectives. These external risks, their potential impact and mitigation strategies are summarised below.

External risk	Definition and potential impact	Mitigation strategy
Macro-economic conditions in the operating markets	Subdued growth due to inflationary pressures, higher interest rates and the broader impact on the economy as we transition into 2023 post global pandemic. In this global context, the UAE continues to benefit from higher oil prices and strong liquidity.	The Bank's strategy is aligned to its risk appetite and we update the macro-economic variables within our provision models to reflect the evolving state of the market. The Economic Sector Limits that were established in 2020 have been retained and continue into 2023.
Geopolitical risk	Geopolitical tensions remain a risk in the region and stem from sources unrelated to the Bank and its businesses. In 2022, we perceived that geopolitical risk within the Middle East remained stable, while global trade was increasingly impacted by global economic conditions rather than tensions in the region.	We regularly monitor geopolitical and economic situations around the world. In terms of our Asset and Liability Committee (ALCO) deliberations, we factor in geopolitical risks as part of overall liquidity considerations. ADCB's Chief Economist assesses the economic impact of changing geopolitical risks and provides critical input to drive our strategy. Where necessary, we adjust our country limits and exposures to reflect our appetite to mitigate these risks.
Regulatory and legal risks to our business model	New regulatory requirements may have an impact on our business model and profitability. Should a regulatory change reduce our ability to meet our customers' needs or achieve fair customer outcomes, we may experience increased costs and reputational damage. Moreover, the inability to satisfy our customers would cause the Bank to fall short of its strategic objectives, potentially hurting earnings, liquidity, capital and shareholder confidence. The risk of failure due to unanticipated external regulatory and legal changes may affect all our businesses. In the past 12 months, we perceived that this risk continued to remain high due to the frequency of new regulations being issued by the UAE Central Bank.	We strive to ensure that the Bank's views are considered when UAE regulatory policy is developed. ADCB chairs and/or is a member of, several forums within the UAE Banks Federation. Internally, we analyse all new draft regulations or circulars to measure their impact and ensure they can be implemented. We also confirm that our capital and liquidity plans anticipate the potential effects of any changes.
Health of staff & community	The global pandemic highlighted the risks that public health issues present to our employees and customers and the potential impact on our operations. This risk was reduced in 2022 as the organisation returned to business as usual.	The Bank retains a remote working capability to ensure our staff and critical activities can be performed remotely should an adverse situation be triggered.
Cyber threats	Threats from external parties related to cyber/phishing/ fraud remained high in 2022.	We increased the level of communication to our customer base and employees to increase awareness of cybersecurity issues and fraud attempts. We provided examples of how these attempts are undertaken to build protection against these risks. The Bank continued to invest in tools, systems, penetration testing and vendor support to ensure our perimeter and systems remain strong against attacks. Our control environment was also updated to factor in new threats. Furthermore, a maturity assessment has been launched to benchmark the Bank against regional and global best practice.

Note: BEC: Board Executive Committee; BRC: Board Risk Committee; BAC: Board Audit Committee;
NCHRG: Board Nomination, Compensation, Human Resources and Governance Committee; MEC: Management Executive Committee;
ALCO: Asset and Liabilities Committee; MCC: Management Credit Committee; MMRC: Management Model Risk Committee;
PMC: Performance Management Committee; RMC: Risk Management Committee

Our principal risks

Our principal risks are frequently reviewed and updated, particularly in a challenging and rapidly evolving environment. They ensure the Bank's full enterprise risk profile is measured, monitored, and aligned with our overall Group strategy.

Principal risk	Definition	Approach	Oversight
Capital risk	Potential for: (i) Insufficient level or composition of capital to support normal activities or stressed conditions; and (ii) Risk of loss arising from the Bank failing to maintain the level of capital required by prudential regulators and other key stakeholders to support operations and risk appetite.	We maintain a healthy and active approach to capital management, including the maintenance of buffers sufficient to support our strategic aims and maintenance of an investment-grade rating. ADCB is well-capitalised and regularly runs stress tests to ensure sufficient capital coverage. We manage capital utilisation, and business growth within the risk-weighted asset (RWA) target ranges reflected in our business plans. Such plans also target the stability of earnings. We grow our business by targeting recurring economic profit commensurate with risks being taken and returns expected. Capital implications from our ICAAP and stress test results also feed into the Bank's considerations.	Accountable executives: – Group Chief Financial Officer – Group Chief Risk Officer Accountable committees: PMC, BAC, BRC, Board
Compliance/ Regulatory risk	Potential for impact and exposure to regulatory sanctions or loss from a failure to comply with regulatory requirements, laws, or industry standards.	We are committed to upholding compliance standards, laws, regulations, and industry standards, as well as internal policies and sound corporate governance principles. Identified breaches are remedied as soon as practicable. The Bank has no appetite for deliberate or negligent non-compliance.	Accountable executives: – Group Chief Compliance Officer – Group Chief Risk Officer Accountable committees: MEC, BAC, Board
Conduct risk	Potential for detriment to retail customers, corporate clients, or market integrity from the inappropriate supply of financial services or from a failure on our part to abide by the Bank's Code of Conduct Policy and/or applicable laws and regulations, including insider trading and anti-bribery risk.	We maintain the standards in our Code of Conduct and core values, ensuring we always 'do the right thing' in how we conduct business. The Bank expects employees to conduct themselves with a high degree of integrity and to strive for excellence in the work they perform and the outcomes they achieve. The appetite for behaviours that do not meet these standards is very low. ADCB takes any breaches of its Code of Conduct very seriously. We have clearly defined policies on anti-bribery and corruption, anti-money laundering and insider trading. We are committed to creating a safe working environment for all our employees, where they are protected from physical and psychological harm. We have zero-tolerance for practices or behaviours that could be expected to lead to staff being harmed while at work. We are also committed to treating our customers fairly by operating with transparency and providing clear information on products and services, managing conflicts of interest related to these services, avoiding misselling. We maintain a rigorous process to ensure that the products and services we provide are suitable to customers.	Accountable executives: – MEC members Accountable committees: MEC, NCHRG, BAC, Board

Our principal risks (continued)

Principal risk	Definition	Approach	Oversight
Credit risk	Potential for financial loss due to the failure of a customer to meet the agreed obligations to pay the Bank. This also includes concentration risk (large exposure to specific client groups, sectors, or geographies) and decreases in credit quality.	We manage our credit exposures by having a sound analytical framework, focusing on analysing cash flows and considering the legal framework of the Bank and borrower. We apply a set of criteria and policies to lending, which means we only deal with clients with good creditworthiness. This ensures that facilities are appropriately secured, wherever feasible. We have a greater appetite for risk in industries we understand well and have the insights, capability, and capacity to manage and monitor. We remain a relationship-driven business rather than pursuing opportunistic transactions. Wherever possible, collateral is taken to reduce unsecured lending. Larger transactions are taken to the BEC for approval and the full Board to meet regulatory requirements.	Accountable executives: – Group Chief Credit Officer – Group Heads for Retail Banking and Wholesale Banking – Group Chief Risk Officer Accountable committees: MCC, BAC, BEC, BRC, Board
Data privacy and data protection risk New metric	Potential for customers, employees, corporate and related parties to lose control over their personal data, or to experience unintended outcomes and harm as a result of the Bank's processing of that data.	**Breach management:** We have no appetite for 'significant' breaches of personal data processed by the Bank and a very low appetite for 'insignificant' breaches of personal data. **Data protection impact assessment:** We have no appetite for a failure to implement controls within defined timelines, identified during Data Protection Impact Assessments. **Data subject rights:** We have no appetite for a failure to facilitate the exercise of data subject rights, as required within the timeframes specified in applicable laws. We are committed to ensuring that customer information is authentic, appropriately classified, properly conserved and managed in accordance with legislative and business requirements. The Bank has no appetite for the deliberate misuse of customer information. We have no appetite for compromise of processes or data integrity issues that may cause limited or erroneous data to adversely affect our ability to make correct business decisions or jeopardise the integrity of management and regulatory reporting, which may also lead to financial loss. This also extends to leakage of customer data outside the organisation. The Bank will act to mitigate these risks at all times balancing the cost of maintaining a control environment against the impact and likelihood assessment of a risk happening.	Accountable executives: – Head of Data Management – Group Chief Risk Officer Accountable committees: MEC, BRC, Board
Financial crime risk	Potential for legal or regulatory penalties, material financial loss or reputational damage resulting from the failure to comply with applicable laws and regulations relating, but not limited to, international sanctions, anti-money laundering and anti-bribery and corruption.	We have no tolerance for breaches in law and regulations related to financial crime, recognising that while incidents are unwanted, they cannot be entirely avoided. The Bank has no appetite for any fraud or corruption perpetrated by its staff. All allegations of suspected fraud or corruption are taken seriously, as set out in the Code of Conduct.	Accountable executives: – Chief Compliance Officer – Group Chief Risk Officer – Head of Fraud & Investigations Accountable committees: MEC, BAC, Board
Information security and technology risk	Potential for loss from a breach of confidentiality, integrity, or availability of the Bank's information systems and assets through cyber-attack, insider activity, error, or control failure. This includes the risk of loss of confidential information plus the management and quality of data held within systems which may lead to financial losses.	We have a minimal appetite for risk concerning the availability of critical business systems. Service availability requirements have been identified and agreed upon within each business area. We have no appetite for damage to our assets from threats arising from malicious attacks. We have strong internal processes, and robust technology controls to address this risk. Our appetite remains low for IT system-related incidents generated by improper project management practices, excluding the unknowns before any 'go live'. ADCB provides a secure environment for its people and assets by ensuring its physical measures meet high standards. We have no appetite for the failure of physical security measures. We are committed to ensuring that information is authentic, appropriately classified, properly conserved, and managed per legislative and business requirements. We have no appetite for the deliberate misuse of information. Nor do we have any appetite for compromise of processes or data integrity issues that may cause limited or erroneous data to adversely affect our ability to make correct business decisions or jeopardise the integrity of management and regulatory reporting, which may also lead to financial loss. We always mitigate these risks, balancing the cost of maintaining a controlled environment against the impact and likelihood assessment of a risk occurring.	Accountable executives: – Head of Information and Physical Security Governance – Head of Data Management – Head of Technology Services – Group Chief Risk Officer Accountable committees: MEC, BRC, Board
Liquidity and funding risk	Potential that the Bank will be unable to meet its payment obligations associated with its financial liabilities when they fall due and replenish funds when withdrawn. Funding risk is the risk that ADCB will be unable to achieve its business plans due to its capital position, liquidity position or structural position.	We actively manage our liquidity and funding base to ensure that the Bank always has sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to ADCB's reputation. We do not have any appetite for losing our investment-grade ratings and are mindful of managing liquidity and funding within the constraints of Basel III, regulatory obligations and the desire to be the last bank standing.	Accountable executives: – Group Treasurer – Head of Market Risk – Group Chief Risk Officer Accountable committees: ALCO, BRC, BEC, Board

Note: BEC: Board Executive Committee; BRC: Board Risk Committee; BAC: Board Audit Committee; NCHRG: Board Nomination, Compensation, Human Resources and Governance Committee; MEC: Management Executive Committee; ALCO: Asset and Liabilities Committee; MCC: Management Credit Committee; MMRC: Management Model Risk Committee; PMC: Performance Management Committee; RMC: Risk Management Committee

Our principal risks (continued)

Principal risk	Definition	Approach	Oversight
Market risk	Potential that changes in market prices, such as interest rates, equity prices, foreign exchange rates, commodity prices and credit spreads (not related to credit standing) will affect the Bank's income, assets/liabilities or the value of its holdings of financial instruments.	We control our trading portfolio and activities to ensure that losses related to market risk (financial or reputational) do not cause material damage to the Bank. Our appetite across 10 key categories is set out within the market risk appetite framework, covering: interest rate risk, foreign exchange risk; equity exposure risk; commodity risk; volatility risk; counterparty risk and liquidity risk. Specific limits are established based on the trading book, investment book and banking book activities.	Accountable executives: – Group Treasurer – Head of Market Risk – Group Chief Risk Officer Accountable committees: ALCO, BRC, Board
Model risk New metric	Recognising that the use of models invariably presents "model risk", which is the potential for adverse consequences from decisions based on incorrect or misused model outputs and reports. Model risk can lead to financial loss, poor business and strategic decision making, or damage to a bank's reputation.	We look to minimise the impact of model risk by ensuring it has an appropriate governance framework in place (separating model development and model validation functions); regular internal and external validations; and remediation activities tracked via the model inventory tool. ADCB will also set aside a provision overlay to capture the inherent model risk that the Bank has by virtue of reliance on numerous models covering market risk/credit risk/provisioning etc.	Accountable executives: – Head of Credit Risk Management – Head of Treasury, Market & Liquidity Risk – Group Chief Risk Officer Accountable committees: MMRC, RMC, BRC, Board
Operational risk	Potential for loss resulting from inadequate or failed internal processes, people, and systems, or the impact of external events. This includes fraud, technology, outsourcing and legal risk.	Operational risk is a fundamental element of the Bank's approach to risk and impacts its banking products, activities, processes, and systems. Our framework ensures a consistent approach and supports business objectives, reinforces a proactive risk management culture, and continuously improves ADCB's control environment. We manage operational risk by ensuring accountability and ownership across the Bank. We employ tools to reduce the probability of the occurrence of operational risk events that could threaten the Bank's reputation, the quality of our services and products, or the efficiency of our processes. We monitor the stability of our systems, the effectiveness of business continuity planning and disaster recovery to ensure the level of service we offer customers, and regulators' expectations are never compromised. We have adopted five levels of operational risk severity ratings — minor, low, moderate, major and extreme — whereby minor and low risks lie within the Bank's risk appetite and extreme constitutes a threat to the Bank's ability to continue its operations. The Bank mitigates these risks at all times, balancing the cost of maintaining a controlled environment against the impact and likelihood of a risk occurring.	Accountable executives: – Business Heads – Head of Operational Risk – Head of Fraud & Investigations – Group Chief Risk Officer Accountable committees: Operational Risk Working Group, MEC, BAC, BRC, Board

Principal risk	Definition	Approach	Oversight
Reputational risk	Potential adverse effects can arise if the Bank's reputation is damaged due to factors such as unethical practices, breach of law, regulation, customer dissatisfaction, data privacy breaches and complaints or adverse publicity.	We protect the Bank from material damage to its reputation by ensuring that any business activity is satisfactorily assessed and managed by the appropriate management and governance oversight level. We have a very low appetite for material legal cases against the Bank and, where appropriate, will adequately make provisions in a timely manner.	Accountable executives: – MEC members Accountable committees: BAC, BRC, Board
Sustainability risk New metric	The potential adverse effects on the Bank and/or its financial position that can arise if the dimensions of sustainability (climate change, customers & communities, employees and governance) are not well managed to industry and global best practice standards.	We comply with international reporting standards and industry best practice to facilitate a proactive approach to managing ESG risks and opportunities, which are underpinned by UN Sustainable Development Goals (SDGs). We will maximise our contribution to an inclusive, net zero economy to support the UAE's Net Zero by 2050 Strategic Initiative. We will adhere to lending practices that align with the Equator Principles. **Climate:** We support the transition to a net zero economy and manage climate change risks **Customers and communities:** We provide inclusive and innovative financial services to drive sustainable economic growth and development. **Employees:** We create a thriving workplace that attracts and retains the most talented and committed people. **Governance:** We operate a responsible business with the highest ethical standards to preserve integrity and trust.	Accountable executives: – MEC members Accountable committees: Sustainability Committee, BEC, Board
Islamic Banking risk New metric	The potential adverse effects that can arise if the Bank is not fully in compliance with the rules and principles of Islamic Shari'ah as interpreted by the Internal Shari'ah Supervision Committee (ISSC) of ADCB, as well as the standards, notices and resolutions issued by the Higher Shari'ah Authority. This relates to the operation of the Islamic window and its products and services.	We aim to protect the Bank and its Islamic Banking customers from material damage by ensuring that any business activity is satisfactorily assessed and managed by the appropriate level of management and governance oversight in accordance with Islamic principles, regulations and ISSC guidance. ADCB has a low appetite for non-compliance with Shari'ah guidance and regulations.	Accountable executives: – MEC members – Head of Islamic Banking Accountable committees: ISSC, BRC, Board

Note: BEC: Board Executive Committee; BRC: Board Risk Committee; BAC: Board Audit Committee; NCHRG: Board Nomination, Compensation, Human Resources and Governance Committee; MEC: Management Executive Committee; ALCO: Asset and Liabilities Committee; MCC: Management Credit Committee; MMRC: Management Model Risk Committee; PMC: Performance Management Committee; RMC: Risk Management Committee

GOVERNANCE

2022 ADCB Corporate Governance Report was signed off by the Group Chief Compliance Officer, Group Chief Risk Officer, Group Chief Internal Auditor and Group Chief Financial Officer. Furthermore, it was approved by the full Board.

Corporate Governance Report

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Statement from the Chairman of the Board

On behalf of the Board of Directors, I am pleased to present ADCB's Corporate Governance Report for 2022. Throughout the year, the Bank continued to strengthen its governance framework in line with UAE Central Bank regulations and international best practice.

A robust and disciplined approach to governance provides the foundation for effective decision-making at all levels of the organisation, promoting institutional resilience and sustainable, inclusive growth. Our values – integrity, care, ambition, respect and discipline – are embedded across the Group, which further strengthens our risk management and resilience. Furthermore, the Board, its committees, and the Management Executive Committee are committed to upholding the highest standards of transparency.

In 2022, the Board and its committees made significant progress in delivering on our strategic goals, providing oversight on the further development of policies that build resilience and best practices.

ADCB is proactively investing in technology and capabilities to ensure continuous compliance in a rapidly evolving regulatory landscape. We welcome the trajectory of increasingly rigorous thematic reviews and monitoring by regulators, including the Central Bank of the UAE (CBUAE), designed to enhance consumer protection and nurture strength and stability in the banking industry. In 2022, the Bank continued to progress on the implementation of newly introduced regulations, including on outsourcing in the banking industry, which incorporates a look-back requirement.

Following a comprehensive assessment conducted in conjunction with the CBUAE, the Group incorporated several enhancements to its risk management framework and processes, with a particular focus on alignment of governance across our subsidiaries. ADCB is taking a comprehensive approach to its digital transformation programme, ensuring that cybersecurity, data protection and privacy are continuously upgraded as the Bank introduces new products and services. Investment in new technology and people is also enhancing internal controls to improve risk management and governance.

In parallel, ADCB made significant progress on sustainability and embedded ESG into its corporate strategy, with full Board oversight and executive remuneration evolving to become linked to ESG-related KPIs. Implementation of initiatives is being driven by a dedicated executive-level sustainability committee.

Global rating agencies are recognising the Bank's progress on sustainability. Sustainalytics upgraded the Bank's ESG risk score, making ADCB the highest placed diversified bank in the GCC region. ADCB also commands an ESG rating of 'AA' from MSCI based on best practice in data security, talent management and business ethics.

In 2022, we welcomed three new members to the Board: Sheikh Sultan Bin Suroor Al Dhaheri; Amr Al Menhali; and Fatima Al Nuaimi; adding further diversity in terms of perspective and professional experience.

ADCB's commitment to implementing best practice governance is key to building further institutional strength for the benefit of all stakeholders and the UAE economy. As a leading financial institution, the Bank is primed to continuously set the benchmark for responsible practices, from risk management to consumer protection and cybersecurity.

I would like to take this opportunity to thank all my colleagues on the Board and ADCB's Management Executive Committee for their commitment and dedication. I look forward to working together in the year ahead to build on the Bank's achievements.



Khaldoon Khalifa Al Mubarak
Chairman

Board of Directors



Chairman of ADCB Board

H.E. Khaldoon Khalifa Al Mubarak

Chairman

Independent, Non-Executive Director

H.E. Khaldoon Khalifa Al Mubarak is the Managing Director & Group Chief Executive Officer of Mubadala Investment Company PJSC, responsible for aligning Mubadala with Abu Dhabi's economic diversification efforts. Beginning his career at the Abu Dhabi National Oil Company, Al Mubarak held a number of positions at Tawazun Economic Council, formerly known as UAE Offsets Group, before assuming his current portfolio of responsibilities.

H.E. Khaldoon Khalifa Al Mubarak holds a number of UAE Government and Abu Dhabi Government responsibilities, including: A Member of the Abu Dhabi Executive Council since 2006; a Founding Member of Abu Dhabi's Supreme Council for Financial and Economic Affairs; the Presidential Special Envoy to China since 2018; and the Founding Chairman of the Abu Dhabi Executive Affairs Authority, which has provided strategic policy advice to the Chairman of the Abu Dhabi Executive Council since 2006. He has a Bachelor's degree in Economics & Finance from Tufts University, USA.

External appointments as of 31 December 2022:

- Abu Dhabi Executive Affairs Authority, Chairman (2006), UAE
- Emirates Nuclear Energy Corporation, Chairman (2009), UAE
- Emirates Global Aluminium PJSC, Chairman (2014), UAE
- City Football Group Limited, Chairman (2008), UK
- Abu Dhabi Executive Council, Member (2006), UAE
- UAE Supreme Council for Financial & Economic Affairs, Member (2020), UAE
- Abu Dhabi National Oil Company, Member (2021), UAE
- Group 42 Holding Limited, Member (2020), UAE
- Abu Dhabi Investment Council Company PJSC, Chairman (2022), UAE



NCHRG Chairman

H.E. Hussain J. AlNowais

Vice Chairman

Independent, Non-Executive Director

H.E. Hussain J. AlNowais joined the ADCB Board in 2019. He is the Founding Member and Chairman of AlNowais Investments.

H.E. Hussain J. AlNowais holds a Bachelor's degree in Business Finance from Lewis & Clark College, USA.

External appointments as of 31 December 2022:

- AMEA Power LLC, Chairman (2016), UAE
- Al Nowais Investments LLC, Chairman (2016), UAE
- Rotana Hotels and Real Estate Investment, Member (2006), UAE



BAC Chairlady

Aysha Al Hallami

Independent, Non-Executive Director

Aysha Al Hallami was appointed to the Board of Directors in April 2013 and was elected on 14 March 2022 at the Annual General Assembly meeting. In June 2021, Aysha moved to the Abu Dhabi Investment Authority's newly created Core Portfolio Department to help develop its comprehensive strategy.

Aysha holds a Bachelor's degree in Business Sciences, Finance from Zayed University, UAE and a Master's degree in Finance & Banking from Cass Business School, City University, UK. She is also a CFA holder and has a degree in Private Equity and Venture Capital from Harvard Business School, USA.

External appointments as of 31 December 2022:

- Aysha Al Hallami does not hold any external directorships as of 31 December 2022



BEC Chairman

Saeed Mohamed Hamad Almazrouei

Independent, Non-Executive Director

Saeed Mohamed Hamad Almazrouei was appointed to the Board of Directors in 2019. Saeed Mohamed Hamad Almazrouei is the Deputy Platform CEO, Direct Investments, at Mubadala Investment Company PJSC. In this role, he oversees platform-wide activities, supports the delivery of the platform's investment strategy, manages the platform's capital allocation, ensures the successful implementation of capital deployment and monetisation of transactions and assesses value, risks and expected returns. Before his current position, Saeed Mohamed Hamad Almazrouei was Deputy Chief Financial Officer at Mubadala Investment Company PJSC, where he oversaw the group-wide Finance function and delivery of the company's growth strategy, supporting various acquisitive transactions and asset monetisation. He was also responsible for all Treasury activities including Mubadala's bond issuances and project financing.

He holds a Bachelor's degree in Finance from Suffolk University, USA and Master's degrees in International Securities Investment and Banking from University of Reading, UK; and National Security and Strategic Studies from National Defence College, UAE.

External appointments as of 31 December 2022:

- Abu Dhabi Investment Council Company PJSC, Non-Executive Director (2022), UAE
- Edge Group, Non-Executive Director (2022), UAE
- Abu Dhabi Retirement Pension & Benefits Fund – (Operating Company), Non-Executive Director (2019), UAE
- CEPSA – Compañía Española de Petróleos S.A., Non-Executive Director (2019), Spain
- OMV AG, Non-Executive Director (2021), Austria
- Nova Chemicals Corporation, Non-Executive Director (2021), Canada
- International Petroleum Investment Company PJSC, Non-Executive Director, UAE
- Yas Holding LLC, Non-Executive Director (2021), UAE

BEC Member · BRC Member · NCHRG Member · BAC Member

Board of Directors



BRC Chairman

Carlos Obeid

Independent, Non-Executive Director

Carlos Obeid was appointed to the Board of Directors in 2019. Carlos Obeid is the Group Chief Financial Officer of Mubadala Investment Company PJSC and is responsible for managing the organisation's Business Finance including Treasury and Investor Relations, Financial Planning and Business Performance and Financial Governance and Reporting.

Before joining Mubadala, Carlos Obeid worked with the UAE Offset Program Bureau, where he led a wide range of initiatives including privatisation, utilities and financial services.

Carlos holds a Bachelor's degree in Electrical Engineering from American University of Beirut and a Master's degree in Business Administration from INSEAD.

External appointments as of 31 December 2022:

> Mubadala Infrastructure Partners Limited, Chairman (2008), UAE
> Cleveland Clinic Abu Dhabi LLC, Non-Executive Director (2010), UAE
> Global Foundries Inc, Non-Executive Director (2012), USA
> Mubadala Capital, Non-Executive Director, (2021), UAE



Khalid Deemas Alsuwaidi

Non-Executive Director

Khalid Deemas Alsuwaidi was elected to the Board of Directors in March 2009. He was appointed to the Board of Directors on 14 March 2022. He has more than 16 years of banking experience, having held senior management positions at National Bank of Abu Dhabi and First Gulf Bank and is the Group CEO of Das Holdings.

Khalid Deemas holds a Bachelor's degree in Computer Information Systems from Bethune Cookman College, USA and a Master's in Business Administration (minor in Management Information Systems and Strategic Planning) from Widener University, USA.

External appointments as of 31 December 2022:

> Abu Dhabi National Takaful Company PSC, Vice-Chairman (2008), UAE
> Manazel Group, Non-Executive Director (2009), UAE



Sheikh Zayed Bin Suroor Al Nahyan

Independent, Non-Executive Director

Sheikh Zayed Bin Suroor Al Nahyan was appointed as a Director of ADCB in 2021, having gained experience working at National Bank of Abu Dhabi and Morgan Stanley.

Sheikh Zayed holds a Bachelor's degree in Business Management from University of Sussex, UK and a Master's degree in Computer Science from University College London, UK.

External appointments as of 31 December 2022:

> Al Ain Ahlia Insurance Company PSC, Non-Executive Director (2022), UAE



Khaled H. Alkhoori

Independent, Non-Executive Director

Khaled H. Alkhoori was elected to the Board of Directors in April 2012. Since January 2006, he has been the Chairman of Orient House for Development and Construction LLC.

Khaled holds a Bachelor's and Master's degree in Civil Engineering from Northeastern University, USA.

External appointments as of 31 December 2022:

> Abu Dhabi National Hotels PJSC, Non-Executive Director (2009), UAE

BEC Member BRC Member NCHRG Member BAC Member

Board of Directors



Fatima Al Nuaimi

Independent, Non-Executive Director

Fatima Al Nuaimi was appointed to join the ADCB Board of Directors in 2022. Fatima Al Nuaimi joined Mubadala in 2011 and is the Co-Head of Mubadala Capital Solutions, where she oversees the permanent capital strategy, Abu Dhabi Catalyst Partners and separately managed accounts. She has over eleven years of experience in funds and direct private equity investments. Some of the recent deals she led include, investment in Cegid, France's leading ERP software provider; acquisition of K-MAC Enterprises, the second largest Taco Bell franchisee in North America; Mubadala's $2.5 billion partnership with Silverlake including both an investment in the Silverlake General Partner and an anchor commitment to a new Long-Term Capital Fund.

Fatima graduated magna cum laude from the Higher Colleges of Technology with a B.S. in Business Administration. She is also a CFA and CAIA charter holder.

External appointments as of 31 December 2022:

> KMAC Enterprises, Board Member



Sheikh Sultan Bin Suroor Al Dhaheri

Independent, Non-Executive Director

Sheikh Sultan bin Suroor Al Dhaheri has more than 10 years' experience in business and marketing and strong commercial knowledge. He was elected to the Board of Directors in March 2009 until his resignation in March 2019. Sheikh Sultan Bin Suroor Al Dhaheri was elected to Board of Directors again in 2022.

External appointments as of 31 December 2022:

> Sheikh Sultan bin Suroor Al Dhaheri does not hold any external directorships as of 31 December 2022



H.E. Amr Al Menhali

Independent, Non-Executive Director

H.E. Amr Al Menhali was appointed to join the ADCB Board of Directors in 2022. H.E. Amr Al Menhali has a proven executive management track record with over 22 years of experience across a number of leadership positions in the financial sector such as the CEO of Al Hilal Bank (previously) and Waha Capital. A seasoned banker with strong leadership skills across all facets of the business and with extensive expertise in strategy, finance, risk, investment, credit and corporate governance. He has led several strategic transformation projects, developing high performance businesses to achieve sustainable growth.

He is currently part of the senior management team in the Crown Prince Court, serving as the executive director of the financial affairs, overseeing the entire financial activities and strategic initiatives.

Previously, he held various board memberships in several regional and international publicly listed companies across various sectors such as finance, oil & gas, real estate and healthcare (UAE Banks Federation, GFH Financial Group, NESR (NASDAQ listed), SDX Energy (AIM listed), Deem Finance and Abu Dhabi Finance). In addition, he also served as Chairman of Waha Investment PJSC, Waha Land LLC and Anglo Arabian Healthcare LLC. He has completed a General Management Programme from Harvard Business School and holds a Bachelor's degree in Business Administration with Honours.

External appointments as of 31 December 2022:

> Abu Dhabi Housing Authority, Board Member
> Investment Committee in Sandooq Al Watan, Member

● BEC Member ● BRC Member ● NCHRG Member ● BAC Member

Executive Management



Ala'a Eraiqat
Group Chief Executive Officer

Ala'a Eraiqat joined ADCB in January 2004 and held various senior posts before assuming the role as Chief Executive Officer in February 2009. He has been a banker since 1991 and previously held senior positions at Citibank and Standard Chartered Bank, among others.

His responsibilities extend to being the Chairman of Board of Directors of Al Hilal Bank and chairing the following subsidiaries and committees of ADCB, among others: Abu Dhabi Commercial Properties, Abu Dhabi Commercial Engineering Services, the ADCB Management Executive Committee, and the ADCB Management Credit Committee.

Ala'a Eraiqat, as the Group Chief Executive Officer, is responsible for leading and guiding ADCB and its subsidiaries in promoting the long-term organisational development, while ensuring effective implementation of strategic, business growth and operational plans to achieve ADCB's targets and ensure that the mission and values are met pursuant to the shareholder's objectives and target expectations.

External appointments:

- Abu Dhabi Chamber of Commerce & Industry (ADCCI), Board Member
- Abu Dhabi National Hotels PJSC (ADNH), Board Member
- Emirates Institute of Banking & Financial Studies (EIBFS), Board Member



Deepak Khullar
Group Chief Financial Officer

Deepak Khullar was appointed ADCB's Group Chief Financial Officer in 2008. Deepak oversees the Group Finance function (Financial Planning, Business Performance, Governance & Reporting), Group Strategy, Investor Relations, Taxation, Economics, Strategic Sourcing & Procurement and the Bank's overall ESG strategy and delivery. He previously spent 15 years with Standard Chartered Bank in the Middle East and Korea in a variety of senior positions. Prior to that, he worked with Ernst & Young and PricewaterhouseCoopers in their assurance, advisory and technical services and training practices in the Middle East and India. He is an alumnus of the University of Delhi, a Fellow of the Institute of Chartered Accountants of India (FCA) and a Fellow Member of the Association of Corporate Treasurers, UK (FCT).

Deepak Khullar, as the Group Chief Financial Officer, is responsible for leading the financial management and control function of ADCB and its subsidiaries, while driving value creation and synergies to support the delivery of ADCB's commercial priorities, in line with the approved risk appetite, strategy, internal policy and regulatory obligations.

Deepak Khullar was appointed as a Board Director of Al Hilal Bank in 2019 and also chairs the Al Hilal Bank Board Risk Committee.



Paul Keating
Group Chief Risk Officer

Paul Keating was appointed as ADCB's Group Chief Risk Officer in 2018. He previously worked for the Australia and New Zealand Banking (ANZ) Group for over 30 years, where he served in various capacities across the world. Paul's previous role at ANZ was the Chief Risk Officer and Head of Credit for the Pacific division, which was responsible for 11 countries. Paul is responsible for Operational Risk, Market Risk, Fraud Risk, Data Management, Credit Policy, Islamic Internal Control and Information Security.

He attends various management and board sub-committees to provide an enterprise-wide risk management perspective. He is also a current member of the UAE Banking Federation Risk Committee.

Paul holds a Bachelor of Commerce and Administration from Victoria University in New Zealand and a Post Graduate Diploma from Massey University, New Zealand.



Ludovic Nobili
Group Head of Wholesale Banking

Ludovic Nobili was appointed as Group Head of Wholesale Banking at ADCB in March 2020. Prior to that, he managed the Bank's Investment Banking activity. He joined ADCB in November 2008 from Citigroup in London. He is a senior investment banker with over 20 years' experience.

In 2000, Ludovic started his investment banking career in the securitisation team of Credit Agricole Indosuez, London after which he moved to Citigroup, where he focused on Corporate Securitisation. During his time in Europe, Ludovic was instrumental in originating and structuring complex and high-profile transactions. In his current role, Ludovic is responsible for Cash Management, Trade Finance, Corporate Finance and Investment Banking across the Group. He also leads ADCB's principal finance initiatives.

Ludovic is a French citizen and an alumni of Université Paris-Sorbonne.

Executive Management



Deepak Rochlani
Group Head of Retail Banking

Deepak Rochlani joined ADCB in 2004 and is the Group Head of Retail Banking. He has over 25 years' experience in Retail Banking and Financial Services. Deepak overlooks the Retail Banking franchise which includes product management and the distribution network including branches, sales and relationship management. He is spearheading the digital transformation of the Retail Bank.

Prior to joining ADCB, Deepak held several positions in product and marketing management at GE Capital and IDBI Bank in India.

Deepak holds a Bachelor of Engineering degree from University of Bombay and a Post Graduate Diploma in Business Administration and Certified Financial Analyst from ICFAI Business School, India.



Rajesh Raheja
Acting Group Treasurer

Rajesh Raheja joined ADCB in 2004 and was appointed Acting Group Treasurer in 2022, having previously served as Head – Funding and Balance Sheet for 10 years, where he was responsible for the management of ADCB's trading, investments and funding platforms.

Rajesh has over 30 years' experience in banking, having previously worked for HSBC and Bank of America in various global financial centres, including London, Hong Kong and Dubai.

Rajesh has a degree in Economics and Accountancy, as well as a Post Graduate Management degree in Finance.



Mohammed Al Jayyash
Group Chief Operations Officer

Mohammed Al Jayyash was appointed as ADCB's Acting Group Chief Operations Officer in 2019 and was confirmed in 2020. He has held senior operational management positions at ADCB, including Group Chief Service Officer and Branch Operations Manager. He holds Board seats with several ADCB subsidiary companies and is the Chairman of ITMAM Services and Vice-Chairman of Abu Dhabi Commercial Engineering Services and Abu Dhabi Commercial Properties.

He is the Chairman of Emirates Digital Wallet and a Board Member of Al Hilal Bank. A leader with over 15 years' experience in improving customer experience, ensuring regulatory compliance and delivering capabilities for growth. Mohammed has deep expertise in banking operations, customer journey and experience, and digital channels.

Mohammed holds a Bachelor's Degree in Business Administration from Al Ghurair University in the UAE, a Post Graduate Certificate in Management from Ashridge Executive Education HULT in the UK and a Diploma in Banking from the Emirates Institute for Banking and Financial Studies.



Rasha Mortada
Group Chief Compliance Officer

Rasha Mortada was appointed as the Group Chief Compliance Officer in 2021, having been with ADCB since 2006. She has over 25 years' experience in the banking industry with leading global and local institutions with over 18 years of experience in the compliance field covering Regulatory Compliance, Financial Crime and Conduct Compliance across all business lines. Prior to joining ADCB, Rasha worked for Citibank UAE, undertaking different roles within Compliance.

Rasha holds a Bachelor's degree in Banking and Finance from the Lebanese American University in Beirut. She is a Certified Anti-Money Laundering Specialist (CAMS) and Global Sanctions Specialist (CGSS), and holds an International Diploma in Compliance from the International Compliance Association, and a Fintech certification from Harvard.

Executive Management



Ali Darwish
Group Head of Human Resources

Ali Darwish joined ADCB in 2010 and leads the Human Resources Group.

He has over 20 years' experience in the banking industry with leading financial institutions in the UAE. At ADCB, he leads the company-wide strategy for talent management, Emiratisation and employee engagement.

Furthermore, he is responsible for driving the Bank's agile culture and enabling business growth through its talent.



Tilak Silva
Group Chief Credit Officer

Tilak Silva was appointed as the Group Chief Credit Officer in 2018, having been the Acting Group Chief Risk Officer since 2017. He has been with ADCB for 42 years, focusing on credit underwriting, remedial risk and restructuring.

He has an in-depth understanding of the functionalities of all areas of the Bank. Prior to joining ADCB, Tilak worked for Hatton National Bank in Sri Lanka, undertaking different roles within the Credit Group.



Jane Livingston
Group General Counsel

Jane Livingston joined ADCB in 2011 and was appointed as ADCB's Group General Counsel in 2021. Jane is an English qualified solicitor who practiced law in the City of London prior to moving to Abu Dhabi in 2007.

She has more than 20 years of legal experience covering a broad range of banking, finance, corporate and commercial matters.



Abdirizak Mohamed
Group Chief Internal Auditor

Abdirizak Mohamed has been the Group Chief Internal Auditor at ADCB since 2006, responsible for covering the Bank and all of its subsidiaries, having previously worked at the NASDAQ Stock Market, NASD (FINRA) and OFHEO (FHFA). Abdirizak has over 30 years of financial industry experience with leading global and local institutions that spans capital markets management, accounting policy/applications, examinations and auditing, risk management, regulatory oversight, and corporate governance.

He is the former Chairman and current member of the UAE Banking Federation Audit Committee, and over the years served/continues to serve as an independent Audit Committee member of various Abu Dhabi-based companies.

Abdirizak is a Certified Public Accountant and holds a Master's degree from the George Washington University in Washington, DC, and a Bachelor's degree from the University of Washington in Seattle, WA.

Executive Management – Subsidiaries



Abdul Shakeel Aidaroos

Chief Executive Officer – Al Hilal Bank

Abdul Shakeel is Chief Executive Officer of Al Hilal Bank PJSC. He is responsible for working closely with the Board of Al Hilal Bank to set and implement the strategic direction of the organisation. Abdul Shakeel has over 25 years of banking industry experience, with deep expertise in retail banking, digital innovation and risk management. He has held senior positions at ADCB for 15 years, including the last five years as Head of Retail Banking, where he managed a team of 2,000 professionals and launched many of ADCB's award-winning consumer products and digital banking channels. Prior to joining ADCB, he spent over 10 years with Citibank in the UAE.

Abdul Shakeel holds a Master of Science degree in Risk Management from NYU Stern School of Business, New York, USA.



Ihab ElSewerky

Managing Director & Chief Executive Officer
ADCB Egypt

Ihab ElSewerky is Managing Director and Chief Executive Officer of ADCB Egypt, responsible for implementing the Bank's strategy for growth in the country. He has over 30 years of experience in corporate, retail and Islamic Banking, with expertise in the areas of risk management, internal controls, financial institutions and SMEs. His career includes extensive regulatory experience at the Central Bank of Egypt.

Corporate governance framework

The guiding principles of the Group's Corporate Governance Framework

Responsibility
Including the clear division and delegation of authority

Accountability
In the relationships between the Bank's executive management and the Board, and between the Board and shareholders and other stakeholders

Transparency and Disclosure
To enable stakeholders to assess the Group's financial performance and condition

Fairness
In the treatment of all stakeholders

2022 Key highlights

- The Board provided oversight and received quarterly updates on the implementation of ADCB's strategy
- Two female directors now serve as Directors on the Board
- The Board approved an ESG governance framework and strategy, with related KPIs incorporated into the 2023 performance scorecards of the Group's Chief Executive Officer and Chief Financial Officer
- Exercise conducted to create an overarching governance framework for local, regional, and international subsidiaries

Best practice corporate governance has been the cornerstone of ADCB's sustained track record of strong financial and operational performance and is central to the Bank's growth strategy and ambition for the future. It underpins our integrity and disciplined culture, reinforcing the trust and confidence our investors, customers, business partners and communities place in us.

To safeguard the interests of a wide range of stakeholders, we are committed to continuously reviewing and improving our corporate governance approach to ensure we remain at the forefront of best practice, adapting to changes in the regulatory, policy and business environment.

ADCB has a strong Board with extensive corporate experience, diverse skill sets, a disciplined approach to governance, and a deep understanding of the banking industry. The Bank also benefits from a well-established and very experienced executive management team with a strong track record of operational excellence, which has embedded a culture of accountability and responsibility across the organisation.

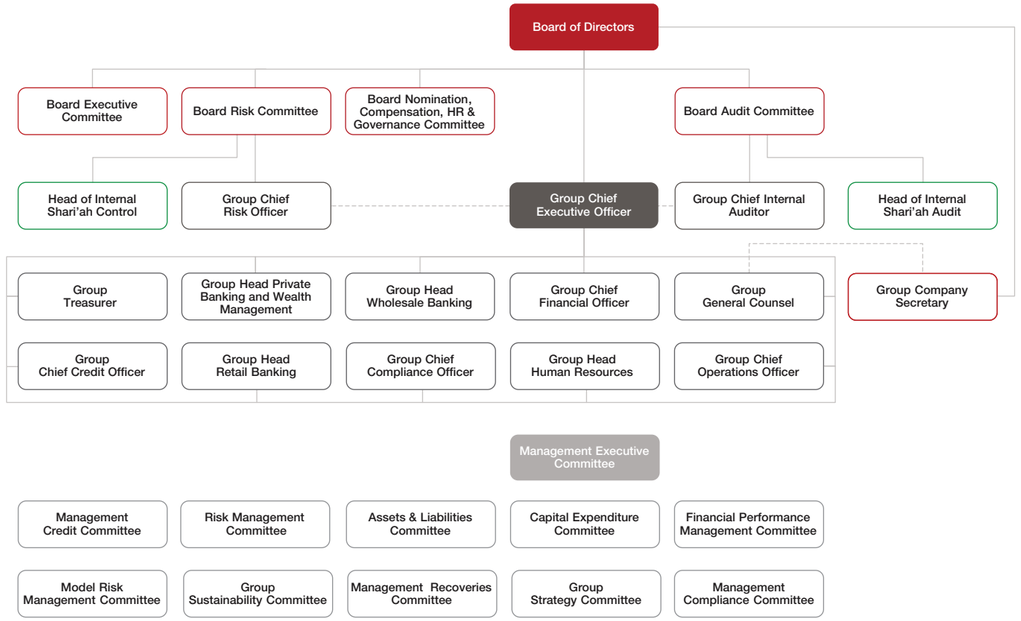
The Board periodically reviews and updates its Board-approved corporate governance framework to ensure it remains appropriate for the Group's size and complexity, business strategy, operational structure, risk profile, markets and regulatory requirements.

In 2022, the Bank conducted a dedicated exercise to establish an overarching framework for local, regional, and international subsidiaries, articulating the Group structure oversight. We also reinforced our Corporate Governance Framework in accordance with applicable regulations, and in line with the Bank's governance principles, policies and mechanisms.

This governance structure enables the Bank to deliver effectively on its strategy and unlock opportunities for prudent, long-term growth.

Governance structure

As at 31 December 2022



The Group Chief Risk Officer reports directly to the Board Risk Committee and has a dotted line to the Group Chief Executive Officer.

The Group Chief Internal Auditor reports directly to the Board Audit Committee and has a dotted line to the Chief Executive Officer.

The Group Chief Compliance Officer reports directly to the Group Chief Executive Officer and has direct access to the Board Audit Committee. In addition, the Group Company Secretary has a dotted line to the Group General Counsel.

Head of Islamic Banking reports directly to the Management Executive Committee.

For more information on the Board Committees, please refer to page 176.

For more information on the Management Executive Committee and other management committees, please refer to page 188.

Key activities in 2022

Strengthening risk management and compliance

ADCB continued to implement a detailed action plan, under the guidance of the Board Audit Committee (BAC), to address a comprehensive base-line review conducted by the Central Bank of the UAE in 2021.

Furthermore, the Board Risk Committee (BRC) reviewed the Bank's risk appetite metrics and approach to credit risk management and was active in anticipating and adapting to regulatory changes introduced by the Central Bank of the UAE in 2022. Accordingly, ADCB updated its risk frameworks, policy documentation, and the approach to controls and the operating environment. This included the incorporation of additional pillars and new metrics into existing principal risks as well as the introduction of new policies related to credit risk.

The Bank issued an Environmental and Social Risk Management (ESRM) policy in 2022 and developed related policies and scorecards. The ESRM policy outlines the framework for how ADCB Group identifies, mitigates, and manages potential environmental and social risks, including climate risks associated with client activities that could lead to credit or reputational risks to the Bank.

Reinforcing the Conduct Compliance and commitment to consumer protection

In accordance with ADCB's commitment to a customer-centric culture, the Bank has focused on implementation of the Central Bank of the UAE's consumer protection regulations and standards. We have successfully deployed enhancements to ensure the interests and needs of customers remain at the centre of our services and operations.

The Bank takes a comprehensive approach that incorporates disclosure and transparency, market and business conduct, financial inclusion and fair treatment, customer awareness, responsible financing, complaint management and data protection.

It is the responsibility of every employee to ensure compliance with consumer protection regulations, and ADCB expects its employees to act with a high degree of integrity and to act in the best interest of the Bank and its customers. The Bank provides suitable training and awareness initiatives to ensure staff are fully equipped to meet their obligations and to carry out all activities with the utmost professionalism, fairness and ethics, while setting a 'tone at the top' by cascading conduct culture and expected behaviours through the organisation.

ADCB's strategy towards conduct risk management continues to focus on fostering a culture that supports achievement of business objectives while ensuring good conduct and appropriate risk taking. It drives business strategy and decision-making to deliver fair treatment and positive outcomes for customers, to maintain market integrity and to safeguard the interests of all stakeholders.

To underpin this culture, ADCB reviewed and enhanced its Board-approved Conduct Compliance framework and related policies, including the Code of Conduct. The framework includes development of methodologies for identifying, assessing, reporting and mitigating conduct risks. The Bank reinforced its zero-tolerance approach to behaviour that breaches its Code of Conduct, Conflict of Interest Policy, Anti-bribery and Corruption Policy, Insider Trading Policy, Personal Account Dealing Policy, or Outside Business Interest Policy. ADCB continues to encourage its employees and all contract staff to raise and report, in good faith, any concerns related to misconduct, illegal, unethical, or fraudulent acts through its whistleblowing channels.

Enhancing data management

The Bank implemented a number of changes through the organisation to enhance the maturity and effectiveness of data governance.

The data strategy and roadmap for 2022 focused on delivering the Data Protection Programme (DPP) along with key regulatory requirements. Seven data privacy and policies were updated and enhanced, the data protection operating model was strengthened, new governance frameworks were applied, and data risks were embedded into the overall risk management portfolio.

To underline the importance of data protection and the handling of personal information, we delivered mandatory training for employees, including multiple face-to-face sessions on data privacy and potential breaches. We also rolled out a communication campaign across the Bank to raise awareness of these issues. At the same time, we continued to increase the number of data protection impact assessments and worked with suppliers on improving vendor risk management. As a result, we updated almost 40 contracts with data sharing agreements.

Improvements on data privacy and cybersecurity played a significant part in the upgrade of the Bank's ESG risk score from Sustainalytics, one of the world's leading ESG rating agencies. We continue to build on the achievements delivered in 2022 that have firmly embedded our data principles across the Bank and its subsidiaries.

Technology for cybersecurity and fraud protection

Ensuring the Bank is secure and that our customers and reputation are protected from cyber-attacks is a critical element of our approach to risk and governance. ADCB maintains robust preventive and detective controls to mitigate cyber-attacks, which continue to grow in sophistication and frequency.

Our cybersecurity resilience is tested using specialised third-party security providers, who conduct regular penetration and 'red team' tests. In 2022, the tests were expanded to include our subsidiaries and we also conducted a maturity assessment of our systems and processes.

A team of dedicated professionals continued to calibrate our cybersecurity activities and aligned security across the Group, with a particular focus on Al Hilal Bank and ADCB Egypt.

For additional security against ransomware attacks, the Bank has retained a specialist provider of technical, logistical, and incident management support across the Group in the event of any breach. We have also carried out a tabletop exercise and scenario testing to improve our response.

We continuously validate and certify our security practices with global security standards, including ISO 27001, PCI DSS, SWIFT CSCF, and UAE Information Assurance Standards.

The Bank is optimising technology to reinforce data protection as part of our strong risk management culture, with data increasingly validated to help prevent fraud and identity theft. The Bank has introduced streamlined and rigorous identity checks for customer authentication, which supports efficient onboarding and promotes fraud protection.

We are piloting the use of ADCB FacePass, a new facial recognition feature, introducing state-of-the art security and convenience to our digital banking platforms. The ADCB FacePass technology, facilitated by the Ministry of Interior, verifies and instantly authenticates a customer's identity with a single scan – providing complete assurance for digital banking transactions.

Embedding ESG

In 2022, the Bank made strong progress on ESG, which has been embedded into corporate strategy, with full Board oversight. ADCB established a robust ESG governance framework and the Board approved a new ESG strategy and Sustainability Policy. To drive effective implementation across the organisation, an executive-level Group Sustainability Committee was established and a dedicated ESG team was onboarded.

The Bank adopted a Green Bond Framework aligned with the UN Sustainable Development Goals (SDGs) and based on the International Capital Markets Association (ICMA) Green Bond Principles. This provided the foundation for ADCB's inaugural USD 500 million green bond issuance during the year to support the financing of low-carbon initiatives. As a result of ADCB's robust ESG approach, the bond was subsequently selected to feature in the Bloomberg MSCI Green Bond Index.

ADCB remains committed to transparent disclosure of ESG performance in line with global standards and regulatory requirements, including those set by UAE Securities and Commodities Authority (SCA) and Abu Dhabi Securities Exchange (ADX). Our ESG disclosures are also in line with international standards of non-financial reporting including Global Reporting Initiative (GRI) Standards and Sustainability Accounting Standards Board (SASB).

The Bank initiated a stand-alone annual Group Sustainability Report in 2022 to provide a regular and detailed account of our ESG journey to all key stakeholders. The report promotes greater transparency and information on our ESG performance.

In September 2022, Sustainalytics upgraded the Bank's ESG score to 21.0 from 30.1 in March 2021, making ADCB the highest-ranked diversified bank in the GCC and a top quartile bank globally. The Bank saw the biggest gains in its scores for data privacy and security, and business ethics. ADCB is placed among the top 10 in the banking industry within the Sustainalytics ESG ratings universe globally for managing risks related to data privacy and security.





A regional leader on gender diversity

The UAE continues to enhance gender diversity through corporate governance regulations, including those set by the Central Bank of the UAE and the Securities and Commodities Authority. Current regulations stipulate that at least 20% of the candidates considered for appointment to the board of a listed company must be female and every board must have at least one member who is female.

ADCB led the GCC banking sector on gender diversity by appointing Aysha Al Hallami as its first female Board member in 2013, and with Fatima Al Nuaimi joining the Board early in 2022. The Bank is therefore in full regulatory compliance, whereby two of the 11 Board members are female and we will continue to look into the suitable pool of potential candidates to enhance the Board's female membership ratio.

The Bank is also committed to playing a progressive role in promoting gender diversity across the organisation. ADCB's employee base is currently 42% female and Emirati women have a particularly strong presence in senior positions, representing 50% of all UAE national employees performing management roles.

Approximately 45% of new recruits to the Bank from the 2022 cohort were women. The Board and executive management are committed to encouraging greater diversity and participation through practical steps. For example, our dedicated Tamooha programme promotes the development of a long-term career path for Emirati women by giving them access to professional opportunities without compromising social values.

Nurturing UAE national talent[1]

Emiratisation initiatives are central to the UAE's development and to building a sustainable future for the nation. As a responsible national banking institution with close ties to our local community, ADCB is focused on developing and investing in promising Emirati talent.

The Board is committed to ensuring that the Bank provides employment and career development opportunities that will allow UAE nationals to contribute fully to continued growth of the banking industry. Emiratis currently hold 30.7% of senior leadership positions at ADCB Group, acting as strong role models for the next generation of leaders, while UAE nationals account for 71% of employees under the age of 30.

ADCB Group welcomed 252 UAE nationals as new employees in 2022. Today, ADCB and Al Hilal Bank employ 1,910 UAE nationals, comprising 38% of the total employee base. Notably the Emiratisation rate at Al Hilal Bank is 51%, which is among the highest in the UAE banking sector.

Developing culture

The Board Nomination, Compensation, Human Resources, and Governance Committee continued to promote the Bank's organisational health to nurture a positive culture.

ADCB continued its significant investment in professional training and development, with over 270,000 learning hours provided for employees in 2022. The HR team organises classroom and virtual training sessions as well as e-learning modules to support technical and soft skills development.

Working with a leading global consultancy firm, the Bank conducted an organisational health assessment, which reaffirmed that ADCB ranks among the top quartile of companies in a global index over a three-year period. The survey attained a response rate of 88%, highlighting the Bank's strong engagement and culture.

This summary of our corporate governance activities in 2022 reflects the Bank's proactive approach to creating a strong Group-wide corporate governance structure. In this way, ADCB Group will continue to thrive, building even greater trust and engagement with our stakeholders, and reinforcing our culture.

(1) Emiratisation figure refers to UAE nationals employed by ADCB UAE and Al Hilal Bank UAE

Board information

The Board of ADCB comprises 11 members, who are exclusively non-executive Directors. Only one Director, Khalid Deemas Alsuwaidi, is considered 'not independent' due to his tenure exceeding 12 years. The Board and its committees met 53 times in 2022 and Directors received detailed information on a regular basis regarding the activities of the Board and management committees as well as developments in the business.

Members of the Management Executive Committee were invited to Board meetings as necessary to address specific topics, while remaining in compliance with regulatory requirements with regards to restrictions of attendance by executive management at certain key meetings.

Composition of the committees and their chairs are reviewed on a regular basis. Membership is rotated as required to ensure suitability, and that the combination of skills, experience and knowledge are sufficient for each committee to discharge its duties effectively. Each Board member, with the exception of H.E. Khaldoon Khalifa Al Mubarak (Chairman) and Sheikh Zayed Bin Suroor Al Nahyan, serves on at least one standing committee.

The Board Audit Committee took responsibility for supervision and follow-up of committee 'insider's transactions'.

The Board operates four standing committees:

Board Executive Committee
Review of the Group's business performance and guidance on development of new business initiatives, as well as the Group's ESG strategy, digital transformation and investments. Additionally, preparation of the Group's business plan as per the Board approved strategy.

Nomination, Compensation, HR & Governance Committee
Oversight of the Group's corporate culture and values, including compliance with regulatory requirements relating to corporate governance. Additionally, review of adequacy of Board and executive management, and succession planning.

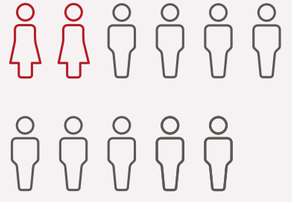
Board Risk Committee
Oversight and review of the Group's Risk Governance Framework, assessment of capital adequacy against regulatory requirements and overall credit and concentration risk in relation to its risk profile and business strategy. Furthermore, monitoring the management of Shari'ah non-compliance risk, as well as oversight of data management, data privacy policies and consumer protection requirements.

Board Audit Committee
Oversight and review of the Group's financial statements and reporting, and matters relating to the Group's internal controls, risk management systems. Furthermore, monitoring the independence and objectivity of the external auditor and ensuring the independence of the Bank's Shari'ah Audit and Compliance Department.

Gender diversity at Board level

A key responsibility of the Board is to ensure that ADCB builds and maintains a healthy culture. ADCB believes that companies that attach equal importance to performance and culture achieve exceptional results over time.

The Board is committed to supporting gender diversity. As a result, as at 31 December 2022, women represented 18% of ADCB's Board membership. Going forward, in line with regulatory requirements, ADCB will ensure that at least 20% of candidates considered for Board membership are female and at least one female member serves on the Board.



Female
18%

Male
82%

Board of Directors in numbers

Board members
11

Non-Executive Directors
100%

International experience
54%

Number of meetings held by the Board and its committees
53

Note: The ADCB Board has no executive directors

For more information on the Board Committees, please refer to page 176

Director's independence

Independence is an important factor to assess the Directors' ability to serve in the best interest of ADCB and all its stakeholders. The Central Bank of the UAE, through its corporate governance regulation and standards, has defined the following criteria for independence of Board members in banks within the UAE:

a. Tenure exceeding 12 years

b. Board members or his/her first-degree relatives have worked as staff of the Bank or its subsidiaries during the past two years

c. If the Board member has worked for, or is a partner, in a company that performs consulting work for the Bank or its Group or has acted in such a capacity during the past two years

d. If the Board member has had any personal services contract with the Bank or its Group during the past two years

e. If the Board member has been affiliated with any non-profit organisation that receives significant funding from the Bank or its Group

f. If the Board member, or any of his/her first-degree relatives, has been a partner or employee of the Bank's auditor during the past two years

g. If the Board member or any of his/her first-degree relatives, has or had a direct or indirect interest in the contracts and projects of the Bank or its subsidiaries during the last two years, and the total of such transactions exceeds the lower of 5% of the Bank's paid capital or of the amount of five million Dirhams or its equivalent amount in a foreign currency, unless such relationship is part of the nature of the Bank's business and involves no preferential terms

h. If the Board member and/or any of his/her first-degree relatives (individually or collectively) owns directly or indirectly 10% or more of the Bank's capital or is a representative of a shareholder who owns directly or indirectly more than 10% of Banks' capital

The provisions in items b) to h) do not apply to Members of the Board appointed by a Government shareholder.

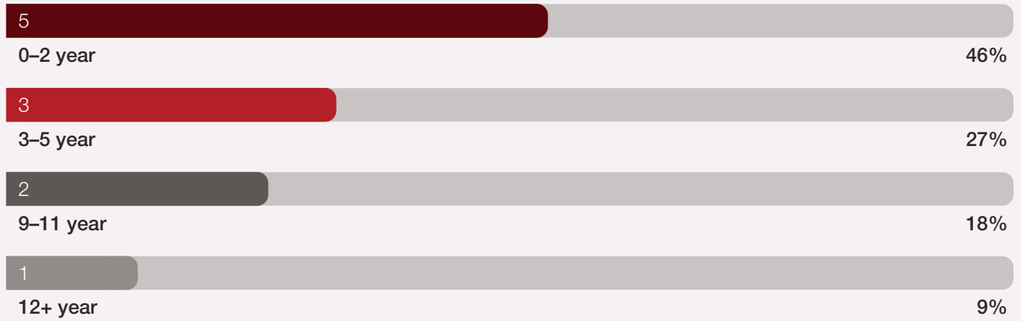
As an entity that is regulated by the Central Bank of the UAE, the independence status for Directors of ADCB is determined in accordance with the Central Bank's regulations stated above.

The current Board members either satisfy the above criteria or are exempted due to their nomination by the Government shareholder, with the exception of Khalid Deemas Alsuwaidi, who has served on the Board for more than 12 years and is therefore deemed as non-independent.

(1) According to the Central Bank of the UAE's Corporate Governance regulation and standards, a Board director is categorised as non-independent when the length of tenure exceeds 12 years

Length of Board tenure[1]

(Number of Directors)



0–2 years

H.E. Khaldoon Khalifa Al Mubarak (2020)

H.E. Amr Al Menhali (2022)

Fatima Al Nuaimi (2022)

Sheikh Sultan Bin Suroor Al Dhaheri (2022)

Sheikh Zayed Bin Suroor Al Nahyan (2021)

3–5 years

H.E. Hussain J. AlNowais (2019)

Saeed Mohamed Hamad Almazrouei (2019)

Carlos Obeid (2019)

6–8 years

Nil

9–11 years

Khaled H. Alkhoori (2012)

Aysha Al Hallami (2013)

12+ years

Khalid Deemas Alsuwaidi (2009)

Appointment, Board induction and training

Appointment, retirement and re-election

ADCB recognises that an effective board is crucial to the success of its business and the ability of the Bank to serve in the interests of all stakeholders.

According to ADCB's Articles of Association, all Directors are required to seek re-election by shareholders every three years. In the event that a vacancy arises, Directors are permitted to elect any individual nominated to fill the vacancy, but any Director appointed in this manner must seek election by shareholders at the next Annual General Assembly meeting. Our major shareholder, One Hundred and Fourteenth Investment Company LLC, a wholly owned subsidiary of Mubadala Investment Company, has the right to elect a percentage of the Board that is proportionate to its holding of ADCB's share capital.

As of year-end 2022, One Hundred and Fourteenth Investment Company LLC held 60.2% of ADCB's issued share capital and consequently, had the right to appoint six Directors and to vote a further 5.7% of ADCB's capital at the Board elections.

ADCB's Directors' Selection Policy reflects the fit and proper criteria for the selection, appointment, and re-election of Directors, in accordance with applicable regulations. Any candidate for appointment/election as a Director must be pre-approved by the Central Bank of the UAE, prior to the Annual General Assembly meeting that would consider such a directorship.

Board induction

ADCB provides an extensive and robust Director's induction programme for all newly appointed Directors, which is tailored to fit their role, experience and skillset.

The induction programme comprises meetings with other Directors, executive management and subject matter experts, as well as comprehensive guidance on the duties and responsibilities of Directors, the Bank's policies, procedures and relevant legal and regulatory requirements.

During 2022, ADCB welcomed three members to the Board who were appointed by the major shareholder.

Board training

ADCB assesses the expertise and competencies of its Board members through a mapping exercise that is annually updated to ensure the skills and experience of Directors remain relevant to the Bank's strategy and operating environment. The procedure for suitability, assessment and appointment of Board members, who must be vetted by the Central Bank of the UAE, is a key element of the Group's governance system.

The Board brings a wealth of experience, including in the areas of finance, audit, accounting, risk management, governance, strategic planning and information technology.

The Board dedicates sufficient time, budget and other resources to an ongoing training and development programme and draws on external expertise, as and when required. An annual review of training is conducted to ensure that Board members acquire, maintain and enhance knowledge and skills relevant to their responsibilities.

The Board also regularly engages with executive management on specialist topics, as and when required.

The Board also has access to independent external professional advice and may request an opinion to support in fulfilling its responsibilities, including the conduct or direction of any investigation in relation to the Group's affairs.

In 2022, Board members participated in a number of deep-dive sessions, including:

- Cost management and efficiencies
- Retail banking
- Wealth management and Private banking
- Anti-money laundering and countering finance of terrorism
- Compliance
- Strategy
- Performance management
- ESG
- Digitisation

Changes to the Board in 2022

Directors who resigned in 2022	Date
Ahmed Saeed Al Calily Independent, Non-Executive Director	March 2022
Mohamed Al Dhaheri Independent, Non-Executive Director	March 2022

Directors appointed in 2022	Date
Fatima Al Nuaimi Independent, Non-Executive Director	March 2022
Sheikh Sultan Bin Suroor Al Dhaheri Independent, Non-Executive Director	March 2022
H.E. Amr Al Menhali Independent, Non-Executive Director	March 2022

Responsibilities of the Board

The Board is the Bank's principal decision-making forum and has overall responsibility for the organisational structure of the Group and for leading, supervising and controlling the Group. It is accountable to shareholders for creating and delivering sustainable shareholder value through its guidance and supervision of the Group's businesses.

The Board is also responsible for the operations and the financial soundness of the Group, and ensures that the interest of shareholders, depositors, creditors, employees, regulators and other stakeholders are met. In particular, the Board sets the goals, strategies and policies of the Group, and monitors the performance of the Group's businesses, guiding and supervising the Bank's executive management.

The Board is responsible for:

- **Strategy and management:** Setting the Bank's long-term objectives and commercial strategy, and monitoring management's performance
- **Structure and capital:** Approving changes relating to capital structure, corporate structure, management and control structures
- **Financial reporting, planning and controls:** Approving financial results, annual report and accounts, dividends, business plans, budgets (including funding plans) and forecasts, significant changes in accounting policies or practices, remuneration of and appointment/removal of an auditor and other material accounting policies
- **Internal controls:** Setting and monitoring internal controls
- **Risk:** Setting the Bank's risk strategies, appetite and monitoring the Bank's approach to material risks
- **Major transactions:** Approving major capital investments and projects, by reason of materiality or size, including acquisitions, mergers, disposals, and material contracts not in the ordinary course of business
- **Board committees and other appointments:** Appointment or removal of the Group CEO and other executive management, succession planning, terms of reference and membership of Board committees, annual performance review of the Board, individual Directors and Board committees
- **Executive management performance:** Establishment of a fit and proper process for the identification, assessment and selection of candidates and ensuring oversight of the executive management's performance
- **Remuneration:** Determining policy for remuneration of Directors and senior executives, creation and approval of share incentive plans and other remuneration schemes
- **Delegation of authority:** Monitoring matters delegated to Board committees, management committees and executive management
- **Shari'ah governance:** Establishing, reviewing and approving a sound and effective Shari'ah governance framework with mechanisms and functionalities to ensure effective and independent Shari'ah oversight, as per the requirements set out by the Central Bank of the UAE and the UAE's Higher Shari'ah Authority

Board oversight of risk management

Risk management is a crucial part of ADCB's Corporate Governance Framework. The Board has overall responsibility for setting ADCB Group's risk appetite and ensuring risk is effectively managed.

The Board Risk Committee oversees risk monitoring and management, and reviews all risk types. The Committee works with executive management to define the risk appetite and strategy as appropriate for particular sectors, geographic regions and customer types. The Committee periodically reviews and monitors compliance with the Group's overall risk appetite and makes recommendations to the Board.

The Board Risk Committee's responsibilities also include reviewing the appropriateness and effectiveness of the Group's risk management systems and controls, the outcome of stress tests and ADCB's stress-testing methodology, and ensuring that the Bank's risk governance is supportive of prudent risk-taking at all levels in the Group.

During 2022, the Board Risk Committee also sought assurance from executive management that evolution of the Central Bank of the UAE's regulations had been suitably addressed and reported accordingly to the Board.

The Board and executive management also foster a culture of compliance. They have created an environment where employees at all levels are empowered to confront improper behaviour, raise grievances and suggest better ways to pursue the Group's strategic goals.

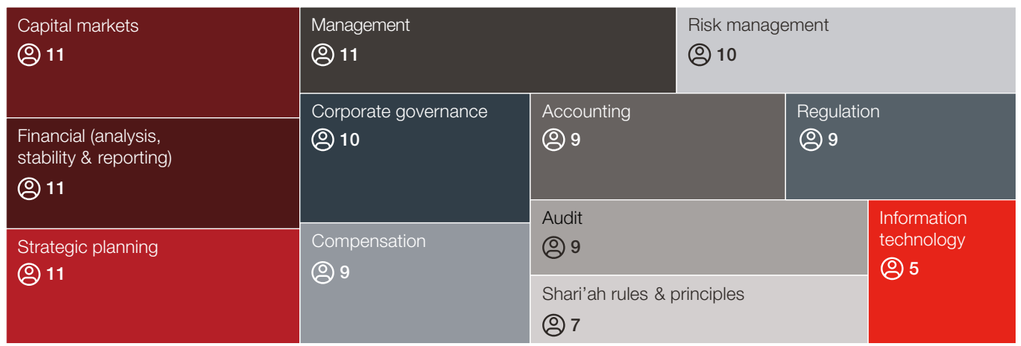
Board oversight of financial reporting, compliance and internal controls

Oversight of financial reporting and integrity of ADCB's financial disclosures are also key roles performed by the Board. The Board ensures that comprehensive and independent risk management, compliance and audit functions, as well as an effective overall system of internal controls are in place.

In 2022, the Board Audit Committee (BAC) assessed the objectivity and effectiveness of ADCB's financial reporting and disclosure process. This included monitoring ADCB's choice of accounting policies, principles and judgments. The BAC undertakes an annual review of the effectiveness of the Compliance function and gives due consideration to the compliance reports and the Bank's status of compliance with all applicable regulatory requirements.

In 2022, the committee ensured that adequate internal policies were implemented and kept up-to-date to comply with the regulatory requirements of the Central Bank of the UAE and the Securities and Commodities Authority. This included receiving updates from management on remediation activities relating to the Central Bank of the UAE's review and action plans to ensure compliance with new regulations. The Board Audit Committee assists the Board in discharging its responsibilities with regard to ensuring an effective internal controls environment and approves the annual internal audit plan, as well as monitoring the effectiveness of Internal Audit and the committed measures to address identified deficiencies.

Industry experience of the Board



Each figure represents the number of Directors with the relevent skillset

Subsidiary governance and Group structure oversight

In accordance with ADCB's Group Corporate Governance Framework, and in line with applicable laws and regulations, ADCB ensures adequate oversight and governance in relation to its Group structure, while respecting the independence of its Group entities as separate legal entities. The Board governs the interaction of group subsidiaries with the Bank, and ensures a heightened level of responsibility and accountability with regards to upstreaming information that helps the Board in discharging its duty of oversight over the Group and its subsidiaries.

In 2022, ADCB implemented and ensured that its principal subsidiaries adopted a corporate governance framework in line with ADCB's Group Governance Framework to enhance standards and consistency across the Group. A key aspect of the subsidiary governance framework is to align the responsibilities of subsidiary boards with the expectations of the Bank. Furthermore, subsidiary boards are required to discharge their responsibilities in accordance with the Group's overall strategy.

The following is the list of subsidiaries of the Bank as at 31 December 2022

Subsidiary	Ownership interest	Year	Country	Principal activities
ADCB Securities LLC	100%	2005	UAE	Agent in trading of financial instruments and stocks
Abu Dhabi Commercial Properties LLC	100%	2005	UAE	Real estate property management and advisory service
Kinetic Infrastructure Development LLC	100%	2006	UAE	Financial investments
Abu Dhabi Commercial Property Development LLC	100%	2006	UAE	Property development
Abu Dhabi Commercial Engineering Services LLC	100%	2007	UAE	Engineering services
ADCB Finance (Cayman) Limited	100%	2008	Cayman Islands	Treasury financing activities
ADCB Markets (Cayman) Limited	100%	2008	Cayman Islands	Treasury related activities
ACB LTIP (IOM) Limited	Controlling interest	2008	Isle of Man	Trust activities
Abu Dhabi Commercial Bank (UK Representative Office) Limited (1)	100%	2008	United Kingdom	UK representative office and process service agent
ITMAM Services FZ LLC	100%	2010	UAE	Transaction processing and back office support for the Group
AD NAC Ventures WLL	99.75%	2012	Bahrain	Trust activities
ITMAM Services LLC	100%	2013	UAE	Transaction processing and back office support for the Group
ADCB Asset Management Limited	100%	2018	UAE	Wealth management and private banking
Al Wifaq Investment Properties PSC	90.08%	2006	UAE	Real estate investment
Union Brokerage LLC(1)	100%	2002	UAE	Agent in trading of financial instruments and stocks
Abu Dhabi Commercial Bank – Egypt SAE	99.90%	1981	Egypt	Commercial banking services
Al Hilal Bank PJSC	100%	2007	UAE	Islamic banking activities
Al Hilal Islamic Bank JSC	100%	2010	Kazakhstan	Islamic banking activities
Al Hilal Leasing LLP	100%	2011	Kazakhstan	Shari'ah compliant leasing operations
AHB Sukuk Company Limited	Controlling interest	2011	Cayman Islands	Treasury financing activities

(1) Under liquidation

Board effectiveness and evaluation

Board effectiveness and evaluation

The Board conducts a formal and rigorous annual performance evaluation of the individual Directors and Board Committees, with a view to constructively identify achievements as well as improvement areas. Pursuant to the Director's Performance Evaluation Policy, the Board considers the evaluation process to be an important tool for its development and is involved in its structuring and a full review of conclusions. The Board believes that a full, fair and well-managed evaluation process builds mutual trust between Directors, between the Board and executive management and between the Bank and its stakeholders.

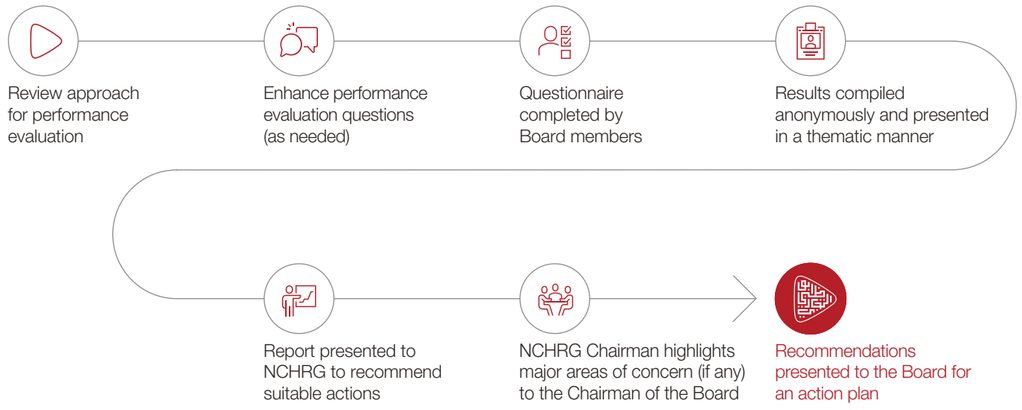
The specific responsibilities of the Chairman and the Chairs of each Board committee form part of the evaluation. The process assesses thoroughness and efficiency in the conduct of meetings, facilitation of appropriate debate, discussion and decision-making, as well as representation of the Bank externally to the public, regulators and other counterparties.

The Board committees are evaluated on effectiveness in discharging their responsibilities, diligence and responsiveness to the Board. The committees also conduct a self-evaluation of their abilities to carry out the responsibilities set by their Terms of Reference.

In addition, an external consultant is appointed to independently conduct a performance evaluation exercise every three years. The most relevant themes from the evaluation are presented to the Board Nomination, Compensation, HR & Governance Committee (NCHRG), in the form of an action list, which is actively monitored for effective implementation.

The Chair of the NCHRG subsequently briefs the Board of Directors. The Board Secretariat function supports the Board members and NCHRG in carrying out this exercise.

Internal evaluation process



Board oversight of conflict of interest and related party transactions

Conflict of interest

Details of all transactions in which a Director and/or other related parties might have potential interests are provided to the Board for its review and approval. Any Director that is an interested party neither participates in the discussions nor votes on such matters.

The Board maintains awareness of the other external interests and commitments of its Directors and executive management, and adheres to ADCB's Code of Conduct, which includes a duty of confidentiality and integrity. ADCB has implemented a Directors' Conflict of Interest Policy

As a result of written declarations submitted by each Board member, the Board satisfies itself that the other commitments of the Directors do not conflict with their duties, or where conflicts arise, that the Board is sufficiently aware and policies are in place to minimise the risks.

During 2022, all related party transactions were approved by the Board and assessed against all requirements provided under the laws, rules, and regulations of the UAE and were, at all times, conducted on an arm's-length basis. Directors with potential conflicts did not participate in relevant discussions or vote. These transactions were undertaken as part of ADCB's day-to-day operations.

For further information on related party transactions, please refer to note 37 of the full-year financial statements.

Related party transactions

ADCB has a Related Party Transactions Policy, which details the processes in place to identify, assess, monitor and report ADCB's Group exposures towards related parties. The Group enters into transactions with the parent entity and its related entities, associates, funds under management, directors, executive management and their related entities and the Government of Abu Dhabi (ultimate controlling party and its related entities) in the ordinary course of business at commercial interest and commission rates.

Upon appointment and every quarter thereafter, all Directors are required to disclose their related parties, transactions and potential conflicts. The Board Secretariat function maintains a 'conflict of interest' and 'related parties' register, which is reviewed by the Board Nomination, Compensation, HR & Governance Committee every quarter.

(1) The Bank does not award any shares to any of its Directors
(2) Board member appointed in 2022 Annual General Assembly

ADCB Directors' and related party shareholdings[1]

Name	Kinship (if applicable)	As at 31 Dec 2022	As at 31 Dec 2021	Change in shareholding
H.E. Khaldoon Khalifa Al Mubarak	N/A	440,854	440,854	0
H.E. Hussain J. AlNowais	N/A	0	0	0
Amna Hussain AlNowais	Daughter of H.E. Hussain J. AlNowais	779,867	779,867	0
Ali Hussain AlNowais	Son of H.E. Hussain J. AlNowais	657,751	657,751	0
Mohamed Hussain AlNowais	Son of H.E. Hussain J. AlNowais	657,751	657,751	0
Khalid Deemas Alsuwaidi	N/A	14,915	14,915	0
Marwan Khalid Deemas	Son of Khalid Deemas Alsuwaidi	1,706	1,706	0
Sheikh Zayed Bin Suroor Al Nahyan	N/A	1,819,630	1,819,630	0
Aysha Al Hallami	N/A	0	0	0
H.E. Ahmed Sultan Al Hallami	Father of Aysha Al Hallami	803,870	803,870	0
Khaled H. Alkhoori	N/A	1,694,136	1,694,136	0
H.E. Amr Al Menhali[2]	N/A	0	N/A	N/A
Carlos Obeid	N/A	0	0	0
Arij Azzam	Wife of Carlos Obeid	35,799	17,636	+18,163
Saeed Mohamed Hamad Almazrouei	N/A	0	0	0
Fatima Al Nuaimi[2]	N/A	0	N/A	N/A
Sheikh Sultan Bin Suroor Al Dhaheri[2]	N/A	4,503,313	N/A	N/A

Board remuneration

Directors' remuneration is proposed by the NCHRG to the Board for approval by ADCB's shareholders. Any proposals for changes in Board remuneration are considered by the NCHRG prior to obtaining the necessary approvals from the Board and/or shareholders. According to applicable laws and ADCB's articles of association, Directors may not receive any remuneration in years when ADCB does not achieve a net profit.

The Board's total remuneration paid in 2022 for the year ended 31 December 2021 was **AED 24,371,812.50** including VAT. ADCB's Directors were not eligible for any additional allowances, salaries or fees, bonuses, long-term or other incentive schemes. Directors do not receive any pension benefits from ADCB.

The Board's proposed total remuneration for the year ending 31 December 2022, to be paid in 2023, is a fixed amount totalling approximately to AED 28 million, subject to the NCHRG Committee and the Board's endorsement and subject to the shareholders' final approval at the Annual General Assembly meeting.

Total Board remuneration for 2021 paid in 2022

All figures in the table in AED and excl. VAT		2021 total amount
	**H.E. Khaldoon Khalifa Al Mubarak** Chairman of the Board	2,771,000
	**H.E. Hussain J. AlNowais**	2,482,400
	**Saeed Mohamed Hamad Almazrouei**	2,666,900
	**Aysha Al Hallami**	2,541,300
	**Carlos Obeid**	2,521,300
	**Khaled H. Alkhoori**	2,461,300
	**Ahmed Saeed Al Calily** [a]	1,962,800
	**Khalid Deemas Alsuwaidi**	1,902,800
	**Mohamed Ali Aldhaheri** [b]	1,902,800
	**Sheikh Zayed Bin Suroor Al Nahyan** [c]	1,842,800
	**Abdulla Khalil Almutawa** [c]	155,850
	Total	**23,211,250.00**
	VAT @ 5%	**1,160,562.50**
	Total including VAT	**24,371,812.50**

Note: (a), (b) – Resigned from the Board in March 2022
(c) – part of the year 2021

2022 Board agenda

The Board and its committees regularly discuss topics that are fundamental to the direction of ADCB, including business performance, long-term planning, strategy, risk appetite and management, succession planning, and human resources.

		Meetings at which topics were discussed											
Topics	Sub-topics	January	February	March	April	May	June	July	August	September	October	November	December
Strategy	Strategy dashboard	●			●		●		●			●	
	Deep dives on strategic topics				●		●		●			●	
	ESG strategy and risks				●		●						
Detailed business, operational and other reviews	Chief Executive Officer update	●		●	●			●			●		●
Business updates	Group Chief Credit Officer update	●			●		●				●		●
	Retail Banking				●								
	Wholesale Banking						●	●			●		
	Commercial Banking				●								
	Private Banking v Wealth Management								●				
	Treasury				●	●			●				
	Al Hilal Bank	●							●				●
	ADCB Egypt								●		●		●
Financial	Financial results and peer group analysis	●			●			●			●		
	Capital planning											●	
	Dividends, funding plan and budget											●	●
Risk	Risk report	●	●	●	●			●			●		
	Emerging key risks	●	●	●	●	●	●	●	●	●	●	●	●
	Liquidity metrics and trends	●	●	●	●	●	●	●	●	●	●	●	●
	Risk appetite statement	●			●	●				●	●		
Governance	Policies and terms of reference	●	●	●	●	●	●	●	●	●	●	●	●
	Board-related matters including Board evaluation		●	●								●	
	Quarterly review of insiders list	●			●			●			●		
	IFRS 9 governance framework	●			●			●					
	Executive management KPI scorecards	●	●										
	Shari'ah update	●			●			●					
Regulatory and compliance	UAE Central Bank notices	●		●	●								
	UAE Central Bank Baseline Examination report			●	●		●	●			●		●
	Compliance update	●		●			●				●		●
Internal Audit Technology	Internal audit plan for 2022	●	●										
	Chief Information Officer update								●				●
	Efficiency digitisation and innovation update	●					●	●	●	●			●
Human Resources	HR update		●		●							●	
External Audit	Evaluation of external auditor's proposal	●											
	Review of external auditor's management letter						●						
	Meet with external auditor	●			●			●			●		

2022 Board meetings and time allocation

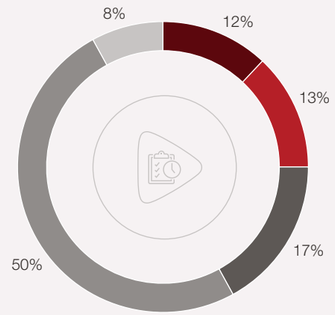
2022 Board of Directors meetings

Date of Board meeting	Number of Director attendees	Number of Director attendees by proxy	Names of absent Directors (all attended except)	Number of Board resolutions passed
31 January 2022	9/10[1]	N/A	H.E. Hussain J. AlNowais	5
21 March 2022	10/11[2]	1	H.E. Khaldoon Khalifa Al Mubarak	3
25 April 2022	10/11	N/A	Sheikh Zayed Bin Suroor Al Nahyan	4
28 July 2022	8/11	N/A	H.E. Hussain J. AlNowais Khalid Deemas Alsuwaidi Sheikh Sultan Bin Suroor Al Dhaheri	4
24 October 2022	11/11	N/A	–	3
14 December 2022	11/11	N/A	–	9

(1) There was a vacancy on the Board
(2) During the 14 March 2022 Annual General Assembly meeting, Fatima Al Nuaimi, Sheikh Sultan Bin Suroor Al Nahyan, and H.E. Amr Al Menhali were appointed as Independent, Non-Executive Directors to the Board

Time allocation for 2022 Board meetings

- Risk
- Internal controls
- Governance
- Financial performance, planning and control
- Regulatory update



Board Executive Committee (BEC)

Committee composition

As at 31 December 2022



Saeed Mohamed Hamad Almazrouei
Chairman



Khaled H. Alkhoori



Aysha Al Hallami



Carlos Obeid



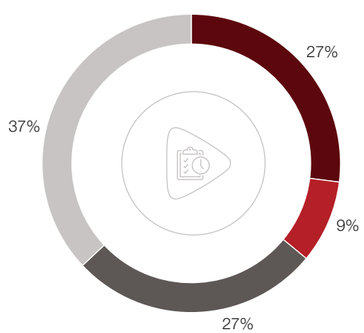
H.E. Amr Al Menhali

2022 Board Executive Committee meetings[1]

Date of BEC meeting	Number of attendees	Names of absent members
13 January 2022	4/4	–
26 January 2022	4/4	–
25 February 2022	4/4	–
21 March 2022	4/4	–
1 April 2022	5/5	–
29 April 2022	5/5	–
27 May 2022	4/5	Saeed Mohamed Hamad Almazrouei
3 June 2022	5/5	–
16 June 2022	5/5	–
24 June 2022	5/5	–
5 August 2022	4/5	Saeed Mohamed Hamad Almazrouei
26 August 2022	4/5	Aysha Al Hallami
29 August 2022	5/5	–
30 September 2022	5/5	–
28 October 2022	4/5	Carlos Obeid
1 November 2022	5/5	–
4 November 2022	5/5	–
21 November 2022	5/5	–
25 November 2022	5/5	–

Time allocation for 2022 BEC meetings

- Credit facilities
- Environmental, Social, and Governance (ESG) update
- Business Performance
- Strategy



(1) Number of committee members increased from four to five members from March 2022

Statement from the BEC Chairman

Dear Shareholders,

During 2022, the Board Executive Committee (the "Committee") held 19 meetings, during which it discharged its duties in accordance and in compliance with respective terms of reference.

In 2022, the Committee continued to focus on ADCB's adherence to its strategy. In particular, the Committee reviewed initiatives to develop and implement ADCB's short and long-term business strategy, which is focused on growing market share in the UAE, maximising efficiency and profitability, and implementing digital transformation.

The Committee continued to monitor the progress of the Bank's digitisation strategy and implementation roadmap, as well as the achievement of related key performance indicators.

The Committee held a number of deep dives throughout the year, which focused on a number of key areas and provided the Committee with an in-depth understanding of ADCB's key achievements and future plans, which included:

- Insight into ADCB's cost saving programmes, which are renewable on a yearly basis
- Monitoring the Group's financial performance to ensure that it is aligned with the Group's strategy
- The Group's focused approach to cost management, which will contribute to reinforcing its cost to income ratio on a downward trend
- ADCB's mission to grow its Wealth Management business and develop distinctive products, which will provide clients with the best wealth management and investment services to global standards
- ADCB's mandate to provide a seamless customer service and bespoke banking, that will be embedded in the customer journey and bring ADCB to the region's forefront as a digital leader

Looking into 2023

The Committee is scheduled to meet 12 times in 2023 to focus on ADCB's strategy and digital transformation. The Committee will continue to oversee the execution of ADCB's strategy. The Committee will examine tactical and short-term efficiency measures and cost optimisation and digitisation, against the backdrop of changing market conditions.

Saeed Mohamed Hamad Almazrouei
Chairman of the Board Executive Committee

Our remit

The primary responsibility of the Board Executive Committee (BEC) is to enable the Board to fulfil its responsibilities in relation to the following:

- Development and execution of the Group's business plan, as per the strategy approved by the Board
- ESG strategy and implementation
- Material aspects of the Group's businesses
- Reviewing and approving credit commitments
- Guidance on proposals for acquisitions, disposals and joint ventures and other value creation opportunities, including establishment, closure or exit of any international operations
- The annual budget for the Group, including budgets for each business line and operating division

Board Risk Committee (BRC)

Committee composition

As at 31 December 2022



Carlos Obeid
Chairman



Khaled H. Alkhoori



Aysha Al Hallami



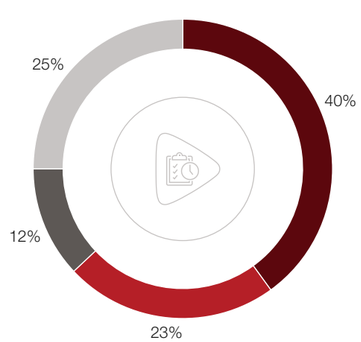
Fatima Al Nuaimi

2022 Board Risk Committee meetings

Date of BRC meeting	Number of attendees	Names of absent members
13 January 2022	4/4	–
26 January 2022	3/4	Carlos Obeid
25 February 2022	4/4	–
1 April 2022	4/4	–
8 April 2022	4/4	–
29 April 2022	4/4	–
27 May 2022	4/4	–
1 July 2022	4/4	–
5 August 2022	4/4	–
26 August 2022	3/4	Aysha Al Hallami
30 September 2022	4/4	–
25 November 2022	3/4	Fatima Al Nuaimi
15 December 2022	4/4	–

Time allocation for 2022 BRC meetings

- Risk updates (incl. risk appetite statements)
- Risk related policies
- Regulatory updates (incl. stress test and ICAAP updates)
- Portfolio update



Statement from the BRC Chairman

Dear Shareholders,

For the year 2022, the Board Risk Committee (the "Committee") held 13 meetings, during which it discharged its duties in accordance and in compliance with the Committee's terms of reference. During the meetings, the dimensions of risks covered included, but were not limited to:

- Fraud risk
- Information security
- Data management & data privacy
- Operational risk
- Shari'ah risk
- Market risk
- Tax policy and framework
- Model management
- ESG

In 2022, the Committee continued to focus on ADCB's adherence to its risk governance framework and risk appetite.

Furthermore, the Committee received updates from the Group's Chief Risk Officer on emerging key risks, liquidity metrics and other regulatory activities and assessed all significant exposures and impacts on the Bank's financial performance. The Committee reviewed current portfolios for consistency with ADCB's risk-return profile and risk appetite limits.

The Committee also reviewed ADCB's risk appetite metrics and approach to credit risk management to ensure the Group remained well aligned with changing market conditions, regulatory requirements, and the nature, size and complexity of ADCB.

Looking into 2023

The Committee is scheduled to meet at least 6 times in 2023 to focus on ADCB's risk governance framework and risk appetite. The Committee will examine changes to operating models and risk appetite against the backdrop of changing market conditions. The Committee will ensure strong communication across the Board's committees to effectively make any necessary adjustments to ADCB's risk governance framework to maintain resilience and a clear strategic focus in the current operating environment. The Committee shall also oversee ADCB's risk management policies.

Carlos Obeid
Chairman of the Board Risk Committee

Our remit

The primary responsibility of the Board Risk Committee (BRC) is to enable the Board to fulfil its responsibilities in relation to the oversight of:

- The Group's risk appetite and strategy
- Development and implementation of the Group's risk governance framework
- Alignment of the Group's strategic objectives with its risk profile
- Potential risks in the Group's asset portfolios
- Development of risk measurement models, tools and monitoring of the effectiveness of such tools
- Development and implementation of risk management strategies and limits
- Compliance with regulatory requirements relating to risk management
- Public reporting on risk management matters
- Independence and effectiveness of risk management departments throughout the Group

Board Nomination, Compensation, HR & Governance Committee (NCHRG)

Committee composition

As at 31 December 2022



H.E. Hussain J. AlNowais
Chairman



Carlos Obeid



Saeed Mohamed Hamad Almazrouei



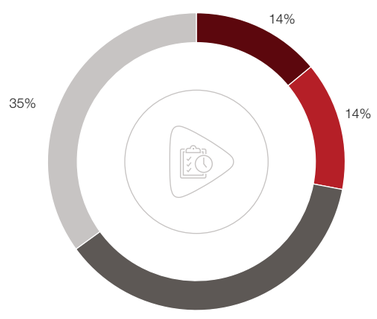
Fatima Al Nuaimi

2022 NCHRG Committee meetings

Date of NCHRG meeting	Number of attendees	Names of absent members
1 February 2022	2/4	H.E. Hussain J. AlNowais Saeed Mohamed Hamad Almazrouei
17 February 2022	4/4	–
22 February 2022	4/4	–
12 April 2022	4/4	–
22 November 2022	3/4	Fatima Al Nuaimi

Time allocation for 2022 NCHRG meetings

- Compensation
- Nomination
- Human Resources (incl. executive management KPI scorecard updates)
- Governance, policies and Board related matters



Statement from the NCHRG Chairman

Dear Shareholders,

During 2022, the Nomination, Compensation, HR and Governance Committee (the "Committee") held five meetings, during which it discharged its duties in accordance and in compliance with respective terms of reference.

In 2022, the Committee continued to focus on ADCB's Emiratisation strategy, ensuring that its Emiratisation framework effectively develops ADCB's UAE national talent and meets Emiratisation targets set by the Central Bank of the UAE.

The Committee continued to monitor the overall development of ADCB's culture to promote a healthy environment conducive to organisational success.
The Committee continued to develop KPIs to assess the effectiveness of the Bank's variable remuneration schemes and to ensure they align with ADCB's strategy, objectives, culture, values and risk appetite. In particular, we assessed the independent review of ADCB's remuneration against market practices and the Central Bank of the UAE's Corporate Governance regulation and standards.
The Committee noted that the remuneration schemes remain effective and continue to deliver the desired objectives for ADCB's current size and status.

The Committee continued to monitor and benchmark ADCB against international best practice in corporate governance. Furthermore, ADCB's Corporate Governance Framework, including policies and procedures, was enhanced to ensure compliance with the Central Bank of the UAE's Corporate Governance Regulations and Standards and those of the Securities and Commodities Authority.

Looking into 2023

In 2023, the Committee is scheduled to meet at least four times and will continue to prioritise the development of ADCB's UAE national talent, focusing on improvements in recruitment, retention and training of Emiratis.

The Committee will also continue to oversee remuneration policies and processes to ensure they remain suitable for the Bank's talent pool and contribute to future success and progress, in accordance with regulatory requirements. Furthermore, the Committee will work closely with the Board Risk Committee to regularly monitor and review compensation plans, outcomes, and processes to assess whether the Bank's compensation system creates the desired incentives for effective management of risk, capital and liquidity.

Hussain J. AlNowais
Chairman of the Board Nomination, Compensation, Human Resources & Governance Committee

Our remit

The Board Nomination, Compensation, HR & Governance Committee ("NCHRG") is responsible for:

- Ensuring the appropriate composition and skillset of the Board and the Board committees
- Ensuring the appropriate diversity of the Board
- Ensuring Independent Directors remain independent on a continuous basis
- Selecting and appointing Directors
- Orienting and training new and existing Directors
- Planning the succession of Board members and executive management
- Selecting and appointing executive management
- Assessing the performance of the Board, Board committees, individual Directors and executive management and overseeing the implementation of recommendations arising from performance reviews
- Developing, applying and reviewing human resources and training policies

Board Audit Committee (BAC)

Committee composition

As at 31 December 2022



Aysha Al Hallami

Chairlady



Khalid Deemas Alsuwaidi



Sheikh Sultan Bin Suroor Al Dhaheri



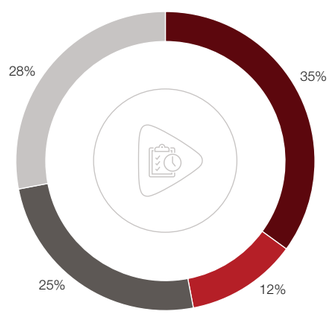
H.E. Amr Al Menhali

2022 Board Executive Committee meetings

Date of BAC meeting	Number of attendees	Names of absent members
19 January 2022	4/4	–
28 January 2022	4/4	–
17 March 2022	2/2[1]	–
14 April 2022	4/4	–
21 April 2022	4/4	–
23 June 2022	4/4	–
27 July 2022	3/4	Khalid Deemas Alsuwaidi
6 October 2022	4/4	–
20 October 2022	3/4	H.E. Amr Al Menhali
13 December 2022	4/4	–

Time allocation for 2022 BAC meetings

- Internal audit update
- Review of policies and governance related matters
- Financial results
- Compliance update (incl. regulatory updates)



Our remit

The primary responsibility of the Board Audit Committee (BAC) is to enable the Board to fulfil its responsibilities in relation to the oversight of:

- Integrity of ADCB's financial statements
- Qualifications, independence, performance and remuneration of the Group's external auditor
- Qualifications, independence and performance of ADCB's Internal Audit, Internal Shari'ah Audit, and Compliance departments
- The Group's internal control framework taking into account the Group's risk profile
- Compliance with applicable legal and regulatory requirements, including consumer protection

(1) Following the Annual General Assembly meeting on 14 March 2022, H.E. Amr Al Menhali, and Sheikh Sultan Bin Suroor Al Dhaheri were appointed as members of the Board Audit Committee on 21 March 2022

Statement from the BAC Chairlady

Dear Shareholders,

For the year 2022, the Board Audit Committee (the "Committee") held 10 meetings, during which it discharged its duties in accordance with respective terms of reference.

The Committee met regularly with ADCB's external and internal auditors without the presence of ADCB's management to discuss issues that arose. In addition, the Committee members attended meetings of the Board Risk Committee to ensure adequate flow of information between the two Board committees and the effective coverage of all risks, including emerging risks. The Committee oversaw adjustments to ADCB's risk governance framework in light of evolving business plans and the external environment.

In 2022, the Committee recommended the appointment of KPMG as the Group's external auditor for approval by the Board and shareholders.

The Committee received annual confirmation from ADCB's external auditor, that internal controls had been assessed for effectiveness. The Committee ensured that the Bank's Internal Audit Plan for 2022 focused on assuring that ADCB's internal governance and controls remained robust.

The Committee received regular updates from ADCB's management on the Central Bank of the UAE's baseline examination and findings, and reviewed and approved proposed closed actions.

The Committee received from the Group Chief Compliance Officer, status updates on the progress of the Bank's implementation of key regulatory changes as required, as well as updates on the Bank's activities in relation to monitoring and managing financial crime risks, including money laundering, terrorist financing, sanctions and proliferation financing risks.

The Committee assessed the quality and integrity of the Bank's financial statements, financial reporting and disclosures and ensured the effectiveness of its internal control framework.

Looking into 2023

The Committee's schedule in 2023 will include a minimum of nine meetings focused on, amongst other things, the integrity of ADCB's financial statements, IFRS 9 governance practices, emerging risks, assessment and oversight of the activities and performance of Group Internal Audit, Internal Shari'ah Audit, and Group Compliance departments, as well as the performance of ADCB's external auditor.

The Committee will continue to review and monitor changes in key sectors of the micro and macro-economic environment, and any changes in the regulatory landscape. The Committee will continue to coordinate its activities with the Board Risk Committee to ensure a free flow of information between the two Board committees.

The Committee will also ensure that ADCB's Group Internal Audit Plan mirrors emerging risks and provides the necessary assurances in the current evolving economic and operational environment.

Aysha Al Hallami
Chairlady of the Board Audit Committee

Role of the BAC regarding the external auditor

Role of the BAC in the selection, evaluation and maintaining the independence of external auditor

It is the policy of ADCB and the Board Audit Committee to appoint an external auditor who clearly demonstrates quality and independence. The selection of the external auditor is driven by ADCB's External Auditor Selection Policy, the Board Audit Committee Terms of Reference and the Abu Dhabi Accountability Authority (ADAA) Statutory Auditors Appointment Rules.

The Board Audit Committee is responsible for the following:

- Approve a policy for the tendering of the audit engagement, which must include requirements for knowledge and competence, objectivity, independence, professional scepticism and quality control
- Recommend to the Board the appointment, reappointment and dismissal of the external auditor and the appropriate compensation for their services
- Review the terms of engagement of the external auditor prior to signature of the written contract and ensure that it includes rights, duties and responsibilities of ADCB and the external auditor, as well as outcomes, timings, payment terms and conditions, communications and dispute handling, and ensure that the contract is in line with the applicable rules, standards and regulations
- Review the scope of the external audit plan and any additional services and ensure that the scope includes areas such as the loan portfolio and loss provisions, non-performing assets, asset valuations, trading and other securities activities, derivatives, asset securitisations, consolidation of, and other involvement with, off-balance-sheet vehicles, the Pillar 3 reporting and the adequacy of internal controls over financial reporting
- Ensure that the engagement audit plan is promptly updated to reflect changes in the size, business mix or complexity of ADCB or in the instructions of the Central Bank of the UAE
- Ensure that audits are conducted in accordance with International Standards on Auditing (ISA) and the Central Bank of the UAE's instructions
- Monitor the effectiveness and independence of the external auditor

Selection of the external auditor

The Board Audit Committee identifies the audit firms that meet the selection criteria (including on efficiency, reputation and experience) and circulates the offer request in order to determine their willingness to submit proposals for the provision of external audit services. The Board Audit Committee and, as may be deemed necessary, the Group Chief Financial Officer and the Group Chief Internal Auditor, will meet and interview the candidates along with members of the Board Audit Committee and evaluate technical and financial offers taking into consideration ADCB's budgeted fees.

The Board Audit Committee will ensure that the recommended audit firms are qualified and independent in form and substance (including the type of non-audit services provided and independence of individuals) and meet the following conditions:

a. Be licensed and approved by the competent authorities to practice the profession in the UAE

b. Have experience in auditing public joint-stock companies for at least five years

c. Be compliant with the International Code of Ethics for Professional Accountants

d. Must not be a shareholder in the company or occupy the office of member of the Board or any technical, administrative or executive office therein

e. Must not be a partner or agent of any of the founders of ADCB or any of its Directors or a relative of any of them up to the second grade

The Board Audit Committee will then recommend to the Board a firm for appointment as external auditor. The Board will meet to concur (or otherwise) with the Board Audit Committee, on the recommended audit firm. The recommendation, along with the proposed fees, will be submitted to the shareholders at ADCB's Annual General Assembly meeting for approval. This is the only forum authorised to approve the Board's recommended audit firm and its compensation.

Further, throughout this process, ADCB's Board Secretariat function and/or the Internal Audit Department will arrange the necessary notices, meetings, and resolutions for the resignation/removal of the existing external auditor and the appointment of the new auditor and monitor emerging best practices in audit tendering including making appropriate disclosures in ADCB's Annual Report.

The Central Bank of the UAE may require ADCB to rescind the appointment of an external auditor if it determines that the external auditor has not adhered to established professional standards or if the external auditor has inadequate expertise or independence.

Evaluation of independence

In carrying out these responsibilities, the Board Audit Committee reviews the performance, independence, and quality of the external auditor annually. The performance evaluation process is carried out through an evaluation form recommended by Abu Dhabi Accountability Authority. The evaluation is conducted by the Board Audit Committee with the Group Chief Internal Auditor and the Group Chief Financial Officer in attendance.

Additionally, the external auditor also confirms that it has a quality control system for monitoring compliance with independence and continuing professional education requirements.

The review questionnaire encompasses questions on quality, independence, composition, peer review, etc. Furthermore, the external auditor submits an undertaking to the Board Audit Committee on its independence in accordance with the Code of Ethics for Professional Accountants (IESBA Code) set by the International Ethics Standards Board for Accountants (IESBA), together with the other ethical requirements that are relevant to its audit of ADCB's consolidated financial statements in the UAE, and it has fulfilled its other ethical responsibilities in accordance with these requirements and the IESBA Code.

Rotation of audit firm and ratification of the external auditor

The selected external audit firm will be appointed for not more than one financial year by a resolution of ADCB's Annual General Assembly meeting. The Group's external audit firm appointment may be renewed twice, for a total of three consecutive years.

The Board Audit Committee evaluates the performance and independence of the external auditor annually and recommends the reappointment or otherwise to the Board. The Board Audit Committee considers, in particular, whether the retention of the external audit firm is in the best interests of ADCB and its shareholders, taking into account the firm's quality of service, the firm's institutional knowledge and experience, the firm's sufficiency of resources, the quality of the communication and interaction with the firm, the firm's independence, objectivity and professional scepticism.

Audit committee pre-approval policies and procedures

The Board Audit Committee annually recommends to shareholders for approval, the fee for external audit services included in the scope of the external auditor at the beginning of the year. The list of services includes audit services and audit-related services. In exceptional cases, the Board Audit Committee may approve additional fees for the services of the external auditor that has not been pre-approved at the beginning of the year or where the fee exceeds the approved amount.

External auditor's fees

External auditor's fees

The aggregate fees paid to the Group's external auditor for professional services rendered in or provided for 2022 and 2021, as applicable, were:

Fees (AED)	2022	2021
Audit fees	4,232,951	2,832,148
Audit-related fees	995,650	459,125
Total audit/audit-related fees	**5,228,601**	**3,291,273**
Tax fees	-	180,563
All other fees	-	117,842
Total fees	**5,228,601**	**3,589,678**

KPMG, including the audit partner, has served as ADCB's external auditor following their approval at the Annual General Assembly meeting on 14 March 2022.

Audit fees

'Audit fees' relate to the audit of the consolidated financial statements and internal control over financial reporting, including disclosures presented in the footnotes to ADCB's financial statements (for example, regulatory capital, among other disclosures). Audit fees also relate to the audit of domestic and international statutory and subsidiary financial statements, the review of the interim consolidated financial statements, the issuance of comfort letters/reports to various regulatory authorities (Securities and Commodities Authority, the Central Bank of the UAE, and relevant international regulators), review of ECL model and their validation for carrying out substantive procedures and services provided in connection with certain agreed procedures and other attestation reports.

Audit fees are those billed or expected to be billed for audit services related to each fiscal year.

Audit-related fees

'Audit-related fees' cover other audit and attestation services, as well as services provided in connection with certain agreed procedures and other attestation reports (such as bond issuance or any other attestation that requires an auditor's review), reporting and compliance matters. Fees for audit-related services are those billed or expected to be billed for services rendered during each fiscal year.

Tax fees

'Tax fees' cover Tax and VAT (Value Added Tax) compliance, advisory and planning services that are billed or expected to be billed for services rendered during each fiscal year.

Other fees

'All other fees' consisted primarily of amounts billed or expected to be billed for ADCB's engagement of auditors to provide guidance in connection with matters that are not covered in the above three categories.

All services are approved by the Board Audit Committee and are subject to controls to ensure the external auditor's independence is unaffected by the provision of other services.

Note: The above fees is excluding VAT

BAC report on selection of auditor

ADCB's BAC is composed of four Board members. The Board has determined that the BAC is made up of independent or non-executive members of the Board, in line with applicable regulations.

Management is responsible for preparing the overall reporting process of ADCB's consolidated financial statements, and the external auditor reviews and confirms the effectiveness of the internal control over financial reporting. KPMG, ADCB's independent external audit firm, is responsible for planning and conducting an independent audit of ADCB's consolidated financial statements in accordance with the standards issued by the International Accounting Standard Board (IASB) and for expressing an opinion as to the conformity of ADCB's financial statements with these standards and as to the effectiveness of the internal controls over financial reporting. The BAC's responsibility is to monitor and oversee these processes.

The BAC annually evaluates the external auditor's qualifications, performance, quality and independence. The BAC has reviewed and discussed with management and with the external auditor, ADCB's audited financial statements for the year ended 31 December 2022, management's assessment and the external auditor's evaluation of ADCB's internal control over financial reporting.

In addition, the BAC has discussed with the external auditor the matters that independent registered public accounting firms must communicate to audit committees under applicable standards.

The BAC has also discussed and confirmed with the external auditor its independence from ADCB, and received all written disclosures and correspondence required by the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the other ethical requirements that are relevant to their audit of ADCB's consolidated financial statements in the United Arab Emirates. They have fulfilled their other ethical responsibilities in accordance with these requirements and the IESBA Code.

Based on the reviews and discussions above, the BAC recommended to the Board that the audited financial statements for the year ended 31 December 2022 and the related footnotes be included in ADCB's Annual Report for the year ended 31 December 2022.

External auditor reservations

There were no reservations raised by the external auditor with regards to ADCB's year-end financial statements for the year ended 31 December 2022.

Submitted by the Board Audit Committee

Responsibilities of MEC and management committees

The MEC reports to the Board and is composed of key members of management.

The responsibilities of the MEC include:

- Establishing the organisational structure for management and management committees
- Implementing strategy set by the Board and recommending strategy and policy decisions
- Recommending the annual budget and funding plan
- Approving key performance indicators for each business line
- Approving expenditures, up to certain delegated limits set by the Board
- Approving establishment of branches, agencies, joint ventures and subsidiaries and appointments of directors to subsidiaries
- Approving debt-funding issues, hedging and investments, up to certain delegated limits set by the Board
- Approving recovery settlements and write-offs, up to delegated limits set by the Board
- Approving new products and services
- Approving Bank policies, excluding those falling within the Board's responsibility

Management committees

Certain day-to-day activities of the Bank have been delegated by the Board to the Bank's Management Executive Committee (the "MEC").

Such delegations are articulated in the MEC's terms of reference.

Committee	Meetings held in 2022	Responsibilities of the committee
Management Executive Committee	23	The most senior management committee; oversees all of ADCB's businesses and operations
Assets & Liabilities Committee	8	Formulates ADCB's overall assets and liabilities strategy. Makes investments and executes asset/liability transactions within delegated limits; guides the Management Executive Committee and the Board on investments and asset/liability transactions above those limits
Risk Management Committee	3	Considers risk appetite; sets and recommends risk policies; guides the Board Risk Committee on general risk and risk policy issues
Management Credit Committee	44	Approves credits within delegated limits; guides the Board Executive Committee and the Board on credits above delegated limits
Capital Expenditure Committee	8	Reviews and approves project capital expenditures within delegated limits and makes recommendations to the Management Executive Committee and the Board on project capital expenditures above those limits
Financial Performance Management Committee	11	Monitors financial performance of the Bank's business lines
Management Recoveries Committee	11	Manages restructuring, settlements and recovery-related write-offs
Group Strategy Committee	21	Reviews progress made against Group strategy and project milestones and deliverables
Model Risk Management Committee	6	Oversees all model related matters (model development, monitoring, and validation), to optimise the role of models in decision-making, including models used in risk, capital management and for stress testing
Group Sustainability Committee	5	Develops and implements the Group's sustainability strategy and reports on progress
Management Compliance Committee	8	Maintaining oversight on all regulatory matters, including regulatory examinations, expediting closure of all due actions, while ensuring clear visibility, ownership and accountability. Timely implementation of regulatory requirements and establishing a robust governance structure

Delegation of authority

A Director's authority to serve ADCB is conferred upon the Board as a whole; an individual Director has no particular authority or power when acting on their own, apart from the Chairman, whose powers are not absolute.

The Chairman, by virtue of a duly notarised Power of Attorney ("POA"), has delegated specific powers to the Group Chief Executive Officer, who subsequently sub-delegates specific authorities to members of ADCB's executive management, also by virtue of duly notarised POAs.

The POAs have their validity linked to the Chairman's powers of attorney and in any event, do not exceed three years from the date of notarisation by a notary public in the UAE. ADCB has a rigorous process of ensuring POAs are mandated, revoked, and remain valid in accordance with ADCB's business requirements.

Delegated attorneys exercise powers contained in such POAs in accordance with duly documented business requirements or within a Board-approved strategy or directive. During 2022, ADCB issued nine POAs to ADCB's executive management in connection with the fulfilment of their duties and obligations.

Name of authorised person	Expiry Date
Ala'a Eraiqat – Group Chief Executive Officer	8 December 2024
Deepak Khullar – Group Chief Financial Officer	7 December 2024
Jane Livingston – Group General Counsel	7 December 2024
Tilak Silva – Group Chief Credit Officer	7 December 2024
Ali Darwish – Group Head of Human Resources	7 December 2024
Mohammed Al Jayyash – Group Chief Operation Officer	7 December 2024
Paul Keating – Group Chief Risk Officer	7 December 2024
Ludovic Nobili – Group Head of Wholesale Banking	7 December 2024
Rajesh Raheja – Acting Group Treasurer	7 December 2024
Deepak Rochlani – Group Head of Retail Banking	6 December 2024
Kevin Taylor – Group Treasurer[1]	25 January 2023
Arup Mukhopadhyay – Group Head of Consumer Banking[2]	25 January 2023

(1) POA ceased to be effective as of 5 August 2022
(2) POA ceased to be effective as of 20 May 2022

Employee remuneration and reward

Guiding principles

ADCB supports remuneration levels necessary to attract, retain and motivate employees capable of leading, managing and delivering high quality services in a competitive environment.

ADCB's remuneration structure is conservative, with practices and policies that promote effective risk management. To that end, ADCB structures remuneration packages so that they reflect roles, responsibilities and accountabilities and are fair and equitable. Packages incorporate clear and measurable rewards linked to corporate, department and individual performance as applicable. Furthermore, rewards are based only on the results of a rigorous performance management system with a robust management decision-making, review and approval process.

Our performance-linked approach is designed to minimise employee turnover and to inspire employees to perform at the highest levels, consistent with effective risk management.

Definition and components of pay

Fixed pay and benefits

Definition	Components
ADCB's fixed pay is consistent with the Bank's objective to remain competitive in the market. An employee's fixed pay is reviewed against the employee's contributions over the tenure of employment. The review of the fixed pay largely depends on whether the employee has achieved clear and measurable objectives and has delivered to a specified performance level.	> Basic pay > General allowance > Social allowance (UAE Nationals) > Job-specific allowances > Benefits based on position, such as: > Leave airfare > Private medical insurance > Life insurance coverage > Education allowance > Annual leave

Total reward – key components

ADCB employees are eligible to receive three types of rewards as detailed in the table below; fixed pay and benefits, variable pay and retention award scheme. ADCB's remuneration programme balances short and long-term incentives to align the interests of ADCB, its shareholders and employees.

Variable pay

Definition	Performance criteria
Variable pay, which may be received by an employee, is based on individual and business performance, and is therefore subject to change each year.	Individual award amounts are dependent on three factors: > Individual performance > Business function performance > Overall performance of the Bank

Retention scheme

Definition	Selection criteria
ADCB operates a successful share-based retention scheme for key positions and high potential UAE nationals. The scheme, which is independent of variable pay awards, is designed to ensure business continuity by mitigating turnover risk and related operational risk. Invitations to join the retention scheme are at the sole discretion of the Board Nomination, Compensation, Human Resources & Governance Committee. Members of the Management Executive Committee are not eligible to participate. The retention scheme awards vest after four years from the award date.	> Incumbents in 'mission critical' positions > UAE Nationals with exceptional professional growth potential

Bank-wide variable pay framework

The Variable Pay Framework has been designed to align employees' interests with the long-term interests of ADCB shareholders and to incentivise higher performance, while avoiding excessive risk-taking. It also distinguishes between different functions of ADCB to ensure alignment to the relevant talent market.

The NCHRG oversees the design, operation and effectiveness of the framework and allocation of awards, including overall amounts, distribution among business lines and awards to executive management.

ADCB uses a balanced score-card approach to measure employee performance, including the following KPI categories:

> Financial, internal and external, where relevant

> Non-financial, including service excellence and people (Organisational Health Index and Emiratisation scores are included as key KPIs)

> Compliance, Audit and Risk

Effectiveness of the variable pay framework

Effectiveness of the Variable Pay Framework is monitored on an annual basis through a set of KPIs, including:

> Correlation between the total variable pay pool and ADCB's net profit

> Correlation between individual performance and variable pay awards

> The attrition rate for employees awarded deferred variable pay as compared to the overall attrition rate

> Stability/attrition rate at management level (top 100 executives) as compared to the industry average for the same level

In accordance with best practice and the requirements of the Central Bank of the UAE's Corporate Governance regulation and standards, the NCHRG regularly seeks the views of independent consultants on the quantum, design and effectiveness of ADCB's variable pay framework and awards. Following an independent review, the Bank redesigned and launched a new Performance-Driven Variable Pay Plan (VP) in 2022 that directly links the variable pay of senior management with the Group's overall performance and individual performance.

Variable pay framework & governance — key facts	
Reflects individual, business function and Bank-wide performance	✓
Distinguishes between different functions of ADCB to ensure alignment to the relevant market	✓
Defers variable pay award above specified threshold	✓
Type of deferred compensation	Cash and shares ✓
Duration of deferral of variable pay	Three years ✓
Awards subject to thresholds, caps, clawback rules, malus clause, and deferral and retention provisions	✓
Managed by remuneration professionals experienced in the governance of all types of compensation and benefits	✓
Designed in conjunction with, and reviewed by, independent external advisers reporting directly to the NCHRG	✓
Relies on regular external benchmarking to ensure alignment with evolving local and global best practices	✓
Incorporates constant monitoring of developments in remuneration governance to ensure all variable pay plans evolve in line with ADCB's needs and external developments	✓
Designed to avoid excessive risk-taking	✓
Includes a minimum shareholding rule for key management	✓
Aligns employee interests with the long-term interests of ADCB's shareholders	✓

Remuneration awarded during the financial year

Remuneration in AED '000		31 December 2022		31 December 2021	
		Senior management[1]	Other material risk-takers	Senior management[3]	Other material risk-takers[4]
Fixed remuneration	Number of employees[1]	14[1]	44	12	0
	Total fixed remuneration (A)	**39,057**	**66,377**	**32,121**	–
	Of which: cash-based [salary, including basic pay, general allowance and social allowance (for UAE Nationals)]	32,245	57,364	26,998	–
	Of which: deferred	Nil	Nil	Nil	–
	Of which: other forms [benefits, including leave airfare, education allowance, club membership allowance and premium for life and medical insurance, gratuity provision and pension contribution (for UAE Nationals)]	6,812	9,013	5,123	–
Variable remuneration	Number of employees	14[1]	44	12	–
	Total variable remuneration (B)	**72,950**	**36,147**	**38,350**	–
	Of which: cash-based	38,297	22,826	20,760	–
	Of which: deferred[2]	27,532	13,019	17,590	–
	Of which: shares or other share-linked instruments	13,766	6,016	8,795	–
	Of which: cash	13,766	7,003	8,795	–
	Of which: other forms [one-time other long term benefits related to retired employees]	7,121	302	–	–
Total remuneration (A + B)		**112,007**	**102,524**	**70,471**	

Special payments

Total amount in AED '000	31 December 2022					
	Guaranteed bonuses		Sign on awards		Severance payments	
	No. of employees	Total amount	No. of employees	Total amount	No. of employees	Total amount
Senior management	–	–	–	–	–	–
Other material risk takers	–	–	2	550	–	–
Total	**–**	**–**	**2**	**550**	**–**	**–**

Total amount in AED '000	31 December 2021					
	Guaranteed bonuses		Sign on awards		Severance payments	
	No. of employees	Total amount	No. of employees	Total amount	No. of employees	Total amount
Senior management	–	–	–	–	–	–
Other material risk takers	–	–	–	–	–	–
Total	**–**	**–**	**–**	**–**	**–**	**–**

(1) This includes 12 currently active employees and 2 employees who left the ADCB Group during 2022. The group includes, Group Chief Executive Officer, Group Chief Compliance Officer, Group Chief Credit Officer, Group Chief Financial Officer, Group Chief Internal Auditor, Group Chief Operations Officer, Group Chief Risk Officer, Group General Counsel, Group Head Human Resources, Group Head Retail Banking, Group Head Wholesale Banking, Acting - Group Treasurer, Ex-Group Head Consumer Banking, Ex-Group Treasurer
(2) This includes variable remuneration awarded during 2022 and excludes variable remuneration awarded during previous years that vested during 2022
(3 Prior year remuneration amounts have been reclassified to reflect current year's presentation
(4) Based on Corporate Governance Standards and Regulations for Banks issued by CBUAE, the Bank has concluded/introduced the list of other material risk takers in 2022 as such prior year remuneration of other material risk takers are nil

The deferred remuneration is part of the overall Variable Pay Framework of the Bank and its purpose is to encourage employees to maintain a strong focus on the medium- to long-term performance of the Bank's businesses, to reinforce cross-business co-operation and a partnership mentality, to align the interests of employees with the shareholders of the Bank, and to assist in the retention of employees who are capable of having a significant impact on the performance of the Bank.

Deferred remuneration

31 December 2022 — AED '000

Deferred and retained remuneration		Total amount of outstanding deferred remuneration	Of which: Total amount of outstanding deferred and retained remuneration exposed to ex post explicit and/or implicit adjustments	Total amount of amendment during the year due to ex post explicit adjustments	Total amount of amendment during the year due to ex post implicit adjustments	Total amount of deferred remuneration paid out in the financial year
			This includes deferred remuneration from previous years that vests in 2023 and onwards			This includes deferred remuneration from previous years that vested during 2022
Executive management/other material risk takers						
Cash	Senior management	10,743	10,743	–	–	17,270
	Other material risk takers	5,694	5,694	–	–	6,761
Shares	Senior management	10,743	10,743	–	–	9,367
	Other material risk takers	4,735	4,735	–	–	3,076
Cash-linked instruments	Senior management	–	–	–	–	–
	Other material risk takers	–	–	–	–	–
Other	Senior management	–	–	–	–	–
	Other material risk takers	–	–	–	–	–
Total	**Senior management**	**21,486**	**21,486**	**–**	**–**	**26,637**
	Other material risk takers	**10,429**	**10,429**	**–**	**–**	**9,837**

31 December 2021 — AED '000

Deferred and retained remuneration[1]		Total amount of outstanding deferred remuneration	Of which: Total amount of outstanding deferred and retained remuneration exposed to ex post explicit and/or implicit adjustments	Total amount of amendment during the year due to ex post explicit adjustments	Total amount of amendment during the year due to ex post implicit adjustments	Total amount of deferred remuneration paid out in the financial year
			This includes deferred remuneration from previous years that vests in 2022 and onwards			This includes deferred remuneration from previous years that vested during 2021
Executive management/other material risk takers						
Cash	Senior management	12,833	12,833	–	–	17,617
	Other material risk takers	–	–	–	–	–
Shares	Senior management	5,863	5,863	–	–	2,932
	Other material risk takers	–	–	–	–	–
Cash-linked instruments	Senior management	–	–	–	–	–
	Other material risk takers	–	–	–	–	–
Other	Senior management	–	–	–	–	–
	Other material risk takers	–	–	–	–	–
Total	**Senior management**	**18,696**	**18,696**	**–**	**–**	**20,549**
	Other material risk takers	**–**	**–**	**–**	**–**	**–**

(1) Based on Corporate Governance Standards and Regulations for Banks issued by CBUAE, the Bank has concluded/introduced the list of other material risk takers in 2022 as such prior year remuneration of other material risk takers are nil

Stakeholder engagement and disclosures

Investor Relations (IR)

ADCB is committed to high standards of transparency and enhancing its disclosures regularly to reflect local and international best-practice.

The IR Department is committed to strong communication with its shareholders and potential investors by ensuring timely dissemination of financial and non-financial information through various channels. We regularly update the market through quarterly results and press releases, while our year-end results are also communicated in a comprehensive Annual Report.

In 2022, the Bank met with over 300 investors through one-on-one meetings, roadshows and investor conferences. We further enhanced and consolidated our disclosures, with continued updates on our medium-term guidance and key metrics to provide visibility to the market.

Among highlights of the year, the Bank published its inaugural stand-alone ESG report, and completed a successful issuance of its first green bond, following a global roadshow encompassing meetings in London and Singapore.

Our dedication to investor engagement and transparency has supported an increase in foreign ownership to 17.42% at the end of 2022 from 15.23% a year earlier.

Further details on ADCB's announcements to the Abu Dhabi Securities Exchange (ADX) during the year 2022 are available on our dedicated IR website at adcb.com/ir or on ADX website at adx.ae

Finally, reflecting the importance to the organisation of effective internal communications, we ensure all employees are kept aware of all relevant developments. These include ADCB's strategic direction, objectives, updates on ESG, risk policies, general policies and procedures, new regulations, and other relevant information.

Investor relations contact details

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Head of Investor Relations

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Share price performance and trading volume

2022 share price performance



ADCB share price comparative performance in 2022

	December 2022 close	December 2021 close	% change
ADCB	AED 9.00	AED 8.53	+6%
ADX	10,211.09	8,488.36	+20%
MSCI EM Banks	328.51	363.48	-10%

ADCB share price performance and monthly trading volume in 2022

	Open (AED)	Close (AED)	MoM change	MoM % change	High (AED)	Low (AED)	Value (AED)	Volume	Trades
January	8.40	8.96	0.43	5	8.97	8.38	578,348,268	66,201,752	7,967
February	8.97	10.76	1.80	20	10.76	8.78	1,056,499,748	109,511,977	12,965
March	10.76	10.48	(0.28)	(3)	11.30	10.02	1,481,688,887	138,487,838	16,512
April	10.44	10.18	(0.30)	(3)	10.96	10.06	1,175,111,816	112,713,390	14,988
May	10.18	10.00	(0.18)	(2)	10.46	9.04	1,028,946,112	104,372,585	17,139
June	9.90	8.86	(1.14)	(11)	10.10	8.79	1,080,462,715	114,314,627	15,362
July	8.85	9.12	0.26	3	9.50	8.15	418,420,459	47,475,101	8,431
August	9.13	9.07	(0.05)	(1)	9.89	8.60	528,669,584	57,703,232	11,329
September	9.12	9.02	(0.05)	(1)	9.35	8.60	697,554,341	76,956,645	14,363
October	9.00	9.45	0.43	5	9.45	8.90	841,479,017	92,536,108	14,360
November	9.45	9.79	0.34	4	9.79	9.12	792,403,592	83,685,718	16,289
December	9.40	9.00	(0.79)	(8)	9.64	8.81	525,545,853	57,711,246	15,768
							10,205,130,393	1,061,670,219	165,473

Figures may not add up due to rounding differences
Source: ADX website
Note: There were no big block trades in 2022

Shareholder ownership structure

Shareholder details

The following table shows distribution of ownership of ADCB shares as at 31 December 2022:

	Percentage of owned shares			
Shareholders' classification[1]	Individuals	Corporates	Government	Total
Local	14.10%	6.80%	61.69%[2]	82.59%
Arab	0.46%	0.77%	0.03%	1.26%
Foreign	0.44%	15.71%	0.00%	16.15%
Total	**15.00%**	**23.28%**	**61.72%**	**100.00%**

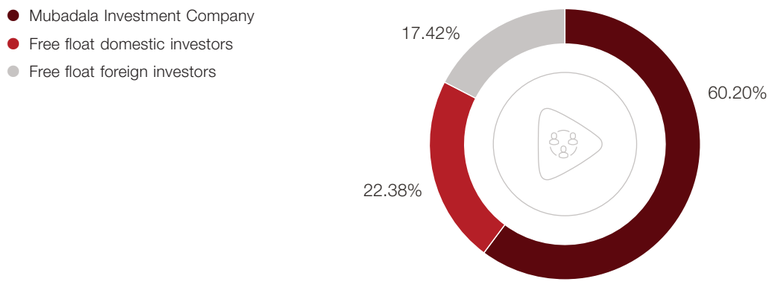
Further information on shareholder ownership as at 31 December 2022:

Share(s) ownership	Number of shareholders	Number of owned shares	Percentage of owned shares of ADCB's capital
Less than 50,000	2,382	20,400,284	0.29%
From 50,000 to less than 500,000	833	150,657,813	2.17%
From 500,000 to less than 5,000,000	442	719,841,581	10.35%
More than 5,000,000	114	6,066,479,676	87.19%
Total	**3,771**	**6,957,379,354**	**100.00%**

The following are the shareholders owning 5% or more of ADCB's capital as at 31 December 2022:

Name	Number of owned shares	Percentage of owned shares of ADCB's capital
One Hundred and Fourteenth Investment Company – Sole Proprietorship LLC[3]	4,188,599,943	60.20%

Shareholder ownership structure (as at 31 December 2022)



Source: ADX website
Figures may not add up due to rounding differences
(1) Based on ADX classification of individuals, corporates and government entities
(2) This reflects the Government's shareholding ownership percentage (Federal Government, Local Government, Pension Funds and UAE Government's wholly-owned entities), including ownership by the Government of Abu Dhabi entity, Mubadala Investment Company PJSC, through its wholly-owned subsidiary One Hundred and Fourteenth Investment Company – Sole Proprietorship LLC
(3) The Government of Abu Dhabi entity Mubadala Investment Company through its wholly-owned subsidiary, One Hundred and Fourteenth Investment Company – Sole Proprietorship LLC owns 60.20% of the Bank's share capital

Annual General Assembly meetings

Our Annual General Assembly meeting setup allows shareholders to participate in a hybrid or virtual-only meeting format. Shareholders were able to fully exercise all their rights to attend and participate in meetings in real time.

ADCB held the following General Assembly meetings during 2022

General Assembly meeting	Date	Meeting method	Special resolution(s)	Attendance %
Annual General Assembly	14 March 2022	Virtual	> Amendment to the Articles of Association	76.14%
General Assembly	29 August 2022	Virtual	> Amendment to the Articles of Association > Issuance of ADCB's first green bond	72.51%

The meeting resolutions are disclosed to the Abu Dhabi Stock Exchange, while the signed minutes of the assembly are sent to the Securities and Commodities Authority. Results and resolution of the meeting are announced on our corporate website. For further information, please visit the Annual General Assembly section on adcb.com/ir

Islamic Banking governance framework

ADCB Islamic Banking is the brand under which we offer retail and corporate Shari'ah compliant financial solutions to our Consumer, Wholesale and Treasury clients.

ADCB is regulated by the Central Bank of the UAE (CBUAE), and its Islamic Banking activities are supervised by an independent Internal Shari'ah Supervision Committee (ISSC). The ISSC is the final authority within ADCB regarding all Shari'ah-related matters. It operates in accordance with the resolutions, standards and guidelines issued by the Higher Shari'ah Authority of the Central Bank of the UAE (HSA). HSA mandates the Islamic Financial Institutions (IFIs) to adopt the Shari'ah Standards issued by the Accounting and Auditing Organisation for Islamic Financial Institutions (AAOIFI) and Islamic Financial Services Board (IFSB).

ISSC functions in line with the Shari'ah governance framework provided within the terms of reference of the ISSC that are approved by the members of the ISSC. The terms of reference provide for the processes and procedures of the functioning of the ISSC, such as holding meetings, issuing of Fatwas (pronouncements and approvals), resolutions, Shari'ah review and annual Shari'ah Report.

Fatwas are issued by the ISSC to certify compliance with principles of Shari'ah for all Islamic products and services as well as for bespoke structured deals. The ISSC's review covers the product structure, the underlying Shari'ah contract, legal documentation, operational process flow and all associated product literature. Fatwas issued by the ISSC are published on ADCB's website and are available at all branches.

ADCB's internal Shari'ah governance framework is based on a 'three lines of defence' approach as set out in the standards and regulations issued by the Central Bank of the UAE. While the business acts as the first line of defence, an independent and separate Internal Shari'ah Control Department led by the Head of Internal Shari'ah Control is the second line of defence, and it implements and oversees the Shari'ah governance at ADCB.
A separate and independent Internal Shari'ah Audit Department led by the Head of Internal Shari'ah Audit, represents the third line of defence, undertaking the Shari'ah review and audit of Islamic products and services offered by ADCB. The Internal Shari'ah Audit Department submits the Shari'ah Audit Reports to the ISSC and other relevant bodies in accordance with the HSA standards, regulations, circulars and resolutions. To ensure complete independence from the business, Heads of Internal Shari'ah Control and Internal Shari'ah Audit report to the Board or its committees in relation to promotion, bonus, performance appraisal and removal.

ADCB Islamic Banking maintains a separate set of financial records to ensure that the accounts for the Islamic business are completely segregated from ADCB's conventional funds. ADCB's consolidated accounts include the results of ADCB Islamic Banking and are separately disclosed in the notes.

The respected Shari'ah scholars listed in this section make up the ISSC of ADCB Islamic Banking.

Professor Dr. Jassim Al Shamsi, Chairman & Executive Member

Professor Dr. Jassim Al Shamsi is the first Emirati Shari'ah scholar to lead the ISSC of ADCB Islamic Banking. He previously served as Dean of the College of Shari'ah and Law, UAE University. In addition, he chairs and is a member of many other ISSCs for Islamic banks/windows and financial institutions. He is also a member of the Higher Shari'ah Authority of the Central Bank of the UAE.

Dr. Daud Bin Bakar, Member

Dr. Daud Bakar is a prominent Shari'ah scholar holding a Shari'ah degree from the University of Kuwait and a PhD from the University of St. Andrews, United Kingdom. He is the Chairman of the Shari'ah Advisory Council/Supervision Committee of the Central Bank of Malaysia, Securities Commission of Malaysia and First Abu Dhabi Bank.

He is a member of various Shari'ah committees' supervisory boards around the globe. He is an author of many books on Islamic banking and finance, including "Shari'ah Minds in Islamic Finance" and "An Insightful Journey into Emirates Airline Sukuk".

Professor Dr. Ibrahim Al Mansoori, Member

Professor Dr. Ibrahim Ali Abdullah Al Mansoori holds a Master's degree and PhD in Islamic Banking and Economics. Currently, he holds the position of Director of Sharjah Centre for Islamic Economy at Al Qasimia University. He is also a faculty member in the College of Shari'ah and Islamic Studies, the University of Sharjah.

He is currently serving as a member of the Shari'ah Supervision Committee of Dubai Islamic Bank, Al Hilal Bank, Sharjah Islamic Bank and Standard Chartered Bank. He is the author of various studies and papers on contemporary matters relating to Islamic Banking and various Shari'ah issues.

Dr. Salim Al-Ali, Member

Dr. Salim Al-Ali holds a PhD in Financial Law from the University of London, in the UK. He also holds a Master's Degree in Islamic Banking and Finance from the International Islamic University of Malaysia. In 2016, he received the prestigious Sheikh Rashid Award for Outstanding Scientific Achievement. Dr. Salim is the author of 'Raising Capital on Sukuk Markets — Structural, Legal and Regulatory Issues'.

Dr. Osama Mohammed Bahar, Member

Dr. Osama Bahar is a renowned Bahraini Shari'ah scholar who holds a Shari'ah Degree as well as a PhD from La Haye University, Netherlands. He is currently a member of the Shari'ah Board/Committee at Ithmaar Holding-Bahrain, Alizz Islamic Bank-Oman, Al Salam Bank-Bahrain, Allianz Takaful and Allianz Global Investors-Bahrain. He is also the former Head of Shari'ah at Al Salam Bank Bahrain.

Mr. Kamran Khalid Sherwani, ISSC Secretary

Mr. Kamran Sherwani is Head of Internal Shari'ah Control at ADCB. He provides Shari'ah guidance on all day-to-day Shari'ah-related matters and obtains ISSC guidance and approvals in respect to Islamic products and services. He received a Degree in Shari'ah and Law from the International Islamic University and is an AAOIFI Certified Shari'ah advisor and auditor. He has served as Shari'ah advisor to several major Islamic banks.

Annual Report of the Internal Shari'ah Supervision Committee of Abu Dhabi Commercial Bank Islamic Banking Division

All praise is due to Allah, Lord of the Worlds, and prayers and peace be upon the most honorable of the prophets and messengers, our master Muhammad, and on his family and companions.

Issued on: 20 January 2023

To: Shareholders of Abu Dhabi Commercial Bank PJSC ("the Institution")

After greetings,
Pursuant to the requirements stipulated in the relevant laws, regulations and standards ("Regulatory Requirements"), the Internal Shari'ah Supervision Committee of the Institution ("ISSC") presents to you the ISSC's Annual Report regarding Shari'ah compliant businesses and operations of the Institution for the financial year ending on 31 December 2022 ("Financial Year").

1. Responsibility of the ISSC

In accordance with the Regulatory Requirements and the ISSC's charter, the ISSC's responsibility is stipulated as to:

a. undertake Shari'ah supervision of all businesses, activities, products, services, contracts, documents and business charters of the Institution; and the Institution's policies, accounting standards, operations and activities in general, memorandum of association, charter, financial statements, allocation of expenditures and costs, and distribution of profits between holders of investment accounts and shareholders ("Institution's Activities") and issue Shari'ah resolutions in this regard.

b. to determine Shari'ah parameters necessary for the Institution's Activities, and the Institution's compliance with Islamic Shari'ah within the framework of the rules, principles, and standards set by the Higher Shari'ah Authority ("HSA") to ascertain compliance of the Institution with Islamic Shari'ah.

The senior management is responsible for compliance of the Institution with Islamic Shari'ah in accordance with the HSA's resolutions, fatwas, and opinions, and the ISSC's resolutions within the framework of the rules, principles, and standards set by the HSA ("Compliance with Islamic Shari'ah") in all Institution's Activities, and the Board bears the ultimate responsibility in this regard.

2. Shari'ah standards

In accordance with the HSA's resolution (No. 18/3/2018), and with effect from 01/09/2018, the ISSC has abided by the Shari'ah standards issued by the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) as minimum Shari'ah requirements, in all fatwas, approvals, endorsements and recommendations, relating to the Institution's Activities without exception.

3. Duties Fulfilled by the ISSC During the Financial Year

The ISSC conducted Shari'ah supervision of the Institution's Activities by reviewing those Activities, and monitoring them through internal Shari'ah control department, internal Shari'ah audit, in accordance with the ISSC's authorities and responsibilities, and pursuant to the Regulatory Requirements in this regard. ISSC's activities included the following:

a. Convening (4) meetings during the year.

b. Issuing fatwas, resolutions and opinions on matters presented to the ISSC in relation to the Institution's Activities.

c. Monitoring compliance of policies, procedures, accounting standards, product structures, contracts, documentation, business charters, and other documentation submitted by the Institution to the ISSC for approval.

d. Ascertaining the level of compliance of allocation of expenditures and costs, and distribution of profits between investment accounts holders and shareholders with parameters set by the ISSC.

e. Supervision through internal Shari'ah control department, internal Shari'ah audit, of the Institution's Activities including supervision of executed transactions, adopted procedures on the basis of samples selected from executed transactions, and reviewing reports submitted in this regard.

f. Providing guidance to relevant parties in the Institution to rectify (where possible) incidents cited in the reports submitted by internal Shari'ah control department, internal Shari'ah audit, and issuance of resolutions of the ISSC to set aside revenue derived from transactions in which non-compliances were identified (if any) for such revenue to be disposed towards charitable purposes.

g. Approving corrective and preventive measures related to identified incidents to preclude their reoccurrence in the future.

h. Specifying the amount of Zakat due on the shareholders.

i. Communicating with the Board and its subcommittees, and the senior management of the Institution (as needed) concerning the Institution's compliance with Islamic Shari'ah.

The ISSC sought to obtain all information and interpretations deemed necessary in order to reach a reasonable degree of certainty that the Institution is compliant with Islamic Shari'ah.

4. Independence of the ISSC

The ISSC acknowledges that it has carried out all of its duties independently and with the support and cooperation of the senior management and the Board of the Institution. The ISSC received the required assistance to access all documents and data, and to discuss all amendments and Shari'ah requirements.

5. The ISSC's Opinion on the Shari'ah Compliance Status of the Institution

Premised on information and explanations that were provided to us with the aim of ascertaining compliance with Islamic Shari'ah, the ISSC has concluded with a reasonable level of confidence that the Institution's Activities are in compliance with Islamic Shari'ah, except for the incidents of non-compliance observed, as highlighted in the relevant reports. The ISSC also provided directions to take appropriate measures in this regard.

The ISSC formed its opinion, as outlined above, exclusively on the basis of information perused by the ISSC during the financial year.

We pray to Allah, the Almighty, to provide us guidance and keep us all on the righteous path

Signatures of members of the Internal Shari'ah Supervision Committee of the Institution



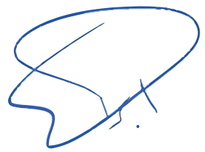
Dr. Salim Al-Ali
Member



Dr. Osama Bahar
Member



Dr. Daud Bin Bakar
Member



Professor Dr. Ibrahim Al Mansoori
Member



Professor Dr. Jassim Al Shamsi
Chairman of the Committee

Al Hilal Bank – Board of Directors



Chairman of Al Hilal Bank

Ala'a Eraiqat
Chairman

Ala'a Eraiqat was appointed as the Chairman of Al Hilal Bank in 2019.

Ala'a Eraiqat joined ADCB in January 2004 and held various senior posts before assuming the role as Chief Executive Officer in February 2009. He has been a banker since 1991 and previously held senior positions at Citibank and Standard Chartered Bank, among others.

His responsibilities extend to being the Chairman of Board of Directors of Al Hilal Bank and chairing the following subsidiaries and committees of ADCB, among others: Abu Dhabi Commercial Properties, Abu Dhabi Commercial Engineering Services, the ADCB Management Executive Committee, and the ADCB Management Credit Committee.

Ala'a Eraiqat, as the Group Chief Executive Officer, is responsible for leading and guiding ADCB and its subsidiaries in promoting the long-term organisational development, while ensuring effective implementation of strategic, business growth and operational plans to achieve ADCB's targets and ensure that the mission and values are met pursuant to the shareholder's objectives and target expectations.

External appointments as of 31 December 2022:

> Abu Dhabi Chamber of Commerce & Industry (ADCCI), Board Member
> Abu Dhabi National Hotels PJSC (ADNH), Board Member
> Emirates Institute of Banking & Financial Studies (EIBFS), Board Member



BRC Chairman

Deepak Khullar
Director

Deepak Khullar was appointed as a Board Director of Al Hilal Bank in 2019 and also chairs the Al Hilal Bank Board Risk Committee.

Deepak Khullar was appointed ADCB's Group Chief Financial Officer in 2008. Deepak oversees the Group Finance function (Financial Planning, Business Performance, Governance & Reporting), Group Strategy, Investor Relations, Taxation, Economics, Strategic Sourcing & Procurement and the Bank's overall ESG strategy and delivery. He previously spent 15 years with Standard Chartered Bank in the Middle East and Korea in a variety of senior positions. Prior to that, he worked with Ernst & Young and PricewaterhouseCoopers in their assurance, advisory and technical services and training practices in the Middle East and India. He is an alumnus of the University of Delhi, a Fellow of the Institute of Chartered Accountants of India (FCA) and a Fellow Member of the Association of Corporate Treasurers, UK (FCT).

Deepak Khullar, as the Group Chief Financial Officer, is responsible for leading the financial management and control function of ADCB and its subsidiaries, while driving value creation and synergies to support the delivery of ADCB's commercial priorities, in line with the approved risk appetite, strategy, internal policy and regulatory obligations.



BAC Chairman

Kevin Taylor
Director

Kevin Taylor was appointed as a Board Director at Al Hilal Bank in 2019. Kevin had joined ADCB in 2009 and held the position of Group Treasurer until his departure from ADCB in 2022. He has held significant treasury and risk positions in global organisations such as ALICO, Citigroup, Westpac Bank and Merrill Lynch. At ADCB, he was responsible for FX trading and sales, derivative trading and sales, fixed income and investments personnel and the balance sheet analytics teams. Kevin has more than 40 years of global experience in banking and finance.

Kevin holds an MBA from Macquarie University in Australia and a Master of Science in Risk Management from the Stern School of Business, New York University.

External appointments as of 31 December 2022:

> NMC HoldCo, Chairman



NCHRG Chairman

Mohammed Al Jayyash
Director

Mohammed Al Jayyash was appointed as a Board Director at Al Hilal Bank in 2019.

Mohammed Al Jayyash was appointed as ADCB's Acting Group Chief Operations Officer in 2019 and was confirmed in 2020. He has held senior operational management positions at ADCB, including Group Chief Service Officer and Branch Operations Manager. He holds Board seats with several ADCB subsidiary companies and is the Chairman of ITMAM Services and Vice-Chairman of Abu Dhabi Commercial Engineering Services and Abu Dhabi Commercial Properties.

He is the Chairman of Emirates Digital Wallet and a Board Member of Al Hilal Bank. A leader with over 15 years' experience in improving customer experience, ensuring regulatory compliance and delivering capabilities for growth. Mohammed has deep expertise in banking operations, customer journey and experience and digital channels.

Mohammed holds a Bachelor's Degree in Business Administration from Al Ghurair University in the UAE, a Post Graduate Certificate in Management at Ashridge Executive Education HULT in the UK and a Diploma in Banking from the Emirates Institute for Banking and Financial Studies.

BRC Member NCHRG Member BAC Member

Al Hilal Bank – Board of Directors



Saoud Al Jassem
Director

Saoud Al Jassem was appointed to join the Board of Directors of Al Hilal Bank in 2019. Saoud has over 17 years of experience in Corporate Banking, Wealth Management, Trade Finance and Internal Audit. He currently leads the development of ADCB's relationship with the various local and federal governments in UAE for all their banking services and funding requirements as Head of Government Banking.

Prior to this role, he managed government banking in Dubai & Northern Emirates as well as heading strategic accounts within Transaction Banking in the region.

Previously, at Emirates NBD, he was part of Wealth Management and Client Relationship Management. He also held various positions at Standard Chartered Bank within the Global Internal Audit Department in MENA/SA as well as Global Corporate, where he started his career and spent over seven years in various assignments.

Saoud holds a Master of Business Administration degree from London Business School (UK) and a Bachelor's degree in Finance from Drexel University, Philadelphia, USA.

● BRC Member ● NCHRG Member ● BAC Member

Al Hilal Bank – Executive Management



Abdul Shakeel Aidaroos
Chief Executive Officer

Abdul Shakeel is Chief Executive Officer of Al Hilal Bank PJSC. He is responsible for working closely with the Board of Al Hilal Bank to set and implement the strategic direction of the organisation. Abdul Shakeel has over 25 years of banking industry experience, with deep expertise in retail banking, digital innovation and risk management. He has held senior positions at ADCB for 15 years, including the last five years as Head of Retail Banking, where he managed a team of 2,000 professionals and launched many of ADCB's award-winning consumer products and digital banking channels. Prior to joining ADCB, he spent over 10 years with Citibank in the UAE.

Abdul Shakeel holds a Master of Science degree in Risk Management from NYU Stern School of Business, New York, USA.



Ross Baranet
Chief Risk Officer

Ross Baranet is the Chief Risk Officer at Al Hilal Bank PJSC. He has spent over 25 years in the field of risk management working in ten countries and is responsible for identifying and mitigating current and emerging risks at the Bank.

Before joining Al Hilal Bank PJSC and the ADCB Group, Ross held executive roles in HSBC's global operations, including Chief Risk Officer (Philippines), Director of HSBC Retail Savings Bank (Philippines), Chief Risk Operating Officer (Middle East), and Chief Risk Officer (Korea). Previous roles include operational risk, approvals, collections, policy, audit, and governance.

Al Hilal Bank – Executive Management



Maryam Yousuf Ahli
Head of Marketing and Corporate Communications

Maryam Yousuf Ahli has been the Head of Marketing and Corporate Communications at Al Hilal Bank PJSC since 2008. With over 15 years' experience in the industry, Maryam leads a team of senior managers, while working closely with internal and external stakeholders. She plans, develops and maintains a year-long marketing schedule, ensuring that all marketing priorities align to business goals.

An expert in strategic brand building, and digital and social media, Maryam liaises with a network of creative and media agencies throughout the execution of all Retail and Commercial Banking advertising campaigns. Acting as Al Hilal Bank PJSC's brand guardian, she ensures all communications comply with brand guidelines and strategies.



Sultan Al Mahmood
Chief Human Resources Officer

Sultan Al Mahmood is Chief Human Resources Officer at Al Hilal Bank PJSC. With over 20 years of experience in the field of Human Resources and Relationship Management, Sultan is responsible for HR development, transformation, and strategic HR activities. Before joining Al Hilal Bank PJSC, Sultan served as Senior Vice President Human Resources at Etihad Airways. He also held the roles of Executive Director of Strategic Performance at Tourism Development and Investment Company (TDIC), and Executive Vice President and Head of Human Resources at ADCB PJSC. In his early career, he worked as a Compensation and Employee Relations Manager at Amiri Flight (now Presidential Flight) and as a Relationship Manager at Citibank, UAE.

Sultan holds a Bachelor's degree in Business Administration and a Master's degree in Human Resources Development from Webster University in Geneva, Switzerland. Sultan also holds a Master of Business Administration in Strategic and Security Studies from National Defense College, Abu Dhabi.



George Harrak
Chief Information Technology Officer

Transformational CIO with over 20 years' experience driving business strategy and innovation across banking and ICT sectors globally. George joined Al Hilal Bank PJSC from Standard Chartered Bank (SCB) in Singapore where he most recently held the role of CIO for SCB's Global Virtual Banking Platform and Private Bank & Wealth Business. Prior to SCB, George also led DBS Bank Singapore Technology venture in Digibank delivering a Digital Bank platform in India and Indonesia that resulted in acquiring a million customers in the first year and winning Euromoney's World's Best Digital Bank in 2016, first ever Asian Bank to win this award.

George has a proven track record in delivering highly scalable technology solutions that align with business strategies, transforming businesses into customer-centric and agile organisations. He is key in leading the development of Al Hilal's new technology platform to assist our digital agenda.



Dr. Mohamed Obadah
Head of Shari'ah Control

Dr. Mohamed Obadah is Head of Shari'ah Control at Al Hilal Bank PJSC. With over 23 years of experience in the field of Shari'ah and banking, Dr. Mohamed is responsible for monitoring and supervising activities to maintain Shari'ah compliance and assist in developing and creating innovative Shari'ah investment and financing products and services.

Before joining Al Hilal Bank PJSC, Dr. Mohamed was Head of Islamic and Arabic Studies department at ADNOC's Technical Institute. Dr. Mohamed holds a Doctorate degree (PhD) in Islamic Studies from the University of Wales in the UK and Master's degree from Al Azhar University's Faculty of Islamic and Arabic Studies.

He received his Bachelor's degree in Islamic Studies from United Arab Emirates University.

Al Hilal Bank – Executive Management



Rajesh Arora
Head of Finance

Rajesh Arora was appointed as the Head of Finance for Al Hilal Bank PJSC in November 2019, prior to which he was the Head of Finance for UNB. He has over 25 years of experience in the banking industry spread across various geographies. Before joining UNB, Rajesh was with Standard Chartered Bank for more than 18 years where he performed various leadership roles, including Chief Financial Officer in the UAE. His last role in Standard Chartered Bank was as the Global Head of Finance Transformation for financial reporting based in Singapore.

Rajesh completed his ICWA in India and holds a Postgraduate Diploma in Management (Finance) from Symbiosis Centre for Management and HRD, India.



Nada Shadid
Head of Treasury

Nada Shadid is the Head of Treasury at Al Hilal Bank PJSC. She is responsible for the management of liquidity and regulatory ratios, as well as money markets funding, foreign exchange and Sukuk investment portfolios of the Bank. Nada joined Al Hilal Bank PJSC in 2019 and has over 10 years of experience in Treasury & Investments. Previously, Nada held significant Treasury positions in Abu Dhabi Commercial Bank PJSC, where she was responsible for running the short-term investments portfolio, as well as generating deposits from strategically important clients and markets.

Nada holds a Bachelor's degree in International Management from Franklin University in Lugano, Switzerland.



Ana Maria Jaramillo
Acting Chief Compliance Officer

Ana Maria Jaramillo was appointed as Acting Chief Compliance Officer in September 2022 and since October 2018 she was heading the Regulatory Compliance and Assurance team. She has 18 years of experience in the banking industry across Compliance, Internal Audit and Risk Management. Prior to Al Hilal Bank she worked for over 13 years with Societe General Bank in France, where she held different roles at the Group level within Compliance - including Financial Crime and Compliance Assurance- Internal Audit and Risk Management.

Ana Maria holds a Master's degree in Political Sciences from the Institute d'Etudes Politiques de Paris and a Master's degree in International Economics from the Pantheon-Assas Sorbonne University of Paris. She is a Certified Anti-Money Laundering Specialist (CAMS) from ACAMS, holds a Diploma from the International Compliance Association (ICA) and a Chief Compliance Officer Certificate.



Hussam Abu Aisheh
Internal Audit

Hussam Abu Aisheh was the Senior Managing Director — Internal Audit at Al Hilal Bank PJSC until 10 November 2022. With over 25 years of experience in the fields of internal and statutory audit, Hussam is responsible for leading and managing internal audit activities in Al Hilal Bank PJSC. Prior to joining Al Hilal Bank PJSC, he headed the Internal Audit Function at Sharjah Islamic Bank for nine years. Previously, he managed a diversified portfolio of statutory audit clients and worked on forensic engagements for KPMG UAE. Hussam started his professional career with Arthur Andersen, Jordan office.

Hussam holds a Bachelor's degree in Accountancy. He is a Certified Internal Auditor and a Certified Information Systems Auditor.

Al Hilal Bank – Corporate governance framework

Overview of the governance framework

Following its acquisition by ADCB in 2019, Al Hilal Bank PJSC ("Al Hilal Bank") operates as a stand-alone Islamic bank wholly owned by ADCB. This unique corporate structure presents Al Hilal Bank with various opportunities to benefit from the policies and business support of its parent company, ADCB. During 2022, Al Hilal Bank established its own Group Corporate Governance Framework in line with the Central Bank of the UAE's Corporate Governance Regulation and Standards.

Al Hilal Bank's strategy is to focus on the digital retail banking business. To build on this strategy, its Wholesale Banking book was transferred to ADCB, with the consent of the Central Bank of the UAE, in 2019. This transfer significantly reduced the complexity of Al Hilal Bank's business operations and has also provided opportunities for Al Hilal Bank to operate under a streamlined governance structure.

In 2022, Al Hilal Bank revamped its governance framework to align with ADCB's Corporate Governance Framework. As part of this exercise, the Bank's policies, procedures were aligned with the Group strategy, governance structure and regulatory requirements of the Central Bank of the UAE.

Board's oversight of risk

Al Hilal Bank's Board is responsible for setting its risk appetite and risk management framework, subject to ADCB's oversight, while respecting the independent legal and governance responsibility that applies to Al Hilal Bank.

The Board and the Board Risk Committee regularly monitor the risks inherent in Al Hilal Bank's businesses including credit, market, liquidity, regulatory, reputational, strategic, operational and Shari'ah non-compliance risks.

The risk management framework is periodically reviewed and updated to reflect changes in Al Hilal Bank's strategy, economic environment and regulatory changes.

Board oversight of financial reporting, compliance and internal controls

Oversight of financial reporting and integrity of Al Hilal Bank's financial disclosures are also key roles performed by the Board. In 2022, the Board assessed the objectivity and effectiveness of Al Hilal Bank's financial reporting and disclosure process. This included monitoring Al Hilal Bank's choice of accounting policies, principles and judgments. The Board ensured that adequate internal policies are implemented and kept up to date to comply with the Central Bank of the UAE and the Securities and Commodities Authority's regulatory requirements, including receiving updates from management on remediation activities relating to the Central Bank of the UAE's review and action plans to ensure compliance with new regulations.

Al Hilal Bank – 2022 Board agenda

The Board regularly discusses various items that are fundamental to the direction of Al Hilal Bank, including business performance, strategy, risk appetite and management, compliance and human resources.

		Meetings at which topics were discussed											
Topic	**Sub-topic**	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Technology	Efficiency digitisation and innovation update	●			●				●				
	OHI strategy								●		●		
Detailed business, operational and other reviews	Chief Executive Officer update	●			●				●	●			
Other business updates	Al Hilal Bank Kazakhstan (AHBK) update		●	●	●	●		●					●
Financials	Financial results	●			●			●			●		
	Budget	●											
Risk	Risk report	●	●	●		●						●	
	Emerging key risks							●					
	Risk appetite statement		●	●		●							
Governance	Policies and terms of reference			●	●	●		●		●	●		
	Board related matters including Board evaluation								●				
	Executive management KPI scorecards		●		●								
	Shari'ah update				●			●			●	●	●
Regulatory and compliance	UAE Central Bank notices				●								
	UAE Central Bank baseline examination report			●	●			●	●	●	●	●	●
	Compliance update	●			●			●		●	●		●
Internal audit	Internal audit updates and plan for 2022	●			●			●		●	●		●
HR related matters	HR update		●		●				●		●		●

Al Hilal Bank – 2022 Board meetings and time allocation

2022 Al Hilal Bank Board of Directors meetings

Date of Board meeting	Number of Director attendees	Number of Director attendees by proxy	Names of absent Directors (all attended except)	Number of Board resolutions passed
27 January 2022	6/6	N/A	–	3
18 April 2022	5/5[1]	N/A	–	3
3 August 2022	5/5	N/A	–	4
19 September 2022	5/5	N/A	–	3
17 October 2022	5/5	N/A	–	2
12 December 2022	5/5	N/A	–	2

The following Board Committees were re-established in the year 2022:

- Board Risk Committee
- Board Audit Committee
- Board Nomination, Compensation, HR & Governance Committee

Board composition and remuneration

The Board of Al Hilal Bank PJSC, which was appointed in May 2019, collectively have diverse skills and experience including retail banking, treasury, risk, finance, operations and customer service. ADCB employees who are also appointees to the boards of Group subsidiaries do not receive board remuneration for such roles. The Board met six times in 2022. The table above shows the Board's attendance.

(1) Arup Mukhopadhyay ceased to be a Board member

Annual Report of the Internal Shari'ah Supervision Committee of Al Hilal Bank

Issued on: Issued on Tuesday, 2nd of Rajab 1444 AH, corresponding to 24th January 2023

To: Shareholders of Al Hilal Bank ("the Bank")

After greetings,
Pursuant to the requirements stipulated in the relevant laws, regulations and standards ("Regulatory Requirements"), the Internal Shari'ah Supervision Committee of the bank ("ISSC") presents to you its Annual Report for the financial year ending on 31 December 2022 ("Financial Year").

1. Responsibility of the ISSC

In accordance with the Regulatory Requirements and the ISSC's charter, the ISSC's responsibility is stipulated as to:

Undertake Shari'ah supervision of all businesses, activities, products, services, contracts, documents and business charters of the Bank; and the Bank's policies, accounting standards, operations and activities in general, memorandum of association, charter, financial statements, allocation of expenditures and costs, and distribution of profits between holders of investment accounts and shareholders ("Bank's Activities") and issue Shari'ah resolutions in this regard, and to determine Shari'ah parameters necessary for the Bank's Activities, and the Bank's compliance with Islamic Shari'ah within the framework of the rules, principles, and standards set by the Higher Shari'ah Authority ("HSA") to ascertain compliance of the Bank with Islamic Shari'ah.

The senior management is responsible for compliance of the Bank with Islamic Shari'ah in accordance with the HSA's resolutions, fatwas, and opinions, and the ISSC's resolutions within the framework of the rules, principles, and standards set by the HSA ("Compliance with Islamic Shari'ah") regarding the Bank's Activities, and the Board bears the ultimate responsibility in this regard.

2. Shari'ah standards

In accordance with the HSA's resolution (No. 18/3/2018), and with effect from 01/09/2018, the ISSC has abided by the Shari'ah standards issued by the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) as minimum Shari'ah requirements, in all fatwas, approvals, endorsements and recommendations, relating to the Bank's Activities without exception.

3. Works undertaken by the ISSC during the financial year

The ISSC undertook Shari'ah supervision of the Bank's Activities through review of those Activities, and monitoring through Internal Shari'ah Control Division and Internal Shari'ah Audit Division in accordance with the ISSC's authorities and responsibilities, and pursuant to the Regulatory Requirements in this regard. The ISSC's activities included the following:

a. Convening seven meetings during the financial year.

b. Providing fatwas, opinions and resolutions on matters presented to the ISSC in relation to the Bank's Activities.

c. Monitoring compliance of policies, procedures, accounting standards, product structures, contracts, documentation, business charters, and other documentation submitted by the Bank and its subsidiaries to the ISSC for approval.
The committee has approved amendments integrated into some contracts and products in addition to endorsing a plan to ensure that products and services in Al Hilal Islamic Bank in Kazakhstan are in compliance with the Shari'ah standards.

d. Ascertaining the level of compliance of allocation of expenditures and costs, and distribution of profits between holders of investment accounts and shareholders with parameters set by the ISSC.

e. Supervision through internal Shari'ah supervision department and internal Shari'ah Audit of the Bank's Activities including executed transactions, adopted procedures on the basis of samples selected from executed transactions, and reviewing reports submitted in this regard.

f. Providing direction to relevant parties of the Bank and its subsidiaries to rectify (where possible) findings cited in the reports submitted by internal Shari'ah supervision department and internal Shari'ah audit.

g. Approving remedial rectification and preventive measures related to identified errors to prevent their reoccurrence in the future.

h. Specifying the amount of Zakat due on each of the Bank's share.

i. Specifying the amount of Zakat due on the depositor's reserves.

j. Monitoring charity account sources and payments.

k. Communicating through the Internal Shari'ah Control Division and Internal Shariah Audit Division with the Board, and the senior management of the Bank concerning compliance of the Bank with Islamic Shari'ah.

The ISSC sought to obtain all information and interpretations deemed necessary in order to reach a reasonable degree of certainty that the Bank is compliant with Islamic Shari'ah.

4. Independence of the ISSC

The ISSC acknowledges that it has carried out all of its duties independently and with the support and cooperation of the senior management and the Board of the Bank.
The ISSC received the required assistance to access all documents and data, and to discuss all amendments and Shari'ah requirements.

5. The ISSC's Opinion on the Shari'ah Compliance Status of the Bank

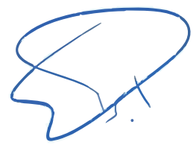
Premised on information and explanations that were provided to us with the aim of ascertaining compliance with Islamic Shari'ah, the ISSC has concluded with a reasonable level of confidence, that the Bank's Activities are in compliance with Islamic Shari'ah, except for the incidents of non-compliance observed, as highlighted in the relevant reports. The ISSC also issued directions to take appropriate measure in this regard.

The ISSC formed its opinion, as outlined above, exclusively on the basis of information perused by the ISSC during the financial year.

Signatures of members of the Internal Shari'ah Supervision Committee



Prof. Jassim Ali Alshamsi
Chairman



Dr. Ibrahim Ali Almansoori
Deputy Chairman



Dr. Salim Al-Ali
Member

Group Board Secretariat

ADCB's Board Secretariat function acts as an interface between the Board and executive management. As well as acting as administrator for the Board's activities, the Board Secretariat works closely with the Board and executive management to facilitate communication and transparency.

The function also acts as the Group's caretaker for governance matters covering the Corporate Governance Framework and governance-related regulatory compliance matters.

Rami Raslan joined ADCB in 2008 and was appointed Group Company Secretary in 2021. Rami has contributed to the Group's journey to become an acknowledged regional leader in Corporate Governance for more than a decade.

Rami Raslan holds a Bachelor in Business Information Systems from the University of Lincoln, an MBA in Business Administration from London Business School and is a qualified Chartered Company Secretary and is a Fellow of the Chartered Governance Institute UK & Ireland.

Rami Raslan
Group Company Secretary

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ADCBBoardsecretariat@adcb.com

FINANCIALS

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INDEPENDENT AUDITORS' REPORT

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CORNICHE ROAD, P.O. BOX 7613
ABU DHABI, UNITED ARAB EMIRATES
TEL. +971 (2) 401 4800, WWW.KPMG.COM/AE

TO THE SHAREHOLDERS OF
ABU DHABI COMMERCIAL BANK PJSC

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of Abu Dhabi Commercial Bank PJSC ("the Bank") and its subsidiaries (together "the Group"), which comprise the consolidated statement of financial position as at 31 December 2022, the consolidated income statement, and the consolidated statements of comprehensive income, changes in equity and cash flows for the year then ended, and notes, comprising significant accounting policies and other explanatory information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2022, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with IFRS Standards as issued by the International Accounting Standards Board (IFRS Standards).

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs) and applicable requirements of Financial Statements Auditing Standards for the Subject Entities issued vide ADAA Chairman's Resolution No. (88) of 2021 in the United Arab Emirates (ADAA Auditing Standards). Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Consolidated Financial Statement*s section of our report. We are independent of the Group in accordance with International Ethics Standards Board for Accountants International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code) together with the ethical and independence requirements of United Arab Emirates that are relevant to our audit of the consolidated financial statements in the United Arab Emirates, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements, as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

See Notes 11 and 43 to the consolidated financial statements.

Impairment of loans and advances to customers, net

The key audit matter

The Group recognized allowances for credit losses in its consolidated financial statements using expected credit loss ("ECL") models. The Group exercises significant judgments and makes a number of assumptions in developing its ECL models which are determined as a function of the assessment of the probability of default ("PD"), loss given default ("LGD"), adjusted for the forward looking information, and exposure at default ("EAD") associated with the underlying exposures subject to ECL.

Qualitative adjustments or overlays may also be recorded by the Group using credit judgement where the inputs, assumptions and / or modelling techniques do not capture all relevant risk factors captured by the models.

This is considered a key audit matter, as the determination of ECL involves significant management judgement, estimates, use of complex models and this has a material impact on the consolidated financial statements of the Group.

How the matter was addressed in our audit

Our audit procedures in this area include the following, among others:

- Evaluating the appropriateness of the accounting policies adopted based on the requirements of IFRS 9, and our business understanding.
- Obtaining an understanding of the ECL accounting estimate including, but not limited to, obtaining information about the Group's control environment in relation to the estimate, obtaining an understanding of the process by which the estimate is developed, understanding the methods, assumptions and data used to develop the accounting estimate. Assessing the design, implementation, and testing the operating effectiveness of selected relevant controls.
- Involving our Financial Risk Management ("FRM") specialists, for a selection of models, to assess the reasonableness and appropriateness of the methodology and assumptions used in various components of ECL modelling and the application of expert credit judgment to determine the ECL. This included, where applicable, challenging key assumptions / judgments relating to significant increase in credit risk ("SICR"), definition of default, probability of default, loss given default, use of macro-economic variables and probability weighted outcomes to check that the ECL amounts recorded are reflective of underlying credit quality and macroeconomic trends.
- Testing the completeness and accuracy of the data used within the ECL calculation.
- Involving our Information Technology ("IT") specialists to test the relevant general IT and application controls over key systems used in the ECL process.
- Re-performing key aspects of the Group's SICR determinations for selected samples of loans, advances and Islamic financing to determine whether a SICR event was appropriately identified.
- Evaluating the reasonableness of and testing a sample of management overlays.
- Involving valuation specialists on a sample basis to assess the reasonableness of the valuation of real estate collaterals held by the Group, relating to the determination of ECL.
- Performing credit assessments for a sample of selected customers, including Stage 3 customers, to test the appropriateness of the credit grades, including staging, assessing the financial performance of the borrower, source of repayment and future cash flows of the borrower, and as necessary, challenging the appropriateness of the ECL calculation for a sample of borrowers.
- Assessing the adequacy of the Group's disclosures by reference to the requirements of the relevant accounting standards.

Other Matter

The consolidated financial statements of the Group as at and for the year ended 31 December 2021 were audited by another auditor who expressed an unmodified opinion on those consolidated financial statements on 31 January 2022.

Other Information

Management is responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the consolidated financial statements and our auditors' report thereon (the "Annual report"). The Annual report is expected to be made available to us after the date of this auditors' report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS Standards and their preparation in compliance with the applicable provisions of the UAE Federal Decree Law No. 32 of 2021, and the applicable provisions of Law No. (1) of 2017 (as amended) concerning the Financial System of the Government of Abu Dhabi and instructions issued by the Department of Finance and applicable provisions of the laws and regulations and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with Governance are responsible for overseeing the Group's financial reporting process.

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion.

Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs and ADAA Auditing Standards will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs and ADAA Auditing Standards, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or

business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

Further, as required by the UAE Federal Decree Law No. 32 of 2021, we report that for the year ended 31 December 2022:

i) we have obtained all the information and explanations we considered necessary for the purposes of our audit;

ii) the consolidated financial statements have been prepared and comply, in all material respects, with the applicable provisions of the UAE Federal Decree Law No. 32 of 2021;

iii) the Group has maintained proper books of account;

iv) the financial information included in the Charmain's Statement (as included in Earnings Press Release and Management Discussion & Analysis) is consistent with the books of account of the Group;

v) as disclosed in note 10 to the consolidated financial statements, the Group has purchased shares during the year ended 31 December 2022;

vi) note 37 to the consolidated financial statements discloses material related party transactions and the terms under which they were conducted;

vii) based on the information that has been made available to us, nothing has come to our attention which causes us to believe that the Group has contravened during the financial year ended 31 December 2022 any of the applicable provisions of the UAE Federal Decree Law No. 32 of 2021 or in respect of the Bank, its Articles of Association, which would materially affect its activities or its consolidated financial position as at 31 December 2022; and

viii) note 51 to the consolidated financial statements discloses the social contributions made during the year ended 31 December 2022.

Further, as required by Article (114) of the Decretal Federal Law No. (14) of 2018 (as amended), we report that we have obtained all the information and explanations we considered necessary for the purpose of our audit.

Further, as required by the Abu Dhabi Accountability Authority's Chairman Resolution No.(88) of 2021 pertaining to Financial Statements Auditing Standards for the Subject Entities, we report that based on the procedures performed and information provided to us by management and those charged with governance, nothing has come to our attention that causes us to believe that the Bank has not complied, in all material aspects, with any of the provisions of the following laws, regulations and circulars as applicable to its activties, which would have a material impact on the consolidated financial statements as at 31 December 2022:

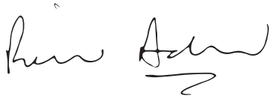
i) Law No. (1) of 2017 (as amended) concerning the Financial System of the Government of Abu Dhabi and instructions issued by the Department of Finance pertaining to the preparation and implementation of the annual budget of Subject Entities;

ii) its Articles of Association which would materially affect its activities or its financial position as at 31 December 2022; and

iii) relevant provisions of the applicable laws, resolutions and circulars that have an impact on the Bank's consolidated financial statements.

KPMG Lower Gulf Limited

Signatures



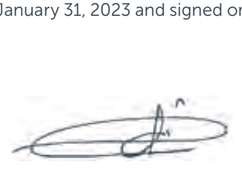
Richard Ackland
Registration No.: 1015
Abu Dhabi, United Arab Emirates

Date: 31 January 2023

ABU DHABI COMMERCIAL BANK PJSC
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT DECEMBER 31, 2022

	Notes	As at December 31 2022 AED'000	As at December 31 2021 AED'000	As at December 31 2022 USD'000	As at December 31 2021 USD'000
Assets					
Cash and balances with central banks, net	6	**39,429,308**	33,746,202	**10,734,906**	9,187,640
Deposits and balances due from banks, net	7	**35,339,202**	26,670,143	**9,621,346**	7,261,134
Financial assets at fair value through profit or loss	8	**4,642,263**	1,706,767	**1,263,889**	464,679
Derivative financial instruments	9	**15,182,538**	6,488,021	**4,133,552**	1,766,409
Investment securities, net	10	**112,010,683**	96,513,292	**30,495,694**	26,276,420
Loans and advances to customers, net	11	**258,492,870**	244,282,293	**70,376,496**	66,507,567
Investment in associates	12	**252,525**	262,609	**68,752**	71,497
Investment properties	13	**1,691,890**	1,674,954	**460,629**	456,018
Other assets, net	14	**21,711,189**	19,354,460	**5,911,023**	5,269,388
Property and equipment, net	15	**1,937,503**	2,064,270	**527,499**	562,012
Intangible assets, net	16	**7,152,194**	7,294,685	**1,947,235**	1,986,029
Assets held for sale	35	**-**	220,673	**-**	60,080
Total assets		**497,842,165**	440,278,369	**135,541,021**	119,868,873
Liabilities					
Due to banks	17	**9,719,193**	7,205,333	**2,646,118**	1,961,702
Derivative financial instruments	9	**16,225,385**	6,563,379	**4,417,475**	1,786,926
Deposits from customers	18	**308,930,699**	265,052,325	**84,108,549**	72,162,354
Euro commercial paper	19	**5,994,279**	6,199,157	**1,631,984**	1,687,764
Borrowings	20	**69,875,733**	72,499,337	**19,024,158**	19,738,453
Other liabilities	21	**25,670,739**	23,384,164	**6,989,041**	6,366,503
Liabilities related to assets held for sale	35	**-**	4,648	**-**	1,265
Total liabilities		**436,416,028**	380,908,343	**118,817,325**	103,704,967
Equity					
Share capital	22	**6,957,379**	6,957,379	**1,894,195**	1,894,195
Share premium		**17,878,882**	17,878,882	**4,867,651**	4,867,651
Other reserves	23	**7,546,743**	9,283,381	**2,054,654**	2,527,466
Retained earnings		**23,035,375**	19,240,158	**6,271,542**	5,238,268
Capital notes	26	**6,000,000**	6,000,000	**1,633,542**	1,633,542
Equity attributable to equity holders of the Bank		**61,418,379**	59,359,800	**16,721,584**	16,161,122
Non-controlling interests		**7,758**	10,226	**2,112**	2,784
Total equity		**61,426,137**	59,370,026	**16,723,696**	16,163,906
Total liabilities and equity		**497,842,165**	440,278,369	**135,541,021**	119,868,873

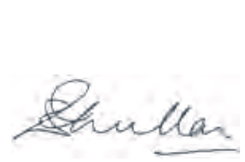
These consolidated financial statements were duly approved by the Board of Directors and authorised for issue on January 31, 2023 and signed on its behalf by:



Khaldoon Khalifa Al Mubarak
Chairman



Ala'a Eraiqat
Group Chief Executive Officer



Deepak Khullar
Group Chief Financial Officer

The accompanying notes 1 to 52 form an integral part of these consolidated financial statements.

ABU DHABI COMMERCIAL BANK PJSC
CONSOLIDATED INCOME STATEMENT
FOR THE YEAR ENDED DECEMBER 31, 2022

	Notes	2022 AED'000	2021 AED'000	2022 USD'000	2021 USD'000
Interest income	27	**13,974,754**	9,089,776	**3,804,725**	2,474,755
Interest expense	28	**(5,799,745)**	(2,011,812)	**(1,579,021)**	(547,730)
Net interest income		**8,175,009**	7,077,964	**2,225,704**	1,927,025
Income from Islamic financing and investing products	24	**2,442,088**	2,031,372	**664,876**	553,055
Distribution on Islamic deposits and profit paid to sukuk holders	24	**(423,342)**	(245,806)	**(115,258)**	(66,922)
Net income from Islamic financing and investing products		**2,018,746**	1,785,566	**549,618**	486,133
Total net interest income and income from Islamic financing and investing products		**10,193,755**	8,863,530	**2,775,322**	2,413,158
Net fees and commission income	29	**2,110,413**	1,899,288	**574,575**	517,094
Net trading income	30	**912,786**	675,765	**248,512**	183,982
Net gains from investment properties	13	**19,142**	11,470	**5,212**	3,123
Other operating income	31	**1,108,192**	809,138	**301,713**	220,293
Operating income		**14,344,288**	12,259,191	**3,905,334**	3,337,650
Operating expenses	32	**(4,888,303)**	(4,257,240)	**(1,330,875)**	(1,159,063)
Operating profit before impairment charge		**9,455,985**	8,001,951	**2,574,459**	2,178,587
Impairment charge	33	**(2,778,913)**	(2,646,188)	**(756,579)**	(720,443)
Profit after impairment charge		**6,677,072**	5,355,763	**1,817,880**	1,458,144
Share in (loss)/profit of associates	12	**(8,463)**	7,663	**(2,304)**	2,086
Profit before taxation		**6,668,609**	5,363,426	**1,815,576**	1,460,230
Overseas income tax charge		**(135,073)**	(99,605)	**(36,775)**	(27,118)
Profit for the year from continuing operations		**6,533,536**	5,263,821	**1,778,801**	1,433,112
Loss from discontinued operations	35	**(99,816)**	(16,422)	**(27,176)**	(4,471)
Profit for the year		**6,433,720**	5,247,399	**1,751,625**	1,428,641
Attributable to:					
Equity holders of the Bank		**6,435,301**	5,241,122	**1,752,055**	1,426,932
Non-controlling interests		**(1,581)**	6,277	**(430)**	1,709
Profit for the year		**6,433,720**	5,247,399	**1,751,625**	1,428,641
Basic and diluted earnings per share (AED/USD)	34	**0.90**	0.73	**0.25**	0.20

The accompanying notes 1 to 52 form an integral part of these consolidated financial statements.

ABU DHABI COMMERCIAL BANK PJSC
CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED DECEMBER 31, 2022

	2022 AED'000	2021 AED'000	2022 USD'000	2021 USD'000
Profit for the year	**6,433,720**	5,247,399	**1,751,625**	1,428,641
Items that may be re-classified subsequently to the consolidated income statement				
Net movement in foreign currency translation reserve (Note 23)	**(116,367)**	(12,517)	**(31,682)**	(3,408)
Net movement in cash flow hedge reserve (Note 23)	**165,088**	(34,448)	**44,946**	(9,379)
Net movement in revaluation reserve of debt instruments designated at FVTOCI (Note 23)	**(1,755,227)**	(487,639)	**(477,873)**	(132,763)
	(1,706,506)	(534,604)	**(464,609)**	(145,550)
Items that may not be re-classified subsequently to the consolidated income statement				
Net movement in revaluation reserve of equity instruments designated at FVTOCI (Note 23)	**(38,695)**	2,342	**(10,535)**	638
Actuarial gains on defined benefit obligation (Note 21)	**108,233**	42,079	**29,467**	11,456
	69,538	44,421	**18,932**	12,094
Other comprehensive loss for the year	**(1,636,968)**	(490,183)	**(445,677)**	(133,456)
Total comprehensive income for the year	**4,796,752**	4,757,216	**1,305,948**	1,295,185
Attributable to:				
Equity holders of the Bank	**4,798,908**	4,751,009	**1,306,535**	1,293,495
Non-controlling interests	**(2,156)**	6,207	**(587)**	1,690
Total comprehensive income for the year	**4,796,752**	4,757,216	**1,305,948**	1,295,185

The accompanying notes 1 to 52 form an integral part of these consolidated financial statements.

ABU DHABI COMMERCIAL BANK PJSC
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED DECEMBER 31, 2022

	Share capital AED'000	Share premium AED'000	Other reserves AED'000	Retained earnings AED'000	Capital notes AED'000	Equity attributable to equity holders of the Bank AED'000	Non-controlling interests AED'000	Total equity AED'000
As at January 1, 2022	**6,957,379**	**17,878,882**	**9,283,381**	**19,240,158**	**6,000,000**	**59,359,800**	**10,226**	**59,370,026**
Profit for the year	**-**	**-**	**-**	**6,435,301**	**-**	**6,435,301**	**(1,581)**	**6,433,720**
Other comprehensive (loss)/income for the year (Note 23)	**-**	**-**	**(1,744,626)**	**108,233**	**-**	**(1,636,393)**	**(575)**	**(1,636,968)**
Other movements (Note 23)	**-**	**-**	**7,888**	**9,724**	**-**	**17,612**	**-**	**17,612**
Amounts transferred within equity upon disposal of equity instruments designated at FVTOCI (Note 23)	**-**	**-**	**-**	**(1,713)**	**-**	**(1,713)**	**-**	**(1,713)**
Adjustments arising from changes in non-controlling interests	**-**	**-**	**100**	**173**	**-**	**273**	**(273)**	**-**
Dividends paid to equity holders of the Bank (Note 22)	**-**	**-**	**-**	**(2,574,230)**	**-**	**(2,574,230)**	**-**	**(2,574,230)**
Dividends paid to non-controlling equity holders of subsidiary	**-**	**-**	**-**	**-**	**-**	**-**	**(39)**	**(39)**
Capital notes coupon paid (Note 34)	**-**	**-**	**-**	**(182,271)**	**-**	**(182,271)**	**-**	**(182,271)**
As at December 31, 2022	**6,957,379**	**17,878,882**	**7,546,743**	**23,035,375**	**6,000,000**	**61,418,379**	**7,758**	**61,426,137**
As at January 1, 2021	6,957,379	17,878,882	9,865,416	15,895,692	6,000,000	56,597,369	4,019	56,601,388
Profit for the year	-	-	-	5,241,122	-	5,241,122	6,277	5,247,399
Other comprehensive (loss)/income for the year (Note 23)	-	-	(532,192)	42,079	-	(490,113)	(70)	(490,183)
Other movements (Note 23)	-	-	(49,843)	(715)	-	(50,558)	-	(50,558)
Amounts transferred within equity upon disposal of equity instruments designated at FVTOCI (Note 23)	-	-	-	(45)	-	(45)	-	(45)
Dividends paid to equity holders of the Bank	-	-	-	(1,878,492)	-	(1,878,492)	-	(1,878,492)
Reversal of zakat provision	-	-	-	114,215	-	114,215	-	114,215
Capital notes coupon paid (Note 34)	-	-	-	(173,698)	-	(173,698)	-	(173,698)
As at December 31, 2021	6,957,379	17,878,882	9,283,381	19,240,158	6,000,000	59,359,800	10,226	59,370,026

For the year ended December 31, 2022, the Board of Directors has proposed to pay cash and stock dividend representing 55% of the paid up capital (Note 22).

The accompanying notes 1 to 52 form an integral part of these consolidated financial statements.

ABU DHABI COMMERCIAL BANK PJSC
CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED DECEMBER 31, 2022

	2022 AED'000	2021 AED'000	2022 USD'000	2021 USD'000
OPERATING ACTIVITIES				
Profit before taxation including loss from discontinued operations (Note 35)	**6,569,206**	5,347,661	**1,788,512**	1,455,938
Adjustments for:				
Depreciation on property and equipment (Note 15)	**407,259**	401,147	**110,879**	109,215
Amortisation of intangible assets (Note 16)	**94,135**	95,690	**25,629**	26,052
Net gains from investment properties (Note 13)	**(19,142)**	(11,470)	**(5,212)**	(3,123)
Impairment charge	**3,250,639**	3,024,545	**885,009**	823,454
Share in loss/(profit) of associates (Note 12)	**8,463**	(7,663)	**2,304**	(2,086)
Discount unwind	**(399,206)**	(362,938)	**(108,687)**	(98,812)
Net loss/(gains) from disposal of investment securities (Note 31)	**71,349**	(259,077)	**19,425**	(70,537)
(Discount)/premium amortisation on investment securities	**(68,920)**	167,507	**(18,764)**	45,605
Dividend income (Note 31)	**(35,913)**	(26,814)	**(9,778)**	(7,300)
Gain on bargain purchase	**-**	(166,148)	**-**	(45,235)
Exchange difference arising on translation of foreign operations reclassified to consolidated income statement (Note 23)	**113,366**	-	**30,865**	-
Gain on sale of property and equipment	**(38,904)**	(20,392)	**(10,592)**	(5,552)
Interest capitalised and discount amortisation on borrowings and euro commercial papers	**1,002,981**	939,029	**273,069**	255,657
Net gains from financial assets and liabilities at fair value through profit or loss (Note 30)	**(108,923)**	(19,187)	**(29,655)**	(5,224)
Ineffective portion of hedges - loss (Note 9)	**11,819**	4,569	**3,218**	1,244
Employees' incentive plan expense (Note 25)	**22,622**	5,639	**6,159**	1,535
Cash flows from operating activities before changes in operating assets and liabilities	**10,880,831**	9,112,098	**2,962,381**	2,480,831
Net movement in due from banks	**(7,163,065)**	(9,855,434)	**(1,950,195)**	(2,683,211)
Net movement in derivative financial instruments	**(244,768)**	(97,084)	**(66,640)**	(26,432)
Net movement in financial assets at fair value through profit or loss	**(2,829,266)**	(1,687,943)	**(770,288)**	(459,554)
Net movement in loans and advances to customers	**(19,265,618)**	(7,029,428)	**(5,245,200)**	(1,913,811)
Net movement in other assets	**(1,482,197)**	99,213	**(403,539)**	27,011
Net movement in due to banks	**1,995,339**	(644,760)	**543,245**	(175,540)
Net movement in deposits from customers	**48,994,167**	13,657,487	**13,339,005**	3,718,347
Net movement in other liabilities	**1,599,334**	104,894	**435,433**	28,559
Net cash from operations	**32,484,757**	3,659,043	**8,844,202**	996,200
Overseas income tax paid	**(77,589)**	(63,348)	**(21,124)**	(17,247)
Net cash from operating activities	**32,407,168**	3,595,695	**8,823,078**	978,953
INVESTING ACTIVITIES				
Cash paid on business combination	**-**	(918,923)	**-**	(250,183)
Net proceeds from redemption/disposal of investment securities	**44,781,524**	30,122,479	**12,192,084**	8,201,056
Net purchases of investment securities	**(68,835,083)**	(40,038,906)	**(18,740,834)**	(10,900,873)
Dividend received from investment securities (Note 31)	**35,913**	26,814	**9,778**	7,300
Dividend received from associates (Note 12)	**1,621**	922	**441**	251
Gross proceeds from disposal of assets held for sale	**72,749**	101,308	**19,806**	27,582
Disposal of investment properties (Note 13)	**2,426**	22,879	**660**	6,229
Net purchases of property and equipment	**(289,708)**	(217,816)	**(78,875)**	(59,302)
Net cash used in investing activities	**(24,230,558)**	(10,901,243)	**(6,596,940)**	(2,967,940)
FINANCING ACTIVITIES				
Net movement in euro commercial paper (Note 19)	**(251,159)**	1,436,121	**(68,380)**	390,994
Net proceeds from borrowings (Note 20)	**47,103,994**	30,728,932	**12,824,393**	8,366,167
Repayment of borrowings (Note 20)	**(44,319,818)**	(22,951,954)	**(12,066,381)**	(6,248,830)
Payment of lease liabilities	**(84,173)**	(89,803)	**(22,917)**	(24,449)
Dividends paid to equity holders of the Bank	**(2,574,230)**	(1,878,492)	**(700,852)**	(511,433)
Dividends paid to non-controlling equity holders of subsidiary	**(39)**	-	**(11)**	-
Capital notes coupon paid (Note 34)	**(182,271)**	(173,698)	**(49,625)**	(47,291)
Net cash (used in)/from financing activities	**(307,696)**	7,071,106	**(83,773)**	1,925,158
Effect of exchange rate changes on cash and cash equivalents	**(1,246,500)**	(1,709)	**(339,367)**	(465)
Net increase/(decrease) in cash and cash equivalents	**6,622,414**	(236,151)	**1,802,998**	(64,294)
Cash and cash equivalents at the beginning of the year (Note 36)	**32,435,700**	32,671,851	**8,830,848**	8,895,142
Cash and cash equivalents at end of the year (Note 36)	**39,058,114**	32,435,700	**10,633,846**	8,830,848

The accompanying notes 1 to 52 form an integral part of these consolidated financial statements.

1. General information

Abu Dhabi Commercial Bank PJSC ("ADCB" or the "Bank") is a public joint stock company with limited liability incorporated in the emirate of Abu Dhabi, United Arab Emirates (UAE). The Bank and its subsidiaries (together referred to as the "Group") is principally engaged in the business of retail, commercial and Islamic banking and provision of other financial services.

The Group's Islamic banking activities are conducted in accordance with principles of Islamic Shari'ah as interpreted by Internal Shari'ah Supervision Committee ("ISSC") as well as the standards and resolutions issued by the higher Shari'ah authority of UAE Central Bank.

The Bank is listed on the Abu Dhabi Securities Exchange (Ticker: ADCB).

The registered head office of ADCB is at Abu Dhabi Commercial Bank PJSC Head Office Building, Sheikh Zayed Bin Sultan Street, Plot C- 33, Sector E-11, P. O. Box 939, Abu Dhabi, UAE.

2. Application of new and revised International Financial Reporting Standards (IFRSs)

2.1 Standards and Interpretations in issue and effective

During the current year, the Group has applied the amendments to IFRS 3, IAS 16, IAS 37 and annual improvements to IFRS Standards 2018-2020 issued by the International Accounting Standards Board ("IASB") that are mandatorily effective for an accounting period that begins on or after January 1, 2022. The application of these amendments to IFRSs has not had any material impact on the amounts reported for the current and prior periods but may affect the accounting for the Group's future transactions or arrangements.

Other than the above, there are no other significant IFRSs, amendments or interpretations that were effective for the first time for the financial year beginning on or after January 1, 2022.

2.2 Standards and Interpretations in issue but not yet effective

New standards and significant amendments to standards applicable to the Group:	Effective for annual periods beginning on or after
Amendments to IAS 1 'Presentation of Financial Statements' to address the classification of liabilities as current or non-current providing a more general approach based on the contractual arrangements in place at the reporting date.	January 1, 2023
IFRS 17 'Insurance Contracts' requires insurance liabilities to be measured at a current fulfilment value and provides a more uniform measurement and presentation approach for all insurance contracts.	January 1, 2023
Amendments to IFRS 17 'Insurance Contracts' to address concerns and implementation challenges identified after IFRS 17 were published in 2017.	January 1, 2023
Extension of the Temporary Exemption from Applying IFRS 9 (Amendments to IFRS 4). The amendment changes the fixed expiry date for the temporary exemption in IFRS 4 'Insurance Contracts' from applying IFRS 9 'Financial Instruments' so that entities would be required to apply IFRS 9 for annual periods beginning on or after January 1, 2023.	January 1, 2023
Disclosure of Accounting Policies (Amendments to IAS 1 and IFRS Practice Statement 2) which require that an entity disclose its material accounting policies, instead of its significant accounting policies.	January 1, 2023
The IASB issued 'Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to IAS 12)' that clarifies how companies account for deferred tax on transactions such as leases and decommissioning obligations.	January 1, 2023
The amendments replace the definition of Accounting Estimates (Amendments to IAS 8) - The amendments replace the definition of a change in accounting estimates with a definition of accounting estimates. Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty".	January 1, 2023

New standards and significant amendments to standards applicable to the Group:	Effective for annual periods beginning on or after
Lease Liability in a Sale and Leaseback (Amendments to IFRS 16) - The amendment clarifies how a seller-lessee subsequently measures sale and leaseback transactions that satisfy the requirements in IFRS 15 to be accounted for as a sale.	January 1, 2024
Non-current Liabilities with Covenants (Amendments to IAS 1) - The amendment clarifies how conditions with which an entity must comply within twelve months after the reporting period affect the classification of a liability.	January 1, 2024

The Group has not early adopted new and revised IFRSs that have been issued but are not yet effective.

Management anticipates that these amendments will be adopted in the consolidated financial statements in the initial period when they become mandatorily effective. The impact of these standards and amendments are currently being assessed by the management.

3. Summary of significant accounting policies

3.1 Basis of preparation

The consolidated financial statements have been prepared on a going concern basis and in accordance with International Financial Reporting Standards (IFRSs) issued by the International Accounting Standards Board (IASB) and requirements of the applicable laws including UAE Federal Decree Law No. 32 of 2021 which came into effect on January 2, 2022 replacing the UAE Federal Law No. 2 of 2015 (as amended) and the applicable provisions of Law No. (1) of 2017 (as amended) issued by the Department of Finance. IFRSs comprise accounting standards issued by the IASB as well as Interpretations issued by the International Financial Reporting Interpretations Committee (IFRIC).

Certain disclosure notes/numbers have been reclassified and rearranged from the Group's prior year consolidated financial statements to conform to the current year's presentation.

3.2 Measurement

The consolidated financial statements have been prepared under the historical cost convention except as modified by the revaluation of financial assets and liabilities at fair value through profit or loss, financial assets and liabilities at fair value through other comprehensive income and investment properties.

3.3 Functional and presentation currency

The consolidated financial statements are prepared and presented in United Arab Emirates Dirhams (AED), which is the Group's functional and presentation currency. Except as indicated, financial information presented in AED has been rounded to the nearest thousand.

The United States Dollar (USD) amounts in the primary financial statements are presented for the convenience of the reader only by converting the AED balances at the pegged exchange rate of 1 USD = 3.673 AED.

3.4 Use of estimates and judgements

The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the application of the accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the consolidated financial statements are described in Note 4.

3.5 Basis of consolidation

These consolidated financial statements incorporate the financial statements of the Bank and its subsidiaries (collectively referred to as the "Group").

Subsidiaries

Subsidiaries are entities that are controlled by the Bank. Control is achieved when the Bank:

- has power over the investee;
- is exposed, or has rights, to variable returns from its involvement with the investee; and
- has the ability to use its power to affect its returns.

The Bank reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above.

When the Bank has less than a majority of voting rights of an investee, it still has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. The Bank considers all relevant facts and circumstances in assessing whether or not the Bank's voting rights in an investee are sufficient to give it power, including:

- the size of the Bank's holding of voting rights relative to the size and dispersion of holdings of the other vote holders;
- potential voting rights held by the Bank;
- rights arising from other contractual arrangements; and
- any additional facts and circumstances that indicate that the Bank has, or does not have, the current ability to direct the relevant activities at the time the decision needs to be made, including voting patterns at previous shareholders' meetings.

Consolidation of a subsidiary begins when the Bank obtains control over the subsidiary and ceases when the Bank loses control of the subsidiary. Income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated income statement and other comprehensive income from the date the Bank gains control until the date when the Bank ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income are attributed to owners of the Bank and to the non-controlling interests. Total comprehensive income of the subsidiaries is attributed to the owners of the Bank and non-controlling interests even if this results in non-controlling interests having a deficit balance.

When necessary, adjustments are made to the consolidated financial statements of subsidiaries to align their accounting policies with the Bank's accounting policies.

All intragroup balances and income, expenses and cash flows resulting from intragroup transactions are eliminated in full on consolidation.

Changes in the Bank's ownership interests in existing subsidiaries

Changes in the Bank's ownership interests in subsidiaries that do not result in the Bank losing control over the subsidiaries are accounted for as equity transactions. The carrying amount of the Bank's interests is adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to the shareholders of the Bank. When the Bank loses control of a subsidiary, a gain or loss is recognised in the consolidated income statement and is calculated as the difference between (i) the aggregate of the fair value of the consideration received and the fair value of any retained interest and (ii) the previous carrying amount of the assets (including goodwill), liabilities of the subsidiary and any non-controlling interests.

All amounts previously recognised in other comprehensive income in relation to that subsidiary are accounted for as if the Bank had directly disposed of the related assets or liabilities of the subsidiary (i.e. reclassified to income statement or transferred to another category of equity as specified/permitted by applicable IFRSs). The fair value of any investment retained in the former subsidiary, at the date when control is lost, is regarded as the fair value on initial recognition for subsequent accounting under IFRS 9 or, when appropriate, the cost on initial recognition of an investment in an associate or joint venture.

Special Purpose Entities

Special purpose entities (SPEs) are entities that are created to accomplish a narrow and well-defined objective such as the securitisation of particular assets, or the execution of a specific borrowing or lending transaction. An SPE is consolidated if, based on an evaluation of the substance of its relationship with the Bank, the Bank has power over the SPE, is exposed to or has rights to variable returns from its involvement with the SPE and its ability to use its power over the SPE at inception and subsequently to affect the amount of its return, the Bank concludes that it controls the SPE.

The assessment of whether the Bank has control over an SPE is carried out at inception and normally no further reassessment of control is carried out in the absence of changes in the structure or terms of the SPE, or additional transactions between the Bank and the SPE except whenever there is a change in the substance of the relationship between the Bank and an SPE.

Funds under management

The Bank manages and administers assets held in unit trusts on behalf of investors. The financial statements of these entities are not included in the consolidated financial statements except when the Bank controls the entity, as referred to above.

Investment in associates

Associates are those entities in which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but not control or joint control over those policies. Investments in associates are accounted for using the equity method and are recognised initially at cost. The cost of the investments includes transaction costs.

The consolidated financial statements include the Group's share of the profit or loss and other comprehensive income of investment in associates, after adjustments to align the accounting policies with those of the Group, from the date that significant influence commences until the date that significant influence ceases. When the Group's share of losses exceeds its interest in an equity-accounted investee, the carrying amount of the investment, including any long-term interests that form part thereof, is reduced to zero, and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has made payments on behalf of the investee.

The carrying amount of the investment (including goodwill) is tested for impairment in accordance with IAS 36 - Impairment of Assets, as a single asset by comparing with the recoverable amount (higher of value in use and fair value less cost of disposal). Any impairment loss recognised forms part of the carrying amount of the investment. Any reversal of the impairment loss is recognised in accordance with IAS 36 to the extent that the recoverable amount of the investment subsequently increases such that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the investment in prior years.

The Group discontinues the use of equity method of accounting from the date when the investment ceases to be an associate or when the investment is classified as held for sale. When the Group retains an interest in the former associate and the retained interest is a financial asset, the Group measures the retained interest at fair value at that date and the fair value is regarded as its fair value on initial recognition in accordance with IFRS 9. The difference between the carrying amount of the associate at the date equity method was discontinued and the fair value of the retained interest and any proceeds from disposing of a part interest in the associate is included in the determination of the gain or loss on disposal of associate. In addition, the Group accounts for all amounts previously recognised in other comprehensive income in relation of that associate on the same basis as would be required if that associate had directly disposed of the related assets or liabilities. Therefore, if a gain or loss previously recognised in other comprehensive income by that associate would be reclassified to profit or loss on the disposal of the related assets or liabilities, the Group reclassifies the gain or loss from equity to profit or loss (as a reclassification adjustment) when the equity method is discontinued.

Joint arrangements

Joint arrangements are arrangements of which the Group has joint control, established by contracts requiring unanimous consent for decisions about the activities that significantly affect the arrangements' returns. They are classified and accounted for as follows:

- Joint operation - when the Group has rights to the assets and obligations for the liabilities, relating to an arrangement, it accounts for each of its assets, liabilities and transactions, including its share of those held or incurred jointly, in relation to the joint operation.
- Joint venture - when the Group has rights only to the net assets of the arrangements, it accounts for its interest using the equity method, as for associates.

Non-current assets held for sale

Non-current assets (and disposal groups) classified as held for sale are measured at the lower of carrying amount and fair value less costs to sell.

Non-current assets and disposal groups are classified as held for sale if their carrying amount will be recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset (or disposal group) is available for immediate sale in its present condition. Management must be committed to the sale which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

When the Group is committed to a sale plan involving loss of control of a subsidiary, all of the assets and liabilities of that subsidiary are classified as held for sale when the criteria described above are met, regardless of whether the Group will retain a non-controlling interest in its former subsidiary after the sale.

When the Group is committed to a sale plan involving disposal of an investment in an associate or, a portion of an investment in an associate, the investment, or the portion of the investment in the associate, that will be disposed of is classified as held for sale when the criteria described above are met. The Group then ceases to apply the equity method in relation to the portion that is classified as held for sale. Any retained portion of an investment in an associate that has not been classified as held for sale continues to be accounted for using the equity method.

3.6 Business combination under common control

A business combination involving entities under common control is a business combination in which all the combining entities or businesses are ultimately controlled by the same party or parties both before and after the business combination, and that control is not transitory. Currently, there is no specific guidance on accounting for common control transactions under IFRSs, therefore the management needs to use judgement to develop an accounting policy that provides relevant and reliable information in accordance with IAS 8.

The Group accounts for business combinations under common control using the acquisition method when there is a commercial substance to the transaction. Under the acquisition method, the consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values of the assets transferred by the Group, liabilities incurred by the Group to the former owners of the acquiree and the equity interests issued by the Group in exchange for control of the acquiree. Acquisition-related costs are recognised in profit or loss as incurred.

At the acquisition date, the identifiable assets acquired and the liabilities assumed are recognised at their fair value, except that:

- deferred tax assets or liabilities, and assets or liabilities related to employee benefit arrangements are recognised and measured in accordance with IAS 12 Income Taxes and IAS 19 Employee Benefits respectively; and
- assets (or disposal groups) that are classified as held for sale in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations are measured in accordance with that standard.

Goodwill is measured as the excess of the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree and the fair value of the acquirer's previously held equity interest in the acquiree (if any) over the net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed. If, after reassessment, the net of the acquisition-date amounts of the identifiable assets acquired and liabilities assumed exceeds the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree and the fair value of the acquirer's previously held interest in the acquiree (if any), the excess is recognised immediately in profit or loss as a bargain purchase gain.

Non-controlling interests that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation may be initially measured either at fair value or at the non-controlling interests' proportionate share of the recognised amounts of the acquiree's identifiable net assets. The choice of measurement basis is made on a transaction-by-transaction basis.

When a business combination is achieved in stages, the Group's previously held equity interest in the acquiree is remeasured to its acquisition-date fair value and the resulting gain or loss, if any, is recognised in profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognised in other comprehensive income are reclassified to profit or loss where such treatment would be appropriate if that interest were disposed of.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Group reports provisional amounts for the items for which the accounting is incomplete. Those provisional amounts are adjusted during the measurement period, or additional assets or liabilities are recognised, to reflect new information obtained about facts and circumstances that existed at the acquisition date that, if known, would have affected the amounts recognised at that date.

The measurement period is the period from the date of acquisition to the date the Group obtains complete information about facts and circumstances that existed as of the acquisition date but does not exceed twelve months.

Impairment testing of goodwill

Goodwill arising on an acquisition of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any.

For the purpose of impairment testing, goodwill is allocated to each of the Group's cash-generating units (or groups of cash-generating units) that is expected to benefit from the synergies of the combination.

A cash-generating unit ("CGU") to which goodwill has been allocated is tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro-rata based on the carrying amount of each asset in the unit. Any impairment loss for goodwill is recognised directly in profit or loss. An impairment loss recognised for goodwill is not reversed in subsequent periods.

On disposal of the relevant cash-generating unit, the attributable amount of goodwill is included in the determination of the profit or loss on disposal.

3.7 Hedge Accounting

The Group designates certain derivatives as hedging instruments in respect of foreign currency risk and interest rate risk in fair value hedges, cash flow hedges, or hedges of net investments in foreign operations as appropriate. Hedges of foreign exchange risk on firm commitments are accounted for as cash flow hedges. At the inception of the hedge relationship, the Group documents the relationship between the hedging instrument and the hedged item, along with its risk management objectives and its strategy for undertaking various hedge transactions. Furthermore, at the inception of the hedge and on an ongoing basis, the Group documents whether the hedging instrument is effective in offsetting changes in fair values or cash flows of the hedged item attributable to the hedged risk, which is when the hedging relationships meet all of the following hedge effectiveness requirements:

- there is an economic relationship between the hedged item and the hedging instrument;
- the effect of credit risk does not dominate the value changes that result from that economic relationship; and
- the hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the Group actually hedges and the quantity of the hedging instrument that the entity actually uses to hedge that quantity of hedged item.

If a hedging relationship ceases to meet the hedge effectiveness requirement relating to the hedge ratio but the risk management objective for that designated hedging relationship remains the same, the Group adjusts the hedge ratio of the hedging relationship by way of rebalancing the hedge on a case-by-case basis, so that it meets the qualifying criteria again.

Fair value hedges

The fair value change on qualifying hedging instruments is recognised in consolidated income statement except when the hedging instrument hedges an equity instrument designated at fair value through other comprehensive income (FVTOCI) in which case it is recognised in other comprehensive income. The carrying amount of a hedged item not already measured at fair value is adjusted for the fair value change attributable to the hedged risk with a corresponding entry in consolidated income statement. For debt instruments measured at FVTOCI, the carrying amount is not adjusted as it is already at fair value, but the hedging gain or loss is recognised in consolidated income statement instead of other comprehensive income. When the hedged item is an equity instrument designated at FVTOCI, the hedging gain or loss remains in other comprehensive income to match that of the hedging instrument.

Where hedging gains or losses are recognised in consolidated income statement, they are recognised in the same line as the hedged item. The Group discontinues hedge accounting only when the hedging relationship (or a part thereof) ceases to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires or is sold, terminated or exercised. The discontinuation is accounted for prospectively. The fair value adjustment to the carrying amount of the hedged item arising from the hedged risk at the date of discontinuation is amortised to consolidated income statement as part of the recalculated effective interest rate over the period to maturity or derecognition. If the hedged item is sold or repaid, the unamortised fair value adjustment is recognised immediately in the consolidated income statement.

Cash flow hedges

The effective portion of changes in the fair value of derivatives and other qualifying hedging instruments that are designated and qualify as cash flow hedges is recognised in other comprehensive income and accumulated under cash flow hedge reserve. The cash flow hedge reserve is adjusted to the lower of the cumulative gain or loss on the hedging instrument and the cumulative change in fair value of the hedged item. The gain or loss relating to the ineffective portion is recognised immediately in the consolidated income statement.

Amounts previously recognised in other comprehensive income and accumulated in equity are reclassified to consolidated income statement in the periods when the hedged item affects profit or loss, in the same line as the recognised hedged item. However, when the hedged forecast transaction results in the recognition of a non-financial asset or a non-financial liability, the gains and losses previously recognised in other comprehensive income and accumulated in equity are removed from equity and included in the initial measurement of the cost of the non-financial asset or non-financial liability. This transfer does not affect other comprehensive income. Furthermore, if the Group expects that some or all of the loss accumulated in other comprehensive income will not be recovered in the future, that amount is immediately reclassified to consolidated income statement.

The Group discontinues hedge accounting only when the hedging relationship (or a part thereof) ceases to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires

or is sold, terminated or exercised. The discontinuation is accounted for prospectively. Any gain or loss recognised in other comprehensive income and accumulated in equity at that time remains in equity and is recognised when the forecast transaction is ultimately recognised in consolidated income statement. When a forecast transaction is no longer expected to occur, the gain or loss accumulated in equity is recognised immediately in consolidated income statement.

Net investment hedge

Hedges of net investments in foreign operations are accounted for in a similar way to cash flow hedges. A gain or loss on the effective portion of the hedging instrument is recognised in other comprehensive income and presented in translation reserve within equity. The gain or loss relating to the ineffective portion is recognised immediately in the consolidated income statement. Gains and losses accumulated in equity are reclassified from other comprehensive income and included in the consolidated income statement on the disposal or partial disposal of the foreign operation or other reduction in the Group's investment in the operations.

Hedge effectiveness testing

Hedge effectiveness is determined at the inception of the hedge relationship, and through periodic effectiveness assessments to ensure that an economic relationship exists between the hedged item and hedging instrument. The documentation of each hedging relationship sets out how the effectiveness of the hedge is assessed. The method the Group adopts for assessing hedge effectiveness depends on its risk management strategy.

The Group assesses economic relationship and effectiveness on its designated hedges by matching critical terms of hedged item and hedging instrument as part of its qualitative assessment. The critical terms matching method replicates the hedge item and hence is not used for those hedge relationships where the hedging derivative includes features that are not present in the hedged item. In such cases, the hedge effectiveness assessment is performed using other quantitative methods and may result in ineffectiveness.

Some of the sources of ineffectiveness include the following:

- mismatches between the contractual terms of the hedged item and hedging instrument, including basis differences;
- significant changes in credit risk of the hedging instruments;
- the effects of the forthcoming reforms of Interest rate benchmark, because these might take effect at a different time and have a different impact on hedged items and hedging instruments.

The ineffectiveness arising from quantitative assessments is recognised in the consolidated income statement.

Derivatives that do not qualify for hedge accounting

All gains and losses from changes in the fair values of derivatives that do not qualify for hedge accounting are recognised immediately in the consolidated income statement in "net gains from dealing in derivatives" under net trading income.

3.8 Financial instruments

Financial assets

All financial assets are recognised and derecognised on settlement date basis (other than derivative contracts which are recognised and derecognised on trade date basis) where the purchase or sale of a financial asset is under a contract whose terms require delivery of the financial asset within the timeframe established by the market concerned, and are initially measured at fair value, plus transaction costs, except for those financial assets classified as at fair value through profit or loss (FVTPL). Settlement date is the date that the Group physically receives or transfers the assets. Transaction costs directly attributable to the acquisition of financial assets classified as at FVTPL are recognised immediately in profit or loss.

All recognised financial assets that are within the scope of IFRS 9 are required to be subsequently measured at amortised cost or fair value on the basis of the entity's business model for managing the financial assets and the contractual cash flow characteristics of the financial assets. Specifically:

(i) debt instruments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal amount outstanding (SPPI), are subsequently measured at amortised cost;

(ii) debt instruments that are held within a business model whose objective is both to collect the contractual cash flows and to sell the debt instruments, and that have contractual cash flows that are SPPI, are subsequently measured at fair value through other comprehensive income (FVTOCI);

(iii) all other debt instruments (e.g. debt instruments managed on a fair value basis, or held for sale) and equity investments are subsequently measured at FVTPL. However, the Group may make the following irrevocable election/designation at the date of initial application of IFRS 9 or at the date of initial recognition of a financial asset on an asset-by-asset basis:

- the Group may irrevocably elect to present subsequent changes in fair value of an equity investment that is neither held for trading nor contingent consideration recognised by an acquirer in a business combination to which IFRS 3 applies, in other comprehensive income (OCI) with dividend income recognised in profit or loss; and
- the Group may irrevocably designate a debt instrument that meets the amortised cost or FVTOCI criteria as measured at FVTPL if doing so eliminates or significantly reduces an accounting mismatch (referred to as the fair value option).

The Group holds equity investments and mutual funds as strategic investments and has elected to carry these investments at FVTOCI with changes in fair value through other comprehensive income.

(a) Debt instruments at amortised cost or at FVTOCI

The Group assesses the classification and measurement of a financial asset based on the contractual cash flow characteristics of the asset and the Group's business model for managing the asset.

For an asset to be classified and measured at amortised cost or at FVTOCI, its contractual terms should give rise to cash flows that are solely SPPI. For the purpose of SPPI test, principal is the fair value of the financial asset at initial recognition. That principal amount may change over the life of the financial asset (e.g. if there are repayments of principal). Interest consists of consideration for the time value of money, for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs, as well as a profit margin. The SPPI assessment is made in the currency in which the financial asset is denominated.

Contractual cash flows that are SPPI are consistent with a basic lending arrangement. Contractual terms that introduce exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement, such as exposure to changes in equity prices or commodity prices, do not give rise to contractual cash flows that are SPPI. An originated or an acquired financial asset can be a basic lending arrangement irrespective of whether it is a loan in its legal form.

An assessment of business models for managing financial assets is fundamental to the classification of a financial asset. The Group determines the business models at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. The Group's business model does not depend on management's intentions for an individual instrument; therefore, the business model assessment is performed at a higher level of aggregation rather than on an instrument-by-instrument basis.

The Group has more than one business model for managing its financial instruments, which reflects how the Group manages its financial assets in order to generate cash flows. The Group's business models determine whether cash flows will result from collecting contractual cash flows, selling financial assets or both.

At initial recognition of a financial asset, the Group determines whether newly recognised financial assets are part of an existing business model or whether they reflect the commencement of a new business model. The Group reassess its business models during each reporting period to determine whether the business models have changed since the preceding period.

Debt instruments that are subsequently measured at amortised cost or at FVTOCI are subject to impairment.

(b) Financial assets at FVTPL

Financial assets at FVTPL are:

(i) assets with contractual cash flows that are not SPPI; or/and

(ii) assets that are held in a business model other than held to collect contractual cash flows or held to collect and sell; or

(iii) assets designated at FVTPL using the fair value option.

These assets are measured at fair value, with any gains/losses arising on remeasurement recognised in profit or loss.

(c) Reclassifications

If the business model under which the Group holds financial assets changes, the financial assets affected are reclassified. The classification and measurement requirements related to the new category apply prospectively from the first day of the first reporting period following the change in business model that result in reclassifying the Group's financial assets. Changes in contractual cash flows are discussed under the accounting policy on modification and derecognition of financial assets.

(d) Impairment

The Group recognises allowances for expected credit losses (ECLs) on the following financial instruments that are not measured at FVTPL:

- balances with central banks;
- deposits and balances due from banks;
- reverse-repo placements;
- debt investment securities;
- loans and advances to customers;
- Other assets
- loan commitments issued; and
- financial guarantee contracts issued.

No impairment loss is recognised on equity investments.

With the exception of purchased or originated credit impaired financial assets (which are considered separately below), ECLs are required to be measured through a loss allowance at an amount equal to:

- 12-month ECL that result from those default events on the financial instrument that are possible within 12 months after the reporting date, (referred to as Stage 1); or
- full lifetime ECL that result from all possible default events over the life of the financial instrument, (referred to as Stage 2 and Stage 3).

A loss allowance for full lifetime ECL is required for a financial instrument if the credit risk on that financial instrument has increased significantly since initial recognition. For all other financial instruments, ECLs are measured at an amount equal to the 12-month ECL. More details on the determination of a significant increase in credit risk are provided in note 3.8(h).

ECLs are a probability-weighted estimate of the present value of credit losses. These are measured as the present value of the difference between the cash flows due to the Group under the contract and the cash flows that the Group expects to receive arising from the weighting of multiple future economic scenarios, discounted at the asset's EIR. However, for unfunded exposures, ECL is measured as follows:

- for undrawn loan commitments, the ECL is the difference between the present value of the contractual cash flows that are due to the Group if the holder of the commitment draws down the loan and the cash flows that the Group expects to receive if the loan is drawn down; and
- for financial guarantee contracts, the ECL is the difference between the expected payments to reimburse the holder of the guaranteed debt instrument less any amounts that the Group expects to receive from the holder, the debtor or any other party.

Refer note 43 for more details on measurement of ECL.

(e) Credit-impaired financial assets

A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Credit-impaired financial assets are referred to as Stage 3 assets. Evidence of credit-impairment includes observable data about the following events:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or past due event;
- for economic or contractual reasons relating to the borrower's financial difficulty, concessions given to the borrower that would not otherwise be considered; or
- the disappearance of an active market for a security because of financial difficulties.

It may not be possible to identify a single discrete event - instead, the combined effect of several events may have caused financial assets to become credit-impaired. The Group assesses whether debt instruments that are financial assets measured at amortised cost or FVTOCI are credit-impaired at each reporting date. To assess if sovereign and corporate debt instruments are credit impaired, the Group considers factors such as bond yields, credit ratings and the ability of the borrower to raise funding.

A loan is considered credit-impaired when a concession is granted to the borrower due to a deterioration in the borrower's financial condition, unless there is evidence that as a result of granting the concession, the risk of not receiving the contractual cash flows has reduced significantly and there are no other indicators of impairment. For financial assets where concessions are contemplated but not granted, the asset is deemed credit impaired when there is observable evidence of credit-impairment including meeting the definition of default. The definition of default (see below) includes unlikeliness to pay indicators and a backstop if amounts are overdue for 90 days or more.

(f) Purchased or originated credit-impaired financial assets (POCI)

Financial assets that are credit-impaired on initial recognition are classified as purchased or originated credit impaired financial assets (POCI). The Group measures expected credit loss on a lifetime basis for POCI instruments throughout the life of the instrument. However, expected credit loss is not recognised in a separate loss provision on initial recognition for POCI instruments as the lifetime expected credit loss is inherent within the gross carrying amount of the instruments. The Group recognises the change in lifetime expected credit losses arising subsequent to initial recognition in the income statement and the cumulative changes as a loss provision. Where lifetime expected credit losses on POCI instruments are less than those at initial recognition, then the favourable differences are recognised as impairment gains in the income statement (and impairment loss where the expected credit losses are greater).

(g) Definition of default

Critical to the determination of ECL is the definition of default. The definition of default is used in measuring the amount of ECL and in the determination of whether the loss allowance is based on 12-month or lifetime ECL, as default is a component of the probability of default (PD) which affects both the measurement of ECLs and the identification of a significant increase in credit risk.

The Group considers the following as constituting an event of default:

- the borrower is past due for more than 90 days on any material credit obligation to the Group; or
- the borrower is unlikely to pay its credit obligations to the Group in full.

The definition of default is appropriately tailored to reflect different characteristics of different types of assets. The decision to use cross-default is based on case-by-case assessment of borrower and facility conditions such as collateral and materiality of exposure.

When assessing if the borrower is unlikely to pay its credit obligation, the Group takes into account both qualitative and quantitative indicators. The information assessed depends on the type of the asset; for example, in corporate lending a qualitative indicator used is the breach of covenants, which is not relevant for retail lending. Quantitative indicators, such as overdue status and non-payment on another obligation of the same counterparty, are key inputs in this analysis. The Group uses a variety of sources of information to assess default, which are either developed internally or obtained from external sources.

(h) Significant increase in credit risk (SICR)

The Group monitors all financial assets, issued loan commitments and financial guarantee contracts that are subject to the impairment requirements to assess whether there has been a significant increase in credit risk since initial recognition. If there has been a significant increase in credit risk (SICR), the Group will measure the loss allowance based on lifetime rather than 12-month ECL.

In assessing whether the credit risk on a financial instrument has increased significantly since initial recognition, the Group compares the risk of a default occurring on the financial instrument at the reporting date based on the remaining maturity of the instrument with the risk of a default occurring that was anticipated for the remaining maturity at the current reporting date when the financial instrument was first recognised. In making this assessment, the Group considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort, based on the Group's historical experience and expert credit assessment including forward-looking information. For corporate lending, forward-looking information includes the future prospects of the industries in which the Group's counterparties operate, obtained from economic expert reports, financial analysts, governmental bodies and other similar organisations, as well as consideration of various internal and external sources of actual and forecast economic information.

For retail lending, forward-looking information includes the same economic forecasts as corporate lending with additional forecasts of local economic indicators, particularly for regions with a concentration to certain industries, as well as internally generated information of customer payment behaviour. Refer note 43 for more details about forward looking information and criteria used to determine significant increase in credit risk.

The Group uses different criteria to determine whether credit risk has increased significantly per portfolio of assets. The criteria used are both deterioration in internal/external ratings as well as qualitative assessment. For further details on SICR, refer to note 43.

Regardless of the analysis above, a significant increase in credit risk is presumed if a customer is more than 30 days past due in making a contractual payment.

The qualitative factors that indicate significant increase in credit risk are reflected in PD models on a timely basis. However, the Group still considers separately some qualitative factors to assess if credit risk has increased significantly. For corporate lending there is particular focus on assets that are included on a 'watch list' given an exposure is on a watch list once there is a concern that the creditworthiness of the specific counterparty has deteriorated. For retail lending the Group considers credit scores and events such as unemployment, bankruptcy or death. As a backstop when an asset becomes 30 days past due, the Group considers that a significant increase in credit risk has occurred and the asset is in stage 2 of the impairment model, i.e. the loss allowance is measured as the lifetime ECL.

(i) Modification and derecognition of financial assets

Modification of financial assets

A modification of a financial asset occurs when the contractual terms governing the cash flows of a financial asset are renegotiated or otherwise modified between

initial recognition and maturity of the financial asset. A modification affects the amount and/or timing of the contractual cash flows either immediately or at a future date.

In addition, the introduction or adjustment of existing covenants of an existing loan would constitute a modification even if these new or adjusted covenants do not yet affect the cash flows immediately but may affect the cash flows depending on whether the covenant is or is not met (e.g. a change to the increase in the interest rate that arises when covenants are breached).

The Group renegotiates loans to customers in financial difficulty to maximise collection and minimise the risk of default. A loan forbearance is granted in cases where although the borrower made all reasonable efforts to pay under the original contractual terms, there is a high risk of default or default has already happened and the borrower is expected to be able to meet the revised terms. The revised terms in most of the cases include an extension of the maturity of the loan, changes to the timing of the cash flows of the loan (principal and interest repayment), reduction in the amount of cash flows due (principal and interest forgiveness) and amendments to covenants.

When a financial asset is modified the Group assesses whether this modification results in derecognition. In accordance with the Group's policy a modification results in derecognition when it gives rise to substantially different terms. To determine the substantially different terms the Group considers the qualitative factors (i.e. contractual cash flows after modification, change in currency or counterparty, interest rates, maturity, covenants) and a quantitative assessment (i.e. compare the present value of the remaining contractual cash flows under the original terms with the contractual cash flows under the revised terms, discounted at the original effective interest).

In case where the financial asset is derecognised the loss allowance for ECL is remeasured at the date of derecognition to determine net carrying amount of the asset at that date. The difference between this revised carrying amount and the fair value of the new financial asset with the new terms will lead to a gain or loss on derecognition. The new financial asset will have a loss allowance measured based on 12-month ECL except in the rare occasions where the new loan is considered to be originated credit impaired. This applies only in the case where the fair value of the new loan is recognised at a significant discount to its revised par amount because there remains a high risk of default which has not been reduced by the modification. The Group monitors credit risk of modified financial assets by evaluating qualitative and quantitative information, such as if the borrower is in past due status under the new terms.

When the contractual terms of a financial asset are modified and the modification does not result in derecognition, the Group determines if the financial asset's credit risk has increased significantly since initial recognition by comparing the credit rating at initial recognition and the original contractual terms; with credit rating at the reporting date based on the modified terms.

Where a modification does not lead to derecognition the Group calculates the modification gain/loss comparing the gross carrying amount before and after the modification (excluding the ECL allowance). Then the Group measures ECL for the modified asset, where the expected cash flows arising from the modified financial asset are included in calculating the expected cash shortfalls from the original asset.

Derecognition of financial assets

The Group derecognises a financial asset only when the contractual rights to the asset's cash flows expire (including expiry arising from a modification with substantially different terms), or when the financial asset and substantially all the risks and rewards of ownership of the asset are transferred to another entity. If the Group neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Group recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Group retains substantially all the risks and rewards of ownership of a transferred financial asset, the Group continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain/loss that had been recognised in other comprehensive income (OCI) and accumulated in equity is recognised in profit or loss, with the exception of equity investment designated as measured at FVTOCI, where the cumulative gain/loss previously recognised in OCI is not subsequently reclassified to profit or loss but is transferred to retained earnings.

(j) Presentation of allowance for ECL

Loss allowances for ECL are presented in the consolidated financial statements as follows:

- for financial assets measured at amortised cost (loans and advances, balances due from central banks and other banks, reverse-repo placements, investment securities carried at amortised cost and other financial assets): as a deduction from the gross carrying amount of the assets;
- for debt instruments measured at FVTOCI: as part of revaluation reserve of investments designated at FVTOCI and recognised in other comprehensive income; and
- for loan commitments and financial guarantee contracts: as a provision.

Financial liabilities

Financial liabilities are classified as either financial liabilities at 'FVTPL' or 'other financial liabilities'. The classification of financial liabilities at initial recognition depends on the purpose and management's intention for which the financial liabilities were incurred and their characteristics.

Financial liabilities are recognised in the Group's statement of financial position when the Group becomes a party to the contractual provisions of the instrument. Financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial liabilities (other than financial liabilities at FVTPL) are deducted from the fair value of the financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial liabilities at FVTPL are recognised immediately in profit or loss. If the transaction price differs from fair value at initial recognition, the Group will account for such difference as follows:

- if fair value is evidenced by a quoted price in an active market for an identical liability or based on a valuation technique that uses only data from observable markets, then the difference is recognised in profit or loss on initial recognition (i.e. day 1 profit or loss);
- in all other cases, the fair value will be adjusted to bring it in line with the transaction price (i.e. day 1 profit or loss will be deferred by including it in the initial carrying amount of the liability).

Financial liabilities are subsequently measured at amortised cost except for financial liabilities at fair value through profit or loss. Gains and losses on financial liabilities, other than derivative instruments, designated at fair value through profit or loss are presented partially in other comprehensive income (the amount of change in fair value of the financial liability that is attributable to the changes in credit risk of that liability, which is determined as the amount that is not attributable to changes in market conditions that give rise to market risk) and partially in profit or loss (the remaining amount of change in the fair value of the liability). This is unless such a presentation would create, or enlarge, an accounting mismatch, in which case the gains or losses attributable to changes in the credit risk of the liability are also presented in the profit or loss.

Derecognition of financial liabilities

Financial liabilities are derecognised when they are extinguished (i.e. when the obligation specified in the contract is discharged, cancelled or expires).

The exchange between the Group and its original lenders of debt instruments with substantially different terms, as well as substantial modifications of the terms of existing liabilities, are accounted for as an extinguishment of the original financial liability and a recognition of a new financial liability. The terms are substantially different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is at least 10% different from the discounted present value of the remaining cash flows of the original financial liability.

In addition, other qualitative factors such as, currency that the instrument is denominated in, changes in the type of interest rate, new conversion features attached to the instrument and change in covenants are also taken into consideration. If an exchange of debt instruments or modification of terms is accounted for as an extinguishment, any cost or fees incurred is recognised as part of the gain or loss on extinguishment. If an exchange or modification is not accounted for as an extinguishment, any cost or fees incurred adjust the carrying amount of the liability and are amortised using EIR method over the remaining term of the modified liability.

3.9 Foreign currencies

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the 'functional currency'). The consolidated financial statements of the Group are presented in AED, which is the Group's functional and presentation currency.

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing on the dates of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the rate of exchange prevailing at the statement of financial position date. Any resulting exchange differences are included in the consolidated income statement. Non-monetary assets and liabilities are translated at historical exchange rates or year-end exchange rates if held at fair value, as appropriate. The resulting foreign exchange gains or losses are recognised in either consolidated income statement or consolidated other comprehensive income statement depending upon the nature of the asset or liability.

In the consolidated financial statements, the results and financial positions of branches and subsidiaries whose

functional currency is not AED, are translated into the Group's presentation currency as follows:

(a) assets and liabilities at the rate of exchange prevailing at the statement of financial position date;

(b) income and expenses at the average rates of exchange for the reporting period; and

(c) all resulting exchange differences arising from the retranslation of opening assets and liabilities and arising from retranslation of the result for the reporting period from the average rate to the exchange rate prevailing at the period end are recognised in other comprehensive income and accumulated in equity under 'foreign currency translation reserve' (Note 23).

On disposal or partial disposal (i.e. of associates or jointly controlled entities not involving a change of accounting basis) of a foreign operation, exchange differences relating thereto and previously recognised in reserves are recognised in the consolidated income statement on a proportionate basis, except in the case of partial disposal (i.e. no loss of control) of a subsidiary that includes a foreign operation, where the proportionate share of accumulated exchange differences are re-attributed to non-controlling interests and are not recognised in the consolidated income statement.

3.10 Offsetting

Financial assets and liabilities are offset and reported net in the consolidated statement of financial position only when there is a legally enforceable right to set off the recognised amounts and when the Group intends to settle either on a net basis, or to realise the asset and settle the liability simultaneously. Income and expenses are presented on a net basis only when permitted by the accounting standards, or for gains and losses arising from a group of similar transactions such as in the Group's trading activity.

The Group is party to a number of arrangements, including master netting agreements that give it the right to offset financial assets and financial liabilities but, where it does not intend to settle the amounts net or simultaneously, the assets and liabilities concerned are presented on a gross basis.

3.11 Sale and repurchase agreements

Securities sold subject to a commitment to repurchase them at a predetermined price at a specified future date (repos) are continued to be recognised in the consolidated statement of financial position, and a liability is recorded in respect of the consideration received under borrowings that are carried at amortised cost or under financial liabilities carried at fair value through profit or loss, that are held for trading. The difference between sale and repurchase price is treated as interest expense using the effective interest rate yield method over the life of the agreement for repos carried at amortised cost. Assets purchased with a corresponding commitment to resell at a specified future date (reverse repos) are not recognised in the consolidated statement of financial position. Amounts placed under these agreements are included in reverse-repo placements in the consolidated statement of financial position that are carried at amortised cost or under financial assets carried at fair value through profit or loss that are held for trading. The difference between purchase and resale price is treated as interest income using the effective yield method over the life of the agreement for reverse repos carried at amortised cost.

Reverse-repo placements carried at fair value through profit or loss are generally matched by repo agreements as these are held for trading purposes with the net change in fair values of these instruments are recorded within net trading income in the consolidated income statement.

3.12 Securities borrowing and lending

Securities borrowing and lending transactions are usually secured by cash or securities advanced by the borrower. Borrowed securities are not recognised in the statement of financial position nor are lent securities derecognised. Cash collateral received or given is treated as a financial asset or liability. However, where securities borrowed are transferred to third parties, a liability for the obligation to return the securities to the stock lending counterparty is recorded. The securities borrowing and lending activity arrangements are generally entered into through repos and reverse repos.

3.13 Cash and cash equivalents

Cash and cash equivalents include cash on hand, balances held with central banks, deposits and balances due from banks, due to banks, items in the course of collection from or in transmission to other banks and highly liquid assets with original maturities of less than three months from the date of acquisition, which are subject to insignificant risk of changes in their fair value, and are used by the Group in the management of its short-term commitments. Cash and cash equivalents are carried at amortised cost net of impairment allowance in the statement of financial position.

3.14 Amortised cost measurement

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment. The effective interest rate is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability, or, where appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

3.15 Fair value measurement

The Group measures its financial assets and liabilities at market price that it would receive to sell an asset or pay to transfer a liability in an orderly transaction between market participants at the measurement date in the principal market, or in its absence in the most advantageous market for the assets or liabilities. The Group considers principal market as the market with the greatest volume and level of activity for financial assets and liabilities.

The Group measures its non-financial assets at a price that take into account a market participant's ability to generate economic benefits by using the assets for their highest and best use.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal, or in its absence, the most advantageous market to which the Group has access at that date under current market conditions regardless of whether that price is directly observable or estimated using another valuation technique. The fair value of a liability reflects its non-performance risk.

When applicable, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. When there is no quoted price in an active market, the Group uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all the factors that market participants would take into account into pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price, i.e. the fair value of the consideration given or received. If the Group determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or a liability nor based on valuation technique that uses only data from observable markets, the instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, the difference is recognised in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is supported wholly by observable market data or the transaction is closed out.

If an asset or a liability measured at fair value has a bid and an ask price, the Group measures assets and long positions at a bid price and liabilities and short positions at an ask price.

Portfolios of financial assets and financial liabilities that are exposed to market risk and credit risk that are managed by the Group on the basis of the net exposure to either the market or credit risk, are measured on the basis of a price that would be received to sell a net long position (or paid to transfer a net short position) for a particular risk exposure. Those portfolio-level adjustments are allocated to the individual assets and liabilities on the basis of the relative risk adjustment of each of the individual instruments in the portfolio.

Different levels of fair value hierarchy based on the inputs to valuation techniques are discussed in note 41. The Group's policy is to recognise transfers into and transfers out of fair value hierarchy levels as of the date of the event or change in circumstances that caused the transfer.

3.16 Derivatives

A derivative financial instrument is a financial contract between two parties where payments are dependent upon movements in the price of one or more underlying financial instrument, reference rate or index.

Derivative financial instruments are initially measured at fair value at trade date, and are subsequently re-measured at fair value at the end of each reporting period. All derivatives are carried at their fair values as assets where the fair values are positive and as liabilities where the fair values are negative. Derivative assets and liabilities arising from different transactions are only offset if the transactions are with the same counterparty, a legal right of offset exists and the parties intend to settle the cash flows on a net basis.

Derivative fair values are determined from quoted prices in active markets where available. Where there is no active market for an instrument, fair value is derived from prices for the derivative's components using appropriate pricing or valuation models.

The method of recognising fair value gains and losses depends on whether derivatives are held for trading or are designated as hedging instruments, and if the latter, the nature of the risks being hedged. All gains and losses from changes in the fair value of derivatives held for trading are recognised in the consolidated income statement under 'net gain from dealing in derivatives' (Note 30).

3.17 Leases

The Group as lessee

The Group assesses whether a contract is or contains a lease, at inception of the contract. The Group recognises a right-of-use asset and a corresponding lease liability with respect to all lease arrangement in which it is the lessee, except for short-term (defined as leases with a lease term of 12 months or less) and leases of low value asset. For these leases, the Group recognises the lease payments as an operating lease on a straight-line basis over the term of the lease unless another systematic basis is more representative of the time pattern in which economic benefits from the leased assets are consumed. This expense is presented within other expenses in the consolidated income statement.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by the rate implicit in the lease. If this rate cannot be readily determined, the Group uses its incremental borrowing rate. The lease liability is subsequently measured by increasing the carrying amount to reflect the interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect the lease payments made.

The right-of-use assets comprise the initial measurement of the corresponding lease liability, lease payments made at or before the commencement day and any initial direct costs. They are subsequently measured at cost less accumulated depreciation and impairment losses. Right-of-use assets are depreciated over the period of lease term or useful life of the underlying asset whichever is shorter. The Group applies IAS 36 to determine whether a right-of-use asset is impaired and accounts for any identified impairment loss as per the Group's impairment policy for non-financial assets.

As a practical expedient, IFRS 16 permits a lessee not to separate non-lease component, and instead account for any lease and associated non-lease component as a single arrangement.

The Group has presented right of use asset within 'Property and equipment' and lease liabilities within 'Other liabilities' in the consolidated statement of financial position.

The Group as lessor

Leases where the Group does not transfer substantially all the risk and benefits of ownership of the asset are classified as operating leases. Rental incomes are recognised in the consolidated income statement on a straight-line basis over the lease term. Contingent rents are recognised as revenue in the period in which they are earned.

3.18 Treasury shares and contracts on own shares

Own equity instruments of the Group which are acquired by the Group or any of its subsidiaries (treasury shares) are deducted from other reserves and accounted for at weighted average cost. Consideration paid or received on the purchase, sale, issue or cancellation of the Group's own equity instruments is recognised directly in equity.

No gain or loss is recognised in the consolidated income statement on the purchase, sale, issue or cancellation of own equity instruments.

Contracts on own shares that require physical settlement of a fixed number of own shares for a fixed consideration are classified as equity and added to or deducted from equity. Contracts on own shares that require net cash settlement or provide a choice of settlement are classified as trading instruments and changes in the fair value are reported in the consolidated income statement.

3.19 Financial guarantees

Financial guarantees are contracts that require the Group to make specified payments to reimburse the holder for a loss it incurs because a specified party fails to meet its obligation when due in accordance with the contractual terms.

Financial guarantee contracts are initially recognised at their fair value, which is likely to equal the premium received on issuance. The received premium is amortised over the life of the financial guarantee. The guarantee liability (the notional amount) is subsequently recognised at the higher of this amortised amount and the present value of any expected payments (when a payment under guarantee has become probable). The premium received on these financial guarantees is included within other liabilities.

3.20 Acceptances

Acceptances arise when the Bank is under an obligation to make payments against documents drawn under letters of credit. Acceptances specify the amount of money, the date and the person to which the payment is due. After acceptance, the instrument becomes an unconditional liability (time draft) of the Bank and is therefore recognised as a financial liability in the consolidated statement of financial position with a corresponding contractual right of reimbursement from the customer recognised as a financial asset.

3.21 Collateral repossessed

The Bank acquires collaterals in settlement of certain loans and advances. These collaterals are recognised at fair value on the date of acquisition. Subsequent fair value adjustments on these acquired collaterals are included in the consolidated income statement in the period in which these gains or losses arise.

3.22 Investment properties

Investment property is property held either to earn rental income or for capital appreciation or both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes. Investment property is reflected at valuation based on fair value at the statement of financial position date. Refer note 3.15 for fair valuation policy.

The fair value is determined on a periodic basis by independent professional valuers. Fair value adjustments on investment property are included in the consolidated income statement in the period in which these gains or losses arise.

Investment properties under development that are being constructed or developed for future use as investment property are measured initially at cost including all direct costs attributable to the design and construction of the property including related staff costs. Subsequent to initial recognition, investment properties under development are measured at fair value. Gains and losses arising from changes in the fair value of investment property under development is included in the consolidated income statement in the period in which they arise.

An investment property is derecognised upon disposal or when the investment property and investment property under development are permanently withdrawn from use and no future economic benefits are expected from the disposal. Any gain or loss arising on derecognition of the property (calculated as the difference between net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the period in which the property is derecognised.

3.23 Property and equipment

Property and equipment are stated at cost less accumulated depreciation and impairment loss, if any. Cost includes expenditure that is directly attributable to the acquisition of the asset.

Depreciation is charged to the consolidated income statement so as to write off the depreciable amount of property and equipment over their estimated useful lives using the straight-line method. The depreciable amount is the cost of an asset less its residual value. Land is not depreciated.

Estimated useful lives are as follows:	
Freehold properties	15 to 40 years
Leasehold and freehold improvements	7 to 10 years
Furniture, equipment and vehicles	3 to 5 years
Computer equipment, software and accessories	4 to 10 years

Changes in the expected useful life are accounted for by changing the depreciation period or method, as appropriate, and treated as changes in accounting estimates.

Property and equipment are derecognised on disposal or when no future economic benefits are expected from its use. Gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sales proceeds and the carrying amount of the asset at that date and is recognised in the consolidated income statement.

3.24 Capital work in progress

Capital work in progress is stated at cost. When the asset is ready for use, capital work in progress is transferred to the appropriate property and equipment category and depreciated in accordance with the Group's policies.

3.25 Borrowing costs

Borrowing costs directly attributable to the acquisition or construction of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use.

All other borrowing costs are recognised in the consolidated income statement in the period in which they are incurred.

3.26 Intangible assets

An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Group. Intangible assets acquired separately or in a business combination (other than goodwill) are measured on initial recognition at fair value and subsequently at cost less accumulated amortisation and impairment loss.

The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite

lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and treated as changes in accounting estimates and accounted for on a prospective basis. The amortisation expense on intangible assets with finite lives is recognised in the consolidated income statement.

Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

Estimated useful lives are as follows:

Trade mark and license	Indefinite life
Egypt banking license	Indefinite life
Customer relationships	3 to 6 years
Core deposit intangible	4.5 to 7 years

An intangible asset is derecognised on disposal or when no future economic benefits are expected from use. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in consolidated income statement when the asset is derecognised.

3.27 Impairment of non-financial assets

At each consolidated statement of financial position date, the Group reviews the carrying amounts of its non-financial assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the assets is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised in the consolidated income statement, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset (cash-generating unit) is increased to the revised estimate of its recoverable amount, such that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (cash-generating unit) in prior years. A reversal of an impairment loss is recognised in the consolidated income statement, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

3.28 Employee benefits

(i) Employees' end of service benefits

(a) Defined benefit plan

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the statement of financial position in respect of defined benefit gratuity plans is the present value of the defined benefit obligation at the end of the reporting period together with adjustments for unrecognised past-service costs. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension obligation.

Past-service costs are recognised immediately in income statement, unless the changes to the gratuity plan are conditional on the employees remaining in service for a specified period of time (the vesting period). In this case, the past-service costs are amortised on a straight-line basis over the vesting period.

Remeasurements of the net defined benefit liability, which comprise actuarial gains and losses, are recognised immediately in other comprehensive income. Actuarial gains and losses comprise experience adjustments (the effects of differences between the previous actuarial assumptions and what has actually occurred), as well as the effects of changes in actuarial assumptions.

The Group provides end of service benefits for its expatriate employees. The entitlement to these benefits is based upon the employees' length of service and completion of a minimum service period. The expected costs of these benefits are accrued over the period of employment.

(b) Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an employee benefit expense in consolidated income statement in the periods during which services are rendered by employees.

Pension contributions are made by the Group to the Abu Dhabi Retirement Pensions and Benefits Fund for UAE citizens in accordance with UAE Federal Law No. 7 of 1999 and to respective pension authorities for other employees including GCC Nationals as per applicable laws.

(ii) Termination benefits

Termination benefits are recognised as an expense when the Group is committed demonstrably, without realistic possibility of withdrawal, to a formal detailed plan either to terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits for voluntary redundancies are recognised if the Group has made an offer of voluntary redundancy, it is probable that the offer will be accepted, and the number of acceptances can be estimated reliably. If benefits are payable more than 12 months after the reporting date, then they are discounted to their present value.

(iii) Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(iv) Employees' incentive plan shares

The cost of the equity-settled share-based payments is expensed over the vesting period, based on the Group's estimate of equity instruments that will eventually vest. At the end of each reporting period, the Group revises its estimate of the number of equity instruments expected to vest. The impact of the revision of the original estimates, if any, is recognised in the consolidated income statement over the remaining vesting period, with a corresponding adjustment to the employees' incentive plan reserve.

Where the terms of an equity-settled award are modified, the minimum expense recognised is the expense as if the terms had not been modified. An additional expense is recognised for any modification which increases the total fair value of the share-based payment arrangement or is otherwise beneficial to the employee as measured at the date of modification.

Where an equity-settled award is cancelled, it is treated as if it had vested on the date of cancellation, and any expense not yet recognised for the award is recognised immediately. This includes any award where non-vesting conditions within the control of either the entity or the counterparty are not met. However, if a new award is substituted for the cancelled award, and designated as a replacement award on the date that it is granted, the cancelled and new awards are treated as if they were a modification of the original award, as described in the previous paragraph.

The dilutive effect of outstanding incentive plan shares is reflected in the computation of diluted earnings per share (Note 34).

3.29 Taxation

Provision is made for taxes at rates enacted or substantively enacted as at statement of financial position date on taxable profits of overseas branches and subsidiaries in accordance with the fiscal regulations of the respective countries in which the Group operates.

On December 9, 2022, the UAE Ministry of Finance released the Federal Decree-Law No. 47 of 2022 on the Taxation of Corporations and Businesses (the Law) to enact a Federal corporate tax (CT) regime in the UAE. The CT regime will become effective for accounting periods beginning on or after June 1, 2023.

A rate of 9% will apply to taxable income exceeding a particular threshold to be prescribed by way of a Cabinet Decision (expected to be AED 375,000 based on information released by the Ministry of Finance), a rate of 0% will apply to taxable income not exceeding this threshold. In addition, there are several other decisions that are yet to be finalized by way of a Cabinet Decision that are significant in order for entities to determine their tax status and taxable income. Therefore, pending such important decisions, the Group has considered that the Law, as it currently stands, is not substantively enacted as at December 31, 2022 from the perspective of IAS 12 - Income Taxes. The Group shall continue to monitor the timing of the issuance of these critical Cabinet Decisions to determine their tax status and the application of IAS 12 - Income Taxes.

The Group is currently in the process of assessing the possible impact on the consolidated financial statements, both from current and deferred tax perspective, once the Law becomes substantively enacted.

3.30 Segment reporting

A segment is a distinguishable component of the Group that is engaged either in providing products or services (business segment), or in products or services within a particular economic environment (geographical segment), which is subject to risks and rewards that are different from those of other segments.

Refer note 39 on business segment reporting.

3.31 Fiduciary assets

The Group provides trust and other fiduciary services that result in the holding or investing of assets on behalf of its clients. Assets held in fiduciary capacity, unless recognition criteria is met, are not reported in the financial statements, as they are not assets of the Group.

3.32 Provisions and contingent liabilities

Provisions are recognised when the Group has a present legal or constructive obligation as a result of past events and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows.

Provisions for onerous contracts are recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting its obligation under the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established, the Group recognises any impairment loss on the assets associated with that contract.

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognised as an asset only if it is virtually certain that reimbursement will be received and the amount can be measured reliably.

Contingent liabilities, which include certain guarantees and letters of credit, are possible obligations that arise from past events whose existence will be confirmed only by the occurrence, or non-occurrence, of one or more uncertain future events not wholly within the Group's control; or are present obligations that have arisen from past events but are not recognised because it is not probable that settlement will require outflow of economic benefits, or because the amount of the obligations cannot be reliably measured. Contingent liabilities are not recognised in the consolidated financial statements but are disclosed in the notes to the consolidated financial statements, unless they are remote.

3.33 Revenue and expense recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

(i) Interest income and expense

Interest income and expense for all financial instruments except for those classified as held for trading or those measured or designated at fair value through profit or loss (FVPTL) are recognised in "net interest income" as "interest income" and "interest expense" in the profit or loss account using the effective interest method. Interest on financial instruments classified as held for trading or those measured or designated at FVTPL is recognised in "Net gains from financial assets at fair value through profit or loss" under "Net trading income".

The effective interest rate (EIR) is the rate that exactly discounts estimated future cash flows of the financial instrument through the expected life of the financial instrument or, where appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability. The future cash flows are estimated taking into account all the contractual terms of the instrument. The calculation of the EIR includes all fees and points paid or received between parties to the contract that are incremental and directly attributable to the specific lending arrangement, transaction costs, and all other premiums or discounts. For financial assets at FVTPL transaction costs are recognised in profit or loss at initial recognition.

(ii) Dividend income

Dividend income is recognised on the ex-dividend date when the Group's right to receive the payment is established.

(iii) Fee and commission income

The Group earns fee and commission income from a diverse range of services it provides to its customers. Fee income can be divided into the following two categories:

(a) Fee income earned from services that are provided over a certain period of time

Fees earned for the provision of services over a period of time are accrued over that period. These fees include commission income and asset management, custody and other management and advisory fees.

Loan commitment fees for loans that are likely to be drawn down and other credit related fees are deferred (together with any incremental costs) and recognised as an adjustment to the effective interest rate on the loan. When it is unlikely that a loan will be drawn down, the loan commitment fees are recognised over the commitment period on a straight-line basis.

(b) Fee income from providing transaction services

Fees arising from negotiating or participating in the negotiation of a transaction for a third party, such as the arrangement of the acquisition of shares or other securities or the purchase or sale of businesses, are recognised on completion of the underlying transaction. Fees or components of fees that are linked to a certain performance are recognised after fulfilling the corresponding criteria.

3.34 Islamic financing

The Group engages in Shari'ah compliant Islamic banking activities through various Islamic instruments such as below Islamic products:

Murabaha financing

A sale contract whereby the Group sells to a customer commodities and other assets at an agreed upon profit mark up on cost. The Group purchases the assets based on a promise received from customer to buy the item purchased according to specific terms and conditions. Profit from Murabaha is quantifiable at the commencement of the transaction. Such income is recognised as it accrues over the period of the contract on effective profit rate method on the balance outstanding.

Ijara financing

An agreement whereby the Group (lessor) leases or constructs an asset based on the customer's (lessee) request and promise to lease the assets for a specific period against certain rent instalments. Ijara could end in transferring the ownership of the asset to the lessee at the end of the lease period. Also, the Group transfers substantially all the risks and rewards related to the ownership of the leased asset to the lessee. Ijara income is recognised on an effective profit rate basis over the lease term.

Musharaka

An Islamic contract in which two parties (Islamic financial institution and its customer) pool their respective funds to form a partnership. In Musharaka both parties are involved in management of the business/partnership. Profit is shared on the basis of pre-agreed ratio and loss is shared in the ratio of capital contribution. It's not mandatory in Musharaka for all parties to participate in the management of business. Practically, this form of investment is used by the Islamic financial institution to finance its customers.

Salam

A sale contract where the customer (seller) undertakes to deliver/supply a specified tangible asset to the Group (buyer) at mutually agreed future date(s) in exchange for an advance price fully paid on the spot by the buyer.

Revenue on Salam financing is recognised on the effective profit rate basis over the period of the contract, based on the Salam capital outstanding.

Sukuk

Certificates of equal value representing undivided shares in ownership of tangible assets, usufructs and services or (in the ownership of) the assets of particular projects or special investment activity. It is asset-backed trust certificates evidencing ownership of an asset or its usufruct (earnings or benefits) and complies with the principle of Shari'ah.

Wakala

An agreement between the Group and customer whereby one party (Rab Al Mal) provides a certain sum of money to an agent (Wakil), who invests it according to specific conditions in return for a certain fee (a lump sum of money or a percentage of the amount invested). The agent is obliged to guarantee the invested amount in case of default, negligence or violation of any of the terms and conditions of the Wakala. The Group may be Wakil or Rab Al Mal depending on the nature of the transaction. Estimated income from Wakala is recognised on the effective profit rate basis over the period, adjusted by actual income when received. Losses are accounted for when incurred.

Mudaraba

A contract between the Group and a customer, whereby one party provides the funds (Rab Al Mal) and the other party (the Mudarib) invests the funds in a project or a particular activity and any profits generated are distributed between the parties according to the profit shares that were pre-agreed in the contract. The Mudarib would bear the loss in case of default, negligence or violation of any of the terms and conditions of the Mudaraba, otherwise, losses are borne by the Rab Al Mal. Income is recognised based on expected results adjusted for actual results on distribution by the Mudarib, whereas if the Group is the Rab Al Mal the losses are charged to the Group's consolidated income statement when incurred.

Profit distribution mechanism

Islamic deposits are invested and managed in accordance with Shari'ah requirements through Mudaraba pool and profit is distributed in accordance with the Shari'ah approved profit distribution policy. To secure competitive return to the depositors, below profit smoothing techniques are used by the Group.

- Profit equalisation reserve (PER) represents the amounts appropriated out of the profits of Islamic banking division, before allocating the Mudarib share, in order to maintain a certain level of return on investments for

all investment account holders and other investors in the common Mudaraba pool. This reserve is recognised under Equity.

- Investment risk reserve (IRR) represents a portion of the depositors' share of profits of Islamic banking division set aside as a reserve. This reserve is utilised to pay to Mudaraba depositors to maintain certain level of return on their deposits with Group in case of circumstances impacting the return adversely, upon the approval of the Group's Internal Shari'ah Supervision Committee ("ISSC"). This reserve is reported alongwith Mudaraba deposits from customers.

4. Critical accounting judgements and key sources of estimation uncertainty

The reported results of the Group are sensitive to the accounting policies, assumptions and estimates that underlie the preparation of these consolidated financial statements. IFRS requires the Management, in preparing the Group's consolidated financial statements, to select suitable accounting policies, apply them consistently and make judgements and estimates that are reasonable and prudent. In the absence of an applicable standard or interpretation, IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors, requires Management to develop and apply an accounting policy that results in relevant and reliable information in the light of the requirements and guidance in IFRS dealing with similar and related issues and the IASB's Framework for the Preparation and Presentation of Financial Statements. The judgements and assumptions involved in the Group's accounting policies that are considered by the Board of Directors (the "Board") to be the most important to the portrayal of its financial condition are discussed below. The use of estimates, assumptions or models that differ from those adopted by the Group would affect its reported results.

4.1 Critical judgements in applying the changes in Group's accounting policies

The following are the critical judgements, apart from those involving estimations, that the management has made in the process of applying the Group's accounting policies and that have the most significant effect on the amounts recognised in the consolidated financial statements:

Business model assessment

Classification and measurement of financial assets depends on the results of the SPPI and the business model test. The Group determines the business model at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. This assessment includes judgement reflecting all relevant evidence including how the performance of the assets is evaluated and their performance measured, the risks that affect the performance of the assets and how these are managed and how the managers of the assets are compensated. The Group monitors financial assets measured at amortised cost or fair value through other comprehensive income that are derecognised prior to their maturity to understand the reason for their disposal and whether the reasons are consistent with the objective of the business for which the assets were held. Monitoring is part of the Group's continuous assessment of whether the business model for which the remaining financial assets are held continues to be appropriate and if it is not appropriate whether there has been a change in business model and so a prospective change to the classification of those assets.

Impairment losses

- Significant increase of credit risk: ECLs are measured as an allowance equal to 12-month ECL for stage 1 assets, or lifetime ECL for stage 2 or stage 3 assets. An asset moves to stage 2 when its credit risk has increased significantly since initial recognition. IFRS 9 does not define what constitutes a significant increase in credit risk. In assessing whether the credit risk of an asset has significantly increased the Group takes into account qualitative and quantitative reasonable and supportable forward-looking information.
- Establishing groups of assets with similar credit risk characteristics: When ECLs are measured on a collective basis, the financial instruments are grouped on the basis of shared risk characteristics (e.g. instrument type, credit risk grade, collateral type, date of initial recognition, remaining term to maturity, industry, geographic location of the borrower, etc.). The Group monitors the appropriateness of the credit risk characteristics on an ongoing basis to assess whether they continue to be similar. This is required in order to ensure that should credit risk characteristics change there is appropriate re-segmentation of the assets. This may result in new portfolios being created or assets moving to an existing portfolio that better reflect the similar credit risk characteristics of that group of assets. Re-segmentation of portfolios and movement between portfolios is more common when there is a significant increase in credit risk (or when that significant increase reverses) and so assets move from 12-month to lifetime ECLs, or vice versa, but it can also occur within portfolios that continue to be measured on the same basis of 12-month or lifetime ECLs but the amount of ECL changes because the credit risk of the portfolios differ.
- Models and assumptions used: The Group uses various models and assumptions in measuring ECL of financial assets. Judgement is applied in identifying the most appropriate model for each type of asset, as well as for determining the assumptions used in these models, including assumptions that relate to key drivers of credit risk. Refer note 43 for more details on ECL.

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Valuation of financial instruments

The best evidence of fair value is a quoted price for the instrument being measured in an actively traded market. In the event that the market for a financial instrument is not active, a valuation technique is used. The majority of valuation techniques employ only observable market data and so the reliability of the fair value measurement is high. However, certain financial instruments are valued on the basis of valuation techniques that include one or more significant market inputs that are unobservable. Valuation techniques that rely to a greater extent on unobservable inputs require a higher level of management judgement to calculate a fair value than those based wholly on observable inputs.

Valuation techniques used to calculate fair values are discussed in note 41. The main assumptions and estimates which management consider when applying a model with valuation techniques are:

- the likelihood and expected timing of future cash flows on the instrument. These cash flows are estimated based on the terms of the instrument, and judgement may be required when the ability of the counterparty to service the instrument in accordance with the contractual terms is in doubt. Future cash flows may be sensitive to changes in market rates;
- selecting an appropriate discount rate for the instrument. The determination of this rate is based on an assessment of what a market participant would regard as the appropriate spread of the rate for the instrument over the appropriate risk-free rate; and
- when applying a model with unobservable inputs, estimates are made to reflect uncertainties in fair values resulting from a lack of market data inputs, for example, as a result of illiquidity in the market. For these instruments, the fair value measurement is less reliable. Inputs into valuations based on unobservable data are inherently uncertain because there is little or no current market data available from which to determine the level at which an arm's length transaction would occur under normal business conditions. However, in most cases there is some market data available on which to base a determination of fair value, for example historical data, and the fair values of most financial instruments are based on some market observable inputs even when unobservable inputs are significant.

Fair valuation of investment properties

The fair value of investment properties is based on the highest and best use of the properties, which is their current use. The fair valuation of the investment properties is carried out by independent valuers based on models whose inputs are observable in an active market such as market conditions, market prices, future rental income, etc.

The fair value movements on investment properties are disclosed in more detail in note 13.

Consolidation of Funds

The changes introduced by IFRS 10 'Consolidated Financial Statements' require an investor to consolidate an investee when it controls the investee. The investor controls an investee when it is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The new definition of control requires the Group to exercise significant judgement on an ongoing basis to determine which entities are controlled, and therefore are required to be consolidated.

Lease accounting under IFRS 16

The following are the critical judgements in the application of IFRS 16, apart from those involving estimations, that the management has made in the process of applying the Group's accounting policies and that have the most significant effect on the amounts recognised in the consolidated financial statements:

- identifying whether a contract (or part of a contract) includes a lease;
- determining whether it is reasonably certain that an extension or termination option will be exercised;
- classification of lease arrangements (when the entity is a lessor).

Tax positions

The income tax positions taken are considered by the Group to be supportable and are intended to withstand challenge from tax authorities. However, it is acknowledged that these positions are uncertain and include interpretations of complex tax laws which could be disputed by tax authorities. Evolving insights, for example following final tax assessments for prior years, can result in additional tax burdens or benefits, and new tax risks may arise.

The Group judges these positions on their technical merits on a regular basis using all the information available (legislation, case law, regulations, established practice, authoritative doctrine as well as the current state of discussions with tax authorities, where appropriate). A liability is recorded for each item that is not probable of being sustained on examination by the tax authorities, based on all relevant information. The liability is calculated taking into account the most likely outcome or the expected value, depending on which is thought to give a better prediction of the resolution of each uncertain tax position in view of reflecting the likelihood of an adjustment being recognised upon examination. These estimates are based on facts and circumstances existing

at the end of the reporting period. The tax liability and income tax expense include expected penalties and late payment interests arising from tax disputes.

Management has used its best estimate of the correct value of liability to recognise in each case, which includes a judgement on the length of the future time period to use in such assessments.

4.2 Key sources of estimation uncertainty

The following are key estimations that the management has used in the process of applying the Group's accounting policies and that have the most significant effect on the amounts recognised in the Group's consolidated financial statements:

Expected credit losses

- Establishing the number and relative weightings of forward-looking scenarios for each type of product/ market and determining the forward-looking information relevant to each scenario: When measuring ECL the Group uses reasonable and supportable forward-looking information, which is based on assumptions for the future movement of different economic drivers and how these drivers will affect one another.
- Exposure at default (EAD) - The EAD over lifetime of a financial asset is modelled taking into account expected repayment profile. We apply specific credit conversion factors (CCFs) in order to calculate an EAD value. Conceptually, the EAD is defined as expected amount of credit exposure of counter party at the time of default. In the instance where a transaction involves an unfunded exposure, CCF models are applied in order to estimate amount of unfunded exposures that are drawn down in case of default. The calibration of such parameters (CCFs) are based on internal historical data and consider counterparty and product type specifics.
- Probability of default (PD) constitutes a key input in measuring ECL. PD is an estimate of the likelihood of default over a given time horizon, the calculation of which includes historical data, assumptions and expectations of future conditions.
- Loss given default (LGD) is an estimate of the loss arising on default. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, taking into account cash flows from collateral and integral credit enhancements.

Impairment of goodwill and intangible assets

Goodwill is tested at least annually for impairment, along with the intangible assets and other assets of the Group's cash-generating units.

Determining whether goodwill or intangible assets are impaired requires an estimation of the value in use of the business being tested for impairment and of the cash-generating units to which these assets have been allocated. The value in use calculation requires the entity to estimate the future cash flows expected to arise from the cash-generating unit, taking into account the achievability of long-term business plans and macroeconomic assumptions underlying the valuation process, and a suitable discount rate in order to calculate present value.

Lease accounting under IFRS 16

The following are key estimations that the management has used in the process of applying the Group's accounting policies for IFRS 16 and that have the most significant effect on the amounts recognised in the Group's consolidated financial statements:

- determination of the appropriate rate to discount the lease payments;
- assessment of whether a right-of-use asset is impaired.

5. IBOR Reform Phase 2

IBOR reform Phase 2 includes a number of reliefs and additional disclosures. The reliefs apply upon the transition of a financial instrument from an IBOR to a risk-free-rate (RFR). IBOR reform Phase 2 provides temporary reliefs that allow the Group's hedging relationships to continue upon the replacement of an existing interest rate benchmark with an RFR. The reliefs require the Group to amend hedge designations and hedge documentation. This includes redefining the hedged risk to reference an RFR, redefining the description of the hedging instrument and / or the hedged item to reference the RFR and amending the method for assessing hedge effectiveness. Updates to the hedging documentation must be made by the end of the reporting period in which a replacement takes place. The Group may designate an interest rate as a non-contractually specified, hedged risk component of changes in the fair value or cash flows of a hedged item, provided the interest rate risk component is separately identifiable, e.g., it is an established benchmark that is widely used in the market to price loans and derivatives.

For new RFRs that are not yet an established benchmark, relief is provided from this requirement provided the Group reasonably expects the RFR to become separately identifiable within 24 months. For hedges of groups of items, the Group is required to transfer to subgroups those instruments that reference RFRs. Any hedging relationships that prior to application of IBOR reform Phase 2, have been discontinued solely due to IBOR reform and meet the qualifying criteria for hedge accounting when IBOR reform Phase 2 is applied, must be reinstated upon initial application.

Impact on accounting policies and judgements

Recognition of interest income

IBOR reform Phase 2 allows as a practical expedient for changes to the basis for determining contractual cash flows to be treated as changes to a floating rate of interest, provided certain conditions are met. The conditions include that the change is necessary as a direct consequence of IBOR reform and that the transition takes place on an economically equivalent basis. For changes that are not required by IBOR reform, the Group applies judgement to determine whether they result in the financial instrument being derecognised or adjust its carrying value. In making this assessment, the Group considers the extent of any changes to the contractual cash flows as a result of the transition and the factors that have given rise to the changes, with consideration of both quantitative and qualitative factors.

SPPI Test

In the context of IBOR reform, as financial assets transition from IBOR to RFRs, if a change is substantial, the old instrument will be derecognised and a new one recognised. The Group will need to apply judgement to determine whether following transition, the asset's amended contractual cash flows continue to represent solely payments of principal and interest (SPPI). Also, the Group must assess when financial instruments transition, whether the new basis for determining the contractual cash flows is economically equivalent to the previous basis.

Derecognition of financial assets and liabilities

In the context of IBOR reform, the Group's assessment of whether a change to an amortised cost financial instrument is substantial, is made after applying the practical expedient introduced by IBOR reform Phase 2. This requires the transition from an IBOR to an RFR to be treated as a change to a floating interest rate. The Group derecognises financial assets and financial liabilities if there has been a substantial modification of their terms and conditions. In the context of IBOR reform, certain financial instruments have already been amended or will be amended during coming years as they transition from IBORs to RFRs. In addition to the interest rate of a financial instrument changing, there may be other changes made to the terms of the financial instrument at the time of transition. For financial instruments measured at amortised cost, the Group first applies the practical expedient to reflect the change in the referenced interest rate from an IBOR to a RFR.

Second, for any changes not covered by the practical expedient, the Group applies judgement to assess whether the changes are substantial and if they are, the financial instrument is derecognised and a new financial instrument is recognised. If the changes are not substantial, the Group adjusts the gross carrying amount of the financial instrument by the present value of the changes not covered by the practical expedient, discounted using the revised EIR.

Hedge accounting

IBOR reform Phase 2 provides temporary reliefs that allow the Group's hedging relationships to continue upon the replacement of an existing interest rate benchmark with an RFR. The reliefs require the Group to amend the hedge designations and hedge documentation for the hedging derivatives disclosed in this note.

The Group applies temporary reliefs which enable its hedge accounting to continue during the period of uncertainty, before the replacement of an existing interest rate benchmark with an alternative nearly risk-free interest rate. For the purpose of determining whether a forecast transaction is highly probable, the reliefs require to be assumed that the IBOR on which the hedged cash flows are based is not altered as a result of IBOR reform. Under one of the reliefs, the Group may elect for individual RFRs designated as hedging the fair value or cash flows of the hedged item for changes due to a non-contractually specified component of interest rate risk, to be deemed as meeting the requirement to be separately identifiable. For each RFR to which the relief has been applied, the Group judges that both the volume and market liquidity of financial instruments that reference the RFR and are priced using the RFR will increase during the 24-month period with the result that the hedged RFR risk component will become separately identifiable in the change in fair value or cash flows of the hedged item.

Impact on interest rate risk management

Following the decision by global regulators to phase out IBORs and replace them with alternative reference rates, the Group has established a project to manage the transition for any of its contracts that could be affected. The project is sponsored by the CRO and is being led by senior representatives from functions across the Group including the client facing teams, Legal, Finance, Operations and Technology.

The Group is confident that it has the operational capability to process the large volume of transitions to RFRs that will be necessary during coming years for those interest rate benchmarks that will cease to be available mainly USD Libor which will be replaced by SOFR (Secured Overnight Financing Rate). IBOR reform exposes the Group to various risks. These risks include but are not limited to the following:

- Conduct risk arising from discussions with clients and market counterparties due to the amendments required to existing contracts necessary to effect IBOR reform.
- Financial risk to the Group and its clients that markets are disrupted due to IBOR reform giving rise to financial losses.
- Pricing risk from the potential lack of market information if liquidity in IBORs reduces and RFRs are illiquid and unobservable.
- Operational risk arising from changes to the Group's IT systems and processes, also the risk of payments being disrupted if an IBOR ceases to be available.
- Accounting risk if the Group's hedging relationships fail and from unrepresentative income statement volatility as financial instruments transition to RFRs.
- Basis risk as assets and liabilities transfer from Libor to SOFR will happen at varying rates. In addition, the development of term SOFR has the potential of exasperating this basis risk.

The table below shows the Group's exposure to significant IBOR subject to reform that have yet to transition to RFRs. These exposures will contractually remain outstanding until the IBOR ceases and will therefore transition in future. The table excludes exposures to IBOR that will expire before transition is required.

As at December 31, 2022	Non-derivative financial assets Carrying value AED'000	Non-derivative financial liabilities Carrying value AED'000	Hedging derivatives Nominal amount AED'000	Other derivatives Nominal amount AED'000
USD Libor 1 month	**6,176,445**	**1,347,748**	**242,798**	**3,211,672**
USD Libor 3 months	**34,684,842**	**8,363,014**	**51,919,102**	**175,117,415**
USD Libor 6 months	**3,398,196**	**202,333**	**806,933**	**7,040,061**
USD Libor 12 months	**616,449**	**-**	**-**	**-**

6. Cash and balances with central banks, net

	As at December 31 2022 AED'000	As at December 31 2021 AED'000
Cash on hand	**2,403,467**	2,340,940
Balances with central banks(*)	**22,058,381**	17,964,095
Reserves maintained with central banks	**13,604,807**	12,211,940
Certificate of deposits with central banks	**1,364,227**	1,229,719
Gross cash and balances with central banks	**39,430,882**	33,746,694
Less: Allowance for impairment (Note 43.3)	**(1,574)**	(492)
Total cash and balances with central banks, net	**39,429,308**	33,746,202
The geographical concentration is as follows:		
Within the UAE	**36,380,076**	31,637,652
Outside the UAE	**3,050,806**	2,109,042
	39,430,882	33,746,694
Less: Allowance for impairment (Note 43.3)	**(1,574)**	(492)
	39,429,308	33,746,202

(*)includes overnight deposit amounting to AED 21,200,000 thousand placed with CBUAE at 4.40% p.a. (December 31, 2021 - AED 16,400,000 thousand placed with CBUAE at 0.15% p.a.)

Reserves maintained with central banks represent deposits with the central banks at stipulated percentages of its demand, savings, time and other deposits. As per CBUAE regulations, subject to meeting reserve requirements over 14 days period, the Bank is allowed to draw their balances held in reserve account maintained with CBUAE. These reserves are available for day-to-day operations only under certain specified conditions.

7. Deposits and balances due from banks, net

	As at December 31 2022 AED'000	As at December 31 2021 AED'000
Nostro balances	**1,514,892**	431,749
Margin deposits	**3,212,865**	1,188,560
Time deposits	**1,726,606**	3,587,111
Reverse repo placements	**584,416**	-
Murabaha placements	**1,864,362**	555,501
Loans and advances to banks	**26,563,554**	20,948,828
Gross deposits and balances due from banks	**35,466,695**	26,711,749
Less: Allowance for impairment (Note 43.3)	**(127,493)**	(41,606)
Total deposits and balances due from banks, net	**35,339,202**	26,670,143
The geographical concentration is as follows:		
Within the UAE	**1,987,621**	4,465,396
Outside the UAE	**33,479,074**	22,246,353
	35,466,695	26,711,749
Less: Allowance for impairment (Note 43.3)	**(127,493)**	(41,606)
	35,339,202	26,670,143

As at December 31, 2022, the Group received bonds with fair value of AED 585,236 thousand (December 31, 2021 - AED nil) under the reverse repurchase agreement.

8. Financial assets at fair value through profit or loss

	As at December 31 2022 AED'000	As at December 31 2021 AED'000
Debt securities(*)	**1,471,930**	542,455
Equity securities	**-**	42,250
Structured funding arrangements	**3,170,333**	1,122,062
Total financial assets at fair value through profit or loss	**4,642,263**	1,706,767
The geographical concentration is as follows:		
Within the UAE	**733,566**	571,837
Outside the UAE	**3,908,697**	1,134,930
	4,642,263	1,706,767

(*)includes Islamic sukuk amounting to AED 9,060 thousand (December 31, 2021 - AED nil)

The Group entered into structured funding arrangements where the funding was provided against certain reference assets received under the arrangement and held by the Group. The risk and rewards relating to these reference assets remain with the counterparty. The fair value of these reference assets amounting to AED 4,624,495 thousand (December 31, 2021 - AED 1,717,844 thousand), of this AED 433,762 thousand (December 31, 2021 - AED nil) were posted against Repo borrowings. Further, the Group also received net cash collateral of AED 232,053 thousand (December 31, 2021 - AED nil) against this structuring arrangement. The structuring arrangement and reference assets received are governed under International Swaps and Derivatives Association (ISDA) agreements.

Refer note 11 for loans and advances at fair value through profit or loss.

9. Derivative financial instruments

In the ordinary course of business, the Group enters into various types of derivative transactions that are affected by variables in the underlying instruments.

A derivative is a financial instrument or other contract with all three of the following characteristics:

(a) its value changes in response to the change in a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index, or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract (sometimes called the "underlying");

(b) it requires no initial net investment or an initial net investment that is smaller than would be required for other types of contracts that would be expected to have a similar response to changes in market factors; and

(c) it is settled at a future date.

Derivative financial instruments which the Group enters into includes forward foreign exchange contracts, interest rate futures, forward rate agreements, commodity swaps, interest rate swaps and currency and interest rate options.

The Group uses the following derivative financial instruments for hedging and trading purposes.

Forward and Futures transactions

Currency forwards represent commitments to purchase foreign and domestic currencies, including non-deliverable forward transactions (i.e. the transaction is net settled). Foreign currency and interest rate futures are contractual obligations to receive or pay a net amount based on changes in currency rates or interest rates or to buy or sell foreign currency or a financial instrument on a future date at a specified price established in an organised financial market. The credit risk for futures contracts is negligible as they are collateralised by cash or marketable securities and changes in the futures' contract value are settled daily with the broker. Forward rate agreements are individually negotiated interest rate futures that call for a cash settlement at a future date for the difference between a contracted rate of interest and the current market rate based on a notional principal amount.

Swap transactions

Currency and interest rate swaps are commitments to exchange one set of cash flows for another. Swaps result in an economic exchange of currencies or interest rates (for example: fixed rate for floating rate) or a combination of all these (for example: cross-currency interest rate swaps). No exchange of principal takes place except for certain cross currency interest rate swaps. The Group's credit risk represents the potential loss if counterparties fail to fulfill their obligation. This risk is monitored on an ongoing basis through market risk limits on exposures and credit risk assessment of counterparties using the same techniques as those of lending activities.

Option transactions

Foreign currency and interest rate options are contractual agreements under which the seller (writer) grants the purchaser (holder) the right, but not the obligation, either to buy (a call option) or sell (a put option) at or by a set date or during a set period, a specific amount of a foreign currency or a specific rate of interest or any financial instrument at a predetermined price. The seller receives a premium from the purchaser in consideration for the assumption of foreign exchange or interest rate risk. Options may be either exchange-traded or negotiated between the Group and a customer over the counter (OTC).

Derivative contracts can be exchange traded or OTC. The Group values exchange traded derivatives using inputs at market-clearing levels. OTC derivatives are valued using market based inputs or broker/dealer quotations. Where models are required, the Group uses a variety of inputs, including contractual terms, market prices, market volatilities, yield curves and other reference market data.

Fair value measurement models

For OTC derivatives that trade in liquid markets such as generic forwards, swaps and options, model inputs can generally be verified and model selection conforms to market practice. Certain OTC derivatives trade in less liquid markets with limited pricing information and the determination of fair value for these derivatives is inherently more difficult. Subsequent to initial recognition, the Group only updates valuation inputs when corroborated by evidence such as similar market transactions, third-party pricing services and/or broker dealer quotations or other empirical market data. In the absence of such evidence, Management's best estimates are used.

Derivatives held or issued for trading purposes

The Group's trading activities are predominantly related to offering hedging solutions to customers at competitive prices in order to enable them to transfer, modify or reduce current and expected risks. The Group also manages risks taken as a result of client transactions or initiates positions with the expectation of profiting from favourable movement in prices, rates or indices.

Derivatives held or issued for hedging purposes

The Group uses derivative financial instruments for hedging purposes as part of its asset and liability management activities in order to reduce its own exposure to fluctuations in currency and interest rates. The Group uses forward foreign exchange contracts, cross currency interest rate swaps and interest rate swaps as hedging instruments to hedge currency rate and interest rate risks. The Group uses foreign currency derivatives to hedge its foreign currency risk on its net investment in foreign operations. In all such cases, the hedging relationship and objectives including details of the hedged item and hedging instrument are formally documented and the transactions are accounted for based on the type of hedge.

The table below shows the positive (assets) and negative (liabilities) fair values of derivative financial instruments.

	Fair values		
	Assets AED'000	Liabilities AED'000	Notional AED'000
As at December 31, 2022			
Derivatives held or issued for trading			
Foreign exchange derivatives	**972,852**	**1,006,404**	**299,249,313**
Interest rate and cross currency swaps	**7,626,322**	**7,170,296**	**184,666,357**
Interest rate and commodity options	**918,653**	**1,180,299**	**63,603,819**
Futures (exchange traded)	**10,525**	**9,510**	**7,212,196**
Commodity and energy swaps	**50,280**	**48,897**	**521,513**
Swaptions	**662,102**	**431,202**	**75,828,229**
Total derivatives held or issued for trading	**10,240,734**	**9,846,608**	**631,081,427**
Derivatives held as fair value hedges			
Interest rate and cross currency swaps	**4,111,504**	**6,188,272**	**120,122,804**
Derivatives held as cash flow hedges			
Interest rate and cross currency swaps	**446,858**	**133,401**	**14,403,967**
Forward foreign exchange contracts	**176,028**	**57,104**	**6,596,404**
Total derivatives held as cash flow hedges	**622,886**	**190,505**	**21,000,371**
Derivatives held as net investment hedges			
Foreign exchange derivatives	**207,414**	**-**	**969,650**
Total derivative financial instruments	**15,182,538**	**16,225,385**	**773,174,252**
As at December 31, 2021			
Derivatives held or issued for trading			
Foreign exchange derivatives	389,608	270,803	259,030,691
Interest rate and cross currency swaps	4,099,259	3,843,012	204,615,356
Interest rate and commodity options	480,517	396,789	62,995,505
Total return swap	5,976	-	724,610
Futures (exchange traded)	966	1,387	1,469,203
Commodity and energy swaps	39,307	38,208	355,897
Swaptions	284,929	201,139	72,731,314
Total derivatives held or issued for trading	5,300,562	4,751,338	601,922,576
Derivatives held as fair value hedges			
Interest rate and cross currency swaps	1,096,016	1,405,105	80,526,321
Derivatives held as cash flow hedges			
Interest rate and cross currency swaps	62,767	134,695	4,830,450
Forward foreign exchange contracts	28,676	268,216	11,676,637
Total derivatives held as cash flow hedges	91,443	402,911	16,507,087
Derivatives held as net investment hedges			
Foreign exchange derivatives	-	4,025	281,475
Total derivative financial instruments	6,488,021	6,563,379	699,237,459

The notional amounts indicate the volume of transactions and are neither indicative of the market risk nor credit risk. Refer note 45 for maturity profile of notional value of derivatives held for hedging purposes.

The net hedge ineffectiveness losses recognised in the consolidated income statement are as follows:

	2022 AED'000	2021 AED'000
Net change in the fair value of the hedged items attributable to risk hedged	**771,138**	398,697
Net change in the fair value of the hedging instruments	**(782,957)**	(403,266)
Net hedge ineffectiveness losses	**(11,819)**	(4,569)

The hedge ineffectiveness losses in 2022 and 2021 mainly pertains to borrowings.

The table below provides the Group's forecast of net undiscounted cash flows in respect of its cash flow hedges and the periods in which these cash flows are expected to impact consolidated income statement, excluding any hedging adjustment that may be applied.

Year	Less than 3 months AED'000	3 months to less than 1 year AED'000	1 year to less than 2 years AED'000	2 years to less than 5 years AED'000	More than 5 years AED'000	Total AED'000
2022	**230,282**	**304,239**	**161,286**	**451,737**	**1,175**	**1,148,719**
2021	(65,299)	(178,233)	(39,145)	127,479	6,662	(148,536)

As at December 31, 2022, the Group received cash collateral of AED 5,784,492 thousand (December 31, 2021 - AED 752,114 thousand) and bonds with fair value of AED 515,415 thousand (December 31, 2021 - AED 252,669 thousand) against positive fair value of derivative assets.

As at December 31, 2022, the Group placed cash collateral of AED 2,404,981 thousand (December 31, 2021 - AED 1,080,496 thousand) and bonds of AED 3,020,297 thousand (December 31, 2021 - AED 3,192,063 thousand) against the negative fair value of derivative liabilities. These collaterals are governed by collateral service agreements under International Swaps and Derivatives Association (ISDA) agreements.

10. Investment securities, net

	UAE AED'000	Other GCC(*) countries AED'000	Rest of the world AED'000	Total AED'000
As at December 31, 2022				
At fair value through other comprehensive income (FVTOCI)				
Quoted:				
Government securities	**10,935,448**	**8,121,358**	**16,946,221**	**36,003,027**
Bonds - Public sector	**5,644,936**	**2,127,066**	**2,176,692**	**9,948,694**
Bonds - Banks and financial institutions	**3,003,459**	**1,851,398**	**1,831,374**	**6,686,231**
Bonds - Corporate	**749,353**	**339,052**	**592,622**	**1,681,027**
Equities and funds(**)	**608,947**	**30,026**	**190,701**	**829,674**
Total quoted	**20,942,143**	**12,468,900**	**21,737,610**	**55,148,653**
Unquoted:				
Bonds - Banks and financial institutions	**-**	**548,532**	**-**	**548,532**
Equities and funds	**129,792**	**1,382**	**22,910**	**154,084**
Total unquoted	**129,792**	**549,914**	**22,910**	**702,616**
Total investment securities at fair value through other comprehensive income	**21,071,935**	**13,018,814**	**21,760,520**	**55,851,269**
At amortised cost				
Quoted:				
Government securities	**10,423,119**	**10,971,714**	**17,675,051**	**39,069,884**
Bonds - Public sector	**5,698,746**	**1,497,216**	**3,385,656**	**10,581,618**
Bonds - Banks and financial institutions	**1,291,260**	**425,132**	**1,783,731**	**3,500,123**
Bonds - Corporate	**2,759,047**	**61,501**	**214,109**	**3,034,657**
Total quoted	**20,172,172**	**12,955,563**	**23,058,547**	**56,186,282**
Less: Allowance for impairment (Note 43.3)	**(6,728)**	**(5,919)**	**(14,221)**	**(26,868)**
Total investment securities at amortised cost	**20,165,444**	**12,949,644**	**23,044,326**	**56,159,414**
Total investment securities, net	**41,237,379**	**25,968,458**	**44,804,846**	**112,010,683**

(*)Gulf Cooperation Council
(**)includes investments in perpetual bonds

	UAE AED'000	Other GCC countries AED'000	Rest of the world AED'000	Total AED'000
As at December 31, 2021				
At fair value through other comprehensive income (FVTOCI)				
Quoted:				
Government securities	15,448,001	13,574,703	11,110,925	40,133,629
Bonds - Public sector	7,738,714	2,756,645	5,231,215	15,726,574
Bonds - Banks and financial institutions	4,349,722	480,626	2,973,316	7,803,664
Bonds - Corporate	1,191,443	691,201	187,531	2,070,175
Equities and funds(*)	209,807	35,233	406,528	651,568
Total quoted	28,937,687	17,538,408	19,909,515	66,385,610
Unquoted:				
Equities and funds	137,496	1,375	25,598	164,469
Total investment securities at fair value through other comprehensive income	29,075,183	17,539,783	19,935,113	66,550,079
At amortised cost				
Quoted:				
Government securities	7,556,567	6,865,396	6,269,409	20,691,372
Bonds - Public sector	2,486,167	1,510,897	2,238,701	6,235,765
Bonds - Banks and financial institutions	191,801	18,230	533,945	743,976
Bonds - Corporate	2,253,339	38,696	19,774	2,311,809
Total quoted	12,487,874	8,433,219	9,061,829	29,982,922
Less: Allowance for impairment (Note 43.3)	(2,306)	(2,274)	(15,129)	(19,709)
Total investment securities at amortised cost	12,485,568	8,430,945	9,046,700	29,963,213
Total investment securities, net	41,560,751	25,970,728	28,981,813	96,513,292

(*)includes investments in perpetual bonds issued by other banks

For Islamic investing assets included in the above table, refer note 24.

As at December 31, 2022, the allowance for impairment on debt instruments designated at FVTOCI amounting to AED 69,616 thousand (December 31, 2021 - AED 107,651 thousand) (Note 43.3) is included in revaluation reserve of investments carried at FVTOCI.

The Group hedges certain fixed and floating rate investments securities amounting to AED 64,910,149 thousand (December 31, 2021 - AED 47,679,913 thousand) for interest rate and foreign currency risks through interest rate and currency swaps and designates these as fair value and cash flow hedges. The net positive fair value of these swaps as at December 31, 2022 was AED 4,173,486 thousand (December 31, 2021 - net negative fair value AED 994,544 thousand).

The Group entered into repurchase agreements whereby bonds were pledged and held by counterparties as collateral. The risks and rewards relating to the investments pledged remains with the Group. The bonds placed as collateral are governed under Global Master Repurchase Agreements (GMRA). The following table reflects the carrying value of these bonds and the associated financial liabilities:

	As at December 31, 2022		As at December 31, 2021	
	Carrying value of pledged securities(*) AED'000	Carrying value of associated liabilities AED'000	Carrying value of pledged securities AED'000	Carrying value of associated liabilities AED'000
Repurchase financing	**26,510,903**	**24,624,954**	23,554,252	21,008,821

(*)includes securities of AED 433,762 thousand received as collateral by the Group (Note 8)

Further, the Group pledged investment securities with fair value amounting to AED 3,965,022 thousand (December 31, 2021 - AED 3,535,307 thousand) as collateral against margin calls. The risks and rewards on these pledged investments securities remains with the Group.

11. Loans and advances to customers, net

	As at December 31 2022 AED'000	As at December 31 2021 AED'000
Overdrafts (retail and corporate)	**17,533,430**	8,403,787
Retail loans - mortgages	**12,738,042**	11,214,834
Retail loans - others	**32,405,769**	31,669,107
Corporate loans	**180,064,566**	184,602,615
Credit cards	**4,401,955**	4,127,291
Other facilities	**20,003,037**	15,095,043
Gross loans and advances to customers at amortised cost	**267,146,799**	255,112,677
Less: Allowance for impairment (Note 43.3)	**(11,758,002)**	(10,830,384)
Total loans and advances to customers at amortised cost, net	**255,388,797**	244,282,293
Loans and advances to customers at fair value through profit or loss	**3,104,073**	-
Total loans and advances to customers, net	**258,492,870**	244,282,293

For Islamic financing assets included in the above table, refer note 24.

The Group hedges certain fixed and floating rate loans and advances amounting to AED 242,798 thousand (December 31, 2021 - AED 294,912 thousand) for interest rate risk using interest rate swaps and designates these swaps as fair value and cash flow hedges, respectively. The net positive fair value of these swaps as at December 31, 2022 was AED 11,732 thousand (December 31, 2021 - net negative fair value of AED 7,091 thousand).

The Group entered into structured financing agreements whereby certain loans and advances to customers were transferred and held by counterparties. The risks and rewards relating to the loans transferred remains with the Group. The structured financing and loans transferred are governed under International Swaps and Derivatives Association (ISDA) agreements. The following table reflects the carrying value of these loans and the associated financial liabilities:

	As at December 31, 2022		As at December 31, 2021	
	Nominal value of pledged loans AED'000	Carrying value of associated liabilities AED'000	Nominal value of pledged loans AED'000	Carrying value of associated liabilities AED'000
Repurchase financing	**1,026,640**	**718,647**	1,101,900	771,330

As at December 31, 2022, the Group posted cash collateral against margin call of AED 1,947 thousand (December 31, 2021 - AED nil).

12. Investment in associates

	AED'000
As at January 1, 2021	255,868
Share in profit of associates	7,663
Dividend received from associates	(922)
As at December 31, 2021	**262,609**
Share in loss of associates	**(8,463)**
Dividend received from associates	**(1,621)**
As at December 31, 2022	**252,525**

Details of investment in associates as at December 31, 2022 are as follows:

Name of associate	Effective ownership interest 2022	Effective ownership interest 2021	Country of incorporation	Principal activities
Four N Property LLC	**35.00%**	35.00%	UAE	Residential facilities for lower income group.
Al Hilal Global Sukuk Fund	**19.37%**	11.82%	UAE	Investment activities.
Al Hilal GCC Equity Fund	**83.66%**	81.80%	UAE	Investment activities.
NMC Holdco SPV Ltd	**37.56%**	-	UAE	Healthcare services.
EL Fouadeya Development Company	**25.00%**	25.00%	Egypt	Real estate contracting services.

For balances and transactions with associates, refer note 37.

13. Investment properties

	AED'000
As at January 1, 2021	1,643,956
Additions during the year	42,400
Disposals during the year	(24,957)
Revaluation of investment properties	13,548
Impact of currency translation	7
As at December 31, 2021	**1,674,954**
Additions during the year	**6,105**
Disposals during the year	**(2,763)**
Revaluation of investment properties	**19,479**
Impact of currency translation	**(5,885)**
As at December 31, 2022	**1,691,890**

For the year 2022, net gain from investment properties include net loss of AED 337 thousand (2021: net loss of AED 2,078 thousand) on disposal of investment properties.

Additions during the year represents properties acquired on settlement of loans and advances and transferred from property and equipment. These being non-cash transactions have not been reflected in the consolidated statement of cash flows.

Fair valuations

Valuations are carried out by registered independent valuers having an appropriate recognised professional qualification and experience in the location and category of the property being valued.

In estimating the fair values of the properties, the highest and best use of the properties is their current use.

The valuation methodologies considered by external valuers include:

- Direct comparable method: This method seeks to determine the value of the property from transactions of comparable properties in the vicinity applying adjustments to reflect differences to the subject property.
- Investment method: This method is used to assess the value of the property by capitalising the net operating income of the property at an appropriate yield an investor would expect for an investment of the duration of the interest being valued.

All investment properties of the Group are primarily located within the UAE.

Lease receivables

Details of rental income and direct operating expenses relating to investment properties during the year are as follows:

	2022 AED'000	2021 AED'000
Rental income	**77,825**	79,118
Direct operating expenses	**27,881**	22,775

The Group leases its properties with varied lease terms, with an option to extend the lease term. The lessees do not have an option to purchase the property at the expiry of the lease period. All operating lease contracts contain market review clause in the event that the lessee exercises its option to renew. Non-cancellable operating lease receivables amounted to AED 43,444 thousand as at December 31, 2022 (December 31, 2021 - AED 38,376 thousand).

14. Other assets, net

	As at December 31 2022 AED'000	As at December 31 2021 AED'000
Interest receivable	**3,341,919**	2,434,494
Prepayments	**124,628**	98,438
Acceptances (Note 21)	**17,131,510**	16,238,756
Others	**1,128,753**	602,161
Gross other assets	**21,726,810**	19,373,849
Less: Allowance for impairment (Note 43.3)	**(15,621)**	(19,389)
Total other assets, net	**21,711,189**	19,354,460

15. Property and equipment, net

	Freehold properties and improvements AED'000	Leasehold improvements AED'000	Furniture, equipment and vehicles AED'000	Computer equipment, software and accessories AED'000	Capital work in progress AED'000	Right of use asset AED'000	Total AED'000
Cost or valuation							
As at January 1, 2021	1,547,855	369,566	288,258	1,700,495	132,966	331,876	4,371,016
Additions during the year	6,070	5,593	3,204	28,752	300,935	161,068	505,622
Transfers during the year	45,156	9,547	14,964	105,277	(174,944)	-	-
Disposals during the year	(39,727)	(33,183)	(13,035)	(14,001)	(845)	(85,819)	(186,610)
Impact of currency translation	(113)	(80)	(32)	(189)	(54)	(574)	(1,042)
As at December 31, 2021	**1,559,241**	**351,443**	**293,359**	**1,820,334**	**258,058**	**406,551**	**4,688,986**
Additions during the year	**67,133**	**10,804**	**4,258**	**18,399**	**244,462**	**68,516**	**413,572**
Transfers during the year	**879**	**2,794**	**240**	**282,887**	**(286,800)**	**-**	**-**
Transfers to investment properties/expenses	**(5,594)**	**-**	**-**	**-**	**(5,332)**	**-**	**(10,926)**
Disposals during the year	**(20,928)**	**(4,828)**	**(28,394)**	**(7,314)**	**-**	**(14,579)**	**(76,043)**
Impact of currency translation	**(24,708)**	**(17,826)**	**(9,662)**	**(33,322)**	**(35,277)**	**(50,169)**	**(170,964)**
As at December 31, 2022	**1,576,023**	**342,387**	**259,801**	**2,080,984**	**175,111**	**410,319**	**4,844,625**
Accumulated depreciation							
As at January 1, 2021	557,430	224,429	217,946	1,180,307	-	132,329	2,312,441
Charge for the year (Note 32)	66,752	40,780	20,081	195,648	-	77,886	401,147
Disposals during the year	(2,761)	(21,134)	(9,615)	(12,128)	-	(42,695)	(88,333)
Impact of currency translation	(25)	(148)	(28)	(102)	-	(236)	(539)
As at December 31, 2021	**621,396**	**243,927**	**228,384**	**1,363,725**	**-**	**167,284**	**2,624,716**
Charge for the year (Note 32)	**68,629**	**34,132**	**15,105**	**215,486**	**-**	**73,907**	**407,259**
Disposals during the year	**(19,153)**	**(4,825)**	**(28,302)**	**(7,467)**	**-**	**(9,804)**	**(69,551)**
Impact of currency translation	**(1,366)**	**(13,584)**	**(7,960)**	**(20,496)**	**-**	**(11,896)**	**(55,302)**
As at December 31, 2022	**669,506**	**259,650**	**207,227**	**1,551,248**	**-**	**219,491**	**2,907,122**
Carrying amount							
As at December 31, 2022	**906,517**	**82,737**	**52,574**	**529,736**	**175,111**	**190,828**	**1,937,503**
As at December 31, 2021	937,845	107,516	64,975	456,609	258,058	239,267	2,064,270

16. Intangible assets, net

		Other intangible assets			
	Goodwill AED'000	Trade mark and license AED'000	Core deposits AED'000	Customer relationships AED'000	Total AED'000
Cost or valuation					
As at January 1, 2021	6,753,517	255,258	457,000	84,000	7,549,775
Impact of currency translation	-	84	-	-	84
As at December 31, 2021	**6,753,517**	**255,342**	**457,000**	**84,000**	**7,549,859**
Impact of currency translation	**-**	**(48,356)**	**-**	**-**	**(48,356)**
As at December 31, 2022	**6,753,517**	**206,986**	**457,000**	**84,000**	**7,501,503**
Accumulated amortisation					
As at January 1, 2021	-	-	134,206	25,278	159,484
Amortisation for the year (Note 32)	-	-	80,523	15,167	95,690
As at December 31, 2021	**-**	**-**	**214,729**	**40,445**	**255,174**
Amortisation for the year (Note 32)	**-**	**-**	**80,524**	**13,611**	**94,135**
As at December 31, 2022	**-**	**-**	**295,253**	**54,056**	**349,309**
Carrying amount					
As at December 31, 2022	**6,753,517**	**206,986**	**161,747**	**29,944**	**7,152,194**
As at December 31, 2021	6,753,517	255,342	242,271	43,555	7,294,685

Goodwill

On May 1, 2019, Union National Bank PJSC (or "UNB") merged with Abu Dhabi Commercial Bank PJSC in an all-stock transaction. The merged entity subsequently completed 100% acquisition of Al Hilal Bank PJSC (or "AHB"). Based on the purchase price allocation exercise performed by an external consultant following the merger and acquisition, the Bank recognised AED 785,000 thousand as intangible assets and AED 6,734,717 thousand as goodwill.

On October 1, 2010, the Bank acquired the retail banking, wealth management and small and medium enterprise businesses (the "Business") of The Royal Bank of Scotland ("RBS") in the UAE for a consideration of AED 168,900 thousand. Based on the fair valuation and purchase price allocation exercise performed by an external consultant immediately following the acquisition in 2010, the Bank recognised AED 143,400 thousand as intangible assets which were fully amortised during the previous years and AED 18,800 thousand as goodwill.

Impairment assessment of goodwill

For the purposes of impairment testing, goodwill acquired in a business combination is allocated to the revenue generating CGUs. In a goodwill impairment test, the recoverable amounts of the goodwill carrying CGUs are compared with the respective carrying amounts. The recoverable amount is the higher of a CGU's fair value less costs of disposal and its value in use.

The carrying amount of CGU is derived using a capital allocation model where the Group's core equity capital is allocated to the CGUs. The Group determines the recoverable amounts of its CGUs based on higher of fair value less cost to sell (FVLCS) or value in use (VIU).

Value in use is estimated using a discounted cash flow (DCF) model, which reflects the specifics of the banking business and its regulatory environment. The model calculates the present value of the estimated future earnings that are distributable to shareholders after fulfilling the respective regulatory capital requirements and the risk appetite of the Group.

The DCF model uses earnings projections and respective capitalisation assumptions, which are discounted to their present value by using discount rate of 7.8% p.a.

Earnings projections beyond the initial five-year period are, where applicable, adjusted to derive a sustainable level. In case of a going concern, the cash flow to equity is assumed to increase by or converge towards a constant long-term growth rate. This is based on projected revenue forecasts of the CGUs as well as expected gross domestic product growth and is captured in the terminal value. The terminal growth rate of 4.1% p.a. is considered to arrive at earnings projections beyond five years.

The DCF value of a CGU is sensitive to the projections of distributable earnings, to the discount rate (weighed average cost of capital) applied and, to the long-term growth rate. The cost of equity applied have been determined based on the capital asset pricing model and comprise of a risk-free interest rate, a market risk premium and a factor covering the systematic market risk (beta factor).

FVLCS of CGUs are estimated based on data from comparable companies' price to book (P/B) ratio and adding control premium to the same.

No impairment loss on above goodwill was recognised during the year (2021 - AED nil).

Other intangible assets

Trade mark and license	AHB has built a strong franchise and has a reputation as a progressive Islamic bank offering a wide range of client-centric Shari'ah compliant retail banking products. The AHB brand plays a key part in generating revenues for the Bank.
Egypt license	This has been recognised as an intangible asset as Central Bank of Egypt has not issued a new banking license to any entity for the past 20 years, and has therefore restricted engagement in banking activities to banks already licensed and operating in Egypt. The license plays a key part in generating revenues for the Bank. Egypt license was valued considering the market approach using comparable transactions.
Customer relationships	Customer relationship intangible assets represent the value attributable to the business expected to be generated from customers that existed as at the acquisition date. In determining the fair value of customer relationships, trade finance customers were considered. These relationships are expected to generate material recurring income in the form of fees and commission.
Core deposits	The value of core deposit intangible asset arises from the fact that the deposit base of the Group represents a cheaper source of funding than wholesale or money market funding. The spread between the cost of deposit funding and the cost of wholesale/money market funding represents the value of the core deposit intangible.

17. Due to banks

	As at December 31 2022 AED'000	As at December 31 2021 AED'000
Vostro balances	**2,939,157**	2,421,042
Margin deposits	**5,917,002**	583,704
Time deposits	**863,034**	4,200,587
Total due to banks	**9,719,193**	7,205,333

The Group hedges time deposits amounting to AED nil (December 31, 2021 - AED 21,715 thousand) for foreign currency risks through foreign exchange swaps and designates these swaps as cash flow hedges. The fair value of these swaps as at December 31, 2022 was AED nil (December 31, 2021 - net negative fair value of AED 890 thousand).

18. Deposits from customers

	As at December 31 2022 AED'000	As at December 31 2021 AED'000
Time deposits	**155,624,985**	111,728,428
Current account deposits	**122,426,026**	117,905,965
Savings deposits	**28,368,562**	33,153,628
Long term government deposits	**287,653**	291,740
Margin deposits	**2,223,473**	1,972,564
Total deposits from customers	**308,930,699**	265,052,325

For Islamic deposits included in the above table, refer note 24.

The Group hedges customer deposits amounting to AED 31,261,041 thousand (December 31, 2021 - AED 8,178,419 thousand) for foreign currency and interest rate risks using foreign exchange and interest rate swaps and designates these swaps as either cash flow or fair value hedges. The net negative fair value of these swaps as at December 31, 2022 was AED 157,067 thousand (December 31, 2021 - net negative fair value of AED 227,866 thousand).

19. Euro commercial paper

The details of euro commercial paper ("ECP") issuances under the Bank's ECP programme are as follows:

Currency (CCY)	As at December 31 2022 AED'000	As at December 31 2021 AED'000
US dollar (USD)	**2,510,067**	2,817,652
Euro (EUR)	**1,230,731**	2,173,567
Great Britain pound (GBP)	**2,253,481**	1,207,938
Total euro commercial paper	**5,994,279**	6,199,157

The Group hedges euro commercial paper amounting to AED 3,484,212 thousand (December 31, 2021 - AED 3,381,505 thousand) for foreign currency using foreign exchange swaps and designates these swaps as cash flow hedges. The net positive fair value of these hedge contracts as at December 31, 2022 was AED 72,885 thousand (December 31, 2021 - net negative fair value of AED 7,405 thousand).

The effective interest rate on zero coupon ECPs ranges between positive 1.19% p.a. to 5.29% p.a. (December 31, 2021 - between negative 0.780% p.a. to positive 0.385% p.a.).

Reconciliation of ECP movement to cash flows arising from financing activities is as follows:

	AED'000
As at January 1, 2021	4,753,593
Net proceeds from issuances	13,658,074
Repayments	(12,221,953)
Other movements	9,443
As at December 31, 2021	**6,199,157**
Net proceeds from issuances	**14,604,440**
Repayments	**(14,855,599)**
Other movements	**46,281**
As at December 31, 2022	**5,994,279**

Net proceeds from issuances include effects of changes in foreign exchange rates. Other movements include discount amortised.

20. Borrowings

The details of borrowings as at December 31, 2022 are as follows:

Instrument	Currency (CCY)	Within 1 year AED'000	1-3 years AED'000	3-5 years AED'000	Over 5 years AED'000	Total AED'000
Global medium term notes	Australian dollar (AUD)	-	-	860,600	134,025	994,625
	Chinese renminbi (CNH)	-	226,806	509,186	-	735,992
	Euro (EUR)	-	75,952	-	-	75,952
	Swiss franc (CHF)	695,947	1,382,678	-	-	2,078,625
	Hong Kong dollar (HKD)	105,133	137,019	-	-	242,152
	US dollar (USD)	4,580,451	3,894,245	5,545,598	16,890,626	30,910,920
	Great Britain pound (GBP)	-	165,889	-	-	165,889
	Indonesian rupiah (IDR)	-	-	-	454,570	454,570
		5,381,531	5,882,589	6,915,384	17,479,221	35,658,725
Islamic sukuk notes	US dollar (USD)	1,844,944	-	-	-	1,844,944
Bilateral loans	US dollar (USD)	631,137	3,175,949	-	-	3,807,086
	Kazakhstan tenge (KZT)	-	-	81,198	-	81,198
Certificate of deposits issued	Great Britain pound (GBP)	110,228	-	-	-	110,228
	US dollar (USD)	286,325	-	-	-	286,325
Subordinated notes - fixed rate	US dollar (USD)	2,743,626	-	-	-	2,743,626
Borrowings through repurchase agreements	US dollar (USD)	18,115,040	7,019,742	202,333	-	25,337,115
	Egyptian pound (EGP)	594	-	-	5,892	6,486
Total borrowings		29,113,425	16,078,280	7,198,915	17,485,113	69,875,733

The Group hedges borrowings amounting to AED 37,677,496 thousand for foreign currency and interest rate risks using either interest rate or cross currency swaps and designates these swaps as either fair value or cash flow hedges. The net negative fair value of these swaps as at December 31, 2022 was AED 5,745,422 thousand.

The details of borrowings as at December 31, 2021 are as follows:

Instrument	Currency (CCY)	Within 1 year AED'000	1-3 years AED'000	3-5 years AED'000	Over 5 years AED'000	Total AED'000
Global medium term notes	Australian dollar (AUD)	750,714	-	-	602,302	1,353,016
	Chinese renminbi (CNH)	319,454	244,485	372,491	-	936,430
	Euro (EUR)	82,980	84,630	-	-	167,610
	Swiss franc (CHF)	-	2,150,195	-	-	2,150,195
	Japanese yen (JPY)	73,232	-	-	-	73,232
	Hong Kong dollar (HKD)	217,094	184,265	72,963	-	474,322
	US dollar (USD)	1,488,025	7,463,715	2,733,885	21,419,823	33,105,448
	Great Britain pound (GBP)	273,068	194,511	-	-	467,579
	Indonesian rupiah (IDR)	-	-	-	540,411	540,411
		3,204,567	10,321,801	3,179,339	22,562,536	39,268,243
Islamic sukuk notes	US dollar (USD)	-	1,856,612	-	-	1,856,612
Bilateral loans	US dollar (USD)	2,018,092	2,712,240	731,798	-	5,462,130
	Kazakhstan tenge (KZT)	-	-	-	86,429	86,429
Certificate of deposits issued	Great Britain pound (GBP)	69,217	-	-	-	69,217
	US dollar (USD)	1,174,288	-	-	-	1,174,288
Subordinated notes - fixed rate	US dollar (USD)	-	2,802,267	-	-	2,802,267
Borrowings through repurchase agreements	US dollar (USD)	13,880,359	7,052,268	202,333	-	21,134,960
	UAE dirham (AED)(*)	632,362	-	-	-	632,362
	Egyptian pound (EGP)	145	2,810	-	9,874	12,829
Total borrowings		20,979,030	24,747,998	4,113,470	22,658,839	72,499,337

(*)represents interest free borrowings from CBUAE under its Targeted Economic Support Scheme (TESS) recovery program

The Group hedges borrowings amounting to AED 33,939,861 thousand for foreign currency and interest rate risks using either interest rate or cross currency swaps and designates these swaps as either fair value or cash flow hedges. The net positive fair value of these swaps as at December 31, 2021 was AED 617,239 thousand.

Interests are payable in arrears and the contractual coupon rates as at December 31, 2022 are as follows:

Instrument	CCY	Within 1 year	1-3 years	3-5 years	Over 5 years
Global medium term notes	AUD	-	-	Fixed rate between 3.10% p.a. to 4.50% p.a. and quarterly coupons between 90 to 94 basis points over bank bill swap rate (BBSW)	Fixed rate between 2.696% p.a. to 2.80% p.a.
	CNH	-	Fixed rate between 3.33% p.a. to 4.60% p.a.	Fixed rate between 3.20% p.a. to 3.415% p.a.	-
	EUR	-	Fixed rate of 0.75% p.a.	-	-
	CHF	Fixed rate of 0.385% p.a.	Fixed rate between 0.05% p.a. to 0.735% p.a.	-	-
	HKD	Fixed rate of 2.84% p.a.	Fixed rate between 1.34% p.a. to 2.87% p.a.	-	-
	USD	Fixed rate of 4.00% p.a.	Quarterly coupons between 110 to 155 basis points over Libor and quarterly coupons between 129 to 146 basis points over SOFR	Fixed rate between 1.63% p.a. to 5.10% p.a. and quarterly coupons of 88 basis points over SOFR	Fixed rate between 4.65% p.a. to 5.00% p.a.; zero coupon with an internal rate of return between 3.271% p.a. to 5.785% p.a. and quarterly coupons of 140 basis points over Libor(*)
	GBP	-	Fixed rate of 0.95% p.a.	-	-
	IDR	-	-	-	Fixed rate between 7.50% p.a. to 8.16% p.a.
Islamic Sukuk notes	USD	Fixed rate of 4.375% p.a.	-	-	-
Bilateral loans	USD	Monthly coupons of 95 basis points over Libor	Monthly coupons between 95 to 100 basis points over Libor and monthly coupons of 32.5 basis points over SOFR	-	-
	KZT	-	-	Fixed rate between 8.50% p.a. to 9.50% p.a.	-
Certificate of deposits issued	GBP	Zero coupon with an internal rate of 1.474% p.a.	-	-	-
	USD	Zero coupon with an internal rate of return of 0.89% p.a.	-	-	-
Subordinated notes	USD	Fixed rate of 4.50% p.a.	-	-	-
Borrowings through repurchase agreements	USD	Fixed rate between 4.16% p.a. to 4.74% p.a.; SOFR plus spread between 30 to 75 basis points and quarterly coupons of 40 basis points over Libor	Quarterly coupons between 43 to 50 basis points over Libor	Semi-annual coupons between negative 20 to negative 18 basis points over Libor	-
	EGP	Fixed rate of 3.00% p.a.	-	-	Fixed rate between 0.50% p.a. to 3.50% p.a.

(*)includes AED 16,328,483 thousand accreting notes issued with original tenors ranging from 30 years to 40 years with internal rate of return ranging between 3.271% p.a. to 5.785% p.a. and are callable at the end of every 5th, 6th, 7th or 10th year from issue date

The subordinated fixed rate note qualifies as Tier 2 capital and is eligible for grandfathering at the rate of 10% per annum in accordance with capital guidance issued by CBUAE. Further, the subordinated fixed rate note has entered its five years to maturity and is being amortised at the rate of 20% per annum till its maturity in 2023 (Note 50).

Refer note 10 and note 11 for details of bonds and loans pledged as collateral against borrowings through repurchase agreements. Further, the Group placed net cash collateral of AED 1,072,321 thousand (December 31, 2021 - AED 169,873 thousand) against margin calls.

Reconciliation of borrowings movement to cash flows arising from financing activities is as follows:

	AED'000
As at January 1, 2021	65,396,044
Net proceeds from issuances	30,728,932
Repayments	(22,951,954)
Other movements	(673,685)
As at December 31, 2021	**72,499,337**
Net proceeds from issuances	**47,103,994**
Repayments	**(44,319,818)**
Other movements	**(5,407,780)**
As at December 31, 2022	**69,875,733**

Net proceeds from issuances include effects of changes in foreign exchange rates on borrowings. Other movements include interest capitalised on callable accreting notes, discount on issuances amortised and changes in fair value hedges.

21. Other liabilities

	As at December 31 2022 AED'000	As at December 31 2021 AED'000
Interest payable	**1,841,733**	676,841
Recognised liability for defined benefit obligation	**511,909**	594,717
Deferred income	**842,135**	807,322
Acceptances (Note 14)	**17,131,510**	16,238,756
Impairment allowance on letters of credit, guarantees and other commitments (Note 43.3)	**423,942**	503,225
Others(*)	**4,919,510**	4,563,303
Total other liabilities	**25,670,739**	23,384,164

(*)includes AED 225,595 thousand (December 31, 2021 - AED 286,322 thousand) pertaining to finance lease liability

Defined benefit obligation

The Group provides gratuity benefits to its eligible employees in UAE. The most recent actuarial valuations of the present value of the defined benefit obligation were carried out in the last quarter of 2022 by a registered actuary in the UAE. The present value of the defined benefit obligation and the related current and past service cost, were measured using the Projected Unit Credit Method.

Key assumptions used in the actuarial valuation are as follows:

Discount rate:	5.23% p.a. (2021: 2.39% p.a.)
Salary increment rate:	2.75% p.a. (2021: 2.75% p.a.)

Demographic assumptions for mortality, resignation and retirement were used in valuing the liabilities and benefits under the plan.

The liability would be higher by AED 14,550 thousand had the discount rate used in the assumption been lower by 0.50% and the liability would be lower by AED 14,011 thousand had the discount rate used in the assumption been higher by 0.50%. Similarly, the liability would be higher by AED 11,856 thousand had the salary increment rate used in the assumption been higher by 0.50% and the liability would be lower by AED 11,317 thousand had the salary increment rate used in the assumption been lower by 0.50%.

The movement in defined benefit obligation is as follows:

	2022 AED'000	2021 AED'000
Opening balance	**594,717**	630,203
Net charge during the year(*)	**73,011**	68,005
Actuarial gains on defined benefit obligation	**(108,233)**	(42,079)
Benefits paid	**(47,586)**	(61,412)
Closing balance	**511,909**	594,717

(*)recognised under "staff expense" in the consolidated income statement

Defined contribution

Under defined contribution plans, the Group pays contributions to Abu Dhabi Retirement Pensions and Benefits Fund for UAE National employees and to respective pension funds for other employees including GCC Nationals. The charge for the year in respect of these contributions is AED 85,480 thousand (2021 - AED 68,735 thousand). As at December 31, 2022, pension payable of AED 9,523 thousand has been classified under 'Other liabilities - others' (December 31, 2021 - AED 8,647 thousand).

22. Share capital

	Authorised	Issued and fully paid	
		As at December 31 2022	As at December 31 2021
	AED'000	AED'000	AED'000
Ordinary shares of AED 1 each	**10,000,000**	**6,957,379**	6,957,379

As at December 31, 2022, Mubadala Investment Company holds 60.20% (December 31, 2021 - 60.20%) of the Bank's issued and fully paid up share capital through its wholly owned subsidiary One Hundred and Fourteenth Investment Company - Sole Proprietorship LLC).

Dividends

For the year ended December 31, 2022, the Board of Directors has proposed to pay cash and stock dividend of AED 3,826,559 thousand, being AED 0.55 dividend per share and representing 55% of the paid up capital (December 31, 2021 - AED 2,574,230 thousand, being AED 0.37 dividend per share and representing 37% of the paid up capital). This is subject to the approval of the shareholders in the Annual General Meeting.

23. Other reserves

Reserves movement for the year ended December 31, 2022:

	Employees' incentive plan shares, net	Statutory reserve	Legal reserve	General reserve	Contingency reserve	Foreign currency translation reserve	Cash flow hedge reserve	Revaluation reserve of investments designated at FVTOCI	Attributable to equity holders of the Bank	Non-controlling interests	Total
	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000
As at January 1, 2022	**(76,712)**	**3,478,690**	**2,000,000**	**2,000,000**	**150,000**	**(68,673)**	**(67,912)**	**389,298**	**9,283,381**	**194**	**9,283,575**
Exchange difference arising on translation of foreign operations	-	-	-	-	-	(619,537)	-	-	(619,537)	(530)	(620,067)
Net gain on hedge of net investment in foreign operations	-	-	-	-	-	390,334	-	-	390,334	-	390,334
Exchange difference arising on translation of foreign operations reclassified to consolidated income statement	-	-	-	-	-	**113,366**	-	-	**113,366**	-	**113,366**
Net fair value changes on cash flow hedges	-	-	-	-	-	-	**99,311**	-	**99,311**	-	**99,311**
Net fair value changes on cash flow hedges reclassified to consolidated income statement	-	-	-	-	-	-	**65,777**	-	**65,777**	-	**65,777**
Net fair value changes of debt instruments designated at FVTOCI	-	-	-	-	-	-	-	**(1,815,918)**	**(1,815,918)**	**(45)**	**(1,815,963)**
Changes in allowance for expected credit losses on debt instrument designated at FVTOCI	-	-	-	-	-	-	-	**(38,035)**	**(38,035)**	-	**(38,035)**
Amounts reclassified to consolidated income statement for debt instruments designated at FVTOCI	-	-	-	-	-	-	-	**98,771**	**98,771**	-	**98,771**
Net fair value changes of equity instruments designated at FVTOCI	-	-	-	-	-	-	-	**(40,408)**	**(40,408)**	-	**(40,408)**
Amounts transferred within equity upon disposal of equity instruments designated at FVTOCI	-	-	-	-	-	-	-	**1,713**	**1,713**	-	**1,713**
Total other comprehensive (loss)/gain for the year	-	-	-	-	-	**(115,837)**	**165,088**	**(1,793,877)**	**(1,744,626)**	**(575)**	**(1,745,201)**
Acquisition of shares	**(5,010)**	-	-	-	-	-	-	-	**(5,010)**	-	**(5,010)**
Adjustment arising from changes in non-controlling interests	-	-	-	-	-	**61**	-	**39**	**100**	**(100)**	-
Fair value adjustments	**(9,724)**	-	-	-	-	-	-	-	**(9,724)**	-	**(9,724)**
Shares - vested portion (Note 25)	**22,622**	-	-	-	-	-	-	-	**22,622**	-	**22,622**
As at December 31, 2022	**(68,824)**	**3,478,690**	**2,000,000**	**2,000,000**	**150,000**	**(184,449)**	**97,176**	**(1,404,540)**	**7,546,743**	**(481)**	**7,546,262**

For more information on reserves, refer note 50.

Reserves movement for the year ended December 31, 2021:

	Employees' incentive plan shares, net AED'000	Statutory reserve AED'000	Legal reserve AED'000	General reserve AED'000	Contingency reserve AED'000	Foreign currency translation reserve AED'000	Cash flow hedge reserve AED'000	Revaluation reserve of investments designated at FVTOCI AED'000	Attributable to equity holders of the Bank AED'000	Non-controlling interests AED'000	Total AED'000
As at January 1, 2021	(26,869)	3,478,690	3,478,690	2,000,000	150,000	(56,156)	(33,464)	874,525	9,865,416	264	9,865,680
Exchange difference arising on translation of foreign operations	-	-	-	-	-	(8,492)	-	-	(8,492)	-	(8,492)
Net loss on hedge of net investment in foreign operations	-	-	-	-	-	(4,025)	-	-	(4,025)	-	(4,025)
Net fair value changes on cash flow hedges	-	-	-	-	-	-	6,170	-	6,170	-	6,170
Net fair value changes on cash flow hedges reclassified to consolidated income statement	-	-	-	-	-	-	(40,618)	-	(40,618)	-	(40,618)
Net fair value changes of debt instruments designated at FVTOCI	-	-	-	-	-	-	-	(136,520)	(136,520)	(44)	(136,564)
Changes in allowance for expected credit losses on debt instrument designated at FVTOCI	-	-	-	-	-	-	-	(122,169)	(122,169)	-	(122,169)
Amounts reclassified to consolidated income statement for debt instruments designated at FVTOCI	-	-	-	-	-	-	-	2,323	2,323	(26)	2,297
Net fair value changes of equity instruments designated at FVTOCI	-	-	-	-	-	-	-	(228,906)	(228,906)	-	(228,906)
Amounts transferred within equity upon disposal of equity instruments designated at FVTOCI	-	-	-	-	-	-	-	45	45	-	45
Total other comprehensive loss for the year	-	-	-	-	-	(12,517)	(34,448)	(485,227)	(532,192)	(70)	(532,262)
Acquisition of shares	(56,060)	-	-	-	-	-	-	-	(56,060)	-	(56,060)
Fair value adjustments	578	-	-	-	-	-	-	-	578	-	578
Shares - vested portion (Note 25)	5,639	-	-	-	-	-	-	-	5,639	-	5,639
As at December 31, 2021	(76,712)	3,478,690	3,478,690	2,000,000	150,000	(68,673)	(67,912)	389,298	9,283,381	194	9,283,575

24. Islamic financing

Islamic financing assets

	As at December 31 2022 AED'000	As at December 31 2021 AED'000
Murabaha	**24,103,675**	21,476,214
Ijara financing	**14,622,375**	16,236,052
Salam	**681,721**	1,368,544
Others	**379,650**	375,506
Gross Islamic financing assets	**39,787,421**	39,456,316
Less: Allowance for impairment	**(1,777,870)**	(1,794,576)
Net Islamic financing assets	**38,009,551**	37,661,740

Islamic investing assets

	As at December 31 2022 AED'000	As at December 31 2021 AED'000
At fair value through other comprehensive income (FVTOCI)		
Sukuk investments	**8,597,418**	13,494,673
Equities	**159,790**	9,290
	8,757,208	13,503,963
At amortised cost		
Sukuk investments	**4,629,980**	2,420,935
Less: Allowance for impairment	**(3,509)**	(2,241)
	4,626,471	2,418,694
Net Islamic investing assets	**13,383,679**	15,922,657

Income from Islamic financing and investing products

	2022 AED'000	2021 AED'000
Murabaha	**1,223,608**	960,489
Ijara financing	**637,435**	565,027
Salam	**62,176**	145,232
Sukuk investments	**477,432**	345,827
Others	**41,437**	14,797
Total income from Islamic financing and investing products	**2,442,088**	2,031,372

Islamic deposits

	As at December 31 2022 AED'000	As at December 31 2021 AED'000
Current account deposits	**12,742,453**	10,904,289
Margin deposits	**202,030**	308,690
Mudaraba savings deposits(*)	**16,923,718**	17,031,181
Mudaraba term deposits	**1,038,049**	1,899,618
Murabaha term deposits	**1,270,585**	1,066,481
Wakala deposits	**13,664,516**	6,176,291
Total Islamic deposits	**45,841,351**	37,386,550

(*)includes AED 20,081 thousand pertaining to investment risk reserve (IRR) as at December 31, 2022 (December 31, 2021 - AED 27,039 thousand)

Distribution on Islamic deposits and profit paid to sukuk holders

	2022 AED'000	2021 AED'000
Mudaraba savings and term deposits	**74,065**	75,727
Murabaha term deposits	**40,704**	16,072
Wakala deposits	**217,865**	65,740
Islamic sukuk notes and reverse murabaha	**90,708**	88,267
Total distribution on Islamic deposits and profit paid to sukuk holders	**423,342**	245,806

25. Employees' incentive plan shares, net

The Group operates Deferred Compensation Plan (the "Plan") to recognise and retain good performing employees. Under the Plan, the employees are granted shares of the Bank when they meet the vesting conditions at a price prevailing at the grant date. These shares are acquired and held by a subsidiary of the Bank until vesting conditions are met. The Board Nomination Compensation HR and Governance Committee determines and approves the shares to be granted to employees based on the Group's key performance indicators.

During the year ended December 31, 2022, the Group had the following incentive plan in force:

Grant date	January 1, 2022	January 1, 2022	January 1, 2021
Number of shares granted	3,030,000	3,269,856	2,756,383
Fair value of the granted shares at the grant date in AED thousand	25,846	27,892	17,090
Final vesting date	December 31, 2025	December 31, 2024	December 31, 2023

Vesting conditions - In service from the grant date till respective vesting date or meeting special conditions during the vesting period (death or disability).

The movement of plan shares is as follows:

	2022	2021
Opening balance	**1,818,919**	-
Granted during the year	**6,299,856**	2,756,383
Exercised during the year	**(2,213,224)**	(909,447)
Forfeited during the year	**(187,896)**	(28,017)
Closing balance	**5,717,655**	1,818,919
Amount of "Plan" cost recognised under "staff expenses" in the consolidated income statement (AED '000)	**22,622**	5,639

Total number of un-allotted shares under the Plan as at December 31, 2022 were 3,870,314 shares (December 31, 2021 - 9,423,680 shares). These un-allotted shares include forfeited shares and shares purchased for future awards.

26. Capital notes

In February 2009, the Department of Finance, Government of Abu Dhabi subscribed to ADCB's Tier I regulatory capital notes with a principal amount of AED 4,000,000 thousand (the "ADCB Notes"). Further, pursuant to the merger with UNB, the Bank assumed erstwhile UNB's Tier I regulatory capital notes with a principal amount of AED 2,000,000 thousand (together with the ADCB Notes, the "Notes"). Further, via written resolutions of the Department of Finance, Government of Abu Dhabi dated December 15, 2021, the Notes were amended to comply with the Standards and Guidance for Capital Adequacy of Banks in the UAE issued by the Central Bank of UAE under Notice No. 4980/2020 (November, 2020), which included the introduction of a "write-down at the point of non-viability (PONV)" clause.

The PONV clause introduced into the terms and conditions can be triggered by the CBUAE. If the CBUAE notifies the Bank that it is, or will become, non-viable without (i) a write-down; or (ii) a public sector injection of capital, the Note holders' rights under the Notes shall automatically be deemed to be irrevocably, unconditionally and permanently written-down in a proportion corresponding to the write-down amount determined by the CBUAE. This could result in the Notes being written down to zero and the Notes being cancelled.

The Notes are non-voting, non-cumulative perpetual securities for which there is no fixed redemption date. With the consent of the CBUAE, the Notes may be called by the Bank in February 2027 or on any interest payment date thereafter. The holders of the Notes have no right to call for redemption. The Notes are direct, unsecured, subordinated obligations of the Bank and rank pari-passu without any preference among themselves and the rights and claims of the Note holders will be subordinated to the claims of Senior Creditors. The Notes bore interest at the rate of 6% per annum from their issue date to the first reset date (which was in February 2014), and currently bear a floating interest rate of 6 month-Eibor plus 2.3% per annum thereafter. However, the Bank may at its sole discretion elect not to make a coupon payment. The Note holders do not have a right to claim the coupon and an election by the Bank not to service the coupon is not considered an event of default. In addition, there are certain circumstances ("non-payment event") under which the Bank is prohibited from making a coupon payment on a relevant coupon payment date.

If the Bank makes a non-payment election or a non-payment event occurs, then the Bank will not (a) declare or pay any distribution or dividend or (b) redeem, purchase, cancel, reduce or otherwise acquire any of the share capital or any securities of the Bank ranking pari-passu with or junior to the Notes except securities, the term of which stipulates a mandatory redemption or conversion into equity, in each case unless or until two consecutive coupon payments have been paid in full.

27. Interest income

	2022 AED'000	2021 AED'000
Loans and advances to banks	**1,424,952**	365,022
Loans and advances to customers	**9,757,975**	6,985,957
Investment securities	**2,791,827**	1,738,797
Total interest income	**13,974,754**	9,089,776

28. Interest expense

	2022 AED'000	2021 AED'000
Deposits from banks	**141,485**	21,950
Deposits from customers	**3,595,772**	1,164,114
Euro commercial paper	**76,671**	18,816
Borrowings(*)	**1,985,817**	806,932
Total interest expense	**5,799,745**	2,011,812

(*)includes AED 20,518 thousand (2021 - AED 15,128 thousand) for interest expense on lease liabilities

29. Net fees and commission income

	2022 AED'000	2021 AED'000
Fees and commission income		
Card related fees	**1,177,724**	945,585
Loan processing fees	**759,971**	711,990
Accounts related fees	**207,741**	183,160
Trade finance commission	**548,289**	504,859
Insurance commission	**17,424**	17,134
Asset management and investment services	**71,968**	72,679
Brokerage fees	**13,094**	13,169
Other fees	**606,353**	482,309
Total fees and commission income	**3,402,564**	2,930,885
Fees and commission expense	**(1,292,151)**	(1,031,597)
Net fees and commission income	**2,110,413**	1,899,288

30. Net trading income

	2022 AED'000	2021 AED'000
Net gain from dealing in derivatives	**173,546**	141,016
Net gain from dealing in foreign currencies	**630,317**	515,562
Net gain from financial assets at fair value through profit or loss(*)	**108,923**	19,187
Net trading income	**912,786**	675,765

(*)includes loss of AED 16,614 thousand from debt securities mandatorily measured at fair value (2021 - net loss of AED 6,277 thousand)

31. Other operating income

	2022 AED'000	2021 AED'000
Property management income	**155,461**	149,483
Rental income	**79,558**	79,118
Net (loss)/gain from disposal of investment securities(*)	**(71,349)**	259,077
Net gains arising from retirement of hedges	**271,581**	61,358
Dividend income	**35,913**	26,814
Others	**637,028**	233,288
Total other operating income	**1,108,192**	809,138

(*)includes realised gain of AED 7,056 thousand (2021 - gain of AED 1,832 thousand) on sale of investments carried at amortised cost amounting to AED 367,300 thousand (December 31, 2021 - AED 53,097 thousand)

32. Operating expenses

	2022 AED'000	2021 AED'000
Staff expenses	**2,767,876**	2,437,165
General administrative expenses	**1,619,033**	1,323,238
Depreciation on property and equipment (Note 15)	**407,259**	401,147
Amortisation of intangible assets (Note 16)	**94,135**	95,690
Total operating expenses	**4,888,303**	4,257,240

33. Impairment charge

	2022 AED'000	2021 AED'000
Financial instruments carried at amortised cost - net charge(*)	**3,300,711**	3,306,356
Debt instruments designated at FVTOCI - net charge	**47,257**	56,489
Commitment and contingent liabilities - net release	**(83,574)**	(28,893)
Less: Recoveries/modifications during the year	**(485,481)**	(687,764)
Total impairment charge (Note 43.3)	**2,778,913**	2,646,188

(*)includes net charge of AED 21,415 thousand (2021 - AED 13,315 thousand) on investment securities at amortised cost

34. Earnings per share

Basic and diluted earnings per share

The calculation of basic earnings per share is based on the profit attributable to equity holders of the Bank and the weighted average number of equity shares outstanding. Diluted earnings per share is calculated by adjusting the weighted average number of equity shares outstanding for the dilutive effects of potential equity shares held on account of employees' incentive plan.

	2022 AED'000	2021 AED'000
Profit for the year attributable to the equity holders of the Bank	**6,435,301**	5,241,122
Less: Coupons paid on capital notes (Note 26)	**(182,271)**	(173,698)
Net adjusted profit for the year attributable to the equity holders of the Bank (a)	**6,253,030**	5,067,424

	Number of shares in thousand	
Weighted average number of shares in issue throughout the year	**6,957,379**	6,957,379
Less: Weighted average number of shares resulting from employees' incentive plan shares	**(10,743)**	(5,599)
Weighted average number of equity shares in issue during the year for basic earnings per share (b)	**6,946,636**	6,951,780
Add: Weighted average number of shares resulting from employees' incentive plan shares	**10,743**	5,599
Weighted average number of equity shares in issue during the year for diluted earnings per share (c)	**6,957,379**	6,957,379
Basic earnings per share (AED) (a)/(b)	**0.90**	0.73
Diluted earnings per share (AED) (a)/(c)	**0.90**	0.73

35. Discontinued operations

The Group has classified its subsidiaries - Abu Dhabi Commercial Bank (UK Representative Office) Limited and Union Brokerage LLC as discontinued operations.

The Group's investment in subsidiaries - Alexandria New Medical Centre SAE, Al Hilal Auto LLC and overseas branch operations in India, which were classified as discontinued operations as at December 31, 2021, were sold or closed during the year.

Loss from discontinued operations comprises of the following:

	2022 AED'000	2021 AED'000
Net interest income and income from Islamic financing and investing products	**2,930**	2,941
Non-interest income	**(94,206)**	(2,224)
Operating expenses	**(8,127)**	(16,482)
Overseas income tax charge	**(413)**	(657)
Total loss from discontinued operations	**(99,816)**	(16,422)

Loss from discontinued operations is fully attributable to the equity holders of the Bank.

The major class of assets and liabilities forming part of discontinued operations and assets held for sale are as follows:

	As at December 31 2022 AED'000	As at December 31 2021 AED'000
Assets		
Cash and balances with central banks, net	**-**	32,351
Deposits and balances due from banks, net	**-**	106,030
Other assets, net	**-**	80,942
Property and equipment, net	**-**	1,350
Total assets classified as held for sale	**-**	220,673
Liabilities		
Other liabilities	**-**	4,648
Total liabilities related to assets held for sale	**-**	4,648

The net cash flows attributable to discontinued operations are as follows:

	As at December 31 2022 AED'000	As at December 31 2021 AED'000
Net cash from/(used) in operating activities	**8,692**	(16,898)
Net cash from investing activities	**74,099**	101,860
Net cash from discontinued operations	**82,791**	84,962

36. Cash and cash equivalents

Cash and cash equivalents included in the consolidated statement of cash flow comprise the following statement of financial position amounts:

	As at December 31 2022 AED'000	As at December 31 2021 AED'000
Cash and balances with central banks (Note 6)	**39,430,882**	33,746,694
Deposits and balances due from banks (excluding loans and advances to banks) (Note 7)	**8,903,141**	5,762,921
Due to banks (Note 17)	**(9,719,193)**	(7,205,333)
	38,614,830	32,304,282
Less: Cash and balances with central banks and deposits and balances due from banks - with original maturity of more than three months	**(6,336,752)**	(4,791,660)
Add: Due to banks - with original maturity of more than three months	**6,780,036**	4,784,697
Add: Cash and cash equivalents included in assets held for sale (Note 35)	**-**	138,381
Total cash and cash equivalents	**39,058,114**	32,435,700

37. Related party transactions

The Group enters into transactions with the parent and its related entities, associates, funds under management, directors, senior management and their related entities and the Government of Abu Dhabi (ultimate controlling party and its related entities) in the ordinary course of business at agreed upon interest and commission rates.

Key management personnel are defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Group, being the directors, chief executive officer and his direct reports. Details of all transactions in which a Director and/or related parties might have actual or potential conflicts are provided to the Board of Directors (the "Board") for its review and approval. Where a Director is interested, that Director neither participates in the discussions nor votes on such matters. The Bank's policy is, so far as possible, to engage in transactions with related parties only on arm's length terms and in accordance with relevant laws and regulations. The Board Secretariat maintains a conflicts and related parties register which is regularly reviewed by the Board Corporate Governance Committee. In addition, the Board maintains awareness of other commitments of its Directors and senior management. The Bank has implemented a Directors' Conflict of Interest policy and, for senior management, a Code of Conduct. As a result of written declarations submitted by each of the Board members, the Board recognises that the other commitments of the Directors do not conflict with their duties or that, where conflicts arise, the Board is sufficiently aware and policies are in place to minimise the risks.

Parent and ultimate controlling party

Mubadala Investment Company holds 60.20% (December 31, 2021 - 60.20%) of the Bank's issued and fully paid up share capital through its wholly owned subsidiary One Hundred and Fourteenth Investment Company - Sole Proprietorship LLC (Note 22). The Government of Abu Dhabi owns 100% of Mubadala Investment Company and so the ultimate controlling party is the Government of Abu Dhabi.

Related party balances and transactions

Related party balances and transactions of the Group included in the consolidated statement of financial position and consolidated income statement are shown in below table. Transactions between the Bank and its subsidiaries have been eliminated on consolidation and are not disclosed in this note.

	Ultimate controlling party and its related parties AED'000	Directors and their related parties AED'000	Key management personnel AED'000	Associates and funds under management AED'000	Total AED'000
Balances as at December 31, 2022					
Deposits and balances due from banks	**16,902**	**-**	**-**	**-**	**16,902**
Financial assets at fair value through profit or loss	**504,402**	**-**	**-**	**-**	**504,402**
Derivative financial instruments - assets	**934,030**	**132,858**	**-**	**-**	**1,066,888**
Investment securities	**23,789,440**	**-**	**-**	**212,570**	**24,002,010**
Loans and advances to customers	**45,732,014**	**4,341,722**	**34,543**	**3,683,898**	**53,792,177**
Other assets	**449,265**	**5,830**	**69**	**3,276**	**458,440**
Due to banks	**394,752**	**-**	**-**	**-**	**394,752**
Derivative financial instruments - liabilities	**1,874,381**	**66,616**	**-**	**-**	**1,940,997**
Deposits from customers	**92,729,567**	**419,297**	**64,799**	**471,070**	**93,684,733**
Other liabilities	**781,441**	**540**	**18,806**	**3**	**800,790**
Capital notes	**6,000,000**	**-**	**-**	**-**	**6,000,000**
Commitments and contingent liabilities	**20,828,665**	**6,648**	**3,950**	**2,252**	**20,841,515**
Transactions for the year ended December 31, 2022					
Interest income, Islamic financing income, fees and other income	**2,303,075**	**157,788**	**1,358**	**64,739**	**2,526,960**
Interest expense and Islamic profit distribution	**1,334,654**	**1,043**	**252**	**-**	**1,335,949**
Net losses from dealing in derivatives	**1,617,107**	**118,408**	**-**	**-**	**1,735,515**
Impairment charge	**929**	**-**	**-**	**-**	**929**
Share in loss of associates	**-**	**-**	**-**	**8,463**	**8,463**
Coupons paid on capital notes	**182,271**	**-**	**-**	**-**	**182,271**

	Ultimate controlling party and its related parties AED'000	Directors and their related parties AED'000	Key management personnel AED'000	Associates and funds under management AED'000	Total AED'000
Balances as at December 31, 2021					
Deposits and balances due from banks	14,026	-	-	-	14,026
Financial assets at fair value through profit or loss	571,837	-	-	-	571,837
Derivative financial instruments - assets	1,147,429	184,802	-	-	1,332,231
Investment securities	24,504,444	-	-	212,061	24,716,505
Loans and advances to customers	49,106,303	4,502,292	32,409	157,944	53,798,948
Other assets	259,414	21,594	39	2,419	283,466
Due to banks	92	-	-	-	92
Derivative financial instruments - liabilities	807,269	4,453	-	-	811,722
Deposits from customers	94,181,012	429,125	72,039	56,125	94,738,301
Other liabilities	126,860	26	17,783	-	144,669
Capital notes	6,000,000	-	-	-	6,000,000
Commitments and contingent liabilities	13,502,374	11,643	3,556	4,285	13,521,858
Transactions for the year ended December 31, 2021					
Interest income, Islamic financing income, fees and other income	1,434,810	98,474	938	23,748	1,557,970
Interest expense and Islamic profit distribution	280,186	494	49	-	280,729
Net loss from dealing in derivatives	298,940	310,901	-	-	609,841
Impairment charge	10,727	-	-	-	10,727
Share in profit of associates	-	-	-	7,663	7,663
Coupons paid on capital notes	173,698	-	-	-	173,698

As at December 31, 2022, Funds under management held 2,496,981 shares (December 31, 2021 - 1,834,264 shares) of the Bank. During the year, the Bank paid dividend of AED 913 thousand (2021 - AED 617 thousand) to these Funds.

Remuneration of key management employees and Board of Directors fees and expenses during the year are as follows:

	2022 AED'000	2021 AED'000
Short term benefits(*)	**42,194**	29,305
Post-employment benefits	**3,985**	2,816
Variable pay benefits	**38,297**	20,760
Total remuneration	**84,476**	52,881
Board of Directors fees and expenses	**26,991**	17,570

(*)includes retirement benefits

In addition to the above, the key management personnel were granted long term deferred compensation including share based payments of AED 27,532 thousand (2021 - AED 17,590 thousand).

38. Commitments and contingent liabilities

The Group has the following commitments and contingent liabilities:

	As at December 31 2022 AED'000	As at December 31 2021 AED'000
Letters of credit	**9,908,377**	10,928,787
Guarantees	**53,409,932**	50,851,169
Commitments to extend credit - revocable(*)	**15,652,151**	14,582,222
Commitments to extend credit - irrevocable	**31,037,374**	21,055,873
Total commitments on behalf of customers	**110,007,834**	97,418,051
Commitments for future capital expenditure and others	**664,876**	853,069
Commitments to invest in investment securities	**9,160**	15,854
Total commitments and contingent liabilities	**110,681,870**	98,286,974

(*)includes AED 8,131,188 thousand (December 31, 2021 - AED 7,323,450 thousand) for undrawn credit card limits

Credit-related commitments

Credit-related commitment include commitments to extend credit, letters of credit and guarantees which are designed to meet the requirements of the Bank's customers. Irrevocable commitments to extend credit represent contractual commitments to make loans and advances and revolving credits. Revocable commitments to extend credit represent commitments to make loan and advances and revolving credits which can be cancelled by the Bank unconditionally without any contractual obligations. Commitments generally have fixed expiry dates or other termination clauses. Since commitments may expire without being drawn upon, the total contract amounts do not necessarily represent future cash requirements.

Letters of credit and guarantees commit the Bank to make payments on behalf of customers contingent upon the failure of the customer to perform under the terms of the contract. Commitments and contingent liabilities which have been entered into on behalf of customers and for which there are corresponding obligations from customers, are not included in assets and liabilities. The Bank's maximum exposure to credit loss, in the event of non-performance by the other party and where all counterclaims, collateral or security proves valueless, is represented by the contractual nominal amount of these instruments included in the table above. These commitments and contingent obligations are subject to the Bank's normal credit approval processes.

39. Operating segments

The Group has five reportable segments as described below. Retail banking and Private banking were reported as part of Consumer banking group till March 31, 2022. Subsequently, the management has decided to evaluate Retail banking group and Private banking group as separate segments and hence, the analysis of financial performance and results have been presented for five reportable segments for the current and prior year.

These segments offer different products and services and are managed separately based on the Group's management and internal reporting structure. The Group's Management Executive Committee (the Chief Operating Decision Maker "CODM"), is responsible for allocation of resources to these segments, whereas, the Group's Performance Management Committee, based on delegation from CODM reviews the performance of these segments on a regular basis.

The following summary describes the operations in each of the Group's reportable segments:

Retail banking	comprises of retail products, wealth management, Islamic financing and investment in associates. It includes loans, deposits and other transactions and balances with retail customers.
Private banking	comprises of high net worth customers, asset management, brokerage, Islamic financing and investment in associates. It includes loans, deposits and other transactions and balances with corporate and private accounts of high net worth individuals and fund management activities
Wholesale banking	comprises of business banking, cash management, trade finance, corporate finance, small and medium enterprise financing, investment banking, Islamic financing, infrastructure and asset finance, government and public enterprises. It includes loans, deposits and other transactions and balances with corporate customers.
Investments and treasury	comprises of central treasury operations, management of the Group's investment portfolio and interest rate, currency and commodity derivative portfolio and Islamic financing. Investments and treasury undertakes the Group's funding and centralised financial risk management activities through borrowings, issue of debt securities and use of derivatives for risk management. It also undertakes trading and corporate finance activities and investing in liquid assets such as short-term placements, corporate and government debt securities.
Property management	comprises of real estate management, engineering service operations of subsidiaries and rental income earned from properties of the Group.

Information regarding the results of each reportable segment is shown below. Performance is measured based on segment profit, as included in the internal management reports that are reviewed by the Performance Management Committee. Segment profit is used to measure performance as management believes that such information is the most relevant in evaluating the results of these segments relative to other entities that operate within these industries.

The following is an analysis of the Group's revenue and results by operating segments for the year ended December 31, 2022:

	Retail banking AED'000	Private banking AED'000	Wholesale banking AED'000	Investments and treasury AED'000	Property management AED'000	Total AED'000
Net interest income	2,182,701	1,227,492	2,624,830	2,120,246	19,740	8,175,009
Net income from Islamic financing and investing products	1,030,630	39,697	403,157	545,470	(208)	2,018,746
Total net interest income and income from Islamic financing and investing products	3,213,331	1,267,189	3,027,987	2,665,716	19,532	10,193,755
Non-interest income	994,579	455,558	1,512,109	877,360	310,927	4,150,533
Operating income	4,207,910	1,722,747	4,540,096	3,543,076	330,459	14,344,288
Operating expenses	(2,807,617)	(254,846)	(1,294,259)	(346,634)	(184,947)	(4,888,303)
Operating profit before impairment charge	1,400,293	1,467,901	3,245,837	3,196,442	145,512	9,455,985
Impairment (charge)/release	(447,271)	(1,052,373)	(1,293,390)	14,121	-	(2,778,913)
Profit after impairment charge	953,022	415,528	1,952,447	3,210,563	145,512	6,677,072
Share in loss of associates	(4,574)	(3,889)	-	-	-	(8,463)
Profit before taxation	948,448	411,639	1,952,447	3,210,563	145,512	6,668,609
Overseas income tax charge	(24,273)	-	(59,050)	(51,750)	-	(135,073)
Loss from discontinued operations	-	-	(99,816)	-	-	(99,816)
Profit for the year	924,175	411,639	1,793,581	3,158,813	145,512	6,433,720
As at December 31, 2022						
Total assets	55,248,810	53,338,075	206,530,321	180,954,912	1,770,047	497,842,165
Total liabilities	71,750,920	43,153,857	162,605,453	157,956,543	949,255	436,416,028

The following is an analysis of the Group's revenue and results by operating segments for the year ended December 31, 2021:

	Retail banking AED'000	Private banking AED'000	Wholesale banking AED'000	Investments and treasury AED'000	Property management AED'000	Total AED'000
Net interest income	2,274,947	835,074	2,190,091	1,748,820	29,032	7,077,964
Net income from Islamic financing and investing products	947,792	35,902	383,211	418,064	597	1,785,566
Total net interest income and income from Islamic financing and investing products	3,222,739	870,976	2,573,302	2,166,884	29,629	8,863,530
Non-interest income	913,296	89,393	1,280,559	830,456	281,957	3,395,661
Operating income	4,136,035	960,369	3,853,861	2,997,340	311,586	12,259,191
Operating expenses	(2,493,522)	(224,402)	(1,099,450)	(284,834)	(155,032)	(4,257,240)
Operating profit before impairment charge	1,642,513	735,967	2,754,411	2,712,506	156,554	8,001,951
Impairment charge	(757,992)	(41,063)	(1,810,699)	(35,384)	(1,050)	(2,646,188)
Profit after impairment charge	884,521	694,904	943,712	2,677,122	155,504	5,355,763
Share in profit of associates	3,695	3,968	-	-	-	7,663
Profit before taxation	888,216	698,872	943,712	2,677,122	155,504	5,363,426
Overseas income tax charge	(19,863)	-	(15,637)	(64,105)	-	(99,605)
Loss from discontinued operations	(1,718)	-	(14,704)	-	-	(16,422)
Profit for the year	866,635	698,872	913,371	2,613,017	155,504	5,247,399
As at December 31, 2021						
Total assets	53,922,491	55,703,413	185,155,652	143,781,827	1,714,986	440,278,369
Total liabilities	71,246,970	25,536,713	131,382,759	152,063,395	678,506	380,908,343

Other disclosures

The following is the analysis of the total operating income of each segment between income from external parties and inter-segment.

	External		Inter-segment	
	2022 AED'000	2021 AED'000	2022 AED'000	2021 AED'000
Retail banking	**3,748,019**	3,862,733	**459,891**	273,302
Private banking	**2,548,928**	1,665,546	**(826,181)**	(705,177)
Wholesale banking	**6,167,227**	4,570,767	**(1,627,131)**	(716,906)
Investments and treasury	**1,571,635**	1,877,977	**1,971,441**	1,119,363
Property management	**308,479**	282,168	**21,980**	29,418
Total operating income	**14,344,288**	12,259,191	**-**	-

Geographical information

The Group operates in two principal geographic areas i.e. domestic and international. The United Arab Emirates is designated as domestic area which represents the operations of the Group that originates from the UAE branches and subsidiaries. International area represents the operations of the Group that originates from its subsidiaries outside UAE. The information regarding the Group's revenue from continuing operations and non-current assets by geographical location are detailed as follows:

	Domestic		International	
	2022 AED'000	2021 AED'000	2022 AED'000	2021 AED'000
Income				
Net interest income and income from Islamic financing and investing products	**9,583,095**	8,412,660	**610,660**	450,870
Non-interest income	**3,997,931**	3,306,168	**152,602**	89,493
Non-current assets				
Investment in associates	**252,525**	262,609	**-**	-
Investment properties	**1,673,983**	1,663,003	**17,907**	11,951
Property and equipment, net	**1,713,634**	1,814,261	**223,869**	250,009
Intangible assets	**7,068,207**	7,162,342	**83,987**	132,343

40. Financial instruments

Categories of financial instruments

The following tables analyse the Group's financial assets and financial liabilities in accordance with categories of financial instruments under IFRS 9 as at December 31, 2022.

	Measured at FVTPL AED'000	Hedging derivatives AED'000	Debt instruments classified at FVTOCI AED'000	Equity instruments designated at FVTOCI AED'000	Amortised cost AED'000	Total AED'000
As at December 31, 2022						
Assets						
Cash and balances with central banks, net	**-**	**-**	**-**	**-**	**39,429,308**	**39,429,308**
Deposits and balances due from banks, net	**-**	**-**	**-**	**-**	**35,339,202**	**35,339,202**
Financial assets at fair value through profit or loss(*)	**4,642,263**	**-**	**-**	**-**	**-**	**4,642,263**
Derivative financial instruments	**10,240,734**	**4,941,804**	**-**	**-**	**-**	**15,182,538**
Investment securities, net	**-**	**-**	**54,867,511**	**983,758**	**56,159,414**	**112,010,683**
Loans and advances to customers, net	**3,104,073**	**-**	**-**	**-**	**255,388,797**	**258,492,870**
Other assets, net	**-**	**-**	**-**	**-**	**21,575,530**	**21,575,530**
Total financial assets	**17,987,070**	**4,941,804**	**54,867,511**	**983,758**	**407,892,251**	**486,672,394**
Liabilities						
Due to banks	**-**	**-**	**-**	**-**	**9,719,193**	**9,719,193**
Derivative financial instruments	**9,846,608**	**6,378,777**	**-**	**-**	**-**	**16,225,385**
Deposits from customers	**-**	**-**	**-**	**-**	**308,930,699**	**308,930,699**
Euro commercial paper	**-**	**-**	**-**	**-**	**5,994,279**	**5,994,279**
Borrowings	**-**	**-**	**-**	**-**	**69,875,733**	**69,875,733**
Other liabilities	**-**	**-**	**-**	**-**	**24,307,172**	**24,307,172**
Total financial liabilities	**9,846,608**	**6,378,777**	**-**	**-**	**418,827,076**	**435,052,461**

(*)includes AED 504,402 thousand debt securities that are mandatorily measured at fair value through profit or loss

	Measured at FVTPL AED'000	Hedging derivatives AED'000	Debt instruments classified at FVTOCI AED'000	Equity instruments designated at FVTOCI AED'000	Amortised cost AED'000	Total AED'000
As at December 31, 2021						
Assets						
Cash and balances with central banks, net	-	-	-	-	33,746,202	33,746,202
Deposits and balances due from banks, net	-	-	-	-	26,670,143	26,670,143
Financial assets at fair value through profit or loss(*)	1,706,767	-	-	-	-	1,706,767
Derivative financial instruments	5,300,562	1,187,459	-	-	-	6,488,021
Investment securities, net	-	-	65,734,042	816,037	29,963,213	96,513,292
Loans and advances to customers, net	-	-	-	-	244,282,293	244,282,293
Other assets, net	-	-	-	-	19,256,022	19,256,022
Total financial assets	7,007,329	1,187,459	65,734,042	816,037	353,917,873	428,662,740
Liabilities						
Due to banks	-	-	-	-	7,205,333	7,205,333
Derivative financial instruments	4,751,338	1,812,041	-	-	-	6,563,379
Deposits from customers	-	-	-	-	265,052,325	265,052,325
Euro commercial paper	-	-	-	-	6,199,157	6,199,157
Borrowings	-	-	-	-	72,499,337	72,499,337
Other liabilities	-	-	-	-	21,973,478	21,973,478
Total financial liabilities	4,751,338	1,812,041	-	-	372,929,630	379,493,009

(*)includes AED 542,455 thousand debt securities that are mandatorily measured at fair value through profit or loss

41. Fair value hierarchy

Fair value measurements recognised in the consolidated financial statements

The fair value measurements are categorised into different levels in the fair value hierarchy based on the inputs to valuation techniques used. The different levels are defined as follows:

Quoted market prices - Level 1

Financial instruments are classified as Level 1 if their values are observable in an active market. Such instruments are valued by reference to unadjusted quoted prices for identical assets or liabilities in active markets where the quoted price is readily available and the price represents actual and regularly occurring market transactions.

Valuation techniques using observable inputs - Level 2

Financial instruments classified as Level 2 have been valued using models whose inputs are observable in an active market. Valuation based on observable inputs includes financial instruments such as swaps and forwards which are valued using market standard pricing techniques and options that are commonly traded in markets where all the inputs to the market standard pricing models are observable.

The category includes derivative financial instruments such as over the counter (OTC) derivatives, commodity derivatives, foreign exchange spot and forward contracts, certain investment securities, financial assets at FVTPL, euro commercial paper and borrowings. Valuation of the derivative financial instruments is made through discounted cash flow method using the applicable yield curve for the duration of the instruments for non-optional derivatives and standard option pricing models such as Black-Scholes and other valuation models for derivatives with options.

The Group periodically reviews its valuation techniques including the adopted methodologies and model calibrations. However, the base models may not fully capture all factors relevant to the valuation of the Group's financial instruments such as credit risk and funding costs. Therefore, the Group applies various techniques to estimate the credit risk associated with its financial instruments measured at fair value, which include a portfolio-based approach that estimates the expected net exposure per counterparty over the full lifetime of the individual assets, in order to reflect the credit risk of the individual counterparties for non-collateralised financial instruments. Credit valuation adjustment is calculated by multiplying the probability of default (PD), the loss given default (LGD) and the expected exposure at the time of default.

Collateral and netting arrangements are taken into account where applicable. The Group applies credit value adjustments to all relevant (not collateralised) OTC positions with the exception of positions settled through central clearing houses.

Funding value adjustment (FVA) reflects the impact of funding associated with collateralised and partly collateralised OTC positions. The Group calculates the FVA by applying estimated future funding costs to the expected future exposure that the Group will be required to fund as a result of the uncollateralised component of the OTC portfolio (i.e. the uncollateralised component of a collateralised portfolio and the entire uncollateralised portfolio).

Valuation techniques using significant unobservable inputs - Level 3

Financial instruments are classified as Level 3 if their valuation incorporates significant inputs that are not based on observable market data (unobservable inputs). A valuation input is considered observable if it can be directly observed from transactions in an active market.

Unobservable input levels are generally determined based on observable inputs of a similar nature, historical observations or other analytical techniques. This hierarchy requires the use of observable market data when available. The Group considers relevant and observable market prices in its valuations where possible.

Financial instruments under this category mainly include private equity instruments, funds and loans and advances to customers measured at FVTPL. The carrying values of these investments are adjusted as follows:

a) Private equity instruments - using the latest available net book value;

b) Funds - based on the net asset value provided by the fund manager; and

c) Loans and advances to customers measured at FVTPL - multiplying relevant market multiples to actual earnings before interest, tax, depreciation and amortisation (EBITDA).

The fair value of loans and advances measured at FVTPL would change with change in EBITDA and market multiple.

Investment properties are classified as Level 3 as their valuation incorporates significant unobservable inputs. The significant unobservable inputs used in the fair value measurement of the Group's investment properties are rental income and capitalisation rates. Significant decrease in rental income, or increase in capitalisation rates, in isolation would result in a significant lower fair value measurement. Generally, a change in the assumption used for rental income should be accompanied by a change in the assumption for capitalisation rates in the same direction as increase in rental income raises the expectations of the seller to earn from the investment property. Therefore, the effects of these changes partially offset each other. Refer note 13 in respect of valuation methodology used for investment properties.

Except as detailed in the following table, the management considers that the carrying amounts of financial assets and liabilities recognised in the consolidated financial statements do not materially differ from their fair values.

	Note	Level 1 Quoted market prices AED'000	Level 2 Observable inputs AED'000	Level 3 Significant unobservable inputs AED'000	Total fair value AED'000	Carrying value AED'000
As at December 31, 2022						
Assets at fair value						
Financial assets at fair value through profit or loss	8	751,911	3,890,352	-	4,642,263	4,642,263
Derivative financial instruments	9	10,525	15,172,013	-	15,182,538	15,182,538
Investment securities, net	10					
- At fair value through other comprehensive income		47,561,877	8,135,308	154,084	55,851,269	55,851,269
- At amortised cost		52,896,175	185,885	-	53,082,060	56,159,414
Loans and advances to customers at fair value through profit or loss	11	-	-	3,104,073	3,104,073	3,104,073
Investment properties	13	-	-	1,691,890	1,691,890	1,691,890
Total		101,220,488	27,383,558	4,950,047	133,554,093	136,631,447
Liabilities at fair value						
Derivative financial instruments	9	9,510	16,215,875	-	16,225,385	16,225,385
Liabilities at amortised cost						
Euro commercial paper	19	-	5,997,173	-	5,997,173	5,994,279
Borrowings	20	17,522,401	50,719,629	-	68,242,030	69,875,733
Total		17,531,911	72,932,677	-	90,464,588	92,095,397
As at December 31, 2021						
Assets at fair value						
Financial assets at fair value through profit or loss	8	584,705	1,122,062	-	1,706,767	1,706,767
Derivative financial instruments	9	966	6,487,055	-	6,488,021	6,488,021
Investment securities, net	10					
- At fair value through other comprehensive income		61,322,931	5,062,679	164,469	66,550,079	66,550,079
- At amortised cost		29,674,807	-	-	29,674,807	29,963,213
Investment properties	13	-	-	1,674,954	1,674,954	1,674,954
Total		91,583,409	12,671,796	1,839,423	106,094,628	106,383,034
Liabilities at fair value						
Derivative financial instruments	9	1,387	6,561,992	-	6,563,379	6,563,379
Liabilities at amortised cost						
Euro commercial paper	19	-	6,200,006	-	6,200,006	6,199,157
Borrowings	20	16,399,128	54,482,036	-	70,881,164	72,499,337
Total		16,400,515	67,244,034	-	83,644,549	85,261,873

The Group's OTC derivatives in the trading book are classified as Level 2 as they are valued using inputs that can be observed in the market.

Reconciliation showing the movement in fair values of Level 3 investments designated at FVTOCI is as follows:

	As at December 31 2022 AED'000	As at December 31 2021 AED'000
Opening balance	**164,469**	205,981
Purchases, net during the year	**6,693**	19,165
Disposals including capital refunds during the year	**(19,826)**	(6,907)
Adjustment through other comprehensive income during the year	**2,748**	(53,770)
Closing balance	**154,084**	164,469

The purchases under Level 3 category represents mainly capital contributions made during the year into private equity funds under existing capital commitments.

The disposals during the year mainly represents sale of certain investments and capital refunds distributed by the private equity fund managers out of sale of underlying investments held in the funds.

Gain of AED 1,526 thousand (2021 - gain of AED 4,012 thousand) was realised on disposal of Level 3 equity investments designated at FVTOCI and were transferred to retained earnings.

There were no significant transfers between Level 1 and Level 2 investments and no change in valuation techniques used during the year.

Unconsolidated structured entity

Level 1 financial instruments include the Group's investments in certain Funds. The total carrying value of investments in these Funds as at December 31, 2022 was AED 212,570 thousand (December 31, 2021 - AED 212,061 thousand). The maximum exposure to loss in these Funds is equal to the carrying value of the investments.

42. Risk management

Risk governance structure emphasises and balances strong central oversight and control of risk with clear accountability for ownership of risk within each business unit. Group has a documented risk governance policy which sets out the framework for risk management. Under the Group's approach to risk governance, the business primarily owns the risk that it generates and is the first line of defence for assessing risk, designing and implementing controls and monitoring and reporting their ongoing effectiveness to safeguard the Group from exceeding its risk appetite.

Ultimate responsibility for setting out risk appetite and effective management of risk rests with the Board. This is managed through various Board level committees, namely Board Risk Management Committee (BRC) and Board Executive Committee (BEC), which ensure that risk taking authority and policies are cascaded down from the Board to the appropriate business units.

Acting within the authority delegated by the Board, the BRC has overall responsibility for oversight and review of all areas of risks. It periodically reviews and monitors compliance with the Group's overall risk appetite and makes recommendations thereon to the Board. Its responsibilities also include reviewing the appropriateness and effectiveness of the Group's risk management systems and controls, overseeing the management risk committees and ensuring that the Group's risk governance is supportive of prudent risk taking at all levels in the Group. The BRC receives on a regular basis, portfolio level briefings from the Group Chief Risk Officer (GCRO) along with regular reports on risk management, including portfolio trends, policy parameters, key risk indicators, results of stress testing and changes to the assumptions, liquidity measures, capital adequacy and planning, and also is authorised to investigate or seek any information relating to any activity within its terms of reference. The BRC also conducts 'deep dive' reviews on a rolling basis of different sections of the consolidated group risk information report. The Board Executive Committee (BEC) will be responsible for approving high value credits beyond the management delegated lending limits.

The Management Executive Committee (MEC) has primary responsibility for implementing, overseeing and taking ownership for the enforcement of risk strategy and internal control directives laid down by the Board and Board committees.

In addition to MEC, other management level committees that actively manage risk include:

- Assets and Liabilities Management Committee (ALCO),
- Risk Management Committee (RMC),
- Model Risk Management Committee (MRMC),
- Management Recoveries Committee (MRC),
- Management Credit Committee (MCC), and
- Management Compliance Committee.

The Risk Management function headed by the GCRO reports independently to BRC and administratively to the Group Chief Executive Officer (GCEO). The risk function is independent of the origination, trading and sales function to ensure balance in risk reward decision is not compromised and to ensure transparency of

decisions in accordance with laid down standards and policies. The risk function is also independent of the credit underwriting division which is headed by the Group Chief Credit Officer. The risk function exercises control over all areas of risks. These includes credit, market, liquidity, operational, fraud, Shari'ah, reputational, data management, information security, ESG (Environment, Social Governance) and model risk. The risk function also oversees Group's international branches and subsidiaries.

Board Audit Committee (BAC) provides assistance to the Board to fulfill its duties to ensure and oversee the Group's financial statements, independence and performance of the Group's external and internal auditors, adherence with legal and regulatory requirements and internal policies and internal control over financial reporting. BAC also has oversight of the Bank's compliance activities (financial crime prevention, anti-money laundering, know your customer requirements, etc.) and CBUAE standards and regulations that affect the operations of the Bank.

The Internal Audit division (IAD) aims to apply a systematic and disciplined approach to evaluating and improving the effectiveness of the Group's risk management, control and governance processes. The IAD reports directly to BAC. The IAD consists of a team of auditors, whose tasks are, among other things, to evaluate the quality of the Group's lending portfolio, controls in operational processes and the integrity of the Group's information systems and databases. The IAD auditors, alongside the compliance department, also ensure that transactions undertaken by the Group are conducted in compliance with applicable legal and regulatory requirements and in accordance with the Group's internal procedures, thereby minimising the risk of fraudulent, improper or illegal practices.

43. Credit risk management

Credit risk is the risk that a customer or counterparty will default on its contractual obligations resulting in financial loss to the Group. The Group's main income generating activity is lending to customers and therefore credit risk is a principal risk. Credit risk mainly arises from loans and advances to customers and other banks (including related commitments to lend such as loan or credit card facilities), investments in debt securities and derivatives that are an asset position. The Group considers all elements of credit risk exposure such as counterparty default risk, geographical risk and sector risk for risk management purposes.

The Group's risk committee is responsible for managing the Group's credit risk by:

- Ensuring that the Group has appropriate credit risk practices, including an effective system of internal control, to consistently determine adequate allowances in accordance with the Group's stated policies and procedures, IFRS and relevant supervisory guidance.
- Identifying, assessing and measuring credit risk across the Group.
- Formulating credit policies to protect the Group against the identified risks including the requirements to obtain collateral from borrowers, to perform robust ongoing credit assessment of borrowers and to continually monitor exposures against internal risk limits.
- Limiting concentrations of exposure by type of asset, counterparties, industry, credit rating, geographic location, etc.
- Establishing a robust control framework regarding the authorisation structure for the approval and renewal of credit facilities.
- Developing and maintaining the Group's risk grading to categorise exposures according to the degree of risk of default. Risk grades are subject to regular reviews.
- Developing and maintaining the Group's processes for measuring ECL including monitoring of credit risk, incorporation of forward looking information and the method used to measure ECL.
- Ensuring that the Group has policies and procedures in place to appropriately maintain and validate models used to assess and measure ECL.
- Establishing a sound credit risk assessment and measurement process that provides it with a strong basis for common systems, tools and data to assess credit risk and to account for ECL. Providing advice, guidance and specialist skills to business units to promote best practice throughout the Group in the management of credit risk.
- Managing the credit exposure relating to its trading activities by entering into master netting agreements and collateral arrangements with counterparties in appropriate circumstances and limiting the duration of exposure. In certain cases, the Group may also close out transactions or assign them to other counterparties to mitigate credit risk.

The Group wide credit policies and standards are approved by BRC. These govern all delegated lending authorities and include policies, standards, metrics, strategies and procedures specific to each of the different business segments and are decided based on the macro economic conditions, the risk appetite of the Group, market data and internal skill sets and capabilities. They are regularly reviewed and modified to ensure they stay current, relevant and protect the Group's interest in changing operating conditions. In addition to Group wide policies, there are underwriting standards set for each portfolio segment. The internal audit function performs regular audits making sure that the established controls and procedures are adequately designed and implemented.

ABU DHABI COMMERCIAL BANK PJSC
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED DECEMBER 31, 2022

Risk ratings

Internal credit risk ratings

In order to measure credit risk, the Group Risk Management has developed credit risk grading to categorise exposures according to their degree of risk of default. The Group's credit risk grading framework comprises of ten categories and 21 risk grades. The credit rating information is based on a range of data that is determined to be predictive of the risk of default and applying experienced credit judgement. The Group uses various qualitative and quantitative factors such as borrower financial strength, industry risk factors, management quality, operational efficiency, company standing, liquidity, capital structure, peer group analysis, etc. The nature of the exposure and type of borrower are taken into account in the analysis. Credit risk grades are defined using qualitative and quantitative factors that are indicative of risk of default. The Group uses several internal rating models to effecttively rate customers based on the customer segment. These rating models have been developed internally and validated on a regular basis by both internal and external validation teams. The rating models have been calibrated based on ADCB's default rate history. The Group also has an LGD rating scale and assigns LGD rating to each of its wholesale customers.

The credit risk grades are designed and calibrated to reflect the risk of default as credit risk deteriorates. As the credit risk increases the difference in risk of default between grades changes. Each exposure is allocated to a credit risk grade at initial recognition, based on the available information about the counterparty. All exposures are monitored and the credit risk grade is updated to reflect current information. The monitoring procedures followed are both general and tailored to the type of exposure. The following data are typically used to monitor the Group's exposures:

- Financial ratios - absolute values, peer analyis;
- Industry risk;
- Qualitative factors such as management strength, concentrations, etc.;
- Payment record, including payment ratios and ageing analysis;
- Changes in business, financial and economic conditions;
- Credit rating information supplied by external rating agencies;
- For retail exposures: internally generated data of customer behaviour, affordability metrics, etc.; and
- For corporate exposures: information obtained by periodic review of customer files including review of audited financial statements and market data.

The Group collects performance and default information about its credit risk exposures analysed by jurisdiction or region and by type of product and borrower as well as by credit risk grading. The information used is both internal and external depending on the portfolio assessed. The table below provides an indicative mapping of the Group's internal credit risk grades to external ratings.

Rating category	Moody's	S&P	Fitch	Description
1	Aaa	AAA	AAA	Investment grade
2	Aa1 - Aa3	AA+ - AA-	AA+ - AA-	Investment grade
3	A1 - A3	A+ - A-	A+ - A-	Investment grade
4	Baa1 - Baa3	BBB+ - BBB-	BBB+ - BBB-	Investment grade
5	Ba1 - Ba3	BB+ - BB-	BB+ - BB-	Non-investment grade
6	B1 - B3	B+ - B-	B+ - B-	Non-investment grade
7	Caa1 - Caa3	CCC - CCC-	CCC - C	Watch list
8-10	Default	Default	Default	Default

Some of these grades are further sub-classified with a plus or a minus sign. Lower grades are indicative of a lower likelihood of default. Credit grades 1-7 are assigned to performing customers or accounts while credit grades 8-10 are assigned to non-performing or defaulting customers.

Credit ratings are used by the Group to decide the maximum lending amount per customer group and also to set minimum pricing thresholds. The Bank also uses these internal ratings as a input to the IFRS 9 ECL model and these ratings are also used to determine the staging of the customer.

Retail customers or individual borrowers are not assigned a credit rating under this structure. However, retail banking division uses behaviour scoring for its customers.

The internal credit grade system is not intended to replicate external credit grades but factors used to grade a borrower may be similar, a borrower rated poorly by an external rating agency is typically assigned a higher internal credit grade. The basis for determining ECL is as follows:

IFRS 9 Staging	Basis for determining ECL
1	12 months ECL
2	Lifetime ECL
3 including POCI	Credit impairment based on discounted cash flow model

The quality of credit risk exposure is disclosed in note 43.2.

External credit risk ratings

The table below presents the external credit ratings of the Group's deposits and balances due from banks, gross, financial assets at fair value through profit or loss (FVTPL) and investment securities, gross based on S&P's rating scale. Bond issuer level ratings are used in case ratings are not available at issuance level. Wherever S&P's ratings are not available, comparable Fitch or Moody's equivalent ratings scale is used.

	As at December 31, 2022				As at December 31, 2021			
Ratings	Deposits and balances due from banks, gross AED'000	Financial assets at FVTPL AED'000	Bond securities at amortised cost, gross AED'000	Bond securities designated at FVTOCI AED'000	Deposits and balances due from banks, gross AED'000	Financial assets at FVTPL AED'000	Bond securities at amortised cost, gross AED'000	Bond securities designated at FVTOCI AED'000
AAA to AA-	**2,192,583**	**700,419**	**29,913,315**	**19,939,742**	505,724	542,455	14,350,410	24,669,402
A+ to A-	**14,573,848**	**-**	**17,427,330**	**20,231,083**	9,007,526	-	11,044,141	19,608,741
BBB+ to BBB-	**6,207,554**	**24,086**	**6,665,661**	**7,204,035**	5,127,203	-	1,670,562	10,126,672
BB+ to B-	**12,138,660**	**3,917,758**	**1,895,148**	**6,517,011**	10,798,556	1,122,062	1,195,740	9,341,678
CCC+ to C-	**125,429**	**-**	**-**	**-**	57,462	-	-	-
UAE Sovereigns	**-**	**-**	**284,828**	**975,640**	-	-	1,701,937	1,956,696
Unrated	**228,621**	**-**	**-**	**-**	1,215,278	-	20,132	30,853
	35,466,695	**4,642,263**	**56,186,282**	**54,867,511**	26,711,749	1,664,517	29,982,922	65,734,042

Internal ratings of UAE Sovereigns and unrated bond securities with comparable external ratings are as follows:

	Internal rating	External rating	2022 AED'000	2021 AED'000
UAE Sovereigns	Grade 2 to 3	AA to A	**1,260,468**	3,658,633
Unrated	Grade 8	D	**-**	50,985
			1,260,468	3,709,618

Significant increase in credit risk

As explained in note 3.8(h), the Group monitors all financial assets that are subject to impairment requirements to assess whether there has been a significant increase in credit risk since initial recognition. If there has been a significant increase in credit risk, the Group will measure the loss allowance based on lifetime rather than 12-month ECL.

The Group uses different criteria to determine whether credit risk has increased significantly per portfolio of assets. The criteria used are both deterioration in internal/external ratings as well as qualitative. The SICR indicators per type of asset and the rating deterioration that are determined to be significant are summarised below.

SICR - from stage 1 to stage 2 for non-retail loans and advances, debt instruments and money market instruments

Grade/facility status	SICR indicators
Investment grade	6 notches rating downgrade
Non-investment grade	3 notches rating downgrade
Across investment/ non-investment grade	3 notches rating downgrade across investment to non-investment grade
Credit restructured	Restructured for credit reasons in the last 12 months
Watch list	Flagged as watch list or accounts that are more than 30 days past due (DPD)
Others	All other criteria as per Central Bank

SICR - from stage 1 to stage 2 for retail loans and advances and credit cards

Criteria to determine whether credit risk has increased significantly are as follows:

- greater than 30 DPD;
- at least three times 30 DPD or more in the last 12 months;
- at least two times 60 DPD or more in the last 12 months.

In addition to above rating deterioration criteria, the Group also considers other qualitative SICR indicators as suggested in IFRS 9 and CBUAE guidelines.

Default - Stage 3

	Default indicators
Non retail loans and advances	Sub-standard, doubtful or loss flagging - this includes all accounts that are over 90 days past due
Debt instruments and money market instruments	Sub-standard, doubtful or loss flagging
Retail loans and advances and credit cards	90 days past due

Exposure other than to a Sovereign with a rating of A (equivalent internal rating of 3) or better and Sovereign exposures with investment grade rating from an External Rating Agency (BBB- or better) will be classified as low credit risk (LCR).

Loan commitments are assessed along with the category of loan the Group is committed to provide, i.e. commitments to provide mortgages are assessed using similar criteria to mortgage loans while commitments to provide a corporate loan are assessed using similar criteria to corporate loans.

In addition, the Group also follows a probation period for backward transition of staging:

An account has to be in stage 2 for a minimum of 12 months (cure period) for it to move to stage 1 and an account in stage 3 has to move to stage 2 before moving to stage 1.

The Group also employs customer level staging for high risk customers i.e. if a customer is rated 6+ or worse, all the accounts of the customer are assigned the worse staging. The top 70% of the non retail exposures are individually assesssed for any SICR not reflected in the ratings.

Irrespective of the outcome of the above assessment, the Group presumes that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 30 days past due unless the Group has reasonable and supportable information that demonstrates otherwise.

The Group has monitoring procedures in place to make sure that the criteria used to identify significant increases in credit risk are effective, meaning that significant increase in credit risk is identified before the exposure is defaulted. The Group performs periodic back-testing of its ratings to consider whether the drivers of credit risk that led to default were accurately reflected in the rating in a timely manner.

Incorporation of forward-looking information

The Group uses forward-looking macro-economic variables in its measurement of ECL. The Group Chief Economist provides the macro-economic forecasts and scenarios.

The Group has identified and documented key drivers of credit risk and credit losses for each portfolio of financial instruments and has macro-economic models that forecast relationships between macro-economic variables and credit losses.

During the year, the Group changed its macro-economic variables forecast in line with the prevailing market conditions. The Group has implemented new macro-economic models. The number of macro-economic models were increased to cater to the portfolio size and appropriate segmentation.

The table below summarises the principal macro-economic indicators included in the economic scenarios used at December 31, 2022 for the years 2023 to 2025, for UAE which is the country where the Group primarily operates and therefore is the country that has a material impact on ECLs. The base case economic scenario is having a weightage of 60% while the other two scenarios have a weightage of 20% each.

List of macro-economic variables used	Definition	Scenario	2023	2024	2025
Oil price, Brent USD	Price per barrel	Base	95	88	84
		Upside	110	100	95
		Downside	84	77	70
Real GDP growth	% change	Base	3.4	3.0	3.0
		Upside	5.1	4.4	4.0
		Downside	2.9	2.9	2.3
Real non-oil GDP growth	% change	Base	3.0	2.8	3.0
		Upside	4.3	3.7	4.0
		Downside	2.7	2.8	2.4
Consumer inflation	% annual average	Base	2.5	2.0	1.5
		Upside	3.5	3.0	2.7
		Downside	1.5	1.2	1.6
Dubai real estate sale prices	% change	Base	5.0	3.2	2.0
		Upside	7.6	5.0	5.0
		Downside	4.0	3.0	2.0

Predicted relationships between the key indicators and default rates on various portfolios of financial assets have been developed based on analysing historical data of more than five years.

Measurement of ECL

The key inputs used for measuring ECL are:

- probability of default (PD);
- loss given default (LGD); and
- exposure at default (EAD).

These figures are generally derived from internally developed statistical models and other historical data and they are adjusted to reflect probability-weighted forward-looking information.

PD is an estimate of the likelihood of default over a given time horizon. It is estimated as at a point in time. The calculation is based on statistical rating models, and assessed using rating tools tailored to the various categories of counterparties and exposures. These statistical models are based on market data (where available), as well as internal data comprising both quantitative and qualitative factors. PDs are estimated based on customer risk profile, adjusted to take into account the future economic conditions that will impact PD.

LGD is an estimate of the loss arising on default. It is either based on Basel LGD for low default portfolio or on internal ADCB experience in term of workout process and recovery data. The internal models take into consideration all the collected amounts, the time to recovery, the discount rate which is EIR at the default date, the exposure at default and all direct and indirect costs. The seniority of the facility and the type of collateral are important criteria and are considered in the LGD calculation. For ECL calculation, the LGD are converted to point-in time to reflect the economic forecast in each scenario.

EAD is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest and expected drawdowns on committed facilities. The Group's modelling approach for EAD reflects expected changes in the balance outstanding over the lifetime of the loan exposure that are permitted by the current contractual terms, such as amortisation profiles, early repayment or overpayment, changes in utilisation of undrawn commitments and credit mitigation actions taken before default. The Group uses EAD models that reflect the characteristics of the portfolios.

The Group measures ECL considering the risk of default over the maximum contractual period (including extension options) over which the entity is exposed to credit risk. However, for financial instruments such as credit cards, revolving credit facilities and overdraft facilities that include both a loan and an undrawn commitment component, the Group's contractual ability to demand repayment and cancel the undrawn commitment does not limit the Group's exposure to credit losses to the contractual notice period. For such financial instruments the Group measures ECL over the period that it is exposed to credit risk and ECL would not be mitigated by credit risk management actions, even if that period extends beyond the maximum contractual period. These financial instruments do not have a fixed term or repayment structure and have a short contractual cancellation period. However, the Group does not enforce in the normal day-to-day management the contractual right to cancel these financial instruments. This is because these financial instruments are managed on a collective basis and are cancelled only when the Group becomes aware of an increase in credit risk at the facility level.

The ECL calculation for accounting purposes is different to the provision calculation for regulatory purposes, although many inputs used are similar. The Group has ensured that the appropriate methodology is used when calculating ECL for both accounting and regulatory purposes.

43.1 Maximum exposure to credit risk

The gross exposure to credit risk for on balance sheet items is their carrying value. For financial guarantees recorded off balance sheet, the gross exposure to credit risk is the maximum amount that the Group would have to pay if the guarantees were to be called upon. For loans and other credit related commitments that are irrevocable over the life of the respective facilities, the gross exposure to credit risk is the full amount of the committed facilities.

The following table presents the maximum exposure of credit risk for amortised cost financial instruments, derivative financial instruments, investment securities (bonds), financial instruments at fair value through profit or loss and off-balance sheet financial instruments as at December 31, 2022 and 2021, after allowance for impairment and netting where appropriate and after taking into account any collateral held or other credit risk mitigants (CRMs).

	On-balance sheet AED'000	Off-balance sheet AED'000	Gross credit risk exposure AED'000	Gross CRMs AED'000	Maximum credit risk exposure AED'000
As at December 31, 2022					
Cash and balances with central banks, net	**39,429,308**	**-**	**37,025,841**	**-**	**37,025,841**
Deposits and balances due from banks, net	**35,339,202**	**-**	**35,339,202**	**584,400**	**34,754,802**
Financial assets at fair value through profit or loss	**4,642,263**	**-**	**4,642,263**	**3,170,333**	**1,471,930**
Derivative financial instruments	**15,182,538**	**-**	**15,182,538**	**13,521,902**	**1,660,636**
Investment securities, net	**112,010,683**	**-**	**111,026,925**	**-**	**111,026,925**
Loans and advances to customers, net(*)	**258,492,870**	**94,355,683**	**352,848,553**	**123,594,849**	**229,253,704**
Other assets, net	**21,711,189**	**-**	**21,575,530**	**12,267,142**	**9,308,388**
Total	**486,808,053**	**94,355,683**	**577,640,852**	**153,138,626**	**424,502,226**
As at December 31, 2021					
Cash and balances with central banks, net	33,746,202	-	31,405,262	-	31,405,262
Deposits and balances due from banks, net	26,670,143	-	26,670,143	-	26,670,143
Financial assets at fair value through profit or loss	1,706,767	-	1,664,517	1,122,062	542,455
Derivative financial instruments	6,488,021	-	6,488,021	4,452,806	2,035,215
Investment securities, net	96,513,292	-	95,697,255	-	95,697,255
Loans and advances to customers, net	244,282,293	82,835,829	327,118,122	130,519,547	196,598,575
Other assets, net	19,354,460	-	19,256,018	12,650,288	6,605,730
Total	428,761,178	82,835,829	508,299,338	148,744,703	359,554,635

(*)includes loans and advances to customers at fair value through profit or loss, refer note 11

43.2 Gross exposure

An analysis of the Group's credit risk exposure per class of financial asset, internal rating and "stage" without taking into account the effects of any collateral or other credit enhancements is provided in the following tables. Unless specifically indicated, for financial assets, the amounts in the table represent gross carrying amounts. For loan commitments and financial guarantee contracts, the amounts in the table represent the amounts committed or guaranteed, respectively.

Gross exposure as at December 31, 2022 is as follows:

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Balances with central banks (Note 6)	**37,027,415**	**-**	**-**	**-**	**37,027,415**
Deposits and balances due from banks (Note 7)	**35,263,253**	**203,442**	**-**	**-**	**35,466,695**
Investment securities at amortised cost (Note 10)	**56,186,282**	**-**	**-**	**-**	**56,186,282**
Investment securities designated at FVTOCI (Note 10)	**54,856,972**	**10,539**	**-**	**-**	**54,867,511**
Loans and advances to customers (Note 11)(*)	**235,550,671**	**16,688,102**	**12,481,812**	**2,426,214**	**267,146,799**
Other assets (Note 14)	**21,306,940**	**257,254**	**20,039**	**6,918**	**21,591,151**
Letters of credit, guarantees and other commitments (Note 38)	**87,830,847**	**6,301,431**	**-**	**223,405**	**94,355,683**
Total gross exposure	**528,022,380**	**23,460,768**	**12,501,851**	**2,656,537**	**566,641,536**

(*)excludes loans and advances to customers at fair value through profit or loss

Gross exposure as at December 31, 2021 is as follows:

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Balances with central banks (Note 6)	31,405,754	-	-	-	31,405,754
Deposits and balances due from banks (Note 7)	26,439,250	272,499	-	-	26,711,749
Investment securities at amortised cost (Note 10)	29,962,790	-	-	20,132	29,982,922
Investment securities designated at FVTOCI (Note 10)	64,678,283	1,024,906	30,853	-	65,734,042
Loans and advances to customers (Note 11)	215,923,239	20,215,770	14,923,704	4,049,964	255,112,677
Other assets (Note 14)	18,902,550	334,879	33,198	4,780	19,275,407
Letters of credit, guarantees and other commitments (Note 38)	75,796,968	6,613,976	-	424,885	82,835,829
Total gross exposure	463,108,834	28,462,030	14,987,755	4,499,761	511,058,380

The table below summarises gross exposure as at year end per class of exposure/asset, internal rating and stage:

As at December 31, 2022	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Financial instruments carried at amortised cost					
Grades 1-4	**232,236,680**	**453,389**	**-**	**-**	**232,690,069**
Grades 5-6	**96,796,786**	**7,882,071**	**3,911**	**-**	**104,682,768**
Grade 7	**4,849,268**	**7,730,313**	**6,469**	**-**	**12,586,050**
Grades 8-10	**-**	**-**	**11,804,243**	**2,354,841**	**14,159,084**
Unrated	**51,451,827**	**1,083,025**	**687,228**	**78,291**	**53,300,371**
Gross financial instruments carried at amortised cost	**385,334,561**	**17,148,798**	**12,501,851**	**2,433,132**	**417,418,342**
Debt instruments designated at FVTOCI					
Grades 1-4	**46,685,481**	**-**	**-**	**-**	**46,685,481**
Grades 5 - 6	**8,171,491**	**10,539**	**-**	**-**	**8,182,030**
Gross debt instruments designated at FVTOCI	**54,856,972**	**10,539**	**-**	**-**	**54,867,511**
Commitments and contingent liabilities					
Grades 1-4	**58,367,307**	**108,645**	**-**	**-**	**58,475,952**
Grades 5-6	**27,840,896**	**1,434,882**	**-**	**-**	**29,275,778**
Grade 7	**1,206,740**	**4,757,904**	**-**	**-**	**5,964,644**
Grades 8-10	**-**	**-**	**-**	**223,405**	**223,405**
Unrated	**415,904**	**-**	**-**	**-**	**415,904**
Total commitments and contingent liabilities	**87,830,847**	**6,301,431**	**-**	**223,405**	**94,355,683**

Unrated exposure in financial instruments carried at amortised cost comprising mainly of retail loans and credit card exposures can be further classified as below:

As at December 31, 2022	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Performing (Grades 1 - 6)	**51,451,827**	**493,928**	**-**	**-**	**51,945,755**
Watch list (Grade 7)	**-**	**589,097**	**-**	**-**	**589,097**
Non-performing (Grades 8 - 10)	**-**	**-**	**687,228**	**78,291**	**765,519**
Total	**51,451,827**	**1,083,025**	**687,228**	**78,291**	**53,300,371**

As at December 31, 2021	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Financial instruments carried at amortised cost					
Grades 1-4	182,555,059	702,243	-	-	183,257,302
Grades 5-6	90,140,880	10,491,014	4,334	-	100,636,228
Grade 7	2,728,318	8,304,642	9,548	-	11,042,508
Grades 8-10	-	-	14,100,548	3,978,118	18,078,666
Unrated	47,209,326	1,325,249	842,472	96,758	49,473,805
Gross financial instruments carried at amortised cost	322,633,583	20,823,148	14,956,902	4,074,876	362,488,509
Debt instruments designated at FVTOCI					
Grades 1-4	56,361,510	-	-	-	56,361,510
Grades 5-6	8,316,773	1,024,906	-	-	9,341,679
Grade 8-10	-	-	30,853	-	30,853
Gross debt instruments designated at FVTOCI	64,678,283	1,024,906	30,853	-	65,734,042
Commitments and contingent liabilities					
Grades 1-4	46,486,553	39,381	-	-	46,525,934
Grades 5-6	27,187,596	1,940,650	-	-	29,128,246
Grade 7	1,661,456	4,633,945	-	-	6,295,401
Grades 8-10	-	-	-	424,885	424,885
Unrated	461,363	-	-	-	461,363
Total commitments and contingent liabilities	75,796,968	6,613,976	-	424,885	82,835,829

Unrated exposure in financial instruments carried at amortised cost comprising mainly of retail loans and credit card exposures can be further classified as below:

As at December 31, 2021	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Performing (Grades 1 - 6)	47,209,326	756,519	-	-	47,965,845
Watch list (Grade 7)	-	568,730	-	-	568,730
Non-performing (Grades 8 - 10)	-	-	842,472	96,758	939,230
Total	47,209,326	1,325,249	842,472	96,758	49,473,805

The movement of gross exposure is as follows:

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Financial instruments carried at amortised cost					
Balance as at January 1, 2022	**322,633,583**	**20,823,148**	**14,956,902**	**4,074,876**	**362,488,509**
- Transfer from stage 1 to stage 2	**(3,003,671)**	**3,003,671**	**-**	**-**	**-**
- Transfer from stage 1 to stage 3	**(582,939)**	**-**	**582,939**	**-**	**-**
- Transfer from stage 2 to stage 1	**4,074,699**	**(4,074,699)**	**-**	**-**	**-**
- Transfer from stage 2 to stage 3	**-**	**(2,885,993)**	**2,885,993**	**-**	**-**
- Transfer from stage 3 to stage 2	**-**	**395,221**	**(395,221)**	**-**	**-**
Other movements within the same stage	**(1,895,702)**	**(111,972)**	**(748,462)**	**(770,955)**	**(3,527,091)**
New financial assets originated/purchased	**190,479,592**	**2,025,001**	**638,719**	**-**	**193,143,312**
Financial assets derecognised	**(123,070,704)**	**(1,757,721)**	**(3,085,129)**	**(904,237)**	**(128,817,791)**
Adjustments to gross carrying value due to changes in estimated cash flows	**-**	**-**	**-**	**346,269**	**346,269**
Net amounts written-off	**-**	**-**	**(2,220,273)**	**(312,821)**	**(2,533,094)**
Impact of currency translation	**(3,300,297)**	**(267,858)**	**(113,617)**	**-**	**(3,681,772)**
Balance as at December 31, 2022	**385,334,561**	**17,148,798**	**12,501,851**	**2,433,132**	**417,418,342**
Debt instruments designated at FVTOCI					
Balance as at January 1, 2022	**64,678,283**	**1,024,906**	**30,853**	**-**	**65,734,042**
Other movements within the same stage	**(4,870,031)**	**(12,824)**	**20,950**	**-**	**(4,861,905)**
New financial assets purchased	**21,709,838**	**-**	**-**	**-**	**21,709,838**
Financial assets derecognised	**(24,772,420)**	**(1,001,543)**	**-**	**-**	**(25,773,963)**
Net amounts written-off	**-**	**-**	**(51,803)**	**-**	**(51,803)**
Impact of currency translation	**(1,888,698)**	**-**	**-**	**-**	**(1,888,698)**
Balance as at December 31, 2022	**54,856,972**	**10,539**	**-**	**-**	**54,867,511**
Commitments and contingent liabilities					
Balance as at January 1, 2022	**75,796,968**	**6,613,976**	**-**	**424,885**	**82,835,829**
- Transfer from stage 1 to stage 2	**(1,524,991)**	**1,524,991**	**-**	**-**	**-**
- Transfer from stage 2 to stage 1	**507,151**	**(507,151)**	**-**	**-**	**-**
Other movements within the same stage	**(971,099)**	**(173,709)**	**-**	**(25,643)**	**(1,170,451)**
New financial assets originated/purchased	**39,383,970**	**196,157**	**-**	**-**	**39,580,127**
Financial assets derecognised	**(24,612,610)**	**(1,346,951)**	**-**	**(175,837)**	**(26,135,398)**
Impact of currency translation	**(748,542)**	**(5,882)**	**-**	**-**	**(754,424)**
Balance as at December 31, 2022	**87,830,847**	**6,301,431**	**-**	**223,405**	**94,355,683**

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Financial instruments carried at amortised cost					
Balance as at January 1, 2021	289,256,767	22,237,158	15,807,707	4,325,945	331,627,577
Addition on business combinations	1,049,092	-	-	35,979	1,085,071
- Transfer from stage 1 to stage 2	(4,974,888)	4,974,888	-	-	-
- Transfer from stage 1 to stage 3	(2,154,529)	-	2,154,529	-	-
- Transfer from stage 2 to stage 1	4,381,485	(4,381,485)	-	-	-
- Transfer from stage 2 to stage 3	-	(2,110,544)	2,110,544	-	-
- Transfer from stage 3 to stage 2	-	783,928	(783,928)	-	-
Other movements within the same stage	(4,840,451)	(415,594)	(1,084,014)	(236,719)	(6,576,778)
New financial assets originated/purchased	118,824,979	2,275,518	1,038,973	-	122,139,470
Financial assets derecognised	(78,908,872)	(2,540,721)	(490,536)	(170,367)	(82,110,496)
Adjustments to gross carrying value due to changes in estimated cash flows	-	-	-	491,375	491,375
Net amounts written-off	-	-	(3,796,373)	(371,337)	(4,167,710)
Balance as at December 31, 2021	322,633,583	20,823,148	14,956,902	4,074,876	362,488,509
Debt instruments designated at FVTOCI					
Balance as at January 1, 2021	64,128,009	1,326,437	122,562	-	65,577,008
Other movements within the same stage	(1,583,223)	(27,394)	63,293	-	(1,547,324)
New financial assets purchased	19,607,262	-	-	-	19,607,262
Financial assets derecognised	(17,473,765)	(274,137)	-	-	(17,747,902)
Net amounts written-off	-	-	(155,002)	-	(155,002)
Balance as at December 31, 2021	64,678,283	1,024,906	30,853	-	65,734,042
Commitments and contingent liabilities					
Balance as at January 1, 2021	72,106,276	4,992,500	-	590,196	77,688,972
- Transfer from stage 1 to stage 2	(2,870,972)	2,870,972	-	-	-
- Transfer from stage 2 to stage 1	980,358	(980,358)	-	-	-
Other movements within the same stage	(1,508,076)	(81,371)	-	(94,289)	(1,683,736)
New financial assets originated/purchased	29,726,376	1,621,044	-	-	31,347,420
Financial assets derecognised	(22,636,994)	(1,808,811)	-	(71,022)	(24,516,827)
Balance as at December 31, 2021	75,796,968	6,613,976	-	424,885	82,835,829

43.3 Expected credit losses

Impairment allowance as at December 31, 2022 is as follows:

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Balances with central banks (Note 6)	**1,574**	**-**	**-**	**-**	**1,574**
Deposits and balances due from banks (Note 7)	**124,277**	**3,216**	**-**	**-**	**127,493**
Investment securities at amortised cost (Note 10)	**26,868**	**-**	**-**	**-**	**26,868**
Investment securities designated at FVTOCI (Note 10)(*)	**69,581**	**35**	**-**	**-**	**69,616**
Loans and advances to customers (Note 11)	**1,283,509**	**3,444,757**	**6,592,820**	**436,916**	**11,758,002**
Other assets (Note 14)	**6,210**	**139**	**9,272**	**-**	**15,621**
Letters of credit, guarantees and other commitments (Note 21)	**83,055**	**261,985**	**-**	**78,902**	**423,942**
Total allowance for impairment	**1,595,074**	**3,710,132**	**6,602,092**	**515,818**	**12,423,116**

(*)recognised under "Revaluation reserve of investments designated at FVTOCI".

Impairment allowance as at December 31, 2021 is as follows:

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Balances with central banks (Note 6)	492	-	-	-	492
Deposits and balances due from banks (Note 7)	40,724	882	-	-	41,606
Investment securities at amortised cost (Note 10)	19,709	-	-	-	19,709
Investment securities designated at FVTOCI (Note 10)(*)	77,415	8,198	22,038	-	107,651
Loans and advances to customers (Note 11)	720,459	3,267,946	6,363,607	478,372	10,830,384
Other assets (Note 14)	6,051	4,439	8,899	-	19,389
Letters of credit, guarantees and other commitments (Note 21)	64,953	348,937	-	89,335	503,225
Total allowance for impairment	929,803	3,630,402	6,394,544	567,707	11,522,456

(*)recognised under "Revaluation reserve of investments designated at FVTOCI".

The table below summarises impairment allowance as at year end per class of exposure/asset, internal rating and stage:

As at December 31, 2022	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Financial instruments carried at amortised cost					
Grades 1-4	30,965	6,745	-	-	37,710
Grades 5-6	833,664	766,695	268	-	1,600,627
Grade 7	120,569	2,523,028	1,695	-	2,645,292
Grades 8-10	-	-	6,091,579	427,229	6,518,808
Unrated (*)	457,240	151,644	508,550	9,687	1,127,121
Allowance for impairment	1,442,438	3,448,112	6,602,092	436,916	11,929,558
Debt instruments designated at FVTOCI					
Grades 1-4	3,040	-	-	-	3,040
Grade 5-6	66,541	35	-	-	66,576
Allowance for impairment	69,581	35	-	-	69,616
Commitments and contingent liabilities					
Grades 1-4	9,339	440	-	-	9,779
Grades 5-6	67,396	4,028	-	-	71,424
Grade 7	6,217	257,517	-	-	263,734
Grades 8-10	-	-	-	78,902	78,902
Unrated	103	-	-	-	103
Allowance for impairment	83,055	261,985	-	78,902	423,942

(*)Stage 2 expected credit losses include AED 67,406 thousand towards performing exposure

As at December 31, 2021	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Financial instruments carried at amortised cost					
Grades 1-4	32,895	17,531	-	-	50,426
Grades 5-6	385,047	1,046,468	1,853	-	1,433,368
Grade 7	37,705	2,019,558	2,370	-	2,059,633
Grades 8-10	-	-	5,825,935	459,856	6,285,791
Unrated(*)	331,788	189,710	542,348	18,516	1,082,362
Allowance for impairment	787,435	3,273,267	6,372,506	478,372	10,911,580
Debt instruments designated at FVTOCI					
Grades 1-4	12,133	-	-	-	12,133
Grades 5-6	65,282	8,198	-	-	73,480
Grades 8 -10	-	-	22,038	-	22,038
Allowance for impairment	77,415	8,198	22,038	-	107,651
Commitments and contingent liabilities					
Grades 1-4	9,263	939	-	-	10,202
Grades 5-6	41,144	3,766	-	-	44,910
Grade 7	14,528	344,232	-	-	358,760
Grades 8-10	-	-	-	89,335	89,335
Unrated	18	-	-	-	18
Allowance for impairment	64,953	348,937	-	89,335	503,225

(*)Stage 2 expected credit losses include AED 69,891 thousand towards performing exposure

The movement in impairment allowances is as follows:

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Financial instruments carried at amortised cost					
Balance as at January 1, 2022	787,435	3,273,267	6,372,506	478,372	10,911,580
- Transfer from stage 1 to stage 2	(20,699)	20,699	-	-	-
- Transfer from stage 1 to stage 3	(24,187)	-	24,187	-	-
- Transfer from stage 2 to stage 1	96,138	(96,138)	-	-	-
- Transfer from stage 2 to stage 3	-	(180,979)	180,979	-	-
- Transfer from stage 3 to stage 2	-	68,483	(68,483)	-	-
Other movements within the same stage	416,726	454,912	2,896,761	(39,542)	3,728,857
New financial assets originated/purchased	370,760	83,194	151,017	-	604,971
Financial assets derecognised	(187,648)	(156,676)	(653,467)	(35,326)	(1,033,117)
Changes to methodologies, assumptions and risk parameters(*)	4,464	(4,480)	101	(36)	49
Gross charge/(release) for the year	655,554	189,015	2,531,095	(74,904)	3,300,760
Recoveries	-	-	(453,065)	-	(453,065)
Net charge/(release) for the year	655,554	189,015	2,078,030	(74,904)	2,847,695
Adjustments to gross carrying value	-	-	-	346,269	346,269
Net amounts written-off	-	-	(1,767,208)	(312,821)	(2,080,029)
Impact of currency translation	(551)	(14,170)	(81,236)	-	(95,957)
Balance as at December 31, 2022	1,442,438	3,448,112	6,602,092	436,916	11,929,558
Debt instruments designated at FVTOCI					
Balance as at January 1, 2022	77,415	8,198	22,038	-	107,651
Other movements within the same stage	14,024	1,049	29,765	-	44,838
New financial assets originated/purchased	36,171	-	-	-	36,171
Financial assets derecognised	(25,713)	(8,039)	-	-	(33,752)
Changes to methodologies, assumptions and risk parameters(*)	(18,662)	(1,173)	-	-	(19,835)
Gross charge/(release) for the year	5,820	(8,163)	29,765	-	27,422
Recoveries	-	-	(18,661)	-	(18,661)
Net charge/(release) for the year	5,820	(8,163)	11,104	-	8,761
Net amounts written-off	-	-	(33,142)	-	(33,142)
Impact of currency translation	(13,654)	-	-	-	(13,654)
Balance as at December 31, 2022	69,581	35	-	-	69,616
Commitments and contingent liabilities					
Balance as at January 1, 2022	64,953	348,937	-	89,335	503,225
- Transfer from stage 1 to stage 2	(3,448)	3,448	-	-	-
- Transfer from stage 2 to stage 1	18,947	(18,947)	-	-	-
Other movements within the same stage	8,054	(35,284)	-	1,596	(25,634)
New financial assets originated/purchased	11,974	596	-	-	12,570
Financial assets derecognised	(19,579)	(38,850)	-	(12,081)	(70,510)
Changes to methodologies, assumptions and risk parameters(*)	3,114	2,865	-	52	6,031
Net charge/(release) for the year	19,062	(86,172)		(10,433)	(77,543)
Impact of currency translation	(960)	(780)	-	-	(1,740)
Balance as at December 31, 2022	83,055	261,985	-	78,902	423,942

(*)included in 'Recoveries/modifications during the year' (Note 33

	Stage 1 AED'000	Stage 2 AED'000	Stage 3 AED'000	POCI AED'000	Total AED'000
Financial instruments carried at amortised cost					
Balance as at January 1, 2021	877,809	3,346,092	6,761,581	569,053	11,554,535
- Transfer from stage 1 to stage 2	(26,575)	26,575	-	-	-
- Transfer from stage 1 to stage 3	(173,073)	-	173,073	-	-
- Transfer from stage 2 to stage 1	103,717	(103,717)	-	-	-
- Transfer from stage 2 to stage 3	-	(811,731)	811,731	-	-
- Transfer from stage 3 to stage 2	-	69,477	(69,477)	-	-
Other movements within the same stage	55,993	401,783	1,896,757	(194,188)	2,160,345
New financial assets originated/purchased	263,175	577,195	780,032	-	1,620,402
Financial assets derecognised	(160,865)	(111,785)	(184,673)	(17,068)	(474,391)
Changes to methodologies, assumptions and risk parameters(*)	(152,746)	(120,622)	(145)	538	(272,975)
Gross (release)/charge for the year	(90,374)	(72,825)	3,407,298	(210,718)	3,033,381
Recoveries	-	-	(378,357)	-	(378,357)
Net (release)/charge for the year	(90,374)	(72,825)	3,028,941	(210,718)	2,655,024
Adjustments to gross carrying value	-	-	-	491,374	491,374
Net amounts written-off	-	-	(3,418,016)	(371,337)	(3,789,353)
Balance as at December 31, 2021	787,435	3,273,267	6,372,506	478,372	10,911,580
Debt instruments designated at FVTOCI					
Balance as at January 1, 2021	49,393	23,116	157,311	-	229,820
Other movements within the same stage	23,361	(5,475)	19,749	-	37,635
New financial assets originated/purchased	22,953	-	-	-	22,953
Financial assets derecognised	(3,644)	(455)	-	-	(4,099)
Changes to methodologies, assumptions and risk parameters(*)	(14,648)	(8,988)	-	-	(23,636)
Net charge/(release) for the year	28,022	(14,918)	19,749	-	32,853
Net amounts written-off	-	-	(155,022)	-	(155,022)
Balance as at December 31, 2021	77,415	8,198	22,038	-	107,651
Commitments and contingent liabilities					
Balance as at January 1, 2021	149,122	264,189	-	131,603	544,914
- Transfer from stage 1 to stage 2	(22,147)	22,147	-	-	-
- Transfer from stage 2 to stage 1	8,162	(8,162)	-	-	-
Other movements within the same stage	7,626	326,950	-	(21,294)	313,282
New financial assets originated/purchased	10,708	31,691	-	-	42,399
Financial assets derecognised	(80,400)	(283,600)	-	(20,574)	(384,574)
Changes to methodologies, assumptions and risk parameters(*)	(8,118)	(4,278)	-	(400)	(12,796)
Net (release)/charge for the year	(84,169)	84,748	-	(42,268)	(41,689)
Balance as at December 31, 2021	64,953	348,937	-	89,335	503,225

(*)included in 'Recoveries/modifications during the year' (Note 33)

43.4 Concentration of credit risk

Concentration of credit risk arises when a number of counterparties or exposures have comparable economic characteristics or such counterparties are engaged in similar activities or operate in the same geographical areas or economic sectors that would impact their ability to meet contractual obligations to be similarly affected by changes in economic or other conditions. The analysis of credit risk concentrations presented below are based on the location of the counterparty or customer or country of risk in which they are engaged.

(a) Credit risk concentration by geographical sector

	Domestic (UAE) AED'000	Other GCC countries AED'000	Other Arab countries AED'000	Asia AED'000	Europe AED'000	USA AED'000	Rest of the world AED'000	Total AED'000
As at December 31, 2022								
Assets								
Balances with central banks, net	**34,033,625**	**-**	**2,927,675**	**64,541**	**-**	**-**	**-**	**37,025,841**
Deposits and balances due from banks, net	**1,986,531**	**10,786,548**	**2,338,574**	**7,701,913**	**8,621,758**	**1,178,627**	**2,725,251**	**35,339,202**
Financial assets at fair value through profit or loss	**733,566**	**720,019**	**2,220,421**	**968,257**	**-**	**-**	**-**	**4,642,263**
Derivative financial instruments	**1,586,106**	**32,930**	**-**	**2,284**	**13,157,418**	**-**	**403,800**	**15,182,538**
Investment securities - bonds, net	**40,498,640**	**25,937,050**	**6,289,976**	**19,338,213**	**6,105,281**	**8,371,646**	**4,486,119**	**111,026,925**
Loans and advances to customers, net	**212,367,088**	**8,223,498**	**16,180,631**	**10,112,014**	**7,467,348**	**290,775**	**3,851,516**	**258,492,870**
Other assets, net	**8,767,544**	**592,844**	**688,223**	**4,562,703**	**5,646,574**	**52,179**	**1,265,463**	**21,575,530**
Total	**299,973,100**	**46,292,889**	**30,645,500**	**42,749,925**	**40,998,379**	**9,893,227**	**12,732,149**	**483,285,169**
Commitment and contingent liabilities	**69,374,053**	**5,684,368**	**2,538,087**	**8,469,943**	**6,203,204**	**680,484**	**1,405,544**	**94,355,683**
As at December 31, 2021								
Assets								
Balances with central banks, net	29,358,121	-	1,957,293	89,848	-	-	-	31,405,262
Deposits and balances due from banks, net	4,459,996	6,850,401	1,604,312	6,816,127	4,280,654	94,778	2,563,875	26,670,143
Financial assets at fair value through profit or loss	542,455	-	1,122,062	-	-	-	-	1,664,517
Derivative financial instruments	2,091,524	71,899	-	2,880	4,145,517	-	176,201	6,488,021
Investment securities - bonds, net	41,213,448	25,934,120	6,213,329	12,210,010	3,593,524	3,305,991	3,226,833	95,697,255
Loans and advances to customers, net	219,746,321	6,041,441	8,941,096	4,610,457	3,098,788	6,045	1,838,145	244,282,293
Other assets, net	9,917,219	699,855	621,418	5,205,912	2,517,755	7,902	285,957	19,256,018
Total	307,329,084	39,597,716	20,459,510	28,935,234	17,636,238	3,414,716	8,091,011	425,463,509
Commitment and contingent liabilities	61,845,362	3,862,168	2,420,615	7,591,886	5,389,660	507,456	1,218,682	82,835,829

(b) Credit risk concentration by economic/industry sector

The economic activity sector composition of the loans and advances to customers is as follows:

	As at December 31, 2022			As at December 31, 2021		
	Within the UAE AED'000	Outside the UAE AED'000	Total AED'000	Within the UAE AED'000	Outside the UAE AED'000	Total AED'000
Economic activity sector						
Agriculture	**161,730**	**170,156**	**331,886**	40,638	134,697	175,335
Energy	**1,226,669**	**13,605,745**	**14,832,414**	1,558,735	4,774,130	6,332,865
Trading	**7,222,359**	**6,141,184**	**13,363,543**	7,332,355	4,403,215	11,735,570
Real estate investment	**58,107,673**	**2,042,155**	**60,149,828**	59,600,419	862,715	60,463,134
Hospitality	**9,096,528**	**497,788**	**9,594,316**	10,467,533	499,428	10,966,961
Transport and communication	**1,541,809**	**1,428,122**	**2,969,931**	1,928,265	1,221,525	3,149,790
Personal	**54,369,336**	**1,354,235**	**55,723,571**	51,638,942	1,942,860	53,581,802
Government and public sector entities	**55,465,449**	**6,018,575**	**61,484,024**	65,063,724	2,059,992	67,123,716
Financial institutions(*)	**13,706,939**	**7,457,918**	**21,164,857**	13,221,475	4,970,315	18,191,790
Manufacturing	**4,551,598**	**5,052,793**	**9,604,391**	3,923,447	3,190,148	7,113,595
Services(**)	**5,538,091**	**261,836**	**5,799,927**	5,829,119	448,755	6,277,874
Others	**12,869,966**	**2,362,218**	**15,232,184**	9,644,053	356,192	10,000,245
Gross loans and advances to customers	**223,858,147**	**46,392,725**	**270,250,872**	230,248,705	24,863,972	255,112,677
Less: Allowance for impairment			**(11,758,002)**			(10,830,384)
Total loans and advances to customers, net			**258,492,870**			244,282,293

(*)includes investment companies
(**)December 31, 2022 numbers include loans and advances to customers at fair value through profit or loss

The industry sector composition of other exposures is as follows:

	Commercial and business AED'000	Personal AED'000	Public sector AED'000	Government AED'000	Banks and financial institutions AED'000	Total AED'000
As at December 31, 2022						
Balances with central banks, net	**-**	**-**	**-**	**37,025,841**	**-**	**37,025,841**
Deposits and balances due from banks, net	**-**	**-**	**-**	**-**	**35,339,202**	**35,339,202**
Financial assets at fair value through profit or loss	**9,060**	**-**	**504,402**	**958,468**	**3,170,333**	**4,642,263**
Derivative financial instruments	**438,100**	**140,062**	**179,743**	**196,377**	**14,228,256**	**15,182,538**
Investment securities - bonds, net	**4,713,194**	**-**	**20,529,008**	**75,050,703**	**10,734,020**	**111,026,925**
Other assets, net	**15,571,143**	**469,076**	**452,887**	**553,390**	**4,529,034**	**21,575,530**
Total	**20,731,497**	**609,138**	**21,666,040**	**113,784,779**	**68,000,845**	**224,792,299**
Contingent liabilities	**48,467,578**	**2,077,410**	**24,991,362**	**2,361,651**	**16,457,682**	**94,355,683**
As at December 31, 2021						
Balances with central banks, net	-	-	-	31,405,262	-	31,405,262
Deposits and balances due from banks, net	-	-	-	-	26,670,143	26,670,143
Financial assets at fair value through profit or loss	-	-	542,455	-	1,122,062	1,664,517
Derivative financial instruments	608,324	195,210	788,494	567,251	4,328,742	6,488,021
Investment securities - bonds, net	4,381,631	-	21,961,147	60,806,945	8,547,532	95,697,255
Other assets, net	14,770,389	371,553	283,664	517,290	3,313,122	19,256,018
Total	19,760,344	566,763	23,575,760	93,296,748	43,981,601	181,181,216
Contingent liabilities	46,438,822	1,249,219	17,588,676	1,415,889	16,143,223	82,835,829

43.5 Credit risk measurement and mitigation policies

Loans and advances to customers is the main source of credit risk although the Group can also be exposed to other forms of credit risk through, for example, loans to banks, loan commitments and debt securities. The Group's risk management policies and processes are designed to identify and analyse risk, to set appropriate risk appetite and to monitor the risks and adherence to limits by means of reliable and timely data. The Group assesses the probability of default of individual counterparties using internal rating tools tailored to the various categories of counterparties.

Exposure to credit risk is also managed through regular analysis of the ability of borrowers and potential borrowers to meet interest and capital repayment obligations and by changing the lending limits where appropriate.

Collateral

The Group holds collateral against various credit risk exposures in the form of mortgage interests over property, other registered securities over assets, fixed deposits and guarantees. Estimates of fair value of the collateral (including shares) are updated on a regular basis. Collateral generally is not held over loans and advances to banks, except when securities are held as part of reverse repurchase and securities borrowing activity. The principal collateral types for loans and advances are:

- Cash and marketable securities;
- Mortgages over residential and commercial properties;
- Charges over business assets such as premises, inventory and accounts receivable;
- Charges over financial instruments such as debt securities and equities; and
- Guarantees.

The estimated fair value of collateral and other security enhancements held against various credit risk exposures for the year ended December 31, 2022 was AED 227,175,417 thousand (December 31, 2021 - AED 242,520,106 thousand).

Collateral held as security against impaired loans primarily relates to commercial and residential properties and securities. Where the estimated fair value of collateral held exceeds the outstanding loan, any excess on realisation is paid back to the customers and is not available for offset against other loans.

Write-off

Financial assets are written off when a debtor fails to engage in a repayment plan with the Group. The Group categorises a loan or receivable for write off when a debtor fails to make contractual payments more than 180 days past due for retail and SME loans. Where loans or receivables have been written off, the Group continues to engage in enforcement activity to attempt to recover the receivable due. Where recoveries are made, these are recognised in profit or loss.

Reversal of impairment

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the loan impairment allowance account accordingly. The write-back is recognised in the consolidated income statement in the period in which it occurs.

Derivatives

The Group maintains strict control limits on net open derivative positions (i.e. the difference between purchase and sale contracts), by both amount and term. At any time, the amount subject to credit risk is limited to the current fair value of instruments that are favourable to the Group (i.e. positive fair value of assets), which in relation to derivatives is a small fraction of the contract or notional values used to express the volume of instruments outstanding. This credit risk exposure is managed as part of the overall lending limits with customers together with potential exposures from market movements.

Settlement risk arises in any situation where a payment in cash, securities or equities is made in the expectation of a corresponding receipt in cash, securities or equities. Daily settlement limits are established for each counterparty to cover the aggregate of all settlement risks arising from the Group's market transactions on any single day.

The following table represents internal credit ratings of derivative financial instruments:

	As at December 31 2022 AED'000	As at December 31 2021 AED'000
Internal risk grades		
Grades 1 to 4	**14,482,661**	4,439,869
Grades 5 to 6	**688,092**	1,993,581
Unrated	**11,785**	54,571
	15,182,538	6,488,021

Master netting arrangements

The Group further restricts its exposure to credit losses by entering into master netting arrangements with counterparties with which it undertakes a significant volume of transactions. Master netting arrangements do not generally result in an offset of statement of financial position assets and liabilities, as transactions are usually settled on a gross basis, hence the impact of netting in practice is immaterial.

However, the credit risk associated with favourable contracts is reduced by a master netting arrangement to the extent that if a default occurs, all amounts with the counterparty are terminated and settled on a net basis. The Group's overall exposure to credit risk on derivative instruments subject to master netting arrangements can change substantially within a year, as it is affected by each transaction subject to the arrangement.

Derivative related credit risk

Credit risk in respect of derivative financial instruments arises from the potential for a counterparty to default on its contractual obligations and is limited to the positive fair value of instruments that are favourable to the Group. The Group enters into derivative contracts with financial institutions and corporates which are of satisfactory credit standing as per the Group's independent credit assessment. Credit risk in derivatives is mitigated through limit control and master netting arrangements.

Off-balance sheet

The Group applies the same risk management policies for off-balance sheet risks as it does for its on-balance sheet risks with the exception that the worse staging for off-balance sheet exposures is stage 2. In the case of commitments to lend, customers and counterparties will be subject to the same credit management policies as for loans and advances. Collateral may be sought depending on the strength of the counterparty and the nature of the transaction.

44. Interest rate risk framework, measurement and monitoring

Interest rate risk arises from interest bearing financial instruments and reflects the possibility that changes in interest rates will adversely affect the value of the financial instruments and the related income. The Group manages this risk principally through monitoring of interest rate gaps, economic value of equity and earnings at risk and by matching the re-pricing profile of assets and liabilities.

Overall interest rate risk positions are managed by the Group's Treasury division, which uses derivative instruments such as interest rate swaps and cross currency interest rate swaps to manage the overall interest rate risk arising from the Group's interest bearing financial instruments.

Financial assets and liabilities exposed to interest rate risk are assets and liabilities with either a fixed or a floating contractual rate of interest. A significant portion of the Group's loans and advances, deposits and balances due from banks, investment securities, deposits from customers, due to banks, and borrowings fall under this category. Interest rate sensitivity position of floating rate financial instruments is based on either repricing date or maturity date while that of fixed rate financial instruments is based on maturity date.

Derivative financial instruments (other than those designated in a hedge relationship) and trading book assets and liabilities (excluding non-interest bearing) are included in the 'less than 3 months' column at their fair value. Derivative financial instruments designated in a hedge relationship are included according to their contractual next re-pricing date or maturity date if floating rate and maturity date if fixed rate instrument.

Financial assets that are not subject to any interest rate risk mainly comprise of investments in equity and mutual funds, commodity and currency derivatives and cash and balances with central banks excluding overnight and certificate of deposits.

The off-balance sheet gap represents the net notional amounts of the off-balance sheet financial instruments, such as interest rate and cross currency interest rate swaps which are used to manage interest rate risk.

The Group uses financial simulation tools to periodically measure and monitor interest rate sensitivity. The results are analysed and monitored by the Asset and Liability Committee (ALCO).

The Group's interest rate sensitivity position based on contractual repricing arrangements as at December 31, 2022 is as follows:

	Less than 3 months AED'000	3 months to less than 6 months AED'000	6 months to less than 1 year AED'000	1 year to less than 3 years AED'000	Over 3 years AED'000	Non-interest bearing items AED'000	Total AED'000
Assets							
Cash and balances with central banks, net	**22,564,227**	**-**	**-**	**-**	**-**	**16,865,081**	**39,429,308**
Deposits and balances due from banks, net	**21,361,593**	**9,181,549**	**2,859,285**	**549,376**	**-**	**1,387,399**	**35,339,202**
Financial assets at fair value through profit or loss	**4,642,263**	**-**	**-**	**-**	**-**	**-**	**4,642,263**
Derivative financial instruments	**10,773,197**	**1,652,640**	**298,340**	**130,686**	**845,518**	**1,482,157**	**15,182,538**
Investment securities, net	**12,623,079**	**7,905,510**	**9,689,935**	**25,458,078**	**55,350,323**	**983,758**	**112,010,683**
Loans and advances to customers, net	**202,342,954**	**17,257,147**	**5,973,816**	**7,626,571**	**37,587,591**	**(12,295,209)**	**258,492,870**
Investment in associates	**-**	**-**	**-**	**-**	**-**	**252,525**	**252,525**
Investment properties	**-**	**-**	**-**	**-**	**-**	**1,691,890**	**1,691,890**
Other assets, net	**393,757**	**-**	**-**	**-**	**-**	**21,317,432**	**21,711,189**
Property and equipment, net	**-**	**-**	**-**	**-**	**-**	**1,937,503**	**1,937,503**
Intangible assets, net	**-**	**-**	**-**	**-**	**-**	**7,152,194**	**7,152,194**
Total assets	**274,701,070**	**35,996,846**	**18,821,376**	**33,764,711**	**93,783,432**	**40,774,730**	**497,842,165**
Liabilities and equity							
Due to banks	**8,146,521**	**-**	**679,385**	**-**	**-**	**893,287**	**9,719,193**
Derivative financial instruments	**12,890,838**	**711,377**	**740,784**	**61,716**	**627,593**	**1,193,077**	**16,225,385**
Deposits from customers	**135,162,030**	**19,618,164**	**62,117,295**	**3,151,934**	**7,636,733**	**81,244,543**	**308,930,699**
Euro commercial paper	**3,669,336**	**2,324,943**	**-**	**-**	**-**	**-**	**5,994,279**
Borrowings	**40,160,509**	**1,946,775**	**1,950,077**	**2,226,125**	**23,592,247**	**-**	**69,875,733**
Other liabilities	**-**	**-**	**-**	**-**	**-**	**25,670,739**	**25,670,739**
Equity	**-**	**-**	**-**	**-**	**-**	**61,426,137**	**61,426,137**
Total liabilities and equity	**200,029,234**	**24,601,259**	**65,487,541**	**5,439,775**	**31,856,573**	**170,427,783**	**497,842,165**
On-balance sheet gap	**74,671,836**	**11,395,587**	**(46,666,165)**	**28,324,936**	**61,926,859**	**(129,653,053)**	**-**
Off-balance sheet gap	**(13,512,139)**	**(1,252,091)**	**24,183,878**	**(6,311,346)**	**(3,108,302)**	**-**	**-**
Total interest rate sensitivity gap	**61,159,697**	**10,143,496**	**(22,482,287)**	**22,013,590**	**58,818,557**	**(129,653,053)**	**-**
Cumulative interest rate sensitivity gap	**61,159,697**	**71,303,193**	**48,820,906**	**70,834,496**	**129,653,053**	**-**	**-**

Non-interest bearing items include mainly impairment allowances under loans and advances to customers.

The Group's interest rate sensitivity position based on contractual repricing arrangements as at December 31, 2021 was as follows:

	Less than 3 months AED'000	3 months to less than 6 months AED'000	6 months to less than 1 year AED'000	1 year to less than 3 years AED'000	Over 3 years AED'000	Non-interest bearing items AED'000	Total AED'000
Assets							
Cash and balances with central banks, net	17,798,869	-	-	-	-	15,947,333	33,746,202
Deposits and balances due from banks, net	20,145,519	3,678,846	2,453,701	-	-	392,077	26,670,143
Financial assets at fair value through profit or loss	1,664,517	-	-	-	-	42,250	1,706,767
Derivative financial instruments	5,880,159	28,963	21,824	10,407	19,694	526,974	6,488,021
Investment securities, net	7,561,691	4,990,338	5,811,945	18,084,478	59,248,803	816,037	96,513,292
Loans and advances to customers, net	195,772,537	19,228,175	5,958,149	7,012,694	27,546,856	(11,236,118)	244,282,293
Investment in associates	-	-	-	-	-	262,609	262,609
Investment properties	-	-	-	-	-	1,674,954	1,674,954
Other assets, net						19,354,460	19,354,460
Property and equipment, net	-	-	-	-	-	2,064,270	2,064,270
Intangible assets, net	-	-	-	-	-	7,294,685	7,294,685
Assets held for sale	-	-	-	-	-	220,673	220,673
Total assets	248,823,292	27,926,322	14,245,619	25,107,579	86,815,353	37,360,204	440,278,369
Liabilities and equity							
Due to banks	1,897,590	983,446	2,795,152	-	-	1,529,145	7,205,333
Derivative financial instruments	5,719,481	18,552	106	107,693	66,912	650,635	6,563,379
Deposits from customers	137,968,985	22,221,567	20,772,867	3,447,961	1,063,663	79,577,282	265,052,325
Euro commercial paper	2,910,000	1,810,901	1,478,256	-	-	-	6,199,157
Borrowings	28,850,826	5,886,327	540,231	12,560,493	24,661,460	-	72,499,337
Other liabilities	-	-	-	-	-	23,384,164	23,384,164
Liabilities related to assets held for sale	-	-	-	-	-	4,648	4,648
Equity	-	-	-	-	-	59,370,026	59,370,026
Total liabilities and equity	177,346,882	30,920,793	25,586,612	16,116,147	25,792,035	164,515,900	440,278,369
On-balance sheet gap	71,476,410	(2,994,471)	(11,340,993)	8,991,432	61,023,318	(127,155,696)	-
Off-balance sheet gap	2,390,367	(66,065)	(1,285,077)	3,218,531	(4,257,756)	-	-
Total interest rate sensitivity gap	73,866,777	(3,060,536)	(12,626,070)	12,209,963	56,765,562	(127,155,696)	-
Cumulative interest rate sensitivity gap	73,866,777	70,806,241	58,180,171	70,390,134	127,155,696	-	-

Non-interest bearing items include mainly impairment allowances under loans and advances to customers.

45. Liquidity risk framework, measurement and monitoring

Liquidity risk is the risk that the Group will be unable to meet its payment obligations associated with its financial liabilities when they fall due and to replenish funds when they are withdrawn. The Group's approach to managing liquidity is to ensure that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

Liquidity risk management process

The Group's Board of Directors (BOD) approved liquidity risk appetite framework establishes the minimum liquidity required in order to survive a stress environment for a stipulated time horizon. The BOD has delegated to Management Executive Committee (MEC) the responsibility of liquidity management which is overseen on their behalf by the Asset Liability Committee (ALCO) on a day to day basis. ALCO sets and monitors liquidity ratios and regularly revises and calibrates the liquidity management policies to ensure that the Group is in a position to meet its obligations as they fall due. ALCO also ensures that the Bank remains compliant with all regulatory and internal policy guidelines pertaining to liquidity risk.

The Group's liquidity management process, as carried out within the Group and monitored by the Group's Treasury division, includes:

- Monitoring of liquidity position on a daily, weekly and monthly basis. This entails forecasting of cash inflows/outflows and ensuring that the Group can meet the required outflows;
- Conducting regular liquidity stress testing of the Group's liquidity position under a variety of scenarios covering both normal and more severe market conditions with triggers and suggested actions;
- Ensuring compliance with the liquidity ratios such as Net Stable Funding Ratio (NSFR) and Liquidity Coverage Ratio (LCR) as stipulated by CBUAE and internally approved management triggers for liquidity risk;
- Conducting regular enterprise wide liquidity stress test which estimates liquidity requirements under idiosyncratic and systemic stress conditions. The enterprise wide stress test incorporates diverse liquidity triggers like currency de-peg, failure of a major local bank, credit rating downgrades in addition to regular stress cash flow analysis; and
- Monitoring of depositor concentration to ensure that the Group's deposit funding is well diversified.

Monitoring composition of funding sources at a granular level includes setting triggers for avoiding concentration of funding by product. Some of the ratios monitored are as follows:

- Euro commercial paper to total liabilities and equity
- Wholesale funds to total liabilities and equity
- Money market deposits to total liabilities and equity
- Core deposits to customer deposits
- Offshore funds to total liabilities and equity

The Group has established several early warning indicators for liquidity risk in line with the CBUAE requirements and monitors them regularly. Some of the key early warning indicators are as follows:

- Credit rating downgrade
- Decline in stock price
- Widening credit-default-swap levels
- Rising retail/wholesale funding costs
- Increased collateral calls

The Group has also established a breach management and escalation process with clear definition of roles and responsibilities.

Tools for liquidity management

The Group through its Treasury division ensures that it has access to diverse sources of funding ranging from local customer deposits from its retail, corporate and institutional customers as well as international sovereign wealth funds and central banks to long term funding such as debt securities and subordinated liabilities issued under the global medium term note program.

Whilst the Group's debt securities and sub-debt typically are issued with maturities of greater than one year, deposits from banks and customers generally have shorter maturities which increases the liquidity risk of the Group. The Group's Treasury division manages this risk by:

- Diversification of funding sources and balancing between long term and short term funding sources through borrowing under its global medium term notes issue programs;
- Monitoring the stickiness of liability portfolio and rewarding business units for sticky deposits through the fund transfer pricing process; and
- Investing in various short-term or medium term but highly marketable assets in line with Basel-III guidelines for High Quality Liquid Assets (HQLA) such as certificate of deposit with Central Bank, investment grade bonds that can be repurchased at short notices, etc.

Further, the Bank also has the following facilities from CBUAE to manage its liquidity risk during critical times:

- Drawdown against its cash reserves at base rate plus a spread of 400 basis points; and
- Repo facility against certificate of deposits and HQLA under CBUAE's Marginal Lending Facility (MLF) at base rate plus a spread of 50 basis points;

Base rate is currently set at US Federal Reserve's interest payable on excess reserves.

The Bank has in place a contingent funding plan which lists out the trigger points to be monitored for invoking the contingent funding plan. The trigger points are based on market observable data points such as credit spreads and internal and external events such as decline in customer deposits and drying up of wholesale markets. The contingent funding plan clearly defines the roles and responsibilities and is updated with changing market conditions by ALCO.

The table below summarises the maturity profile of the Group's assets and liabilities. The contractual maturities of assets and liabilities have been determined on the basis of the remaining period at the end of the reporting period date to the contractual maturity date and do not take into account the effective maturities as indicated by the Group's deposit retention history and the availability of liquid funds. The maturity profile is monitored by management to ensure adequate liquidity is maintained.

Derivative financial instruments (other than those designated in a hedge relationship) and trading portfolio assets and liabilities are included in 'less than 3 months' at their fair value. Liquidity risk on these items is not managed on the basis of remaining maturity since they are not held for settlement according to such maturity and will frequently be settled before remaining maturity at fair value. Derivatives designated in a hedge relationship are included according to their remaining maturity at fair value. Investment securities in equities and mutual funds with no maturity are included in 'over 3 years'.

The maturity profile of the assets and liabilities as at December 31, 2022 was as follows:

	Less than 3 months AED'000	3 months to less than 6 months AED'000	6 months to less than 1 year AED'000	1 year to less than 3 years AED'000	Over 3 years AED'000	Total AED'000
Assets						
Cash and balances with central banks, net	**39,429,308**	**-**	**-**	**-**	**-**	**39,429,308**
Deposits and balances due from banks, net	**15,649,416**	**9,431,049**	**5,682,718**	**4,576,019**	**-**	**35,339,202**
Financial assets at fair value through profit or loss	**4,642,263**	**-**	**-**	**-**	**-**	**4,642,263**
Derivative financial instruments	**10,586,110**	**198,581**	**133,317**	**503,604**	**3,760,926**	**15,182,538**
Investment securities, net	**12,348,190**	**7,905,510**	**9,964,823**	**25,458,078**	**56,334,082**	**112,010,683**
Loans and advances to customers, net	**58,298,269**	**10,056,078**	**21,867,079**	**37,872,496**	**130,398,948**	**258,492,870**
Investment in associates	**-**	**-**	**-**	**-**	**252,525**	**252,525**
Investment properties	**-**	**-**	**-**	**1,691,890**	**-**	**1,691,890**
Other assets, net	**7,044,331**	**3,674,160**	**10,964,550**	**15,143**	**13,005**	**21,711,189**
Property and equipment, net	**-**	**-**	**-**	**-**	**1,937,503**	**1,937,503**
Intangible assets, net	**-**	**-**	**-**	**65,500**	**7,086,694**	**7,152,194**
Total assets	**147,997,887**	**31,265,378**	**48,612,487**	**70,182,730**	**199,783,683**	**497,842,165**
Liabilities and equity						
Due to banks	**9,039,808**	**679,385**	**-**	**-**	**-**	**9,719,193**
Derivative financial instruments	**9,932,358**	**19,468**	**351,119**	**83,993**	**5,838,447**	**16,225,385**
Deposits from customers	**212,882,228**	**20,197,190**	**62,822,152**	**5,072,690**	**7,956,439**	**308,930,699**
Euro commercial paper	**3,669,336**	**2,324,943**	**-**	**-**	**-**	**5,994,279**
Borrowings	**18,561,051**	**4,774,691**	**5,777,683**	**16,078,280**	**24,684,028**	**69,875,733**
Other liabilities	**10,852,995**	**3,069,201**	**10,668,731**	**254,112**	**825,700**	**25,670,739**
Equity	**-**	**-**	**-**	**-**	**61,426,137**	**61,426,137**
Total liabilities and equity	**264,937,776**	**31,064,878**	**79,619,685**	**21,489,075**	**100,730,751**	**497,842,165**
Balance sheet liquidity gap	**(116,939,889)**	**200,500**	**(31,007,198)**	**48,693,655**	**99,052,932**	**-**
Off balance sheet						
Financial guarantees and irrevocable commitments	**4,670,761**	**2,166,385**	**12,071,567**	**8,723,372**	**7,340,384**	**34,972,469**
Derivatives held for hedging purpose (notional)	**18,922,808**	**5,647,651**	**37,413,848**	**14,385,058**	**65,723,460**	**142,092,825**

The maturity profile of the assets and liabilities as at December 31, 2021 was as follows:

	Less than 3 months AED'000	3 months to less than 6 months AED'000	6 months to less than 1 year AED'000	1 year to less than 3 years AED'000	Over 3 years AED'000	Total AED'000
Assets						
Cash and balances with central banks, net	33,746,202	-	-	-	-	33,746,202
Deposits and balances due from banks, net	9,949,051	8,259,899	7,301,648	1,159,545	-	26,670,143
Financial assets at fair value through profit or loss	1,706,767	-	-	-	-	1,706,767
Derivative financial instruments	5,331,002	35,689	33,095	351,891	736,344	6,488,021
Investment securities, net	7,123,315	5,011,174	5,939,289	18,374,675	60,064,839	96,513,292
Loans and advances to customers, net	52,544,302	7,609,694	18,232,045	32,794,988	133,101,264	244,282,293
Investment in associates	-	-	-	-	262,609	262,609
Investment properties	-	-	-	1,674,954	-	1,674,954
Other assets, net	4,930,101	5,812,373	8,586,079	8,257	17,650	19,354,460
Property and equipment, net	-	-	-	-	2,064,270	2,064,270
Intangible assets, net	-	-	-	121,778	7,172,907	7,294,685
Assets held for sale	220,673	-	-	-	-	220,673
Total assets	115,551,413	26,728,829	40,092,156	54,486,088	203,419,883	440,278,369
Liabilities and equity						
Due to banks	3,426,736	983,446	2,795,151	-	-	7,205,333
Derivative financial instruments	4,859,072	114,652	180,442	299,738	1,109,475	6,563,379
Deposits from customers	216,097,113	22,637,971	21,362,755	3,577,709	1,376,777	265,052,325
Euro commercial paper	2,910,000	1,810,901	1,478,256	-	-	6,199,157
Borrowings	9,919,858	4,214,037	6,845,135	24,747,998	26,772,309	72,499,337
Other liabilities	8,261,360	5,400,613	8,489,061	316,549	916,581	23,384,164
Liabilities related to assets held for sale	4,648	-	-	-	-	4,648
Equity	-	-	-	-	59,370,026	59,370,026
Total liabilities and equity	245,478,787	35,161,620	41,150,800	28,941,994	89,545,168	440,278,369
Balance sheet liquidity gap	(129,927,374)	(8,432,791)	(1,058,644)	25,544,094	113,874,715	-
Off balance sheet						
Financial guarantees and irrevocable commitments	2,158,007	1,795,724	6,701,776	8,092,731	5,899,153	24,647,391
Derivatives held for hedging purpose (notional)	6,721,918	6,438,169	7,741,326	20,524,838	55,888,632	97,314,883

The table below summarises the maturity profile of the Group's financial liabilities as at December 31, 2022 and 2021 based on contractual undiscounted repayment obligations. As interest payments up to contractual maturity are included in the table, totals do not match with the consolidated statement of financial position. The contractual maturities of liabilities other than derivatives have been determined based on the remaining period at the consolidated statement of financial position date to the contractual maturity date and do not take into account the effective expected maturities. Derivative financial instruments held for trading are included in "less than 3 months" bucket at their fair value while the cash flows for derivative financial instruments held for hedging are classified based on their contractual cash flows or next call date. The Group expects that many customers will not request repayment on the earliest date the Group could be required to pay and the table does not reflect the expected cash flows indicated by the Group's deposit retention history.

	Carrying amount AED'000	Gross outflow AED'000	Less than 3 months AED'000	3 months to less than 6 months AED'000	6 months to less than 1 year AED'000	1 year to less than 3 years AED'000	Over 3 years AED'000
As at December 31, 2022							
Due to banks	**9,719,193**	**9,753,120**	**9,043,405**	**709,715**	**-**	**-**	**-**
Derivative financial instruments	**16,225,385**	**10,585,146**	**9,986,374**	**645,622**	**(276,127)**	**359,657**	**(130,380)**
Deposits from customers	**308,930,699**	**315,651,975**	**187,061,547**	**16,602,876**	**52,639,180**	**48,977,119**	**10,371,253**
Euro commercial paper	**5,994,279**	**6,041,004**	**3,686,841**	**2,354,163**	**-**	**-**	**-**
Borrowings	**69,875,733**	**140,013,770**	**19,718,765**	**5,830,654**	**5,938,335**	**17,000,265**	**91,525,751**
Total financial liabilities	**410,745,289**	**482,045,015**	**229,496,932**	**26,143,030**	**58,301,388**	**66,337,041**	**101,766,624**
As at December 31, 2021							
Due to banks	7,205,333	7,224,844	3,427,480	988,277	2,809,087	-	-
Derivative financial instruments	6,563,379	6,157,077	4,967,257	305,974	310,090	373,404	200,352
Deposits from customers	265,052,325	265,461,685	216,349,169	22,678,515	21,449,434	3,604,103	1,380,464
Euro commercial paper	6,199,157	6,198,451	2,910,542	1,809,251	1,478,658	-	-
Borrowings	72,499,337	133,698,573	10,407,893	6,798,760	4,651,242	25,639,493	86,201,185
Total financial liabilities	357,519,531	418,740,630	238,062,341	32,580,777	30,698,511	29,617,000	87,782,001

46. Market risk framework, measurement and management

The Group's activities expose it primarily to market risk which is defined as the risk that changes in market prices, such as interest rates, equity prices, foreign exchange rates, commodity prices and credit spreads (not relating to changes in the obligor's/issuer's credit standing) which will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

- Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates.
- Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.
- Other price risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer or by factors affecting all similar financial instruments traded in the market.

The Group separates its exposure to market risk between trading and banking book as defined below:

Market risk arising from trading book

Trading positions are held by the Treasury division, and include positions arising from market making and proprietary position taking, together with financial assets and liabilities that are managed on a fair value basis. Realised and unrealised gains and losses on these positions are reported in consolidated income statement.

Market risk arising from banking book

Market risk from banking book arises from execution of the Group's core business strategies, products and services to its customers, that invariably create interest rate risk and open currency positions that the Group endeavours to manage through strategic positions to mitigate the inherent risk caused by these positions.

Banking book includes all positions that are not held for trading such as but not limited to the Group's investments in instruments designated at FVTOCI and amortised cost, loans and advances carried at amortised cost, derivatives used for hedging and other financial assets held for long term.

These exposures can result from a variety of factors including but not limited to re-pricing of gaps in assets, liabilities and off-balance sheet instruments and changes in the level and shape of market interest rate curves.

Risk identification and classification

The MCC approves market risk policies for the Group. All business segments are responsible for comprehensive identification and verification of market risks within their business units. Regular meetings are held between market risk management and the heads of risk taking businesses to discuss and decide on risk exposures in the context of the market environment.

Management of market risk

The Board of Directors have set risk limits based on the Value-at Risk (VaR), Stressed Value at Risk (SVaR), Greeks, sensitivity/stress analysis and foreign exchange open position limits which are closely monitored by the risk management division and reported regularly to the senior management and discussed by ALCO.

Market risk is identified, measured, managed and controlled by an independent risk control function. Treasury, Market & Liquidity Risk aims to reduce volatility in operating performance and make the Group's market risk profile transparent to senior management, the Board of Directors and Regulators.

Treasury, Market & Liquidity Risk is overseen by MRCC and performs the following primary functions:

- establishment of a comprehensive mark-to-market valuation policy framework;
- establishment of a comprehensive market risk policy framework;
- independent measurement, monitoring and control of market risk;
- setting and monitoring of limits; and
- hedge effectiveness methodology.

Risk measurement

The following are the tools used to measure the market risk, because no single measure can reflect all aspects of market risk. The Group uses various matrices, both statistical and non-statistical, including sensitivity analysis.

Statistical risk measures

The Group measures the risk of loss arising from future potential adverse movements in market rates, prices and volatilities using VaR methodology. The VaR that the Group measures is an estimate, using a confidence level of 99% of the potential loss that is not expected to be exceeded if the current market positions were to be held unchanged for one day. This confidence level suggests that potential daily losses in excess of the VaR measure are likely to be experienced, once every hundred days. The Board has set limits for the acceptable level of risks in managing the trading and banking book.

The Group uses simulation models to assess the possible changes in the market value of the trading and banking book based on historical data. VaR models are usually designed to measure the market risk in a normal market environment and therefore the use of VaR has limitations because it is based on historical correlations and volatilities in market prices and assumes that the future movements will follow a statistical distribution.

The VaR represents the risk of portfolios at the close of a business day and intra-day risk levels may vary from those reported at the end of the day. The actual trading results, however, may differ from the VaR calculations and, in particular, the calculation does not provide a meaningful indication of profits and losses in stressed market conditions.

To overcome the VaR limitations mentioned above, the Group runs both SVaR and Expected Shortfall daily to monitor the tail risk outside the confidence limit. Stressed VaR is the VaR run through a stressed year rather than the previous year as used in VaR.

The Group's VaR for the year ended December 31, 2022 is as below:

	2022 AED'000	2021 AED'000
Daily value at risk (VaR at 99% - 1 day)		
Overall risk	**(32,460)**	(25,934)
Average VaR	**(44,386)**	(41,672)

Non-statistical risk measures

Non-statistical risk measures, other than stress/sensitivity testing, include independent market valuations to ensure that the Group's valuations are correct and Risk Greeks to ensure that trading is within the risk appetite thresholds. These measures provide granular information of the Group's market risk exposures.

Independent market valuations/Greeks are validated by the market risk function in order to ensure that the market valuations/Greeks are measured correctly. The Group uses first order Risk Greeks to monitor and control market risk on a day to day basis. The interest rate delta and vega and the foreign exchange delta and vega are computed daily and monitored against a limit. The Board has set limits for the delta and the vega within acceptable level of risks in managing the trading book.

Sensitivity analysis

To overcome the VaR limitations mentioned under statistical measure above, the Group also carries out daily stress tests/sensitivity analysis of its portfolio to simulate conditions outside normal confidence intervals in order to analyse potential risk that may arise from extreme market events that are rare but plausible. The results of the stress tests are reported regularly to the Group's ALCO committee for their review.

Interest rate risk - trading book

The following table depicts the sensitivity of fair valuations in the trading book to hypothetical and instantaneous changes in the level of interest rates - with other market risk factors held constant - which would have an impact on the Group's consolidated income statement:

Relative instantaneous rate move shift for all tenors:

	2022		2021	
	+25bps AED'000	-25bps AED'000	+25bps AED'000	-25bps AED'000
AED	**11,512**	**(9,719)**	3,988	(3,006)
USD	**(4,754)**	**4,358**	1,117	(323)

Interest rate risk - non-trading book

The following table depicts the sensitivity of fair valuations in the non-trading book to hypothetical and instantaneous changes in the level of interest rates - with other market risk factors held constant - which would have an impact on the Group's consolidated income statement:

	2022		2021	
	+25 bps AED'000	-25 bps AED'000	+25 bps AED'000	-25 bps AED'000
Sensitivity of net interest income	**127,530**	**(124,805)**	116,431	(100,819)

The sensitivity on the consolidated income statement is the effect of the assumed changes in interest rates on the net interest income for one year, based on the floating rate non-trading financial assets and financial liabilities, including the effect of hedging instruments.

Currency risk

Foreign exchange risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates and arises from financial instruments denominated in a foreign currency. The Group's functional currency is the UAE Dirham. The Board of Directors has set limits on delta notional positions by currency. Positions are closely monitored and hedging strategies are used to ensure positions are maintained within established limits. As at December 31, 2022, the Group's net delta notional positions in major currencies are as below:

	Net currency position long/(short)	
Currency	2022 AED'000	2021 AED'000
USD	**75,658,206**	28,404,391
EUR	**624**	93,952
GBP	**2,797**	(20,601)
JPY	**15,126**	(25,063)
INR	**92,912**	101,123
SAR	**746,451**	178,203
EGP	**166,707**	1,366,017
AUD	**2,176**	344

The following table depicts the sensitivity of fair valuations in the trading and banking book to hypothetical, instantaneous changes in the level of foreign currency exchange rates - with other market risk factors held constant (including the USD-AED currency pair which is pegged) - which would have an impact on the Group's consolidated income statement:

	2022		2021	
Price shock in percentage	+5% AED'000	-5% AED'000	+5% AED'000	-5% AED'000
USD-AUD	**69**	**(13)**	(33)	33
EUR-USD	**31**	**(31)**	(7,415)	10,937
GBP -USD	**(35)**	**64**	1,480	1,634
USD-JPY	**(328)**	**635**	1,637	4,880
USD-INR	**4,765**	**(4,311)**	5,422	(1,808)
USD-EGP	**14,466**	**(12,642)**	75,685	(68,476)
USD-SAR	**56,591**	**(67,106)**	6,464	(32,027)

47. Operational risk management

Overview

Operational risk is the risk of loss arising from inadequate or failed internal processes, people and systems or from external events. While including legal risk, but excluding strategic and reputational risk, damage to the Bank's reputation, legal or regulatory implications, financial losses and other factors are being considered when assessing impact of operational risk events.

Operational risk is inherent in all dimensions of the Bank, including all banking products, activities, processes and systems, therefore the effective management of operational risk is a fundamental element of the Bank's risk management program.

The Board assumes an overall responsibility for operational risk management. This includes defining risk appetite for operational risk, approval of the Operational Risk Management Framework, oversight of senior management to ensure that strategies, policies and processes are reviewed and implemented effectively at all levels.

The objective of the Group is to manage and control operational risk in a proactive and cost-effective manner within targeted levels of operational risk consistent with a defined risk appetite. Group primarily aims at early identification and assessment of operational risks allowing timely mitigation, as well as meaningful management reporting and continuous improvement of the control environment.

Ongoing management of operational risk is coordinated by the Group Operational Risk Management (GORM) and reviewed and monitored by a dedicated Operational Risk Working Group (ORWG) and Management Executive Committee (MEC) as applicable for policy purposes.

The Group Operational Risk Management function continues to lead the effort to embed the enhanced Operational Risk Management Framework ('ORMF') across the Group. The main focus is on the consistency in application of the core tools such as risk and control self-assessment (RCSAs), key risk indicators (KRIs), control testing and timely operational risk event reporting, especially those classified as material in nature. Implementation of the first phase of a new Operational Risk Management System (ORMS) has been completed.

To mitigate increased operational risk resulting from Covid-19 pandemic, a cross-functional team led by Group Operational Risk continued to oversee the impact to business processes to ensure they remained within the Bank's risk appetite.

The enhanced ORMF currently being embedded enables an end-to-end view of non-financial risks, facilitating focus on the risks that are critical to achieving the Group's strategic objectives and associated controls. It provides a platform to drive forward-looking risk awareness and assist management focus. It also helps the organisation understand the level of risk it is willing to accept.

To support the dynamic business environment and increased regulatory focus on new products and outsourcing, a new vertical has been established in GORM to provide oversight over New Initiatives and Third party related risks.

Three lines of defence

To create a robust control environment to manage risks, the Group uses an activity-based three lines of defence model. This model delineates management accountabilities and responsibilities for risk management and the control environment. The model underpins the Group's approach to risk management by clarifying responsibility, encouraging collaboration, and enabling efficient coordination of risk and control activities.

The three lines of defence are summarised below:

- First line of defence (Business Unit): owns the risks and is responsible for identifying, recording, reporting and managing them, and ensuring that the right controls and assessments are in place to mitigate them.
- The second line of defence (Group Operational Risk Management, Compliance, Fraud Risk Management, Information and Physical Security Governance, Data Management, Market Risk, Islamic Internal control, etc.): defines the frameworks, policies and guidelines for managing specific risk areas, provides advice and

guidance in relation to the risk, and challenges the first line of defence on effective risk management.

- The third line of defence (Group Internal Audit function): provides independent and objective assurance of the adequacy of the design and operational effectiveness of the Group's risk management framework and control governance process.

Risk identification, monitoring and reporting

The risk identification and assessment process involves risk assessment of new initiatives, which may include new and amended products, processes, systems or third party engagements. Risk assessment methodology employs more granular and objective assessment of operational risk exposures for material risks identified through the risk identification processes, which enables us to prioritise risks and related actions.

A robust system of controls that is commensurate with the level of operational risks being managed is in place. Since the risk environment is not static, processes are in place for ongoing review of key mitigating controls. This dynamic process helps us to identify gaps early and facilitate timely remedial action for potential risk exposures.

The reporting of issues and events (and therefore greater risk transparency across the organisation) is a critical component of the Group's operational risk management process. The escalation process ensures that relevant information is received by the decision makers in a timely manner so that appropriate actions are taken.

Monitoring and reporting processes are in place for periodic monitoring of key operational risks. The reports are submitted to the Board (as part of GCRO update) and also to Group Heads for information and resolution.

Fraud risk

Proactive fraud-risk management is a key success factor in combating the increasing number of frauds perpetrated against financial institutions around the globe. The Group continued to strengthen its anti-fraud activities by centralizing its fraud management capabilities, increased fraud awareness to the employees and customers, as well as initiating various projects to drive fraud prevention through use of technology and systems. The projects are at various levels of maturity.

Business Continuity Management

The safety of employees and the ability to recover from a crisis in a timely fashion are of utmost importance to the Group. To appropriately handle crisis situations, emergency response procedures and business continuity plans (BCPs) were significantly enhanced.

ADCB's ISO22301:2012 certified business continuity framework for the UAE has been designed to ensure that the Bank can continue to achieve its business objectives in the face of an unexpected disruptive event. The plans identify the teams, and list critical processes and systems, evacuation procedures and the respective recovery sites where the teams will report to in the event of a disaster. Emergency response procedures contain evacuation guidelines, response measures, and roles and responsibilities in dealing with various threats.

The plans are tested periodically and involve mobilising staff from a primary site to a recovery site and enabling them to carry out critical activities.

Risk Management

For operational risk measurement and determination of the amount that the Group needs to hold to absorb potential operational losses, Group follows the standardised approach under Basel III. As at December 31, 2022, the capital charge including buffer requirements was AED 2,906,544 thousand (December 31, 2021 - AED 3,043,286 thousand).

48. Trust activities

As at December 31, 2022, the net asset value of the funds under the management of the Group amounted to AED 3,773,249 thousand (December 31, 2021 - AED 3,816,672 thousand).

49. Subsidiaries

The following is the list of subsidiaries of the Bank:

Name of subsidiary	Ownership interest	Incorporation		Principal activities
		Year	Country	
ADCB Securities LLC	100%	2005	UAE	Agent in trading of financial instruments and stocks.
Abu Dhabi Commercial Properties LLC	100%	2005	UAE	Real estate property management and advisory services.
Kinetic Infrastructure Development LLC	100%	2006	UAE	Financial investments.
Abu Dhabi Commercial Property Development LLC [1]	100%	2006	UAE	Property development.
Abu Dhabi Commercial Engineering Services LLC	100%	2007	UAE	Engineering services.
ADCB Finance (Cayman) Limited	100%	2008	Cayman Islands	Treasury financing activities.
ADCB Markets (Cayman) Limited	100%	2008	Cayman Islands	Treasury related activities.
ACB LTIP (IOM) Limited	Controlling Interest	2008	Isle of Man	Trust activities.
Abu Dhabi Commercial Bank (UK Representative Office) Limited [2]	100%	2008	United Kingdom	UK representative office and process service agent.
ITMAM Services FZ LLC	100%	2010	UAE	Transaction processing and back office support for the Group.
AD NAC Ventures WLL	99.75%	2012	Bahrain	Trust activities.
ITMAM Services LLC	100%	2013	UAE	Transaction processing and back office support for the Group.
ADCB Asset Management Limited	100%	2018	UAE	Wealth management and private banking.
Union Brokerage LLC [2]	100%	2002	UAE	Agent in trading of financial instruments and stocks.
Al Wifaq Investment Properties PrJSC	90.08%	2006	UAE	Investment in real estate properties and earning rental income.
Abu Dhabi Commercial Bank - Egypt SAE (formerly known as Union National bank - Egypt SAE)	99.90%	1981	Egypt	Commercial banking services.
Al Hilal Bank PJSC	100%	2007	UAE	Islamic banking activities.
Al Hilal Islamic Bank JSC	100%	2010	Kazakhstan	Islamic banking activities.
Al Hilal Leasing LLP	100%	2011	Kazakhstan	Shari'ah compliant leasing operations.
AHB Sukuk Company Limited	Controlling Interest	2011	Cayman Islands	Treasury financing activities.
Al Hur 1 Holding Limited	100%	2022	UAE	Real estate investment activities.
Al Hur 2 Holding Limited	100%	2022	UAE	Real estate investment activities.

(1) dormant
(2) under liquidation/discontinued operations

The Group does not have any subsidiary with material non-controlling interests.

50. Capital adequacy ratio and capital management

Capital management process

The Group's objectives when managing capital, which is a broader concept than the 'equity' on the face of statement of financial position, are:

- to comply with the capital requirements set by the CBUAE;
- to safeguard the Group's ability to continue as a going concern and increase the returns for the shareholders; and
- to maintain a strong capital base to support the development of its business.

Capital adequacy and the use of regulatory capital are monitored on a regular basis by the Bank's management employing techniques based on the guidelines developed by the Basel Committee and the CBUAE.

CBUAE issued an update on Capital Adequacy Standards on November 12, 2020 vide notice number CBUAE/BSD/N/2020/4980 replacing the earlier issued standards. The updated standards include new requirements on internal and external review, additional guidelines on credit, market and operational risk and details for Pillar 2 requirements. The regulations ensure compliance with Basel III Capital Standards set out by the Basel Committee on Banking Supervision (BCBS).

CBUAE has issued an updated Pillar 2 - Internal Capital Adequacy Assessment (ICAAP) reporting guidelines on December 30, 2022 vide notice number CBUAE/BSD/2022/5280 for implementation and banks are required to comply and report Pillar 2 - ICAAP assessment based on updated guidelines. For operational risk, the CBUAE has given banks the option to use the basic indicator approach or the standardised approach and the Group has chosen to use the standardised approach.

The Bank currently uses the approach defined below for Pillar 1 reporting:

Credit risk: Standardised approach is used by the Group in calculating its capital requirements for credit risk. This approach allows the use of external ratings from designated credit rating agencies, wherever available, in determining the appropriate risk weights. The risk weight is determined by the asset class and the external rating of the counterparty. The net exposure incorporates off balance sheet exposures after applying the credit conversion factors (CCF) and credit risk mitigants (CRM).

Market risk: For the regulatory market risk capital requirement, the Group uses the standardised approach.

Operational risk: Basel III includes a capital requirement for operational risk, again utilising three levels of sophistication. The capital required under the basic indicator approach is a simple percentage of gross revenues, whereas under the standardised approach it is one of three different percentages of total operating income under each of eight defined business lines. Both these approaches use an average of the last three financial years' revenues. The Group has adopted the standardised approach in determining the operational risk capital requirements.

The Group also prepares an annual comprehensive ICAAP document. This document is a detailed assessment by the Group of its risk profile, approaches to assess and measure various material risks, capital planning under regular and stress scenarios.

The Group's capital management is driven by long/short term strategies and organisational requirements with due consideration to the regulatory, economic and commercial environment in which the Bank operates.

Capital supply

As per Basel III requirements, total regulatory capital comprises of the following:

a) Tier 1 capital, composed of:

   (i) Common Equity Tier 1 (CET1) and

   (ii) Additional Tier 1 (AT1).

b) Tier 2 capital.

CET1 capital includes paid-up share capital, share premium, retained earnings, legal reserves, statutory reserves, accumulated other comprehensive income, other disclosed reserves and non-controlling interest.

The following regulatory adjustments are applied in the calculation of CET1:

a) goodwill and other intangible assets;

b) cash flow hedge reserves;

c) employee's incentive plan shares

d) revaluation reserve of investments designated at FVTOCI

AT1 capital comprises of instruments eligible for inclusion in AT1 capital (paragraph 55 of Basel III Accord).

Tier 2 capital includes collective provisions per Basel guidelines and CBUAE rules, perpetual equity instruments issued by the Bank or its subsidiaries and not included in Tier 1 and their premium and instruments eligible for inclusion in Tier 2 capital such as hybrid (debt/equity) capital instruments and subordinated term loan.

Capital allocation

The allocation of capital between specific operations and activities is, to a large extent, driven by optimisation of the return achieved on the capital allocated. The amount of capital allocated to each operation or activity is based primarily upon the regulatory capital and the Group's business strategy, but in some cases the regulatory requirements do not reflect fully the varying degree of risk associated with different activities. In such cases the capital requirements may be flexed to reflect differing risk profiles, subject to the overall level of capital to support a particular operation or activity not falling below the minimum required for regulatory purposes. The process of allocating capital to specific operations and activities is undertaken independently of those responsible for the operation by the Bank's risk and credit and finance functions and is subject to review by the ALCO as appropriate.

Capital adequacy ratio

The Bank's capital adequacy ratio calculated in accordance with guidelines issued by the CBUAE after deducting proposed cash dividends from retained earnings is as below:

	As at December 31 2022 AED'000	As at December 31 2021 AED'000
Common equity tier 1 (CET1) capital		
Share capital (Note 22)	**6,957,379**	6,957,379
Share premium	**17,878,882**	17,878,882
Other reserves (Note 23)	**8,922,931**	9,038,707
Retained earnings	**22,884,994**	19,062,924
Non-controlling interests	**-**	9,325
Regulatory deductions and adjustments		
Intangible assets, net (Note 16)	**(7,152,194)**	(7,294,685)
Cash flow hedge reserve (Note 23)	**80,900**	(67,912)
Employee's incentive plan shares, net (Note 23)	**(68,824)**	(76,712)
Revaluation reserve of investments designated at FVTOCI (Note 23)	**(1,404,540)**	175,184
Other deduction	**(416,056)**	-
Less: Proposed cash dividend (Note 22)	**(1,252,328)**	(2,574,230)
Total CET1 capital	**46,431,144**	43,108,862
Additional tier 1 (AT1) capital		
Capital notes (Note 26)	**6,000,000**	6,000,000
Total AT1 capital	**6,000,000**	6,000,000
Total tier 1 capital	**52,431,144**	49,108,862
Tier 2 capital		
Eligible general provision	**4,034,067**	3,763,456
Subordinated notes (Note 20)	**39,224**	324,354
Total tier 2 capital	**4,073,291**	4,087,810
Total regulatory capital	**56,504,435**	53,196,672
Risk-weighted assets		
Credit risk	**322,725,321**	301,076,491
Market risk	**13,983,513**	9,406,226
Operational risk	**21,529,955**	22,542,856
Total risk-weighted assets	**358,238,789**	333,025,573
CET1 ratio	**12.96%**	12.94%
AT1 ratio	**1.68%**	1.81%
Tier 1 ratio	**14.64%**	14.75%
Tier 2 ratio	**1.13%**	1.22%
Capital adequacy ratio	**15.77%**	15.97%

As per Basel guidelines and in accordance with IAS 10 'Events after the Reporting Period', which does not allow proposed dividends to be recognised as a liability, the Bank's capital adequacy ratio before deducting proposed cash dividends from retained earnings is as below:

	2022	2021
CET1 ratio	**13.31%**	13.72%
Tier 1 ratio	**14.99%**	15.52%
Capital adequacy ratio	**16.12%**	16.75%

In December 2010 (revised in June 2011), the Basel Committee on Banking Supervision issued Basel III, a global regulatory framework, to enhance international capital standards. Basel III is designed to materially improve the quality of regulatory capital and introduces a new minimum common equity capital requirement. Basel III also raises the minimum capital requirements and introduces capital conservation and countercyclical buffers to induce banking organisations to hold capital in excess of regulatory minimums. In November 2020, CBUAE issued an update to the Capital Adequacy Standards vide notice number CBUAE/BSD/N/2020/4980 superseding the previous notices. All requirements of revised guidelines are effective for capital reporting.

To achieve broader macro-prudential goal of protecting the banking sector from the periods of excess aggregate credit growth and in addition to the capital conservation buffer (CCB) requirement, banks may be required to implement the countercyclical buffer (CCyB). Banks must meet CCB and CCyB requirement by using CET1 capital. The level of CCyB requirement will vary between 0% - 2.5% of risk weighted assets and will be communicated by CBUAE with adequate notice period. Further, to reduce risks related to the failure of domestic systemically relevant institutions, CBUAE has introduced domestic systematically important banks (D-SIB) buffer of 0.5% for ADCB.

The Bank is required to meet the following minimum capital ratios:

Capital ratios	
CET1 including buffers	
- CET1	**7.00%**
- CCB	**2.50%**
- D-SIB buffer	**0.50%**
CET1 including buffers	**10.00%**
Tier 1	**11.50%**
Minimum capital requirement	**13.50%**

Common equity tier 1 (CET1) capital resources

(a) Ordinary shareholders' funds, which include the cumulative proceeds from the issuance of ordinary shares at their nominal value net of treasury shares. These instruments confer a share of ownership in the Bank, and carry no obligations.

(b) Statutory and Legal reserves:

(i) Statutory reserve: As required by Article 241 of the UAE Federal Decree Law No. (32) of 2021, 10% of the net profit for the year is transferred to the statutory reserve. The Bank may resolve to discontinue such annual transfers when the reserve equals 50% of the nominal value of the paid up share capital. Accordingly, no transfers were made to statutory reserve during the year (December 31, 2021 - AED nil). The statutory reserve is not available for distribution.

(ii) Legal reserve: In accordance with the Articles of Association of the Bank and Decretal Federal Law No. (14) of 2018, 10% of the net profit for the year is transferred to the legal reserve. The Bank may resolve to discontinue such annual transfers when the reserve equals 50% of the nominal value of the paid up share capital. Accordingly, no transfers were made to legal reserve during the year (December 31, 2021 - AED nil). The legal reserve is not available for distribution.

(c) General and Contingency reserves:

(i) General reserve: In accordance with the Articles of Association of the Bank, a further percentage of net profit for the year can be transferred to the general reserve based on the recommendation of the Board of Directors. This reserve may only be used for the purposes recommended by the Board of Directors and approved by the shareholders.

(ii) Contingency reserve: The contingency reserve is established to cover unforeseen future risks or contingencies which may arise from general banking risks.

(iii) Retained earnings which represent the cumulative profits not distributed to shareholders, and other eligible reserves.

(d) Regulatory deductions and adjustments:

(i) Goodwill and other intangible assets.

(ii) Cash flow hedge reserve: The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges in line with section 3.3 of Capital Standards issued by Central Bank of UAE are recognised in other comprehensive income and accumulated in equity. However, it is limited to 45% if the balance is positive.

(iii) Employees' incentive plan shares: The Bank grants equity-settled share-based payments to employees. These shares are acquired by the Bank for its employees and are deducted from capital.

(iv) Revaluation reserve of investments designated at FVTOCI: This includes the cumulative net change in the fair value of investments measured at fair value through other comprehensive income. However, it is limited to 45% if the balance is positive.

Additional tier 1 (AT1) capital resources

This includes the Group's Tier 1 regulatory capital notes subscribed by the Department of Finance, Government of Abu Dhabi (Note 26).

Tier 2 capital resources

(a) Collective impairment on loans and advances limited to 1.25% of credit risk-weighted assets.

(b) Eligible subordinated notes (Note 20).

51. Social contributions

The Group made the following social contributions during the year:

	2022 AED'000	2021 AED'000
Donations	**2,056**	12,721
Sponsorships	**1,937**	3,620
Total social contributions	**3,993**	16,341

52. Legal proceedings

The Group is involved in various legal proceedings and claims arising in the ordinary course of business. While the outcome of these matters cannot be predicted with certainty, management does not believe that these matters will have a material adverse effect on the Group's consolidated financial information, if disposed unfavourably.